NEW ISSUE- BOOK-ENTRY ONLY **RATINGS: See "RATINGS" herein**

*In the opinion of Katten Muchin Rosenman LLP, Bond Counsel, under existing law, if there is continuing compliance with certain requirements of the Internal Revenue Code of 1986, interest on the Bonds will not be includable in gross income for federal income tax purposes and is not required to be included as an item of tax preference for purposes of computing alternative minimum taxable income for individuals. Interest on the Bonds is included in computing the adjusted financial statement income of those corporations subject to the corporate alternative minimum tax. Interest on the Bonds is not exempt from present Illinois income taxes See "**TAX MATTERS**" herein.*

CITY OF JOLIET, ILLINOIS
$109,835,000
Waterworks and Sewerage Senior Lien Revenue Bonds, Series 2025

Dated: Date of Delivery **Due: January 1, as shown on the inside cover**

This cover page and the inside cover page contain certain information for general reference only. They are not intended to be a summary of the security or terms of this issue. Investors are advised to read this entire Official Statement to obtain information essential to making an informed investment decision. Capitalized terms used on this cover page not otherwise defined shall have the meanings set forth herein.

The City of Joliet, Illinois (the "City"), owns and operates a waterworks system and a sanitary sewerage system as a combined utility system (the "System"). The City is issuing its Waterworks and Sewerage Senior Lien Revenue Bonds, Series 2025 (the "Bonds") for the purpose of (i) financing capital improvements to provide for the transmission to the System of Lake Michigan water pursuant to a water purchase agreement with the City of Chicago and the design, engineering, acquisition, construction and installation of a water transmission main and delivery system to interconnect the facilities of the Chicago water system with the water distribution facilities of the System (the "Water Transmission System Project"), (ii) making a deposit to the Common Debt Service Reserve Sub-Fund and (iii) paying costs of issuance of the Bonds. The proceeds of the Bonds will be used for System improvements such as elevated and standpipe water tanks, water pumping stations, transmission and distribution mains, and operations and administrative facilities for the System.

The Bonds will be issued as fully registered bonds and, when issued, will be registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository for the Bonds. Purchases of beneficial ownership interests in the Bonds will be made in book-entry only form, in denominations of $5,000 principal amount and integral multiples thereof. Purchasers will not receive certificates representing their ownership interest in the Bonds purchased. Principal and interest on the Bonds will be paid directly to DTC by U.S. Bank Trust Company, National Association, Chicago, Illinois, appointed as Trustee under the Master Trust Indenture and as the Paying Agent (the "Paying Agent," "Bond Registrar," and "Trustee") for the Bonds. Interest on the Bonds will be payable semi-annually on each January 1 and July 1, commencing July 1, 2026.

The Bonds are subject to redemption prior to maturity in the manner, on the dates and at the redemption price described under "**The Bonds – Redemption prior to Maturity**" herein.

The Bonds are limited obligations of the City payable from the Revenues (as defined in the Master Indenture) of the System and certain other moneys and securities held by the Trustee under the Master Indenture and the Second Supplemental Indenture. The Bonds shall not constitute an indebtedness or a loan of the credit of the City within the meaning of any constitutional or statutory limitation and neither the full faith and credit nor the taxing power of the City is pledged to the payment of the principal of or the interest on the Bonds. Pursuant to the Master Indenture, the Bonds are Senior Lien Obligations and shall be payable from, and secured by a pledge of, lien on and security interest in the Trust Estate consisting of (i) the Revenues, (ii) amounts on deposit in the Funds, Accounts and Dedicated Sub-Funds established under the Master Indenture and the Second Supplemental Indenture and (iii) all other moneys held from time to time under the Master Indenture and the Second Supplemental Indenture for the payment of the Bonds. See "**Security for the Bonds**" herein.

The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under a municipal bond insurance policy to be issued concurrently with the delivery of the Bonds by **BUILD AMERICA MUTUAL ASSURANCE COMPANY.**

The Bonds are being offered when, as, and if issued and received by the Underwriters, subject to the approving opinion of Bond Counsel. Certain legal matters will be passed upon for the City by Todd Lenzie, Esq., as the City's Interim Corporation Counsel, and Burke, Warren, MacKay & Serritella, P.C., Chicago, Illinois, Underwriters' Counsel. It is expected that beneficial interests in the Bonds will be available for delivery through the facilities of DTC on or about December 4, 2025.

J.P. Morgan
as Senior Manager

Bernardi Securities, Inc.
as Co-Manager

This Official Statement is dated November 12, 2025.

MATURITY SCHEDULE

$109,835,000

Waterworks and Sewerage Senior Lien Revenue Bonds, Series 2025

Maturity (January 1)	Amount	Interest Rate	Yield	Price	CUSIP[1] (479790)
2034	$4,240,000	5.00%	2.95%	114.632%	KK2
2035	4,455,000	5.00	3.05	115.354	KL0
2036	4,675,000	5.00	3.20	114.077 [C]	KM8
2037	4,915,000	5.00	3.37	112.650 [C]	KN6
2038	5,160,000	5.00	3.50	111.573 [C]	KP1
2039	5,410,000	5.00	3.64	110.427 [C]	KQ9
2040	5,685,000	5.00	3.73	109.698 [C]	KR7
2041	5,970,000	5.00	3.88	108.495 [C]	KS5
2042	6,265,000	5.00	4.00	107.544 [C]	KT3
2043	6,580,000	5.00	4.10	106.759 [C]	KU0
2044	6,910,000	5.00	4.24	105.672 [C]	KV8
2045	7,260,000	5.00	4.34	104.904 [C]	KW6

$42,310,000 5.25% Term Bond due January 1, 2050; Yield 4.51% Price 105.457%[C]; CUSIP[1]479790 KX4

[1] CUSIP data herein is provided by the CUSIP Global Services, managed on behalf of the American Bankers Association by S&P Capital IQ, a part of McGraw-Hill Companies Financial. No representations are made as to the correctness of the CUSIP numbers. These CUSIP numbers may also be subject to change after the issuance of the Bonds.

[C] Priced to the January 1, 2035 optional call date.

No dealer, broker, salesperson, or other person has been authorized by the City or the Underwriters to give any information or to make any representation with respect to the Bonds, other than those contained in this Official Statement, and, if given or made, such other information or representations must not be relied upon as having been authorized by any of the foregoing. This Official Statement is neither an offer to sell nor the solicitation of an offer to buy, nor shall there be any sale of the Bonds offered hereby, by any person in any jurisdiction in which it is unlawful for such person to make such offer, solicitation, or sale. The information and expressions of opinion set forth herein have been furnished by the City and include information from other sources which the City believes to be reliable. Such information is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the Underwriters. Such information and expressions of opinion are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall under any circumstances create any implication that there has been no change since the date hereof.

The Underwriters have provided the following sentence for inclusion in this Official Statement. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

Concurrently with the issuance of the Bonds, Build America Mutual Assurance Company ("BAM") will issue its Municipal Bond Insurance Policy for the Bonds (the "Policy"). The Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Policy included as an exhibit to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

This Official Statement should be considered in its entirety. Where statutes, ordinances, resolutions, reports or other documents are referred to herein, references should be made to such statutes, ordinances, resolutions, reports or other documents for more complete information regarding the rights and obligations of parties thereto, facts and opinions contained therein, and the subject matter thereof.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITERS MAY OVER-ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICES OF THE BONDS OFFERED HEREBY AT LEVELS ABOVE THOSE WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITERS MAY OFFER AND SELL THE BONDS TO CERTAIN DEALERS AND DEALER BANKS AND BANKS ACTING AS AGENTS AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITERS.

THE BONDS HAVE NOT BEEN REGISTERED WITH THE UNITED STATES SECURITIES AND EXCHANGE COMMISSION UNDER THE SECURITIES ACT OF 1933, NOR HAS THE INDENTURE BEEN QUALIFIED UNDER THE TRUST INDENTURE ACT OF 1939, IN RELIANCE UPON EXEMPTIONS CONTAINED IN SUCH ACTS. THE REGISTRATION OR QUALIFICATION OF THE BONDS IN ACCORDANCE WITH

APPLICABLE PROVISIONS OF SECURITIES LAWS OF THE STATES IN WHICH THE BONDS HAVE BEEN REGISTERED OR QUALIFIED AND THE EXEMPTION FROM REGISTRATION OR QUALIFICATION IN OTHER STATES CANNOT BE REGARDED AS A RECOMMENDATION THEREOF. NEITHER THESE STATES NOR THEIR AGENCIES HAVE PASSED UPON THE MERITS OF THE BONDS OR THE ACCURACY OR COMPLETENESS OF THIS OFFICIAL STATEMENT. ANY REPRESENTATION TO THE CONTRARY IS A CRIMINAL OFFENSE.

References to web site addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such web sites and the information or links contained therein are not incorporated into, and are not part of this Official Statement.

CITY OF JOLIET, ILLINOIS

Terry D'Arcy
Mayor

CITY COUNCIL

Cesar Cardenas
Joe Clement
Larry E. Hug
Suzanna Ibarra
Juan Moreno
Pat Mudron
Jan Hallums Quillman
Sherri Reardon

OFFICIALS

H. Elizabeth Beatty
City Manager

Lauren O'Hara
City Clerk

Kevin Sing
Finance Director

Allison M.W. Swisher, P.E.
Director of Public Utilities

Todd Lenzie, Esq.
Interim Corporation Counsel

PROFESSIONAL SERVICES

Speer Financial, Inc.
Municipal Advisor, Chicago, Illinois

Burns & McDonnell Engineering Company, Inc.
Rate Consultants, Kansas City, Missouri

Donahue & Rose, P.C.
Special Counsel for Water Projects, Rosemont, Illinois

Katten Muchin Rosenman LLP
Bond Counsel, Chicago, Illinois

Burke, Warren, MacKay & Serritella, P.C.
Underwriters' Counsel, Chicago, Illinois

J.P. Morgan Securities LLC
Senior Manager, Chicago, Illinois

Bernardi Securities, Inc.
Co-Manager, Northfield, Illinois

U.S. Bank Trust Company, National Association
Trustee, Chicago, Illinois

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CITY OF JOLIET, ILLINOIS

$109,835,000
Waterworks and Sewerage Senior Lien Revenue Bonds, Series 2025

INTRODUCTION

The $109,835,000 Waterworks and Sewerage Senior Lien Revenue Bonds, Series 2025 (the "Bonds"), are being issued pursuant to the home rule powers of the City of Joliet, Illinois (the "City"), under Section 6, Article VII of the 1970 Constitution of the State of Illinois. The Bonds are authorized by an ordinance adopted by the City Council of the City on the 3rd day of June, 2025 (the "Ordinance"), the Master Indenture of Trust Securing Waterworks and Sewerage Revenue Senior Lien Obligations dated March 15, 2022 (the "Master Trust Indenture") from the City to U.S. Bank Trust Company, National Association, as trustee (the "Paying Agent," "Bond Registrar" and "Trustee") and the Second Supplemental Indenture from the City to the Trustee dated as of December 1, 2025 (the "Second Supplemental Indenture" and together with the Master Trust Indenture, the "Indenture") authorized therein and executed in connection with the sale of the Bonds.

The City owns and operates a waterworks system and a sanitary sewerage system as a combined utility system (the "System"). Bond proceeds will be used for the purpose of (i) financing capital improvements to provide for the transmission to the System of Lake Michigan water pursuant to a water purchase agreement with the City of Chicago and the design, engineering, acquisition, construction and installation of a water transmission main and delivery system to interconnect the facilities of the Chicago water system with the water distribution facilities of the System (the "Water Transmission System Project"), (ii) making a deposit to the Common Debt Service Reserve Sub-Fund and (iii) paying costs of issuance of the Bonds. The proceeds of the Bonds will be used for System improvements such as elevated and standpipe water tanks, water pumping stations, transmission and distribution mains, and operations and administrative facilities for the System. The City is also undertaking a System wide program for the design, engineering, acquisition, construction and installation of new water mains, the rehabilitation of existing water mains and related improvements (the "Water Main Replacement Project" and together with the Water Transmission System Project, the "Project").

The City has entered into agreements with the United States Environmental Protection Agency ("USEPA") pursuant to the Water Infrastructure Finance and Innovation Act ("WIFIA") to fund certain costs of the Project. The City has posted the WIFIA Master Agreement and the WIFIA Loan Agreements to the Electronic Municipal Market Access system ("EMMA").

The System includes all property, real, personal or otherwise owned or to be owned by the City or under control of the City, and used for waterworks and sewerage purposes, and any and all further extensions, improvements and additions thereto. The Bonds and all other Senior Lien Obligations are payable from "Revenues" (as defined in the Indenture) and certain other moneys and securities held by the Trustee under the provisions of the Indenture.

SYSTEM FUNDS

There is maintained under the Indenture the Waterworks and Sewerage Fund which is an enterprise fund of the City. The Indenture also creates the Operation and Maintenance Fund and the System General Fund which are held and maintained by the City. The Indenture also creates as special funds of the City the Revenue Fund, the Debt Service Fund, the Junior Lien Obligation Debt Service Fund and the Renewal and Replacement Fund which are held by the Trustee. The Common Debt Service Reserve Sub-Fund is established as a Dedicated Sub-Fund within the Debt Service Fund which is also held by the Trustee. Defined terms not otherwise defined herein have the meanings as set forth in the Indenture. See **APPENDIX E - SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE** hereto.

All Revenues shall be collected by the City and each month, prior to the tenth day of the month, the City shall (i) apply the Revenues to increase the amount then held in the Operation and Maintenance Fund to the Operating Requirement and (ii) promptly deposit all of the remaining Revenues to the credit of the Revenue Fund with the Trustee or in the name of the Trustee with a depositary or depositaries, each fully qualified under the Indenture to receive the same as deposits of money held by the Trustee, designated by the City and approved by the Trustee.

The moneys in the Revenue Fund shall be disbursed and applied by the Trustee as required to make the following deposits and payments on the dates and in the amounts provided:

> On the last business day of the month immediately preceding each January 1 and July 1, the Trustee shall make the following deposits and payments in the manner and order of priority set forth:
>
> FIRST, the Trustee shall first deposit into the Debt Service Fund the amount necessary to increase the amount on deposit therein to an amount sufficient to fund the Deposit Requirements corresponding to that January 1 or July 1, which amount (when added to the amounts then held in the applicable Dedicated Sub-Funds) shall be at least equal to the sum of (i) the aggregate Senior Lien Debt Service to be paid during the Applicable Payment Period, plus (ii) the aggregate amount of Principal Installments of and interest on Senior Lien Section 208 Obligations to be paid during the Applicable Payment Period, plus (iii) the amount, if any, required to cause the amount on deposit in the Common Debt Service Reserve Sub-Fund to be equal to the amount then required, plus (iv) the amount, if any, required to cause the amount on deposit in each debt service reserve account (other than the Common Debt Service Reserve Sub-Fund) established for any Senior Lien Obligation to be equal to the amount then required to be held in such account as provided in the Supplemental Indenture or the instrument creating such Senior Lien Obligation.
>
> SECOND, the Trustee shall next deposit into the Junior Lien Obligation Debt Service Fund an amount, if any, equal to the aggregate amounts required for the next semi-annual period by any indenture, agreement or ordinance authorizing the issuance of Junior Lien Obligations to be deposited therein on such date and except as otherwise directed by the City, without priority, one over the other, to any sub-funds or accounts within the Junior Lien Obligation Debt Service Fund, the amount or amounts specified by one or more Certificates of the City filed with the Trustee.

THIRD, the Trustee shall next deposit into the Renewal and Replacement Fund the lesser of (i) the amount equal to twenty-five percent (25%) of the then current System Reserve Requirement and (ii) the amount, if any, required to increase the amount in the Renewal and Replacement Fund to the then current System Reserve Requirement.

FOURTH, at the direction of the City expressed in a Certificate of the City filed with the Trustee, the Trustee shall next pay to each Swap Provider under a Qualified Senior Lien Swap Agreement, the amount specified in such Certificate to be paid in respect of a Termination Payment payable to such Swap Provider.

FIFTH, the Trustee shall next transfer to the City for deposit into the System General Fund any amount remaining in the Revenue Fund unless the City shall have filed with the Trustee a Certificate specifying a lesser amount, in which case the amount specified by the City in the Certificate shall be the amount to be transferred to the City at such time for deposit into the System General Fund.

If at the time deposits are required to be made the moneys held in the Revenue Fund are insufficient to make any required deposit, the deposit shall be made up on the next applicable deposit date after required deposits into all other Funds enjoying a higher priority shall have been made in full.

Amounts on deposit in the Debt Service Fund, the Junior Lien Obligation Debt Service Fund and the Renewal and Replacement Fund in excess of the amount required hereunder or under any Supplemental Indenture or under any indenture, agreement or ordinance authorizing the issuance of Junior Lien Obligations to be on deposit in such Fund at the end of such Fiscal Year shall be transferred to the Revenue Fund.

THE BONDS

General

The Bonds will bear interest at the rates per annum and mature in the amounts and on the dates set forth on the inside cover page of this Official Statement. Principal of and interest on the Bonds will be paid as described in **APPENDIX C – BOOK-ENTRY ONLY SYSTEM** hereto. The Bonds are issuable only as fully registered bonds in denominations of $5,000 and any integral multiples thereof. The Bonds will bear interest (based on a 360-day year of twelve 30-day months) from their date and will be payable semiannually on January 1 and July 1 of each year, commencing July 1, 2026. The Bonds, as initially issued, will be dated as of the date of delivery.

The principal of the Bonds shall be payable in lawful money of the United States of America upon presentation and surrender thereof at the corporate trust office of U.S. Bank Trust Company, National Association, Chicago, Illinois, which has been appointed as Trustee under the Master Trust Indenture and as the Paying Agent for the Bonds. Interest on the Bonds shall be payable on each interest payment date to the registered owners of record thereof appearing on the registration books maintained by the City for such purpose at the corporate trust office of the Trustee, as of the close of business on the 15th day of the calendar month next preceding the applicable interest payment date. The Bonds will be issued initially in book-entry only form. See **APPENDIX C - BOOK-ENTRY ONLY SYSTEM** hereto.

Redemption Prior to Maturity

Optional Redemption. The Bonds maturing on or after January 1, 2036 are subject to redemption, at the option of the City, on or after January 1, 2035, as a whole or in part at any time and if in part, in such principal amounts and from such maturities as the City shall determine and by lot for Bonds of the same maturity, at a redemption price equal to the principal amount thereof to be redeemed plus accrued interest to the date of redemption.

Mandatory Sinking Fund Redemption. The Bonds maturing on January 1, 2050 are subject to mandatory redemption, in part and by lot at a redemption price of par on January 1 of the years and in the principal amounts as follows:

Bonds due January 1, 2050

Year	Principal Amount
2046	$7,615,000
2047	8,020,000
2048	8,440,000
2049	8,885,000
2050 (stated maturity)	9,350,000

The principal amounts of Bonds to be mandatorily redeemed in each year may be reduced through the earlier optional redemption thereof, with any partial optional redemption of such Bonds credited against future mandatory sinking fund payments on the final maturity amount as the City may determine and in the absence of such determination, shall be created against the unsatisfied balance of the applicable sinking fund payment next ensuing. In addition, on or prior to the 60th day preceding any mandatory redemption date the Trustee may, and if directed by the City shall, apply the moneys held from the payment of the applicable sinking fund payment to purchase Bonds required to be retired on such mandatory redemption date. The purchase price paid for such Bond (excluding accrued interest) shall not exceed par. Any such Bonds so purchased shall be cancelled and the principal amount thereof shall be credited against the mandatory redemption required on such next mandatory redemption date.

Partial Redemption. In the event of the redemption of less than all the Bonds of like maturity, the aggregate principal amount thereof to be redeemed shall be $5,000 or an integral multiple thereof and the Trustee shall select by lot the Bonds to be redeemed. Whenever the Bonds are held in book-entry form, the Bonds to be redeemed shall be selected by DTC in accordance with its applicable procedures.

Notice of Redemption. Notice of the redemption of Bonds or any portion thereof identifying the Bonds or portions thereof to be redeemed, specifying the redemption date, the Redemption Price, the places and dates of payment, that from the redemption date interest will cease to accrue, and, in the case of any optional redemption, whether the redemption is conditioned upon sufficient moneys being available on the redemption date (or any other condition), shall be given by the Trustee by mailing a copy of such redemption notice not less than 30 nor more than 60 days prior to the date fixed for redemption, to the Registered Owner of each Bond to be redeemed in whole or in part at the address shown on the registration books. Redemption notices

shall be sent by first class mail, except that notices to Registered Owners of at least $1,000,000 of Bonds shall be sent by registered mail. Failure to mail any such notice to the Registered Owner of any Bond or any defect therein shall not affect the validity of the proceedings for such redemption of Bonds. Whenever the Bonds are held in book-entry form, redemption notices will be delivered in accordance with the applicable procedures of the DTC, which may include electronic delivery. Any notice given shall be conclusively presumed to have been duly given, whether or not the Registered Owner of any Bond receives the notice.

PLAN OF FINANCE

The City is issuing the Bonds for the purpose of (i) financing a portion of the costs of the Water Transmission System Project (ii) making a deposit to the Common Debt Service Reserve Sub-Fund and (iii) paying costs of issuance of the Bonds.

THE WATER TRANSMISSION SYSTEM PROJECT

The City's current primary water source is a deep sandstone aquifer, which, due to unique geological features, allows for limited natural recharge of the aquifer through the ground. Furthermore, migration of water to the City is impeded by the Sandwich Fault. For many years, water withdrawals have exceeded the sustainable yield of the aquifer. In 2015, the Illinois State Water Survey ("ISWS") published results of groundwater modeling indicating desaturation of the aquifer providing water to the City could occur within 15-30 years. Further groundwater modeling completed by ISWS in 2018 and updated in 2020 found that at current usage rates, the City's existing water source may not meet maximum day demands by 2030. In 2020, the ISWS published a report showing increased concentrations of chlorides and total dissolved solids in wells from the shallow aquifer. Also in 2020, sampling by the IEPA of water from shallow aquifer wells have detectible levels of PFAS at or above levels now regulated by the USEPA.

Water Transmission System Project

To address this impending water shortage, the City embarked on a multi-year study to explore alternative water sources. From August 2018 to January 2019, the City evaluated 14 water source alternatives, assessing each option's quality and quantity of water that would be available. At the conclusion of this portion of the study, five of the alternatives that met the water quality and quantity criteria were further evaluated across additional metrics such as governance, risk, operation and maintenance, and cost. Based on this evaluation, in January 2020, the Joliet City Council selected Lake Michigan as the alternative water source for the City and directed staff to further evaluate two alternatives: (1) purchasing treated Lake Michigan water from the City of Chicago and (2) drawing raw Lake Michigan water via an intake in Indiana and transmitting it to Joliet for treatment. In January 2021, the City formally selected the City of Chicago as its preferred partner for an alternative water source and entered into a Preliminary Agreement with respect to an Anticipated Water Supply Agreement with the City of Chicago. Later in 2021, the City and other municipalities in the region adopted resolutions declaring their intent to negotiate creation of a new water commission to provide Lake Michigan water.

The City has completed preliminary engineering design of the Water Transmission System Project and is currently in the final engineering design phase. Construction began in 2025 and will run through 2030, at which point the City will begin providing Lake Michigan water to its customers.

The cost of purchased water includes various rate caps and is based on a cost-of-service methodology that will allow for the City to only pay for facilities and their associated operating and maintenance costs which are required to supply water to the City.

The City's expected benefits from the Water Transmission System Project include:

- High quality water source from Lake Michigan that will eliminate the need for water softeners and purchase of bottled water by City residents.
- Collaboration with the City of Chicago to provide finished water to the City and the broader region via an established water supply that has provided water to millions of customers in northeastern Illinois for over 100 years.

- Sustainable water quantity to serve the City and its regional partners presently and in the future.
- Ability to complete improvements and bring new water source online by 2030.
- A guaranteed fair and equitable purchased water cost based on an established American Water Works Association cost of service methodology for which the City only pays for the cost to construct, operate and maintain facilities used to provide water to the City.
- Opportunity to have input on City of Chicago water service to the City and rate setting via an Advisory Council established by Chicago consisting of representatives of its wholesale customers.

Chicago Water Supply Agreement

On May 1, 2023, the City finalized a 100-year Water Supply Agreement with the City of Chicago ("Chicago") to purchase treated Lake Michigan water beginning in 2030 ("Chicago Water Supply Agreement"). Pursuant to this Agreement, Chicago has agreed to provide a supply of treated Lake Michigan Water through December 31, 2123 in an amount up to 105 million gallons per day. This quantity was negotiated to be sufficient to provide the estimated demand for water required by the member municipalities of the Grand Prairie Water Commission (described in more detail below under the heading "Grand Prairie Water Commission") at their anticipated full community buildout.

Lake Michigan Water treated by the City of Chicago is sold by Chicago to more than 120 wholesale customers and serves more than 5.3 million customers in the metropolitan Chicago region. Chicago treats Lake Michigan Water through two water filtration plants. Water provided under the Chicago Water Supply Agreement will be treated at the Eugene Sawyer Water Purification Plant. When delivery of water begins under the Chicago Water Supply Agreement, the volume provided to the City will make the City one of Chicago’s five largest wholesale water customers.

The Chicago Water Supply Agreement represents a change in Chicago’s method of charging for wholesale water supply from its flat rate system. This Agreement establishes water rates through a cost-of-service methodology that charges customers based on their proportionate share of the cost of providing water service. The Chicago Water Supply Agreement provides substantial detail about the elements of the Chicago water system that are included in the cost-of-service methodology, and specifically excludes costs attributable to items such as replacement of lead service lines for Chicago retail customers, installation of new water meters for Chicago retail customers, and various other costs not associated with the provision of water service to wholesale customers.

As part of the establishment of the Commission, the City assigned the Chicago Water Supply Agreement with the City of Chicago to the Commission. The assignment to the Commission was completed on August 13, 2025.

Grand Prairie Water Commission

The City is leading efforts to develop and design the Water Transmission System Project. These efforts have included working with multiple nearby municipalities to form a regional water commission. In June 2024, six municipalities (Village of Channahon, City of Crest Hill, City of Joliet, Village of Minooka, Village of Romeoville and Village of Shorewood) each passed an ordinance and entered into an intergovernmental agreement to establish a regional water commission known as the Grand Prairie Water Commission (the "Commission"). The creation of the Commission was enabled by the passage of legislation by the State of Illinois, which was signed into law by Governor Pritzker on December 16, 2021 as 65 Illinois Compiled Statutes 5/11-135.5-1 et seq., and amended by Public Act 102-1134, effective February 1, 2023. This legislation establishes the Regional Water Commissions Act, which allows municipalities to form a regional commission to acquire a common source of water supply and build, own, and operate a water system. To be a part of a regional water commission, municipalities must include at least one municipality with at least 140,000 inhabitants that is located in Cook, Kane, Kendall, Lake, McHenry, or Will counties. The City meets this population threshold and location requirement. The Commission is an independent governmental entity that is separate from each member and was formed as of June 28, 2024.

As part of the establishment of the Commission, two other key agreements were approved: the six municipalities joining the Commission approved a master Water Supply Agreement among the six municipalities and the Commission dated July 2, 2024 ("Commission Water Supply Agreement"), and the Commission and the City entered into an Intergovernmental Agreement for Program Management dated July 2, 2024 ("Program Management Agreement").

The Commission will construct, own and maintain all of the common transmission mains and water facilities upstream of each member community metering point. The construction portion of the Water Transmission System Project that is being funded by the Commission is expected to cost approximately $1.188 billion. Future borrowings for the construction portion of the Water Transmission System Project are expected to be undertaken by the Commission. The Commission is in the process of finalizing its Master Indenture that is expected to secure future indebtedness incurred by the Commission. The Commission is currently in negotiations with the USEPA on the terms of an initial WIFIA Loan that will finance a portion of its costs associated with the Water Transmission System Project. The Commission expects to also enter into IEPA Loans in the future, in addition to issuing Commission Revenue Bonds. The Commission issued $51,200,000 Senior Lien Water Revenue Bonds, Series 2025, which is expected to close on November 13, 2025.

Program Management Agreement

The Commission and the City have entered into the Program Management Agreement, pursuant to which the City will provide both Program Management Services and Commission Management Services for the Commission. Program Management Services includes managing both the design and construction of the Water Transmission System Project that will be constructed, owned and maintained by the Commission. Commission Management Services include services that would typically be performed by Commission employees. However, as of the date of issuance of the Bonds, the Commission has no employees.

The Program Management Agreement establishes a fixed Management Services fee to be paid by the Commission to the City. This fee will be included as part of the City's Advanced Development Costs and Advanced Construction Costs, as discussed in the section on "Commission Water Supply Agreement" below.

Commission Water Supply Agreement

The Commission Water Supply Agreement provides that the Commission is obligated to sell Lake Michigan Water to the members and each member is obligated to purchase all water necessary to meet its full water requirements. Upon assignment of the Chicago Water Supply Agreement to the Commission (discussed under "Chicago Water Supply Agreement" above), the Commission will have the necessary water supply to serve the members. Each member has obtained a Lake Michigan water allocation permit from the State of Illinois pursuant to which the member has the right to obtain Lake Michigan water, and the members are required to maintain in effect a permit for a sufficient allocation of Lake Michigan water to meet its requested amount of water. Each member has declared the quantity of its anticipated water demand through the year 2050 and an estimated water demand for the member at its full community buildout.

Commission members are required to make payments, on a "take or pay" basis, under the Commission Water Supply Agreement based on formulas provided for various categories of costs, including purchased water costs (including costs paid to Chicago), capital and debt service costs (including costs of financing), operation and maintenance costs, reserve maintenance costs, general administrative costs, and default costs (if any). Payments to the Commission from the members, including payments for Commission debt service, are operation and maintenance expenses of the member's municipal system and are not a debt of any member, and are to be paid to the Commission prior to any payment on the Bonds. Therefore, the City will be required to make these payments to the Commission prior to making payments on the Bonds.

The City has advanced and incurred costs in connection with development of an alternative water source program, the design and development of the Water System Transmission Project and the development of the Commission for the period commencing in February 2021 and will continue to advance and incur these costs ("Advanced Development Costs") as well as costs for pre-construction and construction services in connection with the Water System Transmission Project ("Advanced Construction Costs"). The Commission Water Supply Agreement provides that the City shall receive a credit toward amounts it will owe for its share of capital costs, debt service and costs of financing in the amount of the Advanced Development Costs and Advanced Construction Costs that it incurs. The Bonds are solely an obligation of the City payable from the Revenues as defined in the Master Indenture, and the City will continue to borrow for the Advanced Development Costs and Advanced Construction Costs pursuant to the Commission Water Supply Agreement.

The City's allocation of Commission capital costs, debt service and costs of financing is based on the City's declared share of maximum day demand for the Commission system as of 2050, which is approximately 58%. The City will receive a credit toward its future share of Commission capital costs, debt service and costs of financing for the Advanced Development Costs and Advanced Construction Costs, which is anticipated to result in the City's adjusted share of the Commission capital costs, debt service and costs of financing being approximately 49%.

Each member will construct, own, operate and maintain its own watermains and water facilities downstream of its metering point(s) at the point of connection with Commission transmissions mains.

Water Main Replacement Project

The City is currently engaged in a Water Main Replacement Project aimed at reducing leakage throughout the System prior to the date on which the City would begin to purchase Lake Michigan Water as required by the City's Lake Michigan water allocation permit. This includes the replacement of all water mains constructed prior to the 1970s. The total cost of the Water Main Replacement Project is estimated at $623 million. Proceeds of the Bonds are not anticipated to fund any portion of the costs of the Water Main Replacement Project. However, the City does intend to use a variety of sources of funding for future costs related to the Water Main Replacement Project including Revenue Bonds.

Estimated Project Costs and Funding Sources – The City

The City currently expects to use a variety of funding sources for the financing of both the Water Transmission System Project and the Water Main Replacement Project. This may include the use of Senior Lien Obligations or Junior Lien Obligations including Revenue Bonds, Illinois Environmental Protection Act ("IEPA") Loans and WIFIA Loans.

Estimated Sources of Funding for the City's Portion of Project Costs[(1)]

Project Component	WIFIA Loans	IEPA Loans[(2)]	Revenue Bonds[(3)]	City Reserves and Other Sources[(4)]	Total
Water Transmission System Project	$174,391,000	$0	$242,462,787	$0	$416,853,787
Water Main Replacement Project	139,999,913	385,258,360	98,102,600	0	623,360,873
Other Capital Improvements	0	12,541,603	104,800,000	186,508,080	303,849,683
Total	$314,390,913	$397,799,963	$445,365,387	$186,508,080	$1,344,064,343

(1) Preliminary, subject to change.

(2) As of the Date of Closing on the Bonds, the City has been awarded $265,258,360 in IEPA Loans for the Water Main Replacement Project and $12,541,603 in IEPA Loans for Other Capital Improvements, which have either closed or are in the process of closing. The City is assuming award of an additional $120,000,000 of IEPA Loans for the Water Main Replacement Project through 2030.

(3) Includes the proceeds of the Bonds.

(4) Includes grant funding and annual pay-go funding from City.

Estimated Project Costs and Funding Sources – The Commission

The Commission currently expects to use a variety of funding sources for the financing of its costs related to the Project. This may include the use of Commission Senior Lien Obligations, including Commission Revenue Bonds and WIFIA Loans, or Commission Junior Lien Obligations including IEPA Loans.

Estimated Sources of Funding for the Commission's Project Costs[1]

Project Component	WIFIA Loans	IEPA Loans	Revenue Bonds	Other Sources[2]	Total
Water Transmission System Project	$609,885,000	$120,000,000	$428,188,821	$30,800,000	$1,188,873,821

[1] Preliminary, subject to change.

[2] Includes member contributions, grant funding, and annual pay-go funding. In April of 2025, the Village of Shorewood made a $20,000,000 capital contribution to the Commission, which is applied to its share of capital costs and debt service under the Commission Water Supply Agreement.

Impact on Water and Sewer Rates

The City expects to enact future increases in water and sewer rates in order to ensure timely payment of principal and interest on any Senior Lien Obligations, including WIFIA Loans, and Junior Lien Obligations, including IEPA Loans, issued to fund the Project. These increases are subject to City Council approval and are expected to be considered in three-year increments by City Council. The City will be responsible for setting rates in a manner that will ensure it will make timely payments on its own Water System indebtedness, as well as satisfy its obligations to make payments to the Commission for the purchase of its share of treated water. The purchase of treated water from the Commission will be an Operating Expense of the City's Water System. The City has agreed to purchase a minimum volume of water from the Commission as part of its Water Supply Agreement.

ESTIMATED SOURCES AND USES OF PROCEEDS

The following table sets forth the estimated sources and uses of funds with respect to the issuance of the Bonds:

Sources:	
Principal Amount of Bonds	$109,835,000.00
Reoffering Premium	8,778,211.15
Total Sources	$118,613,211.15
Uses:	
Deposit to Project Account	$112,220,000.00
Deposit to Common Debt Service Reserve Sub-Fund	5,500,000.00
Costs of Issuance, including Underwriters' Discount[1]	893,211.15
Total Uses	$118,613,211.15

[1] Includes municipal bond insurance premium and WIFIA Loan closing costs.

SECURITY FOR THE BONDS

The Bonds shall be limited obligations of the City payable from the Revenues (as defined in the Master Indenture) of the System and certain other moneys and securities held by the Trustee under the Master Indenture and the Second Supplemental Indenture. The Bonds shall not constitute an indebtedness or a loan of the credit of the City within the meaning of any constitutional or statutory limitation and neither the full faith and credit nor the taxing power of the City is pledged to the payment of the principal of or the interest on the Bonds.

Pursuant to the Master Indenture the Bonds shall be payable from, and secured by a pledge of, lien on and security interest in the Trust Estate consisting of (i) the Revenues, (ii) amounts on deposit in the Funds, Accounts and Dedicated Sub-Funds established under the Master Indenture and the Second Supplemental Indenture creating the Bonds and (iii) all other moneys held from time to time under the Master Indenture and the Second Supplemental Indenture for the payment of the Bonds. The WIFIA Loans and additional Bonds are also Senior Lien Obligations.

Please see **APPENDIX E – SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE** for more detail on the sub-sections below.

Common Debt Service Reserve Sub-Fund

Furthermore, the Bonds will be secured by the Common Debt Service Reserve Sub-Fund. The Common Debt Service Reserve Sub-Fund will be funded at the Reserve Requirement, which is equal to Maximum Annual Debt Service for all outstanding debt service at the time of issuance of any new Senior Lien indebtedness. This includes both the Revenue Bonds and the WIFIA Loans. The Reserve Requirement may be satisfied with (i) one or more Qualified Credit Instruments, (ii) Qualified Investments, or (iii) a combination thereof.

The moneys in the Common Debt Service Reserve Sub-Fund are held for the benefit of all Common Reserve Bonds and are pledged and assigned for that purpose. On the date of initial issuance of any Series of Senior Lien Obligations intended to be Common Reserve Bonds, the City shall provide the Trustee a Certificate to that effect and setting forth the amount of the deposit to be made from proceeds of such Series to fund the Reserve Requirement. The City will determine at the time of issuance of any future Series of Senior Lien Obligations if they will be designated as Common Reserve Bonds.

Rate and Coverage Covenant

Pursuant to the Indenture, the City covenants that it will fix and establish, and revise from time to time whenever necessary, the Service Charges for the use and operation of the System and for services rendered by the City in the operation of the System in order that Revenues in each Fiscal Year, together with Other Available Moneys deposited with the Trustee with respect to that Fiscal Year will be at least sufficient: (i) to provide for the payment of Operating Expenses for the Fiscal Year; and (ii) to provide for the greater of (A) the sum of (1) the amounts needed to make the deposits (exclusive of deposits to the System General Fund) required to be made pursuant to the Indenture and all other ordinances, indentures and agreements pursuant to which all Outstanding Senior Lien Obligations or other outstanding System Obligations are issued and secured, and (2) any additional amounts needed to provide for any deficits resulting from failure

to receive any Service Charges and to pay and discharge all charges or liens payable out of Revenues when due and enforceable, and (B) for each Fiscal Year, one and fifteen-hundredths times Aggregate Debt Service for the Applicable Bond Year, such Aggregate Debt Service to be reduced by any proceeds of System Obligations held by the Trustee for disbursement during that Bond Year to pay principal of and interest of Senior Lien Obligations. If during any Fiscal Year, Revenues and Other Available Moneys to be deposited with the Trustee are estimated to produce less than the amount required, the City shall revise its schedule of Service Charges or alter its methods of operation or take other action in such manner as is necessary to produce the amount so required in such Fiscal Year.

Additional Bonds Test Under the Master Indenture

Prior to the issuance of any Senior Lien Obligations, the City will receive either (A) a Certificate of an Independent Accountant or a Certificate of the City, in either case stating that the sum of Net Revenues and Other Available Moneys in the most recent completed Fiscal Year ending within the last 24 months for which audited financial statements have been prepared was not less than one hundred fifteen percent (115%) of Maximum Annual Debt Service as of the time immediately after the issuance of the Series of Senior Lien Obligations proposed to be issued or (B) a Certificate of the Independent System Consultant (1) projecting the sum of Net Revenues and Other Available Moneys for each of the five Fiscal Years next following the date of issuance of the Series of Senior Lien Obligations proposed to be issued; (2) setting forth the Maximum Annual Debt Service as of the time immediately following the issuance of such Series and (3) determining that the sum of such Net Revenues and Other Available Moneys for each of such five Fiscal Years will not be less than one hundred fifteen percent (115%) of such Maximum Annual Debt Service.

A Certificate representing compliance with part (A) of the Additional Bonds Test in the paragraph above is included in **APPENDIX F - COVERAGE REPORT OF RATE CONSULTANT**, the form of which includes debt service of the Bonds and the estimated repayment schedule for the two WIFIA Loans that were approved by City Council on March 15, 2022 and the WIFIA Loan approved by the City Council on August 19, 2025. The Master Trust Indenture allows for Net Revenues and Other Available Moneys of the most recent completed Fiscal Year for use in the Certificate to be adjusted to account for any adjustments to Service Charges that have been approved by the City Council. The Certificate incorporates adjustments to Fiscal Year 2024 Net Revenues Available for Debt Service by applying increases to Service Charges that have previously been approved by City Council for 2026 and 2027.

THE WATERWORKS AND SEWERAGE SYSTEM

The System of the City is comprised of the waterworks and sanitary sewerage utilities described below.

Water System

The City's current water supply is obtained from 21 deep wells and five shallow wells. Water is pumped from the ground, treated at the City's 11 water treatment plants and chlorinated before being pumped either into storage or to the distribution system. A blended polyphosphate is

also added as a corrosion inhibitor. System storage includes 12 million gallons of ground reservoirs and 4.5 million gallons of elevated storage. The existing water distribution system consists of 679 miles of water main including 9,137 fire hydrants.

Water system demand varies from a minimum of 11.46 million gallons per day ("mgd") to a maximum of 17.86 mgd. Existing capacity of the System is 34.5 mgd which, when combined with storage, is more than adequate for peak requirements.

Sanitary Sewerage System

The City operates three wastewater treatment plants. The Eastside Wastewater Treatment Plant is rated to treat an average flow of 18.2 mgd and a peak flow of 45.5 mgd. The sewers connected to the Eastside Wastewater Treatment Plant are a combination of sanitary sewers and combined sewers. This plant serves the eastern half of the City. In addition, this plant provides regional treatment services for the East Joliet Sanitary District, the Southeast Joliet Sanitary District, and the Village of Rockdale. In 2018, wet weather treatment facilities were constructed at this facility capable of treating 90 mgd of flow from the combined sewer systems reducing the potential for combined sewer overflows to the Des Plaines River as required by the City's approved Long Term Control Plan. In 2020, the facility was upgraded to provide for the removal of phosphorus. This plant treated an average flow of 17.09 mgd in 2024.

The Westside Wastewater Treatment Plant was placed in service in 1976. Plant upgrades were completed in 2003 and 2019. After the upgrades, the plant is rated to treat 14 mgd average flow for the removal of BOD (Biochemical Oxygen Demand), suspended solids, ammonia nitrogen and phosphorus. The maximum flow rate for the plant is 28 mgd. The average flow for the plant in 2024 was 10.28 mgd. During the 2003 upgrades, a stormwater pumping station and stormwater storage basin were constructed to address large wet weather flows in the collection system tributary to the Joliet Westside Wastewater Treatment Plant. The stormwater pumping station delivers a portion of the flow received at the treatment plant into the stormwater basin. This flow is stored until the influent decreases below 28 mgd. At that time, the flows are returned to the plant for treatment. The entire area serviced by the Westside Wastewater Treatment Plant is serviced by separate sanitary sewers. The Westside Wastewater Treatment Plant provides treatment for two-thirds of the western half of the City. In addition, this plant provides regional treatment services for the Sunnyland Sanitary District, the eastern portion of the Village of Channahon, and the Village of Shorewood.

The Aux Sable Creek Basin Wastewater Treatment Plant was placed into service in 2006. A plant expansion was completed in 2019. The plant is serviced by separate sanitary sewers and the plant provides treatment for the western one-third of the City. The plant is rated to treat 7.7 mgd average day flow and a peak flow of 17.3 mgd for the removal of BOD, suspended solids, ammonia nitrogen and phosphorus. The average flow for the plant in 2024 was 4.68 mgd.

The wastewater collection system consists of 602 miles of combined and separate sanitary sewers.

SYSTEM DATA

User Data

The figures in the following table represent water and sewer usage for recent years.

Water and Sewer Usage[1]

	Water Sales (100 Cubic Feet)				Sewer Treated (100 Cubic Feet)				
Calendar Year	Residential Users	Governmental Users	Business Users	Total	Residential Users	Governmental Users	Wholesale Users	Business Users	Total
2020	3,965,754	419,969	1,235,212	5,620,935	3,958,365	1,193,848	-	1,266,115	6,418,328
2021	3,826,596	282,736	1,303,950	5,413,281	3,813,339	2,561,261	909,415	1,221,275	6,200,154
2022	3,486,831	215,080	1,245,082	4,946,993	3,474,388	186,985	948,983	1,193,524	5,803,880
2023	3,501,935	208,284	1,217,912	4,928,131	3,491,050	183,555	929,170	1,163,423	5,767,198
2024[2]	3,491,450	172,064	1,230,227	4,893,741	3,479,071	150,470	914,730	1,174,216	5,718,487

[1] Source: The City.
[2] 2024 figures are unaudited.

Ten Largest Users

The largest customers of the System are a diverse mix of service, industrial and government customers.

Ten Largest System Users[1]
(As of December 31, 2024)

Name	Product/Service	Annual Usage Cubic Feet	Amount Billed
Village of Shorewood	Municipal Government	58,812,900	$2,798,470
PQ Corp.	Chemical Product Producer	44,079,461	1,990,399
Ecolab, Inc.	Industrial Detergents	23,972,789	1,554,300
St. Joseph Medical Center	Healthcare	18,841,017	1,178,760
Village of Rockdale[2]	Municipal Government	37,713,664	1,068,061
Stepan Company	Chemical Product Producer	7,964,594	747,716
Larkin Village Apartments	Apartments	9,172,354	517,085
Village of Channahon	Municipal Government	14,679,696	501,652
Riverwalk Homes	Apartments	6,801,460	425,845
City of Joliet	Municipal Government	4,772,142	355,139
Total Ten Largest System Users		226,810,077	$11,137,428
Total System Users		1,220,698,983	$74,097,504
Ten Largest as Percent of Total System Users		20.24%	15.03%

[1] Source: The City.
[2] The City regularly provides sewage transmission and treatment to the Village of Rockdale. The City also has an interim water supply agreement to provide supplemental potable water to the Village until the Village expands its well water capacity. Completion of that expansion is anticipated to be completed in early 2028. In 2024, 21 percent of the amount billed to the Village was for water supply and 79 percent for sewage treatment.

Water and Sewer Rates

The City Council has full authority to determine the water and sewage rates of the System (subject to the rate covenant of the Indenture) without application to any regulatory authority. User rates listed below are historical rates from 2023 to present for the System.

Customers for both water and sewer service are billed monthly on one combined bill.

The yearly cost for water and sewer service to an "average" homeowner using 5,000 gallons of water per month is approximately $100.16. This includes water, sewer and sewer separation fee. The City's charges for such services are comparable to similar charges of area communities.

Water and Sewer Rates[1]

Water Monthly Meter Charge (5/8" Meter)[2]

Customer Class	11/1/2023	11/1/2024	11/1/2025	11/1/2026
All Classes excluding Seniors (Inside City)	$9.00	$10.55	$12.37	$14.50
Seniors (Inside City)	6.75	7.91	9.27	10.87
All Classes excluding Seniors (Outside City)[3]	10.35	12.14	14.23	16.68

Water Volume Charge (per HCF)

Customer Class	11/1/2023	11/1/2024	11/1/2025	11/1/2026
Residential (Inside City)				
Tier 1 - First 3 HCF	$2.35	$2.76	$3.24	$3.80
Tier 2 - Next 4 HCF	$7.84	$9.19	$10.78	$12.64
Tier 3 - Over 7 HCF	$8.20	$9.61	$11.27	$13.21
Residential Senior (Inside City)				
Tier 1 - First 3 HCF	$1.76	$2.06	$2.42	$2.84
Tier 2 - Next 4 HCF	$5.88	$6.89	$8.08	$9.47
Tier 3 - Over 7 HCF	$6.15	$7.21	$8.45	$9.91
Residential (Outside City)[3]				
Tier 1 - First 3 HCF	$2.70	$3.17	$3.72	$4.36
Tier 2 - Next 4 HCF	$9.02	$10.58	$12.41	$14.55
Tier 3 - Over 7 HCF	$9.43	$11.06	$12.97	$15.21
Multi-Family (Inside City)				
Tier 1 - First 3 HCF	$2.35	$2.76	$3.24	$3.80
Tier 2 - Over 3 HCF	$7.84	$9.19	$10.78	$12.64
Multi-Family Senior (Inside City)				
Tier 1 - First 3 HCF	$1.76	$2.06	$2.42	$2.84
Tier 2 - Over 3 HCF	$5.88	$6.89	$8.08	$9.47
Multi-Family (Outside City)[3]				
Tier 1 - First 3 HCF	$2.70	$3.17	$3.72	$4.36
Tier 2 - Over 3 HCF	$9.02	$10.58	$12.41	$14.55
Commercial/Industrial/Governmental				
Inside City (All HCF)	$7.84	9.19	$10.78	$12.64
Outside City (All HCF)[3]	$9.02	$10.58	$12.41	$14.55

Sewer Monthly Charge

Customer Class	11/1/2023	11/1/2024	11/1/2025	11/1/2026
All Classes excluding Seniors (Inside City)	$5.95	$6.37	$6.81	$7.28
Seniors (Inside City)	$4.46	$4.77	$5.10	$5.45
All Classes excluding Seniors (Outside City)[3]	$6.84	$7.32	$7.83	$8.37

Sewer Volume Charge (per HCF)

Customer Class	11/1/2023	11/1/2024	11/1/2025	11/1/2026
All Classes excluding Seniors (Inside City)	$4.53	$4.85	$5.18	$5.54
Seniors (Inside City)	$3.40	$3.64	$3.89	$4.16
All Classes excluding Seniors (Outside City)[3]	$5.21	$5.57	$5.95	$6.36

Unmeasured Sewer Flow (per month charge)

Customer Class	11/1/2023	11/1/2024	11/1/2025	11/1/2026
All Classes excluding Seniors (Inside City)	$63.42	$67.90	$72.52	$77.56
Seniors (Inside City)	$47.60	$50.96	$54.46	$58.24
All Classes excluding Seniors (Outside City)[3]	$72.94	$77.98	$83.30	$89.04

Sewer Separation Fee (per month charge)[4]

Customer Class	11/1/2023	11/1/2024	11/1/2025	11/1/2026
Residential	$8.24	$8.24	$8.24	$8.24

Wholesale Water and Sewer Rates (per HCF)

Utility Service	1/1/2024	11/1/2024	11/1/2025	11/1/2026
Water	$8.23	$9.65	$11.32	$13.27
Sewer	$4.76	$5.09	$5.44	$5.82

[1] Source: The City. Rates effective as of November 1, 2023.
[2] Reflects charges for 5/8" meter. Larger meters are charged higher fees.
[3] Unincorporated areas.
[4] Residential and Multi-Family customer classes are charged a fixed per month fee. Non-Residential customer classes are charged a variable fee based on usage.

Billing and Collecting

Bills are sent out monthly and are due and payable within 15 days and considered to be delinquent thereafter. An interest charge of 1.5 percent per month of the outstanding balance is charged after 15 days. If payment is not received within 60 days, the customer is notified that service will be discontinued within an additional 15 days.

Unpaid charges become a lien on the real estate for which service has been provided within 90 days.

Connections Required

The Joliet Municipal Code requires connection to the water distribution and sanitary sewer system when mains are accessible. All newly annexed properties within a certain distance of a public water main must connect to the City System upon annexation. Properties already in the City with operating wells are allowed to continue using those wells. All premises connected to the City water supply must have water meters.

Connections Required[1]

	Connections			
Year	Water and Sewer	Water Only	Sewer Only	Total
2020	50,139	570	472	51,181
2021	53,225	575	394	54,194
2022	53,193	570	398	54,161
2023	53,006	578	386	53,970
2024	53,433	288	364	54,085

[1] Source: The City

SYSTEM DEBT INFORMATION

After issuance of the Bonds, the City will have $214,819,933 of Senior Lien Obligations outstanding. The City also has $243,599,392 of IEPA Loans outstanding at the time of issuance and $52,331,184 of IEPA Loans which remain available to draw down which share a junior lien of the Revenues of the System. The City entered into the WIFIA Loans in the amount of $308,454,947 on April 19, 2022 that are also Senior Lien Obligations. As of the issuance of the Bonds, $102,599,933 has been drawn on the WIFIA Loans. The City is also working with the USEPA on the issuance of a third WIFIA Loan in the amount of $86,926,000 for the funding of a portion of the Water Transmission System Project. The City has also been awarded $139,929,542 from the Illinois EPA in an additional IEPA Loan for the Water Main Replacement Project.

City of Joliet, Illinois
Waterworks and Sewerage Fund – Historical Debt Service Coverage[(1)]

	Calendar Years Ending December 31				
	2020	2021	2022	2023	2024
Operating Revenue	$59,578,000	$63,872,776	$66,619,881	$73,245,397	$78,679,398
Add Interest Income	208,245	24,795	2,300,169	6,018,982	3,496,762
Sub Total	$59,786,245	$63,897,571	$68,920,050	$79,264,379	$82,176,160
Operating Expense	46,096,778	50,728,792	68,165,988	52,988,727	58,183,999
Sub Total	$13,689,467	$13,168,779	$754,062	$26,275,652	$23,992,161
Add Depreciation	14,210,429	15,271,071	17,089,679	17,546,075	18,902,810
Net Revenue Available for Debt Service	$27,899,896	$28,439,850	$17,843,741	$43,821,727	$42,894,971
Debt Service Requirements					
Senior Lien Debt Service	$2,127,650	$2,124,000	$2,755,652	$3,908,629[(2)]	$6,536,251[(2)]
Junior Lien Debt Service	9,107,110	10,261,519	11,810,813	12,667,588	13,120,588
Total Debt Service	$11,234,760	$12,385,519	$14,566,465	$16,576,217	$19,956,839
"Debt Service Coverage - Senior Lien Obligations"	13.11x	13.39x	6.48x	11.21x	6.56x
"Debt Service Coverage - Total Obligations"	2.48x	2.30x	1.22x	2.64x	2.15x

(1) Source: The City

(2) The amount due on the City's Bond Anticipation Notes, Series 2022 in 2023 and 2024 is modified according to the Master Indenture of Trust to be amortized over a twenty year period, using the Bond Buyer 25 Revenue Bond Index.

Projected Debt Service Coverage Table
Water and Sewer Revenue Bonds

Calendar Year[1]	Estimated Revenues Available for Debt Service[2]	Senior Lien Revenue Bonds[3]	Senior Lien WIFIA Loan[4]	Total Senior Debt Service	Total Senior Lien Coverage	Expected Junior Lien IEPA Loans[5]	Existing Junior Lien IEPA Loans	Total Senior and Junior Debt Service	Total Senior and Junior Lien Coverage
2025	$42,020,500		$1,209,110	$1,209,110	34.75	$6,404,915	$13,142,956	$20,756,981	2.02
2026	51,450,700	$6,017,339	1,745,857	7,763,196	6.63	9,055,403	13,142,956	29,961,555	1.72
2027	61,610,600	5,597,525	4,091,164	9,688,689	6.36	12,712,149	13,142,956	35,543,794	1.73
2028	60,557,900	9,375,950	7,623,519	16,999,469	3.56	14,062,468	13,142,956	44,204,893	1.37
2029	61,335,800	19,964,863	10,088,129	30,052,991	2.04	15,412,784	13,142,956	58,608,731	1.05
2030	70,657,600	22,156,888	13,786,078	35,942,966	1.97	16,763,102	13,142,956	65,849,024	1.07
2031	82,666,200	21,616,625	13,786,078	35,402,703	2.34	18,113,419	13,142,956	66,659,078	1.24
2032	92,331,400	21,616,625	13,786,078	35,402,703	2.61	18,113,419	13,099,444	66,615,566	1.39
2033	103,061,845	25,856,625	13,786,078	39,642,703	2.60	18,113,419	12,698,384	70,454,506	1.46
2034	114,915,827	25,859,625	13,786,078	39,645,703	2.90	18,113,420	12,340,837	70,099,960	1.64
2035	121,685,051	25,856,875	13,786,078	39,642,953	3.07	18,113,422	12,340,837	70,097,212	1.74
2036	135,407,559	25,863,125	13,786,078	39,649,203	3.42	18,113,420	11,188,110	68,950,733	1.96
2037	148,011,261	32,137,375	13,786,078	45,923,453	3.22	18,113,418	9,563,920	73,600,792	2.01
2038	151,629,112	32,127,000	13,786,078	45,913,078	3.30	18,113,417	8,863,973	72,890,468	2.08
2039	152,239,302	34,811,525	13,786,078	48,597,603	3.13	18,113,419	9,512,368	76,223,390	2.00
2040	155,998,537	34,813,425	13,786,078	48,599,503	3.21	18,113,417	3,820,411	70,533,331	2.21
2041	159,762,412	34,811,725	13,786,078	48,597,803	3.29	18,113,416	2,688,093	69,399,313	2.30
2042	163,577,283	34,815,025	13,786,078	48,601,103	3.37	18,113,420	668,635	67,383,158	2.43
2043	167,422,812	34,811,425	15,586,078	50,397,503	3.32	18,113,420	424,387	68,935,310	2.43
2044	171,315,697	34,819,500	17,132,078	51,951,578	3.30	18,113,420		70,064,998	2.45
2045	175,221,231	34,811,900	17,930,078	52,741,978	3.32	15,186,939		67,928,917	2.58
2046	179,166,507	34,813,438	18,001,078	52,814,516	3.39	15,186,936		68,001,452	2.63
2047	183,153,223	34,813,738	18,066,078	52,879,816	3.46	15,186,933		68,066,749	2.69
2048	187,184,424	34,820,663	18,175,078	52,995,741	3.53	15,186,935		68,182,676	2.75
2049	190,607,339	34,811,550	18,726,578	53,538,128	3.56	15,186,934		68,725,062	2.77
2050	194,688,346	24,974,675	18,907,078	43,881,753	4.44	15,186,936		59,068,689	3.30
2051	199,586,225	24,973,525	23,527,078	48,500,603	4.12	15,186,937		63,687,540	3.13
2052	204,606,908	24,976,100	24,191,350	49,167,450	4.16	15,186,935		64,354,385	3.18
2053	209,710,626	24,975,825	27,699,830	52,675,655	3.98	15,186,936		67,862,591	3.09
2054	214,937,382	24,971,350	30,971,579	55,942,929	3.84	15,186,937		71,129,867	3.02
2055	220,287,549	24,971,325	30,971,579	55,942,904	3.94	11,708,505		67,651,409	3.26
2056	225,768,268	24,973,950	30,971,579	55,945,529	4.04	9,058,015		65,003,544	3.47
2057	231,342,250	24,052,425	30,971,579	55,024,004	4.20	5,401,269		60,425,273	3.83
2058	237,005,931	24,386,575	30,971,579	55,358,154	4.28	4,050,951		59,409,105	3.99
2059	242,875,369	24,384,925	30,971,579	55,356,504	4.39	2,700,634		58,057,138	4.18
2060	248,411,923	24,385,075	30,971,579	55,356,654	4.49	1,350,317		56,706,971	4.38
2061	254,921,508		51,214,552	51,214,552	4.98			51,214,552	4.98
2062	261,148,152		51,214,552	51,214,552	5.10			51,214,552	5.10
2063	267,562,486		51,214,552	51,214,552	5.22			51,214,552	5.22
2064	274,132,867		51,214,552	51,214,552	5.35			51,214,552	5.35
Total		$929,026,102	$843,578,439	$1,772,604,541		$514,137,735	$189,210,091	$2,475,952,367	

(1) Includes principal and interest payments made on January 1 of the following year. For example, principal and interest payments due on July 1, 2026 are included in Calendar Year 2025.

(2) Includes projected annual increases to Water and Sewer Rates that are subject to City Council approval. City Council typically approves new rates in three-year increments, and is expected to evaluate the next three-year rate increase proposal later in 2027. Water purchases from the City of Chicago are scheduled to begin in 2030, contributing to the reduction in Estimated Revenues Available for Debt Service in 2030.

(3) Includes the Series 2025 Bonds.

(4) Assumes the full amount of the WIFIA Loans are drawn and assumes the current amortization of the WIFIA Loans closed on April 19, 2022. See "WIFIA Re-Amortization" below. Assumes an estimated debt service for the City's third WIFIA Loan which is expected to close in late 2025 or early 2026.

(5) Includes projected repayment for certain IEPA Loans that are currently outstanding but are not yet being repaid by the City and IEPA Loans for the Water Transmission System Project.

WIFIA Re-Amortization

On April 19, 2022, the City closed on two WIFIA Loans for a total available amount of $308,454,947. At closing, an original amortization schedule was established for each WIFIA Loan. The City is working with the USEPA to amend the amortization schedules for each loan in order to better accommodate the upcoming debt service requirements of the City's upcoming borrowings.

Based on the current draws on WIFIA Loans of $102,599,933, at the time of closing of the Bonds, the maximum annual debt service on Senior Lien Obligations is estimated to be $18,775,521. After the expected re-amortization of the WIFIA Loans, the maximum annual debt service on Senior Lien Obligations is estimated to be $18,343,620. The City expects to finalize the re-amortization of the WIFIA Loans in 2026.

SYSTEM FINANCIAL INFORMATION

Basis of Accounting

The financial statements for the Waterworks and Sewerage System reflect the accrual basis method of accounting. Revenues are recognized in the accounting period in which they are earned and become measurable; expenses are recognized when incurred. Utility services provided, but not yet billed, are estimated and recorded as revenue in the period that service is provided.

In recent years, the City has capitalized acquisitions of property and equipment of the Waterworks and Sewerage System. However, the System's property and equipment is not presented in accordance with generally accepted accounting principles in the financial statements because a material portion of the property and equipment recorded in the Waterworks and Sewerage Fund is from an era where inventory records are not readily attainable or comparable.

The following tables are summaries, excerpted from the audited financial statements of the City, copies of which are available upon request. Please see **APPENDIX A - AUDIT REPORT FOR FISCAL YEAR ENDED DECEMBER 31, 2024** for excerpts from the City's 2024 audited financial statements.

No Consent or Updated Information Requested of the Auditor

The tables and excerpts (collectively, the "Excerpted Financial Information") contained in this **"SYSTEM FINANCIAL INFORMATION"** section and in **APPENDIX A** are from the audited financial statements of the City, including the audited financial statements for the fiscal year ended December 31, 2024 (the "2024 Audit"), which was approved by formal action of the City Council. The City has not requested the Auditor to update information contained in the Excerpted Financial Information; nor has the City requested that the Auditor consent to the use of the Excerpted Financial Information in this Official Statement. Other than as expressly set forth in this Official Statement, the financial information contained in the Excerpted Financial Information has not been updated since the date of the 2024 Audit. The inclusion of the Excerpted Financial Information in this Official Statement in and of itself is not intended to demonstrate the fiscal condition of the City since the date of the 2024 Audit. Questions or inquiries relating to financial information of the City since the date of the 2024 Audit should be directed to the City.

Summary Financial Information

The following tables are summaries and do not purport to be the complete audits, copies of which are available upon request. See **APPENDIX A - AUDIT REPORT FOR FISCAL YEAR ENDED DECEMBER 31, 2024** for excerpts of the City's 2024 Audit.

Waterworks and Sewerage Fund
Balance Sheet

	Statement of Net Position December 31				
	2020	**2021**	**2022**	**2023**	**2024**
ASSETS:					
Current Assets:					
Cash	$13,744,665	$443	$443	$443	$6,845,102
Investments	34,920,817	48,440,308	95,050,830	60,588,778	19,778,274
Receivables:					
Accrued Interest	239	153	1,001	125	125
Intergovernmental					69,104,659
Customer Accounts, Net	4,328,179	3,828,676	3,908,272	3,980,795	4,907,347
Estimated Unbilled Usage	4,925,683	5,699,576	5,766,040	5,797,476	6,464,580
Interfund REceivables					1,779
Prepaid Expenses	30,150	30,150	-	-	
Total Current Assets	$57,949,733	$57,999,306	$104,726,586	$70,367,617	$107,101,866
					-
Restricted Assets:					
Cash	$6,293,402	$6,897,093	$16,361,036	$79,093,809	$13,733,643
Escrow Deposits	2,041,325	2,067,000	432,323	216,555	22,464,538
Intergovernmental Receivable	4,283,483	2,800,779	2,175,380	14,668,843	559,801
Total Restricted Assets	$12,618,210	$11,764,872	$18,968,739	$93,979,207	$36,757,982
Noncurrent Assets:					
Capital Assets:					
Land and Land Improvements	$2,456,657	$3,119,977	$3,271,826	$3,272,466	$3,324,138
Waterworks and Sewerage System	369,832,600	397,590,320	465,089,072	467,064,004	462,777,116
Equipment	13,588,998	12,704,984	13,212,680	15,804,378	16,867,463
Construction In Progress	61,459,410	62,608,240	41,348,069	103,561,023	149,352,813
Net Pension Assets	-	222,438	-	-	-
Total Noncurrent Assets	$447,337,665	$476,245,959	$522,921,647	$589,701,871	$632,321,530
DEFERRED OUTFLOWS OF RESOURCES:					
Deferred Amount On Refunding Of Debt	$6,480	$-	$-	$-	$ -
Deferred Outflows of Resources Related to Pensions	24,853,272	20,589,161	9,756,690	6,626,163	3,938,315
Deferred Outflows of Resources Related to OPEB	-	-	19,516,808	18,923,848	12,066,984
Total Assets and Deferred Outflows of Resources	$542,765,360	$566,599,298	$675,890,470	$779,598,706	$792,186,677
LIABILITIES:					
Current Liabilities:					
Vouchers Payable from Unrestricted Assets	$4,475,160	$3,654,908	$6,353,673	$4,463,128	$6,669,663
Accrued Payroll	533,596	484,481	595,566	673,860	741,917
Accrued Compensated Absences - Current	445,472	708,847	844,444	943,252	1,739,245
Bonds Payable - Current Portion	1,955,000	2,010,000	-	-	-
Loans Payable - Current Portion	7,531,013	8,784,861	9,563,888	10,078,199	11,972,369
Internal Payables					135,073
Revenue Bond Anticipation Notes - Current	-	-	-	55,115,000	21,490,000
Unearned Revenue	28,497	32,772	20,569	25,569	27,906
Customer Deposits and Credits	994,649	1,121,845	1,189,129	1,202,692	1,274,744
Other Postemployment Benefits - Current Portion	-	-	1,549,257	1,667,877	1,567,472
Vouchers Payable from Restricted Assets	4,745,918	6,538,005	14,907,012	20,870,404	22,979,380
Accrued Interest Payable	382,626	347,482	3,212,082	4,271,327	1,512,565
Total Current Liabilities	$21,091,931	$23,683,201	$38,235,620	$99,311,308	$70,110,334

	Statement of Net Position December 31				
	2020	**2021**	**2022**	**2023**	**2024**
Noncurrent Liabilities:					
Long Term Debt:					
Accrued Compensated Absences	$445,472	$708,848	$844,444	$943,252	$1,739,243
Other Postemployment Benefits	73,353,706	73,794,998	66,984,312	74,432,457	52,674,322
Net Pension Liability	7,235,472	0	19,705,111	13,931,430	14,317,669
Loans Payable	166,879,874	179,944,129	174,617,268	257,629,451	308,964,277
Revenue Bonds Payable	3,833,755	1,802,149	-	-	-
Revenue Bond Anticipation Notes	-	-	80,668,239	23,075,759	284,968
Total Noncurrent Liabilities	$251,748,279	$256,250,124	$342,819,374	$370,012,349	$377,980,479
Total Liabilities	$272,840,210	$279,933,325	$381,054,994	$469,323,657	$448,090,813
DEFERRED INFLOWS OF RESOURCES:					
Deferred Inflows of Resources Related to Pensions	$6,457,160	$9,935,552	$-	$1,210,810	$774,505
Deferred Inflows of Resources Related to OPEB	2,918,109	7,374,950	24,461,921	18,964,763	31,854,385
Total Deferred Inflows of Resources	$9,375,269	$17,310,502	$24,461,921	$20,175,573	$32,628,890
NET POSITION:					
Invested in Capital Assets, Net	$267,144,503	$283,482,382	$301,381,381	$311,848,505	$289,609,916
Restricted For:					
Capital Projects	691,812	10,564,929	-	16,449,349	-
Bond Debt Service	1,658,699	1,719,518	-	-	20,951,973
Unrestricted	(8,945,133)	(26,411,358)	(31,007,826)	(38,198,378)	905,085
Total Net Position	$260,549,881	$269,355,471	$270,373,555	$290,099,476	$311,466,974
Total Liabilities and Net Position	$542,765,360	$566,599,298	$675,890,470	$779,598,706	$792,186,677

Waterworks and Sewerage Fund
Statement of Revenues, Expenditures, and Changes in Net Position

	Audited Year Ending December 31				
	2020	**2021**	**2022**	**2023**	**2024**
OPERATING REVENUE:					
Charges for Services - Water	$24,172,274	$26,090,174	$29,127,634	$33,536,650	$37,995,395
Charges for Services - Sewer	32,432,682	33,177,173	34,235,812	35,686,867	36,102,109
Charges for Services - Other	163,874	419,155	386,116	563,555	212,789
Tap On/Turn On Fees	2,108,293	2,800,686	2,060,999	2,559,126	2,204,915
Fines and Other	700,877	1,385,588	809,320	899,199	2,164,190
Total Operating Revenue	$59,578,000	$63,872,776	$66,619,881	$73,245,397	$78,679,398
OPERATING EXPENSE:					
Personnel Services	$9,815,473	$10,279,979	$12,321,075	$11,903,087	$13,150,321
Personnel Benefits	4,882,184	5,481,247	5,575,256	5,761,485	6,328,292
Personnel Benefits - Change in Pension and OPEB	2,658,070	5,182,726	13,133,202	1,230,223	525,728
Other Employee Costs	349,438	363,890	320,577	326,385	327,587
Professional Services	1,415,267	1,471,399	3,223,983	1,853,794	2,560,013
Property Services	3,527,513	5,151,958	8,287,003	5,331,137	6,357,703
Other Services	279,129	347,197	395,980	398,561	465,616
Supplies	8,859,919	6,959,834	7,752,564	8,471,071	9,285,134
Depreciation	14,210,429	15,271,071	17,089,679	17,546,075	18,902,810
Other Expenses	99,356	219,491	66,669	166,909	280,795
Total Operating Expense	$46,096,778	$50,728,792	$68,165,988	$52,988,727	$58,183,999
Operating Income	$13,481,222	$13,143,984	$(1,546,107)	$20,256,670	$20,495,399
Nonoperating Revenue (Expense):					
Interest Earnings	$208,245	$24,795	$2,300,169	$6,018,982	$3,496,762
IEPA Loan Forgiveness	-	-	7,234,807	2,306,017	954,825
Grants	750,394	-	-	-	2,753,019
State Reimbursements	952,520	297,010	677,260	-	-
Amortization of Bond Discounts and Premium	21,444	15,126	12,149	2,477,479	1,300,791
Interest Expense	(2,839,234)	(3,267,583)	(6,216,424)	(8,960,109)	(5,027,390)
Total Nonoperating Revenue (Expense)	$(906,631)	$(2,930,652)	$4,007,961	$1,842,369	$3,478,007
Income (Loss) Before Transfers	$12,574,591	$10,213,332	$2,461,854	$22,099,039	$23,973,406
Transfers In (Out):					
Transfers Out	$(1,969,276)	$(1,407,742)	$(1,443,770)	$(2,373,118)	$(1,981,055)
Total Transfers In (Out)	$(1,969,276)	$(1,407,742)	$(1,443,770)	$(2,373,118)	$(1,981,055)
Change In Net Position	$10,605,315	$8,805,590	$1,018,084	$19,725,921	21,992,351
Total Net Position, Beginning of Year	$249,944,566	$260,549,881	$269,355,471	$270,373,555	$289,474,623
Total Net Position, End of Year	$260,549,881	$269,355,471	$270,373,555	$290,099,476	$311,466,974

Waterworks and Sewerage Fund
Budgeted Financial Information

	Budgeted Twelve Months Ending 12/31/2025	Estimated Months Ending 12/31/2025
OPERATING REVENUE:		
Charges for Services - Water	$37,108,816	$44,530,733
Charges for Services - Sewer	36,257,471	39,819,824
Charges for Services - Other	1,034,400	592,818
Tap On/Turn On Fees	2,343,750	3,963,708
Fines and Other	1,600,000	1,265,513
Total Operating Revenue	$78,344,437	$90,172,596
OPERATING EXPENSE:		
Personnel Services	$12,442,351	$11,805,666
Personnel Benefits	3,225,188	3,159,037
Purchased Professional Services	4,375,600	2,347,103
Other Purchased Services	497,950	419,934
Supplies	10,906,000	9,224,030
Repairs and Rehabilitation	7,740,880	5,121,071
Depreciation	17,000,000	17,000,000
Other	325,000	110,402
Total Operating Expense	$56,512,969	$49,187,243
Operating Income	$21,831,468	$40,985,353
Nonoperating Revenue (Expense):		
Interest Earnings	$3,250,000	$637,478
Interest Expense	(4,602,005)	-3,264,450
Total Non-Operating Revenue (Expense)	(1,352,005)	-2,626,972
Transfers In/(Out)	$(9,319,231)	$(9,319,231)
Net Income	$11,160,232	$29,039,150
Retained Earnings, Beginning	300,198,007	$311,358,239
Retained Earnings, Ending	$311,358,239	$340,397,389

THE CITY

The City derived its name from the French-Canadian explorer, Louis Joliet, who visited the area in 1673.

"Juliet" was incorporated by an act of Legislature as a village in the year 1837, and was governed by a President and Board of Trustees until 1841, when by an act of the State Legislature the village charter was repealed and the trustees resigned, leaving Juliet without an organization until June 19, 1852, at which time the City was incorporated by an act of the State Legislature. The act of incorporation was approved by the electors on July 5, 1852 by a vote of 168 for, 133 against.

In the year 1857, a new charter for the City was passed by the State Legislature, which remained in force (with some minor amendments) until August 5, 1876, at which time by a vote of the City the general Act to provide for the incorporation of cities and villages, approved on April 10, 1872, and in force on July 1, 1872, was adopted by a vote of 1,076 for, 307 against.

The City encompasses approximately 63 square miles and is the County seat of Will County in the Des Plaines River Valley, 39 miles southwest of Chicago. Census population reports have been: 1970 – 78,827; 1980 – 77,956; 1990 – 76,836; 2000 – 106,221; 2010 – 147,433 and 2020 – 150,362.

As a home rule City under the 1970 Illinois Constitution, the City has no general obligation debt limit. In addition, it is not required to seek referendum approval for the issuance of bonds and has no statutory tax rate limitations for any purpose.

Government

The City operates under a council manager form of government with five council persons elected from districts, a Mayor, and three council persons elected at-large, and an appointed City Manager. In the capacity of administrative head of the City, the Manager supervises the performance of approximately 1,032 full and part-time municipal employees. The Joliet Municipal Building (150 W. Jefferson, Joliet, Illinois, 60432) houses the administrative offices of the City. The City has a class III fire insurance rating, among the best ratings in the State. The City provides trash removal and disposal and recycling services through a private contractor. The City operates a water supply and distribution system and sanitary sewer system (see "**THE WATERWORKS AND SEWERAGE SYSTEM**").

SOCIOECONOMIC INFORMATION

Employment

The following employment data shows a consistently diverse and strong growth trend for employment in Will County. This data is not comparable to similar U.S. Census statistics, which would include government employment, and establishments not covered by the Illinois Unemployment Insurance Program, and could classify employment categories differently.

Will County Private, Non-Agricultural Employment
Covered by the Illinois Unemployment Insurance Act[1]

	(Data as of March for each Year)				
	2020	2021	2022	2023	2024
Farm, Forestry, Fisheries	238	229	235	261	300
Mining and Construction	12,897	12,966	13,726	13,750	14,397
Manufacturing	22,107	21,552	22,181	23,902	23,603
Transportation, Communications, Utilities	30,688	35,530	37,831	38,826	39,681
Wholesale Trade	16,507	16,436	16,881	17,410	17,746
Retail Trade	29,494	29,594	29,362	29,939	29,412
Finance, Insurance, Real Estate	7,408	7,230	6,883	6,085	6,201
Services[2]	93,662	86,611	91,912	94,541	94,195
Total	213,001	210,148	219,011	224,714	225,535

[1] Source: Illinois Department of Employment Security.
[2] Includes unclassified establishments.

Following are lists of large employers located within the City and in the surrounding area. Additional employment opportunities are available to City residents throughout the Chicago metropolitan area.

Major City Employers

Name	Product/Service	Approximate Employment
Amazon	Fulfillment Center	3,500
Amita St. Joseph Medical Center	Hospital	2,598
Will County	County Government	2,308
Joliet Public Schools District 86	Elementary School District	1,737
Joliet Junior College	Community College District	1,550
Joliet Township District #204	School District	925
The City	City Government	1,032
University of St. Francis	College	824
Harrah's Casino	Riverboat Casino	750
Hollywood Casino	Riverboat Casino	511

The following tables show employment by industry and by occupation for the City, Will County (the "County") and the State of Illinois (the "State") as reported by the U.S. Census Bureau 2019-2023 American Community Survey 5-year estimated values.

Employment By Industry[1]

	The City		The County		The State	
Classification	Number	Percent	Number	Percent	Number	Percent
Agriculture, Forestry, Fishing and Hunting, and Mining	296	0.4%	1,825	0.5%	64,288	1.0%
Construction	5,066	6.7	24,506	6.8	338,825	5.4
Manufacturing	8,359	11.1	39,377	10.9	728,327	11.6
Wholesale Trade	2,398	3.2	10,779	3.0	168,508	2.7
Retail Trade	9,319	12.4	41,980	11.7	650,779	10.4
Transportation and Warehousing, and Utilities	9,451	12.6	33,385	9.3	433,291	6.9
Information	945	1.3	5,627	1.6	103,644	1.7
Finance and Insurance and Real Estate and Rental and Leasing	3,735	5.0	25,242	7.0	462,565	7.4
Professional, Scientific, and Management, and Administrative and Waste Management Services	6,602	8.8	41,860	11.6	794,813	12.7
Educational Services and Health Care and Social Assistance	16,148	21.5	78,665	21.9	1,470,742	23.5
Arts, Entertainment and Recreation and Accommodation and Food Services	6,397	8.5	27,734	7.7	516,702	8.3
Other Services, Except Public Administration	3,307	4.4	15,696	4.4	285,896	4.6
Public Administration	3,165	4.2	13,201	3.7	234,863	3.8
Total	75,188	100.0%	359,877	100.0%	6,253,243	100.0%

[1] Source: U.S. Bureau of the Census, American Community Survey 5-year estimates 2019 to 2023.

Unemployment Rates

Annual Average Unemployment Rates[1]

Calendar Year	The City	The County	The State
2020[2]	10.9%	9.3%	9.3%
2021	7.0	5.7	6.1
2022	5.4	4.5	4.6
2023	5.0	4.2	4.5
2024	5.9	5.1	5.0
2025[3]	4.9	4.4	4.7

[1] Source: Illinois Department of Employment Security.
[2] Increases due to the COVID-19 pandemic.
[3] Preliminary rates for the month of August 2025.

Housing

The U.S. Census Bureau 5-year estimated values reported that the median value of the City's owner-occupied homes was $248,600. This compares to $298,000 for the County and $250,000 for the State. The following table represents the five year average market value of specified owner-occupied units for the City, the County and the State at the time of the 2019-2023 American Community Survey.

Specified Owners Occupied Units[1]

	The City		The County		The State	
Value	Number	Percent	Number	Percent	Number	Percent
Under $50,000	927	2.5%	5,179	2.6%	179,713	5.4%
$50,000 to $99,999	1,109	3.0	4,442	2.2	293,418	8.8
$100,000 to $149,999	3,177	8.6	10,139	5.1	373,012	11.2
$150,000 to $199,999	5,751	15.5	19,572	9.8	402,625	12.0
$200,000 to $299,999	15,097	40.8	61,451	30.9	796,642	23.8
$300,000 to $499,999	10,212	27.6	71,206	35.8	836,453	25.0
$500,000 to $999,999	554	1.5	25,086	12.6	373,844	11.2
$1,000,000 or more	188	0.5	2,053	1.0	87,327	2.6
Total	37,015	100.0%	199,128	100.0	3,343,034	100.0
Median Home Value	$248,600		$298,000		$250,500	

[1] Source: U.S. Bureau of the Census, American Community Survey 5-year estimates 2019 to 2023.

Income

Per Capita Personal Income for the Highest Income Counties in the State[1]

Rank	County	2019 to 2023
1	DuPage County	$57,051
2	Lake County	55,756
3	Monroe County	49,438
4	McHenry County	48,275
5	Cook County	47,801
6	Will County	46,216
7	Kane County	46,013
8	Grundy County	43,744
9	Piatt County	43,547
10	Kendall County	43,127

[1] Source: U.S. Bureau of the Census, American Community Survey 5-Year estimates 2019 to 2023.

The following shows the median family income for counties in the Chicago metropolitan area.

Ranking of Median Family Income[1]

County	Family Income	Rank
DuPage County	$136,376	1
Lake County	132,828	2
Monroe County	128,922	3
Will County	124,227	4
McHenry County	121,624	5
Kendall County	119,150	6
Kane County	116,477	7
Cook County	102,297	12

(1) Source: U.S. Bureau of the Census 2019-2023 American Community Survey 5-Year Estimates.

The U.S. Census Bureau 5-year estimated values reported that the City had a median family income of $102,373. This compares to $124,227 for the County and $103,504 for the State. The following table represents the distribution of family incomes for the City, the County and the State at the time of the 2019-2023 American Community Survey.

Retail and Commercial Activity

The table below shows the distribution of the municipal portion of the Retailer's Occupation, Service Occupation and Use Tax ("Sales Tax") collected by the State Department of Revenue from retailers within the City. The table indicates the level of retail activity in the City.

Retailers' Occupation, Service Occupation and Use Tax[1]

State Fiscal Year Ending June 30	State Sales Tax Distributions[2]	Annual Percent Change +(-)[3]
2021	$23,791,536	0.40%
2022	28,641,944	20.39
2023	29,164,600	1.82
2024	31,213,429	7.03
2025	34,223,310	9.64
Growth from 2021 to 2025		43.84%

(1) Source: Illinois Department of Revenue.

(2) Tax distributions are based on records of the Illinois Department of Revenue relating to the 1% municipal portion of the Retailers' Occupation, Service Occupation and Use Tax, collected on behalf of the City, less a State administration fee. The municipal 1% includes tax receipts from the sale of food and drugs which are not taxed by the State.

(3) The 2021 percentage is based on a 2020 sales tax of $23,696,244.

RISK FACTORS

The purchase of the Bonds involves certain investment risks. Accordingly, each prospective purchaser of the Bonds should make an independent evaluation of the entirety of the information presented in this Official Statement and its appendices and exhibits in order to make an informed investment decision. Certain of the investment risks are described below. The following statements, however, should not be considered a complete description of all risks to be considered in the decision to purchaser the Bonds, nor should the order of the presentation of such risks be construed to reflect the relative importance of the various risks. There can be no assurance that other risk factors are not material or will not become material in the future. Moreover, any one or more of the factors discussed under this heading, and other factors not described under this heading, could lead to a decrease in the market value and the liquidity of the Bonds.

Finances of the State of Illinois

The State of Illinois (the "State") has experienced adverse fiscal conditions resulting in significant shortfalls between the State's general fund revenues and spending demands. Underfunding of the State's pension systems has contributed to the State's poor financial health. The State's financial problems may affect the strength of the local economy.

Local Economy

The financial health of the City is in part dependent on the strength of the regional and state economy. Many factors affect the economy, including rates of employment and economic growth and the level of residential and commercial development. It is not possible to predict to what extent any changes in economic conditions, demographic characteristics, population, or commercial and industrial activity will occur and what impact such changes would have on the finances of the City.

Cybersecurity

Computer networks and data transmission and collection are vital to the efficient operation of the City. Despite the implementation of network security measures by the City, its information technology and infrastructure may be vulnerable to deliberate attacks by hackers, malware, ransomware, or computer virus, or may otherwise be breached due to employee error, malfeasance, or other disruptions. Any such breach could compromise networks, and the information stored thereon could be disrupted, accessed, publicly disclosed, lost, or stolen. Although the City does not believe that its information technology systems are at a materially greater risk of cybersecurity attacks than other similarly-situated governmental entities, any such disruption, access, disclosure, or other loss of information could have an adverse effect on the City's operations and financial health. Further, as cybersecurity threats continue to evolve, the City may be required to expend significant additional resources to continue to modify and strengthen security measures, investigate, and remediate any vulnerabilities, or invest in new technology designed to mitigate security risks.

Construction and Inflation Risks

There are potential risks that could affect the ability of the City to timely complete the Project. While preliminary costs have been projected by the City, not all of the construction contracts have been let by the City. No assurance can be given that the cost of completing the Project will not exceed available funds. Completion of the Project involves many risks common to construction projects such as shortages or delays in the availability of materials and labor, work stoppages, labor disputes, contractual disputes with contractors or suppliers, weather interferences, construction accidents, delays in obtaining legal approvals, unforeseen engineering, archeological or environmental problems, inflationary pressures and other unanticipated cost increases, any of which could give rise to significant delays or cost overruns.

Future Indebtedness

As described under "Estimated Project Costs and Funding Sources – The City," the City expects that it will need to incur additional indebtedness, including the issuance of Revenue Bonds, WIFIA Loans, and IEPA Loans, to finance the Water Transmission System Project. No assurance can be given that these sources of funding actually will be available in the amounts or on the schedules assumed. In addition to the Water Transmission System Project, the City may, from time to time, determine to fund additional System capital projects including the Water Main Replacement Project.

Loss or Change of Rating

The ratings assigned to the Bonds can be changed or withdrawn at any time for reasons both under and outside the City's control. Any change, withdrawal or combination thereof could adversely affect the ability of investors to sell the Bonds or may affect the price at which they can be sold.

Secondary Market for the Bonds

No assurance can be given that a secondary market will develop for the purchase and sale of the Bonds or, if a secondary market exists, that such Bonds can be sold for any particular price. The Underwriters are not obligated to engage in secondary market trading or to repurchase any of the Bonds at the request of the owners thereof.

Prices of the Bonds as traded in the secondary market are subject to adjustment upward and downward in response to changes in the credit markets and other prevailing circumstances. No guarantee exists as to the future market value of the Bonds. Such market value could be substantially different from the original purchase price.

Continuing Disclosure

A failure by the City to comply with the Undertaking (as defined herein) for continuing disclosure (see "**CONTINUING DISCLOSURE**" herein) will not constitute an event of default on the Bonds. Any such failure must be reported in accordance with Rule 15c2-12 (the "Rule") adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as

amended (the "Exchange Act"), and may adversely affect the transferability and liquidity of the Bonds and their market price.

Suitability of Investment

The interest rates borne by the Bonds are intended to compensate the investor for assuming the risk of investing in the Bonds. Furthermore, the tax-exempt feature of the Bonds is currently more valuable to high tax bracket investors than to investors that are in low tax brackets. As such, the value of the interest compensation to any particular investor will vary with individual tax rates and circumstances. Each prospective investor should carefully examine this Official Statement and its own financial condition to make a judgment as to its ability to bear the economic risk of such an investment, and whether or not the Bonds are an appropriate investment for such investor.

Future Changes in Laws

Various State and federal laws, regulations, and constitutional provisions apply to the City, the Bonds, the operation of the System and the authority of the City to impose and collect Service Charges with respect to the System. The City can give no assurance that there will not be a change in, interpretation of, or addition to such applicable laws, provisions and regulations which would have a material effect, either directly or indirectly, on the City, or the City's ability to impose or collect Service Charges. Many elements of local government finance, including the issuance of debt and the imposition and collection of Service Charges are controlled by State government. Future actions of the State may affect the overall financial conditions of the City and the ability of the City to impose and collect Service Charges, taxes or collect revenues for its ongoing operations. The City cannot predict whether, or in what form, any such change may be enacted into law, nor can the City predict the effect of any such change on the City's finances.

Factors Relating to Tax Matters

As discussed under "**TAX MATTERS**" herein, interest on the Bonds could become includible in gross income for purposes of federal income taxation, retroactive to the date the Bonds were issued, as a result of future acts or omissions of the City in violation of its covenants in the Indenture. Should such an event of taxability occur, the Bonds are not subject to any special redemption.

There are or may be pending in the Congress of the United States legislative proposals relating to the federal tax treatment of interest on the Bonds, including some that carry retroactive effective dates, that, if enacted, could affect the market value of the Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether, if enacted, it would apply to Bonds issued prior to enactment. Prospective purchasers of the Bonds should consult their own tax advisors regarding any pending or proposed federal tax legislation. Bond Counsel expresses no opinion regarding any pending or proposed federal tax legislation. Finally, reduction or elimination of the tax-exempt status of obligations such as the Bonds could have an adverse effect on the City's ability to access the capital markets to finance future capital or operational needs by reducing market demand for such obligations or materially increasing borrowing costs of the City.

The tax-exempt bond office of the Internal Revenue Service (the "Service") is conducting audits of tax-exempt bonds, both compliance checks and full audits, with increasing frequency to

determine whether, in the view of the Service, interest on such tax-exempt obligations is includible in the gross income of the owners thereof for federal income tax purposes. It cannot be predicted whether the Service will commence any such audit. If an audit is commenced, under current procedures the Service may treat the City as a taxpayer and the bondholders may have no right to participate in such proceeding. The commencement of an audit with respect to any tax-exempt obligations of the City could adversely affect the market value and liquidity of the Bonds, regardless of the ultimate outcome.

Bankruptcy

Units of local government in Illinois, such as the City, cannot currently file for protection under the U.S. Bankruptcy Code unless specifically authorized to be a debtor by state law or by a governmental officer or organization empowered by state law to authorize such entity to be a debtor in a bankruptcy proceeding. State law does not currently permit the City to be a debtor in a bankruptcy proceeding. However, from time to time, legislation has been introduced in the Illinois General Assembly which, if enacted, would permit Illinois units of local government to be a debtor in bankruptcy under the U.S. Bankruptcy Code. The previous Governor of the State proposed legislation to allow for municipal bankruptcy, and legislation was introduced in the General Assembly to that effect, although it did not pass. The City cannot predict whether the Illinois General Assembly may adopt any future legislation that would permit units of local government, such as the City, to be a debtor in bankruptcy and the subsequent form and terms of any such proceeding.

In rendering its opinion, Bond Counsel advises that the enforceability (but not the validity or binding effect) of the Bonds, the Indenture and the Second Supplemental Indenture (i) may be limited by any applicable bankruptcy, insolvency or other laws affecting the rights or remedies of creditors now or hereafter in effect and (ii) is subject to the principles of equity in the event that equitable remedies are sought, either in an action at law or in equity.

LITIGATION

The City is not engaged in and, to the best of its knowledge and belief, has not been threatened with, any litigation of any nature which seeks to restrain or enjoin the issuance, sale, execution or delivery of the Bonds or which in any way contests the validity of the Bonds or any proceedings of the City taken with respect to their issuance or sale or the pledge or application of any moneys or the security provided for the payment of the Bonds, or which contests the creation, organization or existence of the City or the title of any of the present members or other officials of the City to their respective offices. Upon the delivery of the Bonds, the City will deliver a certificate, in form satisfactory to Katten Muchin Rosenman LLP ("Bond Counsel"), to the effect of the foregoing.

The City's Interim Corporation Counsel reports that any litigation and claims currently pending against the City are being handled by the City's insurance carrier, outside counsel or the City's Legal Department and will not affect the issuance of the Bonds. Such litigation is not expected to materially impact City finances.

TAX MATTERS

Summary of Bond Counsel Opinion

Bond Counsel is of the opinion that, under existing law, interest on the Bonds is not includable in the gross income of the owners thereof for federal income tax purposes. The Internal Revenue Code of 1986 (the "Code") contains certain requirements that must be satisfied from and after the date of issuance of the Bonds in order to preserve the exclusion from gross income for federal income tax purposes of interest on the Bonds. These requirements include restrictions on the use and investment of the proceeds of the Bonds, the required payment of certain amounts to the United States of America, and limitations on the security and source of payment of the Bonds and the use of the property financed with the proceeds of the Bonds. If there is continuing compliance with the applicable requirements of the Code, Bond Counsel is of the opinion that interest on the Bonds will continue to be excluded from the gross income of the owners thereof for federal income tax purposes. Bond Counsel is further of the opinion that interest on the Bonds is not an item of tax preference for purposes of computing alternative minimum taxable income for individuals. Interest on the Bonds is included in computing the adjusted financial statement of those corporations subject to the corporate alternative minimum tax.

Interest on the Bonds is not exempt from present Illinois income taxes.

Special Tax Treatment of the Bonds Issued at a Premium or Discount

The difference (if any) between the initial price at which a substantial amount of each maturity of the Bonds bearing the same interest rate is sold to the public (the "Offering Price") and the principal amount payable at maturity of such Bonds is given special treatment for Federal income tax purposes. If the Offering Price is higher than the maturity value of a Bond, the difference between the two is known as "bond premium;" if the Offering Price is lower than the maturity value of a Bond, the difference between the two is known as "original issue discount."

Bond premium and original issue discount are amortized over the term of a Bond on the basis of the owner’s yield from the date of purchase to the date of maturity, compounded at the end of each accrual period of one year or less with straight line interpolation between compounding dates, as provided more specifically in the Income Tax Regulations. A special rule applies for amortizing bond premium in respect of a Bond callable prior to its maturity date. No deduction is allowed for amortized bond premium and the amount of bond premium amortized during each period is subtracted from the owner’s tax basis in the Bond. The amount of original issue discount accruing during each period is treated as interest that is excludable from the gross income of the owner of such Bond for federal income tax purposes, to the same extent and with the same limitations as current interest, and is added to the owner’s tax basis in the Bond. The Bond’s adjusted tax basis is used to determine whether, and to what extent, the owner realizes taxable gain or loss upon disposition of the Bond (whether by reason of sale, acceleration, redemption prior to maturity or payment at maturity of the Bond).

Owners of Bonds should consult their own tax advisors with respect to the state and local tax consequences of owning the Bonds. For example, under the laws of a State, original issue

discount on the Bonds may be deemed to be received (and subject to tax) in the year of accrual even though there is no corresponding cash payment in that year.

Exclusions from Gross Income: Requirements

The Code sets forth certain requirements that must be satisfied on a continuing basis in order to preserve the exclusion from gross income for federal tax purposes of interest on the Bonds. These requirements are applied on a separate basis to the Bonds. Among these requirements are the following:

Limitations on Private Use. The Code includes limitations on the amount of Bond proceeds that may be used in the trade or business of, or used to make or finance loans to persons other than governmental units.

Investment Restrictions. Except during certain "temporary periods," proceeds of the Bonds and investment earnings thereon (other than amounts held in a reasonably required reserve or replacement fund, if any, or as a part of a "minor portion") may generally not be invested in investments having a yield that is "materially higher" than the yield on the Bonds.

Rebate of Arbitrage Profit. Unless the Bonds qualify for one of several exemptions, earnings from the investment of the "gross proceeds" of the Bonds in excess of the earnings that would have been realized if such investments had been made at a yield equal to the yield on the Bonds are required to be paid to the United States at periodic intervals. For this purpose, the term "gross proceeds" includes the original proceeds of the Bonds, amounts received as a result of investing such proceeds and amounts to be used to pay debt service on the Bonds.

Covenants to Comply

The City has covenanted to comply with the requirements of the Code relating to the exclusion from gross income for federal income tax purposes of interest on the Bonds.

Risks of Non-Compliance

In the event that the City fails to comply with the requirements of the Code in the case of the Bonds, interest on the Bonds may become includable in the gross income of the owners thereof for Federal income tax purposes retroactively to the date of issue. In such event, the Indenture requires neither acceleration of payment of principal of, or interest on, the Bonds nor payment of any additional interest or penalties to the owners of the Bonds.

Federal Income Tax Consequences

Pursuant to Section 103 of the Code, interest on the Bonds is not includable in the gross income of the owners thereof for Federal income tax purposes. However, the Code contains a number of other provisions relating to the treatment of interest on the Bonds which may affect the taxation of certain types of owners, depending on their particular tax situations. Some of the potentially applicable Federal income tax provisions are described in general terms below. PROSPECTIVE PURCHASERS SHOULD CONSULT THEIR TAX ADVISORS

CONCERNING THE PARTICULAR FEDERAL INCOME TAX CONSEQUENCES OF THEIR OWNERSHIP OF THE BONDS.

In General. Owners of the Bonds will generally be denied a deduction for otherwise deductible interest on any debt which is treated for Federal income tax purposes as incurred or continued to purchase or carry the Bonds.

Corporate Owners. Interest on the Bonds is generally taken into account in computing the branch profits tax imposed on certain foreign corporations, the passive investment income tax imposed on certain S corporations, and the accumulated earnings tax.

Individual Owners. Receipt of interest on the Bonds may increase the amount of social security and railroad retirement benefits included in the gross income of the recipients thereof for Federal income tax purposes.

Certain Blue Cross or Blue Shield Organizations. Receipt of interest on the Bonds may reduce a special deduction otherwise available to certain Blue Cross or Blue Shield organizations.

Property or Casualty Insurance Companies. Receipt of interest on the Bonds may reduce otherwise deductible underwriting losses of a property or casualty insurance company.

Financial Institutions. Financial institutions may be denied a deduction for their otherwise allowable interest expense in an amount determined by reference, in part, to their adjusted basis in the Bonds.

Foreign Personal Holding Company Income. A United States shareholder of a foreign personal holding company may realize taxable income to the extent that interest on the Bonds held by such a company is allocated to the shareholder.

Change in Law

The opinion of Bond Counsel and the descriptions of the tax law contained in this Official Statement are based upon statutes, judicial decisions, regulations, rulings, and other official interpretations of the law in existence on the date the Bonds are issued. There can be no assurance that such law or the interpretations thereof will not be changed or that new provisions of law will not be enacted or promulgated at any time while the Bonds are Outstanding in a manner that would adversely affect the value or the tax treatment of ownership of the Bonds.

CONTINUING DISCLOSURE

The City will enter into a Continuing Disclosure Undertaking (the "Undertaking") for the benefit of the beneficial owners of the Bonds to send certain information annually and to provide notice of certain events to the Municipal Securities Rulemaking Board (the "MSRB") pursuant to the requirements of Section (b)(5) of the Rule adopted by the Securities and Exchange Commission under the Exchange Act, as amended. The information to be provided on an annual basis, the events which will be noticed on an occurrence basis and a summary of other terms of the Undertaking, including termination, amendment, and remedies, are set forth below under "**THE UNDERTAKING**."

A failure by the City to comply with the Undertaking will not constitute a default under the Indenture and beneficial owners of the Bonds are limited to the remedies described in the Undertaking. See "**THE UNDERTAKING – CONSEQUENCES OF FAILURE OF THE CITY TO PROVIDE INFORMATION**" herein. A failure by the City to comply with the Undertaking must be reported in accordance with the Rule and must be considered by any broker, dealer, or municipal securities dealer before recommending the purchase or sale of the Bonds in the secondary market. Consequently, such a failure may adversely affect the transferability and liquidity of the Bonds and their market price.

Compliance with Prior Undertakings

In the prior five years, the City has materially complied with its prior undertakings in all respects with the exception of the following. The City entered into various IEPA Loans with the IEPA in 2023 and 2024. Notices of incurrence of these IEPA Loans were not filed within the required time period specified in the City's Undertakings. The City subsequently filed such required notices on June 23, 2025. In addition, the City's Annual Financial Information for Fiscal Year 2023 was not linked to certain CUSIPs of City indebtedness on EMMA. These CUSIPs are now no longer outstanding and, therefore, no failure to file notices were filed to these CUSIPs. The City has put processes in place to ensure compliance with its Undertakings going forward. The City did not file its audited financial statements for the fiscal year ended December 31, 2024 by the required date specified in its Undertakings. The City filed its audited financial statements for the fiscal year ended December 31, 2024 on October 31, 2025.

THE UNDERTAKING

The following is a brief summary of certain provisions of the Undertaking of the City and does not purport to be complete. The statements made under this caption are subject to the detailed provisions of the Undertaking, a copy of the form of which is attached hereto as **APPENDIX D**.

Annual Financial Information Disclosure

The City covenants that it will disseminate its Annual Financial Information and its Audited Financial Statements, if any (as described below), to the MSRB in such manner and format and accompanied by identifying information as is prescribed by the MSRB or the Securities and Exchange Commission at the time of delivery of such information. At present, such dissemination is made through EMMA. The City is required to deliver such information within 210 days of the end of the City's Fiscal Year (currently, December 31), beginning with Fiscal Year 2025. MSRB Rule G-32 requires all EMMA filings to be in word-searchable PDF format. This requirement extends to all documents to be filed with EMMA, including financial statements and other externally prepared reports.

"Audited Financial Statements" means the audited financial statements of the City for each twelve (12) month period, beginning with the twelve (12) month period ending December 31, 2025, together with the opinion of such independent certified public accountants engaged by the City and all notes thereto. If Audited Financial Statements are unavailable within 210 days of the City's Fiscal Year end, unaudited financial statements will be submitted, and the Audited Financial Statements will be filed when available.

"Annual Financial Information" means the updated tables and operating data in the Official Statement as follows:

1. All of the tables under the heading "**THE WATERWORKS AND SEWERAGE SYSTEM**" within this Official Statement;

2. All of the tables under the heading "**SYSTEM DEBT INFORMATION**" within this Official Statement; and

3. All of the tables under the heading "**SYSTEM FINANCIAL INFORMATION**" (**Excluding Budgeted Financial Information**) within this Official Statement.

Events Disclosure

The City covenants that will disseminate in a timely manner, not in excess of ten business days after the occurrence of the Reportable Event (as defined below), Reportable Events disclosure to the MSRB in such manner and format and accompanied by identifying information as is prescribed by the MSRB or the Securities and Exchange Commission or the State at the time of delivery of such information. MSRB Rule G-32 requires all EMMA filings to be in word searchable PDF format. This requirement extends to all documents to be filed with EMMA, including financial statements and other externally prepared reports. The "Reportable Events" are:

- principal and interest payment delinquencies;
- non-payment related defaults, if material;
- unscheduled draws on debt service reserves reflecting financial difficulties;
- unscheduled draws on credit enhancements reflecting financial difficulties;
- substitution of credit or liquidity providers, or their failure to perform;
- adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;
- modifications to rights of Bondholders, if material;
- Bond calls, if material, and tender offers;
- defeasances;
- release, substitution, or sale of property securing repayment of the Bonds, if material;
- rating changes;
- bankruptcy, insolvency, receivership or similar event of the obligated person;[1]
- the consummation of a merger, consolidation, or acquisition involving the City or the sale of all or substantially all of the assets of the City, other than in the ordinary course

[1] This Reportable Event is considered to occur when any of the following occurs: the appointment of a receiver, fiscal agent, or similar officer for the City in a proceeding under the United States Bankruptcy Code or in any other proceeding under State or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the City, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement, or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the City.

of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

- appointment of a successor or additional trustee or the change of name of a trustee, if material;
- incurrence of a financial obligation of the City, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the City, any of which affect Bondholders, if material;[(2)] and
- default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation of the City, any of which reflect financial difficulties.[(2)]

Consequences of Failure of the City to Provide Information

The City shall give notice in a timely manner to the MSRB through the EMMA System, of any failure to provide disclosure of Annual Financial Information and Audited Financial Statements when the same are due under the Undertaking.

In the event of a failure of the City to comply with any provision of the Undertaking, the beneficial owner of any Bond may seek specific performance by Court order, to cause the City to comply with its obligations under the Undertaking. A default under the Undertaking shall not be deemed a default under the Indenture, and the sole remedy under the Undertaking in the event of any failure of the City to comply with the Undertaking shall be an action to compel performance.

Amendment; Modification

Notwithstanding any other provision of the Undertaking, the City may amend or modify the Undertaking, if either:

(a) The amendment or modification is made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature, or status of the City or type of business conducted;

(b) The Undertaking, as amended or modified, would have complied with the requirements of the Rule on the date hereof, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances;

(c) The amendment or modification does not materially impair the interests of the beneficial owners of the Bonds as determined either by any person selected by the City that is unaffiliated with the City or Bond Counsel; and

---

[(2)] The term "financial obligation" means a: (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) a guarantee of (i) or (ii). The term "financial obligation" does not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

(d) Such amendment or modification (including an amendment or modification which rescinds the Undertaking) is permitted by the Rule, as then in effect.

Termination of Undertaking

The Undertaking shall be terminated if the City shall no longer have any legal liability for any obligation on or relating to repayment of the Bonds under the Indenture.

Additional Information

Nothing in the Undertaking shall be deemed to prevent the City from disseminating any other information, using the means of dissemination set forth in the Undertaking or any other means of communication, or including any other information in any Annual Financial Information or Audited Financial Statements or notice of occurrence of an event, in addition to that which is required by the Undertaking. If the City chooses to include any information from any document or notice of occurrence of an event in addition to that which is specifically required by the Undertaking, the City shall have no obligation under the Undertaking to update such information or include it in any future disclosure or notice of occurrence of a Reportable Event.

Dissemination Agent

When filings are required to be made with the MSRB in accordance with the Undertaking, such filings are required to be made through EMMA or through any other electronic format or system prescribed by the MSRB for purposes of the Rule.

The City may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under the Undertaking, and may discharge any such Agent, with or without appointing a successor Dissemination Agent.

LEGAL MATTERS

Certain legal matters incident to the authorization, issuance and sale of the Bonds are subject to the approving legal opinion of Katten Muchin Rosenman LLP Chicago, Illinois, Bond Counsel, who has been retained by, and acts as, Bond Counsel to the City. Certain legal matters will be passed on for the Underwriters by Burke, Warren, MacKay & Serritella, P.C. Chicago, Illinois.

BOND INSURANCE

BAM is a New York domiciled mutual insurance corporation and is licensed to conduct financial guaranty insurance business in all fifty states of the United States and the District of Columbia. BAM provides credit enhancement products to issuers in the U.S. public finance markets. BAM will only insure municipal bonds, as defined in Section 6901 of the New York Insurance Law, which are most often issued by states, political subdivisions, integral parts of states or political subdivisions or entities otherwise eligible for the exclusion of income under section 115 of the U.S. Internal Revenue Code of 1986, as amended. No member of BAM is liable for the obligations of BAM.

The address of the principal executive offices of BAM is: 200 Liberty Street, 27th Floor, New York, New York 10281, its telephone number is: 212-235-2500, and its website is located at: www.bambonds.com.

BAM is licensed and subject to regulation as a financial guaranty insurance corporation under the laws of the State of New York and in particular Articles 41 and 69 of the New York Insurance Law.

BAM's financial strength is rated "AA/Stable" by S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P"). An explanation of the significance of the rating and current reports may be obtained from S&P at https://www.spglobal.com/en/. The rating of BAM should be evaluated independently. The rating reflects S&P's current assessment of the creditworthiness of BAM and its ability to pay claims on its policies of insurance. The above rating is not a recommendation to buy, sell or hold the Bonds, and such rating is subject to revision or withdrawal at any time by S&P, including withdrawal initiated at the request of BAM in its sole discretion. Any downward revision or withdrawal of the above rating may have an adverse effect on the market price of the Bonds. BAM only guarantees scheduled principal and scheduled interest payments payable by the issuer of the Bonds on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the Policy), and BAM does not guarantee the market price or liquidity of the Bonds, nor does it guarantee that the rating on the Bonds will not be revised or withdrawn.

Capitalization of BAM

BAM's total admitted assets, total liabilities, and total capital and surplus, as of September 30, 2025 and as prepared in accordance with statutory accounting practices prescribed or permitted by the New York State Department of Financial Services were $517.2 million, $273.6 million and $243.6 million, respectively.

BAM is party to a first loss reinsurance treaty that provides first loss protection up to a maximum of 15% of the par amount outstanding for each policy issued by BAM, subject to certain limitations and restrictions.

BAM's most recent Statutory Annual Statement, which has been filed with the New York State Insurance Department and posted on BAM's website at www.bambonds.com, is incorporated herein by reference and may be obtained, without charge, upon request to BAM at its address provided above (Attention: Finance Department). Future financial statements will similarly be made available when published.

BAM makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading **"BOND INSURANCE"** and **"APPENDIX G – "SPECIMEN MUNICIPAL BOND INSURANCE POLICY"**.

BAM GreenStar Bonds

The Bonds have been designated BAM GreenStar Bonds because BAM has determined that the use of bond proceeds by the Issuer as described in this Official Statement and in any additional information obtained by BAM aligns with one of the Green Bond Principles ("GBPs") developed by the International Capital Markets Association ("ICMA"). The GBPs were developed by the ICMA with the goal of establishing universally accepted guidelines for the issuance of green bonds, and one of the key requirements addresses the use of proceeds. BAM has been identified by the ICMA as an observer organization that is active in the field of green and/or social or sustainability finance and as a Climate Bond Initiative approved verifier. The GreenStar Credit Profile prepared by BAM for the Bonds will identify which of the following GBP categories applies to the Bonds:

- renewable energy
- energy efficiency
- pollution prevention and control
- environmentally sustainable management of living natural resources and land use
- terrestrial and aquatic biodiversity
- clean transportation
- climate change adaptation
- sustainable water and wastewater management
- green buildings

Each of the GBPs correlates to one of the following UN Sustainable Development Goals which will also be included in the GreenStar Credit Profile for the Bonds:

- clean water and sanitation
- affordable and clean energy
- sustainable cities and communities
- industry innovation and infrastructure
- responsible consumption and production
- climate action
- life below water
- life on land

The Issuer makes no representation regarding the applicability of or suitability of the GreenStar designation. The term "GreenStar" is neither defined in, nor related to, the security documents relating to the Bonds. The GreenStar designation is solely for identification purposes and is not intended to provide or imply that the owners of the Bonds are entitled to any security other than that described in this official statement. The Issuer is under no contractual or other legal obligation to ensure compliance with any legal or other principles relating to "GreenStar" designation. The Issuer has made no commitment to provide ongoing reporting or information regarding the designation or compliance with the GBPs.

The BAM GreenStar designation is based upon an assessment by BAM at the time of the issuance of the Bonds and such designation by BAM reflects only the views of BAM. BAM does not charge a fee in connection with the designation, does not perform an audit and undertakes no

duty of due diligence or independent verification of any information it receives. The designation is provided on an "AS IS" basis and is based on BAM's own investigation, studies, assumptions, and criteria using its reasonable best efforts. In issuing its GreenStar designation, BAM has assumed and relied upon the accuracy and completeness of the information made publicly available by the Issuer or that was otherwise made available to BAM. BAM makes no representation or warranty, express or implied, including, but not limited to, the accuracy, results, timeliness, completeness, merchantability or fitness for any particular purpose with respect to the designation. A complete description of BAM GreenStar, and its limitations and terms of use, are available on BAM's website https://bambonds.com/wp-content/uploads/2020/10/2024-BAM-GreenStar-Winter-Not-for-Print.pdf and https://bambonds.com/terms-of-use and incorporated herein by reference. The BAM GreenStar designation is determined solely by BAM; it has not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for such designation.

BAM's GreenStar designation does not and is not intended to make any representation or give any assurance with respect to any other matter relating to the Bonds and is not a recommendation to any person to purchase, hold, or sell the Bonds. Such labeling does not address the market price, marketability or suitability of these Bonds for a particular investor. There is no assurance that the designation will be retained for any given period of time or that the designation will not be revised, suspended, or withdrawn by BAM if, in its judgment, circumstances so warrant.

Additional Information Available from BAM

Credit Insights Videos. For certain BAM-insured issues, BAM produces and posts a brief Credit Insights video that provides a discussion of the obligor and some of the key factors BAM's analysts and credit committee considered when approving the credit for insurance. The Credit Insights videos are easily accessible on BAM's website at https://bambonds.com/insights/#video. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Credit Profiles. Prior to the pricing of bonds that BAM has been selected to insure, BAM may prepare a pre-sale Credit Profile for those bonds. These pre-sale Credit Profiles provide information about the sector designation (e.g. general obligation, sales tax); a preliminary summary of financial information and key ratios; and demographic and economic data relevant to the obligor, if available. Subsequent to closing, for any offering that includes bonds insured by BAM, any pre-sale Credit Profile will be updated and superseded by a final Credit Profile to include information about the gross par insured by CUSIP, maturity and coupon. BAM pre-sale and final Credit Profiles are easily accessible on BAM's website at https://bambonds.com/credit-profiles. BAM will produce a Credit Profile for all bonds insured by BAM, whether or not a pre-sale Credit Profile has been prepared for such bonds. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Disclaimers. The Credit Profiles and the Credit Insights videos and the information contained therein are not recommendations to purchase, hold or sell securities or to make any investment decisions. Credit-related and other analyses and statements in the Credit Profiles and the Credit Insights videos are statements of opinion as of the date expressed, and BAM assumes

no responsibility to update the content of such material. The Credit Profiles and Credit Insight videos are prepared by BAM; they have not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for their content.

BAM receives compensation (an insurance premium) for the insurance that it is providing with respect to the Bonds. Neither BAM nor any affiliate of BAM has purchased, or committed to purchase, any of the Bonds, whether at the initial offering or otherwise.

RATINGS

S&P is expected to assign the Bonds a rating of "AA" (Stable Outlook) based on the Policy to be issued and delivered by BAM at the time of delivery of the Bonds. Moody's has assigned the Bonds an underlying rating of "A1" (Stable Outlook). These ratings reflect only the views of S&P and Moody's and any explanation of the significance of such rating may only be obtained from each rating agency. Certain information concerning the Bonds and the City not included in this Official Statement was furnished to S&P, Moody's and BAM by the City. There is no assurance that the ratings will be maintained for any given period of time or may not be changed by S&P and Moody's if, in such rating agency's judgment, circumstances so warrant. Any downward change in or withdrawal of the rating may have an adverse effect on the market price of the Bonds.

Except as may be required by the Undertaking described above under the heading "**CONTINUING DISCLOSURE**," neither the City nor the Underwriters undertake responsibility to bring to the attention of the owners of the Bonds any proposed change in or withdrawal of the rating or to oppose any such revision or withdrawal.

UNDERWRITING

The Underwriters are expected to enter into a purchase contract with the City pursuant to which the Underwriters will agree, subject to certain customary conditions precedent to closing, to purchase the Bonds from the City at a purchase price of $118,379,746.40 (representing the par amount of the Bonds less an Underwriters' discount of $233,464.75 plus an original issue premium of $8,778,211.15).

Under the purchase contract, the Underwriters will be obligated to purchase all the Bonds, if any Bonds are purchased. The Bonds may be offered and sold to certain dealers (including the Underwriters and other dealers depositing such Bonds into investment trusts) at prices lower than the initial offering prices, and such public offering prices may be changed, from time to time, by the Underwriters.

J.P. Morgan Securities LLC ("JPMS"), one of the Underwriters of the Bonds, has entered into negotiated dealer agreements (each, a "Dealer Agreement") with each of Charles Schwab & Co., Inc. ("CS&Co.") and LPL Financial LLC ("LPL") for the retail distribution of certain securities offerings at the original issue prices. Pursuant to each Dealer Agreement, each of CS&Co. and LPL may purchase Bonds from JPMS at the original issue price less a negotiated portion of the selling concession applicable to any Bonds that such firm sells.

RATE CONSULTANT

Burns & McDonnell, acting as an independent consultant, has completed an analysis of the historical debt service coverage included in this Official Statement. Founded in 1898, Burns & McDonnell provides engineering, operations, and financial consulting services to water, wastewater, electric, and gas utilities. In conducting our analysis of historical debt service coverage, Burns & McDonnell relied upon information provided by the City and other parties. Burns & McDonnell has not independently verified such information and cannot guarantee its accuracy or completeness.

MUNICIPAL ADVISOR

The City has engaged Speer Financial, Inc. as municipal advisor (the "Municipal Advisor") in connection with the issuance and sale of the Bonds. The Municipal Advisor is a Registered Municipal Advisor in accordance with the rules of the MSRB. The Municipal Advisor will not participate in the underwriting of the Bonds. Certain financial information included in this Official Statement may have been compiled by the Municipal Advisor. Such information does not purport to be a review, audit or certified forecast of future events and may not conform with accounting principles applicable to compilations of financial information. The Municipal Advisor is not a firm of certified public accountants and does not serve in that capacity or provide accounting services in connection with the Bonds. The Municipal Advisor is not obligated to undertake any independent verification of or to assume any responsibility for the accuracy, completeness or fairness of the information contained in this Official Statement, nor is the Municipal Advisor obligated by the City's continuing disclosure undertaking.

CERTIFICATION OF THE OFFICIAL STATEMENT

Upon the delivery of the Bonds, the City will deliver a certificate executed by proper officers acting in their official capacities, to the effect that, among other things, to the best of their knowledge and belief, the Official Statement was, as of its date, and is, as of the date of delivery of the Bonds, true and correct in all material respects and did not, and does not, contain an untrue statement of a material fact or omit to state a material fact necessary in order to make the statements therein, in light of the circumstances under which they were made, not misleading.

MISCELLANEOUS

The foregoing references, excerpts and summaries of all documents referred to herein do not purport to be complete statements of the provisions of such documents and they are qualified in their entirety by reference to the complete provisions of such documents and other materials summarized or described.

Any statements made in this Official Statement or the Appendices hereto involving matters of opinion or estimates, whether or not so expressly stated, are set forth as such and not as representations of fact, and no representation is made that any of such statements will be realized.

The execution and delivery of this Official Statement has been authorized by the City.

CITY OF JOLIET, ILLINOIS

By: /s/Terry D'Arcy
Mayor

APPENDIX A

AUDIT REPORT

FOR FISCAL YEAR ENDED DECEMBER 31, 2024

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City of

JOLIET

ANNUAL COMPREHENSIVE FINANCIAL REPORT

YEAR ENDED

DECEMBER 31, 2024

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CITY OF JOLIET, ILLINOIS

ANNUAL COMPREHENSIVE FINANCIAL REPORT
FOR THE YEAR ENDED DECEMBER 31, 2024

PREPARED BY THE FINANCE DEPARTMENT

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City of Joliet

Finance Department
815-724-3900
ksing@joliet.gov

October 30, 2025

To the Honorable Mayor, Members of the City Council
And the Citizens of the City of Joliet:

Letter of Transmittal

The Comprehensive Annual Financial Report (CAFR) of the City of Joliet, Illinois for the year ending December 31, 2024, is hereby submitted. This report provides a broad view of the City's financial activities and its financial position as of December 31st, 2024. Illinois statues and local ordinances require all general purpose local governments to publish annually, a complete set of financial statements presented in conformance with Generally Accepted Accounting Principles (GAAP) and audited in accordance with Generally Accepted Auditing Standards (GAAS) by a firm of licensed certified public accountants.

Responsibility for both the accuracy of the data and the completeness and fairness of the presentation, which includes all disclosures based upon a comprehensive framework of internal control, rests with the management of the City. Because the cost of internal controls should not exceed the anticipated benefits, the objective of this report is to provide reasonable, rather than absolute, assurance that the financial statements are free of any material misstatements. To the best of our knowledge and belief, the enclosed data is accurate in all material respects and is reported in a manner that presents fairly the financial position and results of operations of the various funds and component units of the City of Joliet. All disclosures necessary to enable the reader to gain an understanding of the City of Joliet's activities have been included.

Wermer, Rogers, Doran & Ruzon LLC, a firm of licensed certified public accountants, has audited the City of Joliet's financial statements. The goal of the independent audit was to provide reasonable assurance the financial statements presented for the year end are free of material misstatement. The independent audit involved the examination, on a test basis, evidence to support the amounts and disclosures in the financial statements; assessment of the accounting principles used and the significant estimates made by management; and evaluation of the overall presentation. Based on their work, the independent auditor concluded that there was a reasonable basis for rendering an unmodified opinion that the financial statements presented in the financial section of this report were presented in conformity with GAAP.

150 W Jefferson St.
Joliet, IL 60432

www.joliet.gov
815-724-4000

As a recipient of various federal grant funds, the City of Joliet is required to undergo an annual audit in conformity with the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, and audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* ("Uniform Guidance" – the succession of OMB Circular A-133). The audit contains information as to whether activities related to grant funds are presented fairly in the basic financial statements; internal controls are sufficient to provide reasonable assurance that the funds are managed properly; and compliance with grant requirements. The single audit report is issued as a separate report.

GAAP requires that management provide a narrative introduction, overview, and analysis to accompany the basic financial statements in the form of a Management Discussion and Analysis (MD&A). This letter of transmittal is designed to complement and should be read in conjunction with the MD&A. The City of Joliet's MD&A can be found immediately following the report of the independent auditors.

Profile of Government

The City of Joliet, incorporated in 1852, is a home rule unit of government, located in the northeastern part of the State of Illinois. The City currently has a land area of 63 square miles and a population of 150,362 as of the 2020 U.S. Census. The government is empowered to levy a property tax on real estate property located within its boundaries. The City also has the power by state statute to extend its corporate limits by annexation, which is done periodically when deemed appropriate by the City Council.

The City has operated under the Council-Manager form of government since 1955. Policymaking and legislative authority are vested in the City Council, which consists of a mayor and an eight-member council. The City Council sets policy for the City, adopts ordinances and resolutions, adopts the annual budget and approves all expenditures. Council members are elected to a four-year staggered term with three at-large council members and five district council members elected every four years. The Mayor is elected to a four-year term. The Mayor and Council members are elected on a non-partisan basis. The City Manager is responsible for carrying out the policies and ordinances of the City Council, overseeing the day-to-day operations of the City and appointing the directors of the City's departments.

The City provides a full range of services including police and fire protection; refuse disposal, recycling and yard-waste collection; parking management; construction and maintenance of highways, streets and infrastructure, as well as water and wastewater treatment facilities. The City owns the stadium that is home to the Joliet Slammers baseball organization and operates Bicentennial Park; both are located in downtown Joliet. The accompanying report includes all funds and subsidiary accounts of the primary government, the City of Joliet as legally defined, as well as its component units. The Joliet Public Library, the Will County Metropolitan Exposition and Auditorium Authority (commonly known as the Rialto Square Theatre), Riverwalk Homes, and the Joliet Area Historical Museum are reported as discretely presented component units. Component units are legally separate entities, for which the City is financially accountable. Additional demographic information can be found in the statistical section of this report.

Accounting System and Budgeting

The accounts of the City are organized on the basis of funds, with a separate set of self-balancing accounts that comprise its assets, liabilities, deferred inflows/outflows, fund equity, revenues, and expenditures/expenses. Resources are allotted to and accounted for within individual funds based upon the purposes for which the funds are to be spent and the means by which the spending activities are controlled.

The City's accounting records for governmental funds are maintained on a modified accrual basis of accounting. Under the modified accrual basis of accounting, revenues are recorded when measurable and available to liquidate obligations of the current period. Expenditures are recorded when a liability is incurred that is expected to draw upon current financial resources. At year-end the City makes certain adjustments to the accounting records to permit the preparation of certain financial statements on the accrual basis to comply with GAAP.

The annual budget serves as the formal foundation for the City's financial planning and control. The City Manager presents a recommended budget to the City Council, a series of public hearings are held, and final adoption of the budget occurs before December 31st in accordance with state statute. The City continues to work towards developing a long range strategic/financial plan in cooperation with the annual budget process. A budget to actual comparison is provided within the required supplementary information subsection at the end of the financial section of this report.

Economic Condition and Outlook

Local Economy: The City of Joliet is the third largest city in Illinois and is the county seat for Will County. Strategically located along the crossroads of Interstates 80 and 55 only 35 miles southwest of Chicago. We are home to 2 casinos, a baseball stadium, the Historic Rialto Square Theatre, and the largest inland port is also partially located in the City of Joliet. Joliet has a healthy mix of residential, commercial, retail, and industrial properties. Joliet's retail sector has remained strong and continues to grow. Tax revenues received from retail operations and purchases have continued to rise over the past several years.

Future Outlook: The City has made significant strides over the last few years to stabilize its finances, however, there are still areas that will need to be addressed to ensure future stability. The most significant area is the costs related to the City's other post-employment benefits (OPEB). The City has allocated revenues from casino taxes to infrastructure and capital equipment replacements.

The City continues to work towards beginning the development of a long-term strategic plan. New opportunities for business growth are continually being sought and a renewed focus has been placed on developing long term strategies for growing as a community. The City provides leadership and encourages the private sector in the development of the downtown footprint as well as new opportunities throughout the City.

Long-term Financial Initiatives

Water Supply: The City of Joliet's is one of six communities that have formed the Grand Prairie Water Commission. This commission has contracted with the City of Chicago to purchase Lake Michigan Water. The Commission will begin construction of the transmission main from Chicago to member communities in 2025.

Water Main Replacements: Until recently, the City of Joliet did not have a proactive water main replacement program leading to a 30% water loss ratio. Prior to receiving Lake Michigan water, the City of Joliet must be at or below a 10% water loss ratio. To be able to attain this requirement, the City is spending approximately $85 million annually on water main replacements.

Financial Policies

The City has established several specific policies to guide its financial operations. These policies relate to financial reporting, fund balance, debt management, cash management and investments, and purchasing. Some of the most significant policies include:

- Capitalize buildings, building improvements, machinery & equipment, vehicles, infrastructure, land, and land improvements with a cost of $25,000 or more.
- Maintain a minimum of 20% of estimated operating expenditures within the General Fund's unreserved fund balance. If the unreserved balance falls below the minimum, a plan will be developed to return the minimum balance, within a reasonable period of time. One-time revenues shall not be used to fund current operations.
- The Water and Sewer Fund is an enterprise fund and as such is expected to be self-sufficient. Rates should be maintained at sufficient levels to meet the costs of water and sewer programs, fund dept service, and build reserves for future capital needs. Water and sewer rates for City consumers are reviewed annually.
- The goal of budget preparation is to produce an annual budget that is within the City's ability to pay. Annually, the City produces a balanced general fund budget. In the case of an unforeseen event, the use of fund balance reserves may be utilized to maintain existing service levels. A plan to replenish reserves will be developed and implemented within the year following the planned drawdown of reserves.
- The expenditures intended for Motor Fuel Tax revenues must not exceed the amount of funds available from the State of Illinois Motor Fuel Tax Fund. These revenues should be used only for street improvements and repair, as allowed by the State of Illinois Law.
- Purchases for goods/services greater than $25,000 are approved by the City Council. For amounts greater than $10,000 but less than $25,000, three written quotes are required and require approval by the City Manager. Department Heads have the authority to purchase goods/services up to $10,000 and three quotes are recommended.
- Invest public funds in a manner that will provide the highest investment return, with the maximum security, while meeting the daily cash flow demands of the City.
- The City requires that deposits, in excess of FDIC insurable limits, be fully collateralized to protect public deposits in a single financial institution if it were to default. The collateral must be placed in safekeeping at or before the time the City buys the investments. To accommodate market changes and provide a level of security for all monies, the collateralization level shall be at least 105% of the market value of principal, plus accrued interest, or as required by the terms of bond issues, municipal bond insurance policies, and/or other financing agreements which may pertain to the City's monies. An independent third-party custodian will always hold collateral.

Awards and Acknowledgements

The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to the City of Joliet for its Comprehensive Annual Financial Report (CAFR) for the year ended December 31, 2022. This was the twenty-second time the City received this prestigious award.

In order to be awarded a Certificate of Achievement, a government must publish an easily readable and efficiently organized comprehensive annual financial report. This report satisfied both accounting principles generally accepted in the United States of America and applicable legal requirements.

A Certificate of Achievement is valid for a period of one year only. We believe that our current Comprehensive Annual Financial Report continues to meet the Certificate of Achievement program's requirements, and we are submitting it to the GFOA to determine its eligibility for another certificate.

The preparation of this report could not have been completed without the efficient and dedicated services of the entire staff of the Finance Department. I would like to thank the Mayor, City Council, and City Manager for their support and leadership in maintaining the highest standards of professionalism in the management of the City's finances. I would like to express my appreciation to all members of the City who assisted and contributed to the preparation of this report.

Respectfully submitted,

Kevin Sing
Director of Finance

CITY OF JOLIET
MAYOR AND CITY COUNCIL MEMBERS

MAYOR
Terry D'Arcy

COUNCILMAN, DISTRICT #1
Larry Hug

COUNCILMAN, DISTRICT #2
Pat Mudron

COUNCILWOMAN, DISTRICT #3
Sherri Reardon

COUNCILMAN, DISTRICT #4
Cesar Cardenas

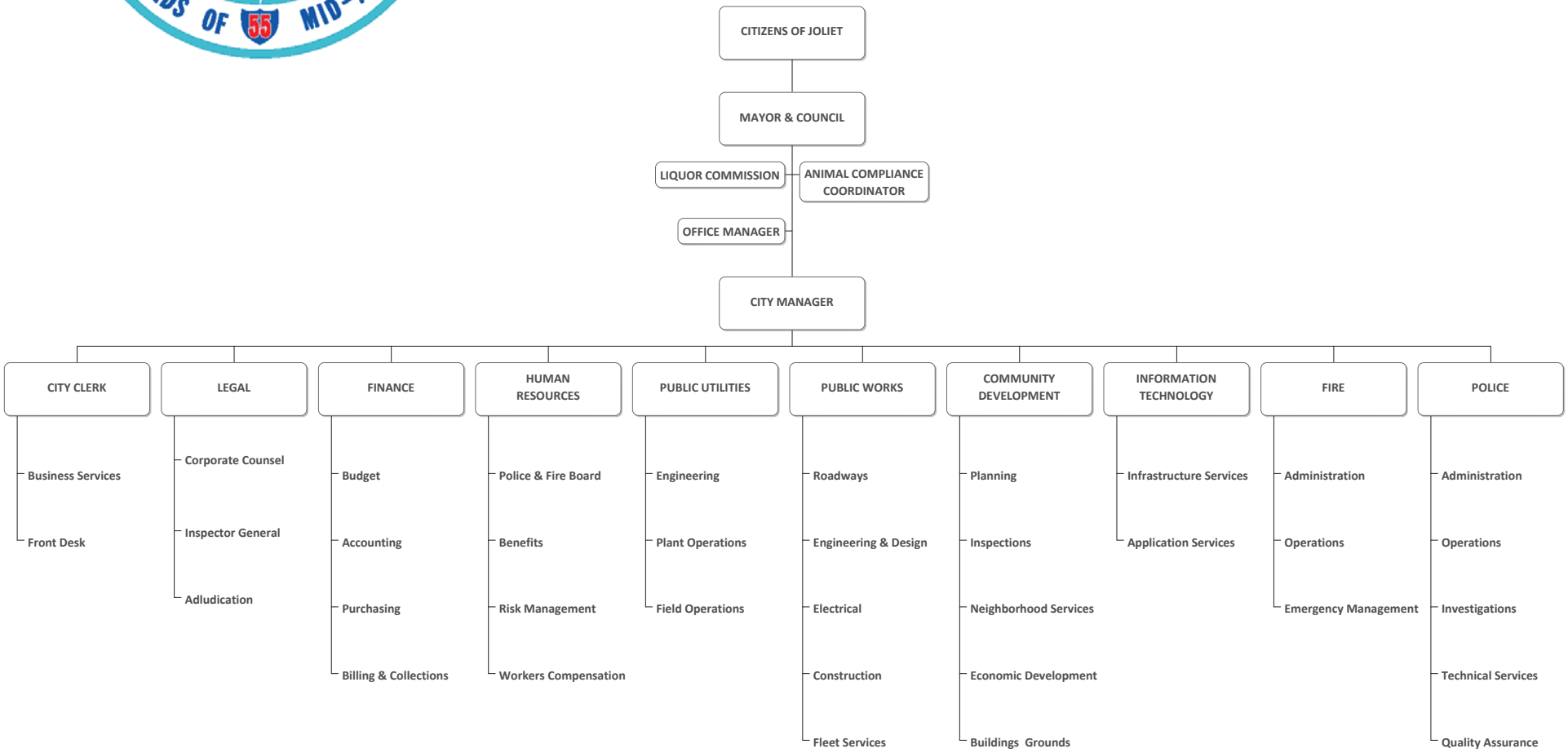
COUNCILWOMAN, DISTRICT #5
Suzanna Ibarra

COUNCILWOMAN AT LARGE
Jan Hallums-Quillman

COUNCILMAN AT LARGE
Juan Moreno

COUNCILMAN AT LARGE
Joe Clement

CITY OF JOLIET



FINANCIAL SECTION

Independent Auditor's Report

To the Honorable Mayor and Members
of the City Council
City of Joliet, Illinois

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the City of Joliet, Illinois, (City) as of and for the year ended December 31, 2024, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the City as of December 31, 2024, and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

We did not audit the financial statements of the Joliet Public Library, as of December 31, 2024, which represent 44%, 46%, and 28%, respectively, of the assets, net position, and revenues of the aggregate discretely presented component units. We did not audit the financial statements of the Joliet Area Historical Museum, as of June 30, 2024, which represent 9%, 10%, and 20%, respectively, of the assets, net position, and revenues of the aggregate discretely presented component units. Additionally, we did not audit the financial statements of the Will County Metropolitan Exposition and Auditorium Authority, as of June 30, 2024, which represent 24%, 28%, and 32%, respectively, of the assets, net position, and revenues of the aggregate discretely presented component units. Those financial statements were audited by other auditors whose reports thereon have been furnished to us, and our opinion, insofar as it relates to the amounts included for the aggregate discretely presented component units, is based solely on the reports of the other auditors.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions. The financial statements of the Joliet Public Library, Joliet Area Historical Museum, Firefighters' Pension Fund of the City of Joliet, and Police Pension Fund of the City of Joliet were not audited in accordance with *Governmental Auditing Standards.*

Wermer, Rogers, Doran & Ruzon, LLC • 755 Essington Rd. Joliet, IL 60435 • Tel: 815/730-6250 • www.wrdr.com
Members of American Institute of Certified Public Accountants/Illinois CPA Society

Change in Accounting Principle

As discussed in Note 1 of the financial statements, the City adopted the provisions of Governmental Accounting Standards Board (GASB) Statement No. 101, *Compensated Absences,* in calendar year 2024. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

The City's management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control–related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, Pension Schedules, Other Postemployment Benefits Schedule, budgetary comparison information and notes to required supplementary information on pages 5 through 17, 92 through 103, 104, 105 through 109, and 110, respectively, be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The other supplementary information is presented for purposes of additional analysis and are not a required part of the basic financial statements.

The other supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the other supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information Included in the Annual Report

Management is responsible for the other information included in the annual report. The other information comprises the introductory section and statistical section but does not include the financial statements and our auditor's report thereon. Our opinions on the financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon. In connection with our audit of the financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe in our report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards,* we have also issued our report dated October 30, 2025, on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

Werner, Rogers, Doran, + Runyon, LLC

October 30, 2025

As management of the City of Joliet (the "City"), we offer readers of the City's financial statements this narrative overview and analysis of the financial activities for the fiscal year ended December 31, 2024. Please read it in conjunction with the transmittal letter beginning on page v and the City's financial statements, which begin on page 18.

Financial Highlights

- The liabilities and deferred inflows of resources of the City exceeded the assets and deferred outflows of resources at year-end by $25.3 million (net position). Of this amount, unrestricted net position (those that may be used to meet the City's on-going obligations to citizens and creditors) totaled ($895.7) million, restricted net position accounted for $104.3 million and the net investment in capital assets totaled $766.1 million. Total net position for Governmental activities was ($334.1) million and Business-type activities totaled $308.8 million.

- The total primary government-wide expenses for the year ended December 31, 2024 were $352.6 million and total primary government-wide taxes and other revenues for City functions were $359.3 million, resulting in an increase of in net position of $6.7 million.

- Revenues of the governmental activities decreased $87.8 million or 24.4% from the prior year, while expenses increased $10.8 million or 3.9%.

- Business-type activities generated $86.6 million in revenues, up $4.3 million or 5.2% from the prior year and expenses totaled $63.8 million, a $3.2 million increase or 5.3%.

- The combined fund balances for the City's governmental funds at year-end totaled $209**.7** million, a decrease of $21.5 million or 9.3% in comparison to the prior year.

- Total General Fund revenues for the year were $235.3 million, while total expenditures before transfers were $227.0 million.

- At year-end, the unassigned fund balance in the General Fund was $89.5 million, or 39.4% of the total General Fund expenditures.

Overview of the Financial Statements

This discussion and analysis is intended to serve as an introduction to the City of Joliet's basic financial statements. They are primarily comprised of the following five components:

- Government-wide Financial Statements (pages 18-21)
- Fund Financial Statements (pages 22-32)
- Component Unit Financial Statements (pages 33-36), and
- Notes to the Financial Statements (pages 37-91).

The City's financial statements are presented to offer two perspectives of its financial position and results of operations. The first perspective being the financial position of the government as a whole (Government-wide Financials) and the second financial information for the individual entities established by the City for specific purposes (Fund Financials). Both perspectives are meant to address likely user questions, provide a broad basis for comparison (year to year or government to government), and enhance the City's accountability to both its citizens and other interested parties.

Government-wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private sector business.

The *Statement of Net Position* presents information on all the City's assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference between all components reported as net position. Over time, increases and decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.

The *Statement of Activities* presents information showing how the government's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of the cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes, earned but unused sick leave and vacation time, etc.).

Both of these financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The primary governmental activities for the City include general government, public safety (police and fire), public works, refuse disposal, culture and recreation, community development, and interest on long-term debt. Business-type activities of the City include water/sewer and parking.

The government-wide financial statements report a third type of activity known as component units. The City's component units include: the Joliet Public Library, Riverwalk Homes, LLC, the Will County Metropolitan Exposition and Auditorium Authority, and the Joliet Area Historical Museum. Although legally separate, these "component units" are important because the City is financially accountable for them.

Other non-financial factors such as changes in the City's property tax base and the condition of the City's roads and infrastructure should be considered in addition to these financial statements to determine the overall health of the City.

The government-wide financial statements may be found on pages 18-21 of this report.

Fund Financial Statements

The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The fund financial statements provide supplementary detailed information about the City's most significant funds, but not the City as a whole. The City has three types of funds: governmental, proprietary, and fiduciary.

Governmental Funds are used to account for most of the City's basic services, primarily those reported as "governmental activities" in the government-wide financial statements. Governmental Fund financial statements focus on near-term inflows and outflows of spendable resources, as well as year-end balances of spendable resources. This information is useful in evaluating a government's near-term financing requirements.

Since the focus of the governmental funds financial statements is narrower than the government-wide statements, it is useful to compare the information presented in the governmental funds statements with similar information presented in the government-wide statements. By doing so, readers may better understand the long-term impact of the government's short-term financing decisions. For this purpose, both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances present a reconciliation between the governmental funds and governmental activities (see pages 23 and 25).

The City of Joliet maintains twenty-one individual governmental funds. The City considers the General Fund, the Evergreen Terrace II Fund, the Motor Fuel Tax Fund, and the Tax Increment Financing Fund #7 as "major" funds, and therefore information on these funds is presented separately in the governmental funds balance sheet and statement of revenues, expenditures, and changes in fund balances. The other governmental funds (Block Grant Fund, Grants and Special Revenue Fund, Special Revenue Revolving Fund, Foreign Fire Tax Fund, City Center Special Service Area Fund, Park Hill Special Service Area Fund, Miscellaneous Special Service Area Fund, Business District Tax Allocation Fund, Tax Increment Financing Fund #2, Tax Increment Financing Fund #3, Tax Increment Financing Fund #4, Tax Increment Financing Fund #5, Tax Incremental Financing Fund #6, General Debt Service Fund, Capital Improvement Fund, Vehicle Replacement Fund, and Performance Bonds Fund) are combined into a single, aggregated presentation termed nonmajor funds. Individual fund data for each nonmajor governmental fund is provided in the form of combining statements in the Other Supplementary Information Section of the report (see pages 120-142).

Basic governmental funds financial statements can be found on pages 22-25 of this report.

Proprietary Funds can either be enterprise funds or internal service funds. The City maintains two enterprise funds; which are used to report the same functions presented as the business-type activities in the government-wide financial statements. The two enterprise funds are the Water & Sewer Fund and the Parking Fund. The proprietary funds financial statements are generally reported in the same way that all activities are reported in the government-wide financials.

The basic proprietary funds financial statements can be found on pages 26-30 of this report.

Fiduciary Funds account for resources held for the benefit of parties outside the primary government. As such, these funds are not reflected in the government-wide statements because the resources of those funds are not available to support the City of Joliet's own programs. The accounting for fiduciary funds is similar to that of the proprietary funds. The City has two fiduciary funds, the Police Pension Fund and the Firefighters' Pension Fund. The City is the trustee for the two pension funds and is responsible to ensure the assets reported in them are used only for the purposes intended.

The basic fiduciary funds financial statements can be found on pages 31-32 of this report.

Notes to Basic Financial Statements

The notes provide additional information that is essential for the reader to acquire a full understanding of the data provided in the government-wide and fund financial statements. The notes begin on page 37 of this report.

Other Information

In addition to the basic financial statements and accompanying notes, this report presents certain required supplementary information concerning the City's employee pension and postemployment benefit obligations, and budgetary comparison schedules for the City's funds. Also presented are the combining statements for the nonmajor governmental funds mentioned previously. This other information begins on page 92 of this report.

Government-wide Financial Analysis

One of the most important questions asked about the City's finances is, "Is the City as a whole better off or worse off as a result of the year's activities?" Therefore, beyond presenting the current year financial information the City also presents comparative information from the prior year in this discussion and analysis of the current year. By doing so, the City believes that it is providing the best means for the reader to analyze the financial condition and position of the City as of the year ended December 31, 2024.

Net Position

The following table reflects the Condensed Statement of Net Position.

Table 1
Condensed Statement of Net Position
(In Millions - Rounded)

	Governmental Activities		Business Type Activities		Total Primary Government	
	2024	2023	2024	2023	2024	2023
Assets						
Current and Other	$ 334.7	$ 356.8	$ 141.7	$ 162.5	$ 476.4	$ 519.3
Capital Assets	580.5	541.2	635.8	593.3	1,216.3	1,134.5
Total Assets	915.2	898.0	777.5	755.8	1,692.7	1,653.8
Deferred Outflows of Resources	129.4	209.8	16.7	26.6	146.1	236.4
Liabilities						
Current and Other	84.1	83.4	36.8	34.3	120.9	117.7
Long-Term	945.0	1,113.7	414.5	438.9	1,359.5	1,552.6
Total Liabilities	1,029.1	1,197.1	451.3	473.2	1,480.4	1,670.3
Deferred Inflows of Resources	349.6	225.4	34.1	21.0	383.7	246.4
Net Position						
Net Investment in Capital Assets	473.0	435.4	293.1	315.4	766.1	750.8
Restricted	83.4	106.2	20.9	16.4	104.3	122.6
Unrestricted	(890.5)	(856.3)	(5.2)	(43.6)	(895.7)	(899.9)
Total Net Position	($ 334.1)	($ 314.7)	$ 308.8	$ 288.2	($ 25.3)	($ 26.5)

The City's combined net position increased by $6.7 million, from ($32.0) million, as adjusted, to ($25.3) million, from 2023 to 2024. This change includes a prior period adjustment of ($5.5) million related to the implementation of GASB Statement No. 101, *Compensated Absences*.

Changes in Net Position

There are six basic (normal) transactions that affect the comparability of the Statement of Net Position summary presentation. They are:

- ***Net Results of Activities*** – either increases or decreases current assets and "unrestricted net position".
- ***Borrowing for Capital*** – will increase current assets and long-term debt.
- ***Spending Borrowed Proceeds on New Capital*** – reduces current assets and increases capital assets.
- ***Spending Non-borrowed Current Assets on New Capital*** – reduces current assets and increases capital assets, while reducing net position category "unrestricted net position" and increasing "net investment in capital assets".
- ***Principal Payment of Debt*** – reduces current assets and long-term debt, while reducing "unrestricted net position" and increasing "net investment in capital assets".
- ***Reduction in Capital Assets through Depreciation/Amortization*** – reduces capital assets and "net investment in capital assets".

Current Year Impacts

Total assets increased by $38.9 million due in part to an increase in capital asset additions. Total liabilities decreased $189.9 million. Changes in liabilities included a $173.8 million decrease in the total Other Postemployment Benefits liability. The City provides excellent health care and life insurance benefits for retirees which are reflected in the noncurrent liability.

As mentioned earlier, net position serves as a useful indicator of a government's financial position. For fiscal year ended December 31, 2024, the City's total liabilities and deferred inflows exceeded total assets and deferred outflows. Additionally, a significant portion of the total net position ($766.1 million) is reflected in capital assets (e.g., land, buildings, equipment, and infrastructure). The City uses these capital resources to provide services to the residents; consequently, these assets are not available for future spending. Although the City's investment in capital assets is reported net of related debt, the resources needed to repay this debt must be provided from other sources, since the City generally cannot use the capital assets themselves to liquidate these liabilities.

A Condensed Statement of Changes in Net Position is shown on the following page, for additional detail please see pages 18 and 19 for the full Statement of Activities.

Table 2
Condensed Statement of Changes in Net Position
(In Millions - Rounded)

	Governmental Activities		Business Type Activities		Total Primary Government	
	2024	2023	2024	2023	2024	2023
Revenues						
Program Revenues:						
Charges for Services	$ 44.8	$ 40.3	$ 77.2	$ 73.2	$ 122.0	$ 113.5
Operating Grants and Contributions	12.1	8.4	3.0	0.1	15.1	8.5
Capital Grants and Contributions	7.8	6.7	-	-	7.8	6.7
General Revenues:						
Property Taxes	51.6	47.7	-	-	51.6	47.7
Intergovernmental Revenues						
Gaming Taxes	13.9	17.8	-	-	13.9	17.8
State Sales Taxes	31.3	29.6	-	-	31.3	29.6
State Income Taxes	25.9	24.2	-	-	25.9	24.2
Other Intergovernmental	10.1	13.6	-	-	10.1	13.6
Home Rule Sales Taxes	36.9	35.2	-	-	36.9	35.2
Utility Taxes	7.5	8.4	-	-	7.5	8.4
Other Taxes	15.8	15.9	-	-	15.8	15.9
Interest and Investment Earnings	10.3	9.1	3.5	6.0	13.8	15.1
Other	4.7	3.8	2.9	3.0	7.6	6.8
Unusual or Infrequent Item	-	99.8	-	-	-	99.8
Total Revenues	272.7	360.5	86.6	82.3	359.3	442.8
Program Expenses						
General Government	68.6	59.9	-	-	68.6	59.9
Public Safety	146.7	153.0	-	-	146.7	153.0
Public Works	18.9	30.0	-	-	18.9	30.0
Refuse Disposal	14.3	13.9	-	-	14.3	13.9
Culture and Recreation	1.2	1.0	-	-	1.2	1.0
Community Development	34.7	16.0	-	-	34.7	16.0
Interest on Long-Term Debt	4.4	4.2	-	-	4.4	4.2
Water and Sewer	-	-	61.9	59.4	61.9	59.4
Parking Facilities	-	-	1.9	1.2	1.9	1.2
Total Expenses	288.8	278.0	63.8	60.6	352.6	338.6
Excess (Deficiency) of Revenues Over Expenses Before Transfers	(16.1)	82.5	22.8	21.7	6.7	104.2
Transfers	1.6	2.0	(1.6)	(2.0)	-	-
Change in Net Position	(14.5)	84.5	21.2	19.7	6.7	104.2
Net Position, Beginning	(314.7)	(399.2)	288.2	268.5	(26.5)	(130.7)
Beginning Net Position Adjustment	(4.9)	-	(0.6)	-	(5.5)	-
Net Position, Beginning, as Adjusted	(319.6)	(399.2)	287.6	268.5	(32.0)	(130.7)
Net Position, Ending	($ 334.1)	($ 314.7)	$ 308.8	$ 288.2	($ 25.3)	($ 26.5)

Primary Government Activities

The preceding table shows the City's activity from year to year. Primary government revenues decreased by $83.5 million or 18.9% and primary government expenses increased by $14.0 million or 4.1%.

A closer look shows the main decrease is due to the Houbolt Road Bridge contributed capital reported as an unusual or infrequent item in 2023 and not 2024. Additionally, there was a $8.5 million or a 7.5% increase in charges for services – water and sewer revenues were higher by $4.0 million due to an increase in water service charges. Operating grants and contributions were up $6.6 million mainly due to an increase in federal and state grants received in the current year. Capital grants and contributions were up by $1.1 million.

Total primary government expenses increased $14.0 million from $338.6 million to $352.6 million. Governmental activities' expenses increased $10.8 million, mainly due to increases in general government and community development expenses.

Business-type activities' expenses increased $3.2 million, mainly due to increased water and sewer expenses. When expenses are coupled with transfers out of $1.6 million for 2024, total outflows of business-type activities increased $3.6 million.

Governmental Activities

Table 3a
Governmental Activities
(In Millions - Rounded)

	Total Cost of Services		Net Cost of (Surplus from) Services	
	2024	2023	2024	2023
General Government	$ 68.6	$ 60.0	$ 32.3	$ 28.6
Public Safety	146.7	153.0	149.2	156.2
Public Works	18.9	30.0	13.1	25.9
Refuse Disposal	14.3	13.8	(2.2)	(2.0)
Culture and Recreation	1.2	1.0	1.3	1.2
Community Development	34.7	16.0	26.0	8.5
All Others	4.4	4.2	4.4	4.2
Total	$ 288.8	$ 278.0	$ 224.1	$ 222.6

Table 3a presents the cost of each of the City's largest governmental activity categories – general government, public safety, public works, refuse disposal, culture and recreation, community development, and other – as well as each category's *net* cost (total cost less revenue generated by the activities). The net cost shows the financial burden that was placed on the City's taxpayers by each of these functions.

The general government category includes general administrative functions as well as various employee benefit programs. Public safety includes police and fire protection, as well as the emergency services disaster administration program and the school crossing guard program. Public works includes street and bridge maintenance, costs associated with street lighting, the Motor Fuel Tax Fund – used for infrastructure improvements, costs related to special service areas, and property improvement costs. Refuse disposal consists of the City's contractual costs to provide garbage, recycling, and refuse disposal for its residents. Culture and recreation include the maintenance of the City's Billie Limacher Bi-Centennial Park. Community development includes planning, inspections, neighborhood services, construction costs related to the multi-modal transportation center, costs of the tax incremental financing activities, and activities supported by the community development block grant.

Business-Type Activities

Revenues of the City's business-type activities (see Table 2) increased by $4.3 million or 5.2% while expenses increased by $3.2 million. The City's business-type activities are comprised of two separate and distinct activities: Water/Wastewater Utility and Parking Facilities.

Total revenues from parking activities decreased by 15.81% (from $0.85 million to $0.72 million), while expenses increased 63.0% (from $1.2 million to 2.0 million). The decrease in revenues was due to a decrease in parking collections, and the increase in expenses was mostly attributable to increased pension and OPEB expenses and property service expenses.

Water and wastewater utility total revenues increased by $5.7 million or 7.15% (from $79.2 million to $84.9 million), primarily due to increased water usage and rate increases and interest earnings.

As shown in Table 3b, the overall net cost of providing water and wastewater services is a positive $17.6 million, after transfers out and miscellaneous revenues, the increase in net position is $21.2 million; with the year over year increase coming from an increase in charges for services.

Table 3b
Business-Type Activities
(In Millions - Rounded)

	Total Cost of Services		Net Cost of (Surplus from) Services	
	2024	2023	2024	2023
Water and Sewer	$ 61.9	$ 59.4	($ 17.6)	($ 13.1)
Parking Facilities	1.9	1.2	1.3	0.5
Total	$ 63.8	$ 60.6	($ 16.3)	($ 12.6)

Financial Analysis of the City's Major Funds

As noted earlier, the City uses fund accounting to ensure and demonstrate compliance with finance related legal requirements.

Governmental Funds

The focus of the City governmental funds is to provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at year end.

Governmental Funds reported a combined fund balance of $209.7 million, a decrease of $21.5 million from the prior year's balance of $231.2 million. The unassigned fund balance of $83.5 million is available for spending at the City's discretion. The remaining $126.2 million represents nonspendable, restricted, committed or assigned resources that are available only for specific purposes, such as capital projects, debt service, and grant-funded programs.

These restrictions and commitments limit the portion of resources available for general governmental use. While the overall financial position of the City remains sound, the composition of fund balance reflects that a significant share of available resources is dedicated to specific obligations and planned initiatives rather than discretionary purposes.

The General Fund is the chief operating fund of the City. At year end, it reported a fund balance of $111.9 million, an increase of $14.0 million as compared to last year's total of $97.9 million. Revenues over expenses for the year showed a positive $8.3 million, which was coupled with net transfers in and proceeds from SBITA (subscription-based IT arrangement) issuances of $5.7 million. Overall, General Fund revenues increased $13.3 million from 2023. Many revenue sources mirrored the prior year; however, federal, state and private grants and allotments increased $2.2 million.

The Evergreen Terrace II Fund, a major special revenue fund, records transactions related to the Evergreen Terrace property. The City paid $15 million in 2015 to purchase the Evergreen Terrace property; the transaction was finalized in 2017. The year-end fund balance for the Evergreen Terrace II Fund is a deficit $6.0 million compared to $6.1 million in 2023.

The Motor Fuel Tax Fund, a major special revenue fund, collects allocated taxes from the state of Illinois. The revenues are strictly available for improvements to the City's bridges and roadways. The City received $8.2 million in revenues during 2024 and spent $9.1 million on city-wide roadway improvements. Revenues remained consistent in 2024 due to similar amounts received in state shared revenue. The year-end fund balance for the Motor Fuel Tax Fund is $23.1 million, which is a $0.9 million decrease from the prior year.

The Tax Increment Financing Fund #7, a major special revenue fund, records transactions related to the Tax Increment Financing District #7. The City spent $21.2 million for the Rock Run Crossing Project during the year. The year-end fund balance for the Tax Increment Financing Fund #7 is $42.8 million, which is a $23.1 million decrease from the prior year.

Other governmental funds are comprised of the Block Grant Fund, Grants and Special Revenue Fund, Special Revenue Revolving Fund, Foreign Fire Tax Fund, City Center Special Service Area Fund, Park Hill Special Service Area Fund, Miscellaneous Special Service Area Fund, Business District Tax Allocation Fund, Tax Increment Financing Fund #2, Tax Increment Financing Fund #3, Tax Increment Financing Fund #4, Tax Increment Financing Fund #5, Tax Increment Financing Fund #6, General Debt Service Fund, Capital Improvement Fund, Vehicle Replacement Fund and Performance Bonds Fund. Once again, the primary activity for this year occurred in the Grants and Special Revenue Fund which accounts for the revenues and expenses associated with the Houbolt Road project that is funded through private and state grants. Significant activity was also seen in the Capital Improvement Fund and Vehicle Replacement Fund as the City continued purchases for roads/sidewalks, vehicles, and equipment upgrades.

General Fund Budgetary Highlights

Over the course of the year, the budget was revised by the City for specific reasons. These budget amendments fall into three categories. The first category includes rollovers of certain prior year unexpended capital funds. The second category includes budget revisions made during the year for special projects for which funds became available. The third category is for budget reallocations that are intended to prevent budget overruns.

As shown in Table 4 below, actual General Fund revenues of $235.3 million were more than budgeted revenues by $2.9 million or 1.2%; while actual expenditures were under budget by $1.7 million or 0.7%. The City continued to work with the employee unions to delay wage increases, maintain the employee complement and employ other measures to reduce overtime and other expenses. In addition, the City has delayed maintenance in areas in which safety or other critical functions would not be compromised. While the City has made significant efforts to control costs to address the economic downturn of the past several years, the rising costs of healthcare and pension obligations continue to put pressure on the long-term financial trend of the City.

The variances between the original and final amended budgets and actual results is primarily attributable to the treatment of intra-fund transfers. The original and final budgets include both intra-fund and interfund transfers, whereas the actual results reflect only interfund transfers, which accounts for the budgetary differences.

Table 4
General Fund - Budget to Actual – GAAP Basis (In Millions - Rounded)

	Original Budget	Final Budget	Actual	Variance With Final Budget
Revenues	$ 220.3	$ 232.4	$ 235.3	$ 2.9
Expenditures	225.7	228.7	227.0	1.7
Excess (Deficiency) of Revenues Over Expenditures	(5.4)	3.7	8.3	4.6
Other Financing Sources and Uses:				
Proceeds from SBITA	-	-	2.8	2.8
Transfers from Other Funds	36.2	37.4	3.7	(33.7)
Transfers to Other Funds	(30.6)	(39.6)	(0.9)	38.7
Net Change in Fund Balance	$ 0.2	$ 1.5	$ 13.9	$ 12.4

Capital Assets and Debt Administration

Capital Assets

At the end of 2024, the City had $1,216.3 million invested in a broad range of capital assets, including police and fire equipment, buildings, roads, bridges, parking decks, and water and sewer facilities. (See Table 5 below.) This amount represents a net increase (including additions, deductions, and depreciation) of approximately $81.8 million or 7.2% from last year.

Table 5
Capital Assets at Year-End
(Net of Depreciation, in Millions - Rounded)

	Governmental Activities		Business Type Activities		Totals	
	2024	2023	2024	2023	2024	2023
Land and Land Improvements	$ 36.2	$ 35.5	$ 5.5	$ 5.5	$ 41.7	$ 41.0
Buildings	38.8	38.6	-	-	38.8	38.6
Waterworks and Sewerage System	-	-	462.8	467.1	462.8	467.1
Parking Facilities	-	-	1.1	1.2	1.1	1.2
Equipment	28.3	24.6	17.0	15.9	45.3	40.5
Infrastructure	379.7	382.3	-	-	379.7	382.3
Construction in Progress	94.2	59.4	149.4	103.6	243.6	163.0
Subscription (Intangible Asset)	3.3	0.8	-	-	3.3	0.8
Totals	$ 580.5	$ 541.2	$ 635.8	$ 593.3	$ 1,216.3	$ 1,134.5

This year's major capital project additions included the following:

- $48.8 million for road projects;
- $7.9 million for equipment and vehicles; and
- $126.5 million for construction in progress and new water/sewer system improvements.

More detailed information about the City's capital assets is presented in note 7 to the financial statements.

Debt

At year-end, the City had $450.1 million in bonds and loans outstanding versus $451.7 million last year – a decrease of 0.4% – as shown in Table 6.

Table 6
Outstanding Debt, at Year End
(In Millions - Rounded)

	Governmental Activities		Business Type Activities		Totals	
	2024	2023	2024	2023	2024	2023
General Obligation Bonds (Backed by the City)	$ 104.1	$ 105.1	$ -	$ -	$ 104.1	$ 105.1
Subscription Lease Liability	3.3	0.7	-	-	3.3	0.7
Revenue Bond Anticipation Notes			21.8	78.2	21.8	78.2
WIFIA Loans	-	-	77.3	55.1	77.3	55.1
IEPA Loans	-	-	243.6	212.6	243.6	212.6
Totals	$ 107.4	$ 105.8	$ 342.7	$ 345.9	$ 450.1	$ 451.7

During the year, the City continued to borrow funds from the Water Infrastructure Finance and Innovation Act (WIFIA) loan program and the Illinois Environmental Protection Agency (IEPA). Loans outstanding are being used for improvements to the water and sewer system.

As of the year ended December 31, 2024, the City's Waterworks and Sewerage Senior Lien Revenue Bond Anticipation Notes rating was K1 and the City's general obligation bond rating was AA-. More detailed information about the City's long-term debt is presented in note 13 to the financial statements.

Economic Factors and Next Year's Budget

The City, like many local, state, and federal governmental entities, has experienced a sustained period of financial instability and difficulty. Declining revenue streams coupled with rising personnel, pension, and insurance costs have been significant challenges for the City.

The City's elected and appointed officials considered these factors when establishing the 2025 budget. The 2025 budgeted expenses (including transfers) of $661.7 million represent an increase of $136.4 million as compared to the 2024 revised budget of $525.3 million.

The 2025 budget focused on the continuation of the following goals: continuing the City's effort to raise the funding levels for the police and fire pension funds; adding new staff positions; opening Chicago Street; continued support of the Historical Museum, Will County Courthouse and Rialto; and continuing the commitment made to maintaining at least two months of operating expenses as a reserve balance.

The City has been able to make some major capital investments due to federal and state grants, private contributions, and other restricted revenue sources. The City also has budgeted $16.9 million in the Motor Fuel Tax Fund for roadway resurfacing projects.

The City took possession of Evergreen Terrace, a Housing and Urban Development (HUD) sponsored housing project in 2017. Evergreen Terrace will be the focus of the City Council and the City Administration to develop a long-term plan for the housing project. On September 4, 2018, the Joliet City Council approved a plan that calls for the non-renewal of 179 of the 356 separate 20-year Housing Assistance Payment contracts which would result in maintaining a total of 177 units going forward. The downsizing project may take several years to complete.

The Mayor and City Council continue to work with the Administration to formulate long-term objectives to ensure future budgets are in balance and strategic long-term goals and policies are in place. Without a long-term strategic policy in place, assumptions used for long-term projections are difficult to make and can provide unachievable expectations. Items for discussion include tax policy, long-term capital investment requirements for building, infrastructure, equipment and technology, reserve requirements, overall compensation, and debt. A long-term strategic plan is being formulated for years beyond 2025.

While the local economic environment and the impact it has on the City's available revenues continues to present challenges, the Mayor and City Council are committed to passing a balanced budget. The 2025 budget maintains this commitment; designates the necessary operating reserves; and continues to provide for the basic needs of the growing community.

Contact Information

This financial report is designed to provide our citizens, taxpayers, customers, investors, and creditors with a general overview of the City's finances and to show the City's accountability for the money it receives. If you have any questions about this report or need additional financial information, contact the Finance Department at the City of Joliet, 150 West Jefferson Street, Joliet, Illinois 60432-4158.

Component Units

Joliet Public Library
Separate financial statements may be obtained at the Library's business office, 150 North Ottawa Street, Joliet, Illinois 60432.

Riverwalk Homes, LLC
Separate financial statements may be obtained at the LLC's administrative office, 1020 W. Montrose Ave., Chicago, Illinois 60613.

Will County Metropolitan Exposition and Auditorium Authority
Separate financial statements may be obtained at the Authority's administrative office, 15 East Van Buren Street, Joliet, Illinois 60432.

The Joliet Area Historical Museum
Separate financial statements may be obtained at the Museum's administrative office, 204 North Ottawa Street, Joliet, Illinois 60432.

Basic Financial Statements

CITY OF JOLIET, ILLINOIS

Statement of Net Position
December 31, 2024

	Primary Government			
	Governmental Activities	Business-Type Activities	Total	Component Units
ASSETS				
Current Assets:				
Cash	$ 48,488,140	$ 6,845,746	$ 55,333,886	$ 13,842,067
Restricted Assets				
Restricted Cash	-	13,733,643	13,733,643	-
Escrow Deposits	-	22,464,538	22,464,538	-
Investments	176,590,335	19,778,274	196,368,609	1,377,819
Receivables				
Property Taxes, Net of Allowance for Uncollectible Amounts	55,356,023	-	55,356,023	6,767,683
Intergovernmental	25,166,553	69,664,460	94,831,013	921,863
Accrued Interest	553,432	125	553,557	6,396
Customer Accounts, Net	8,715,326	4,909,867	13,625,193	1,342,575
Estimated Unbilled Usage	1,232,289	6,464,580	7,696,869	-
Leases Receivable	2,142	-	2,142	149,764
Other	-	-	-	815,483
Inventory	137,594	-	137,594	69,798
Prepaid Expenses	-	-	-	292,821
Deposits	-	-	-	1,150
Internal Balances	2,173,846	(2,173,846)	-	-
Total Current Assets	318,415,680	141,687,387	460,103,067	25,587,419
Noncurrent Assets:				
Equity Interest in Component Unit	5,585,658	-	5,585,658	-
Due from Component Unit	8,333,725	-	8,333,725	-
Leases Receivable - Non-Current	2,444,319	-	-	1,433,651
Other Assets	-	-	-	307,934
Capital Assets (Net)				
Land	31,435,042	5,556,317	36,991,359	-
Construction in Progress	94,216,542	149,352,813	243,569,355	-
Infrastructure	379,689,791	-	379,689,791	-
Land Improvements	4,716,962	-	4,716,962	-
Buildings	38,794,331	-	38,794,331	-
Waterworks and Sewerage System	-	462,777,116	462,777,116	-
Parking Decks and Lots	-	1,119,278	1,119,278	-
Equipment	28,256,046	16,999,771	45,255,817	-
Subscription (Intangible Asset)	3,344,064	-	-	-
Library	-	-	-	20,687,032
Riverwalk Homes, LLC	-	-	-	11,631,609
W.C.M.E.A.A.	-	-	-	8,141,777
Historical Museum	-	-	-	3,971,576
Intangible Assets (Net)	-	-	-	56,903
Total Noncurrent Assets	596,816,480	635,805,295	1,226,833,392	46,230,482
Total Assets	915,232,160	777,492,682	1,692,724,842	71,817,901
DEFERRED OUTFLOWS OF RESOURCES				
Deferred Outflows Related to Pensions	26,970,804	4,174,385	31,145,189	1,019,025
Deferred Outflows Related to OPEB	102,503,780	12,577,556	115,081,336	-
Total Deferred Outflows of Resources	129,474,584	16,751,941	146,226,525	1,019,025
Total Assets and Deferred Outflows of Resources	$ 1,044,706,744	$ 794,244,623	$ 1,838,951,367	$ 72,836,926

See Accompanying Notes to Basic Financial Statements.

	Primary Government			
	Governmental Activities	Business-Type Activities	Total	Component Units
LIABILITIES				
Current Liabilities:				
Vouchers Payable	$ 25,557,297	$ 29,749,204	$ 55,306,501	$ 2,726,713
Accrued Payroll	5,270,285	773,124	6,043,409	246,890
Accrued Compensated Absences - Current	13,620,846	1,828,781	15,449,627	46,379
Health Claims Payable	2,159,200	-	2,159,200	-
Accrued Interest	206,675	1,512,565	1,719,240	6,165
Accrued Real Estate Taxes	-	-	-	397,717
Loans Payable - Current	-	11,972,369	11,972,369	-
General Obligation Bonds - Current	360,000	-	360,000	-
Revenue Bond Anticipation Notes - Current	-	21,490,000	21,490,000	-
Notes Payable - Current	-	-	-	297,586
Subscription Lease Liability - Current	573,589	-	573,589	-
Customer Deposits and Credits	2,259,191	1,276,745	3,535,936	-
Estimated Liability for Self-Insured Losses - Current	2,269,160	-	2,269,160	-
Unearned Revenue	18,845,846	30,426	18,876,272	126,821
Other Postemployment Benefits - Current	13,314,999	1,633,794	14,948,793	-
Other	-	-	-	1,918,980
Total Current Liabilities	84,437,088	70,267,008	154,704,096	5,767,251
Noncurrent Liabilities:				
Accrued Compensated Absences	13,620,846	1,828,778	15,449,624	227,032
Net Pension Liability	374,233,396	15,088,360	389,321,756	3,858,333
Estimated Liability for Self-Insured Losses	2,888,000	-	2,888,000	-
Other Postemployment Benefits	447,445,446	54,903,047	502,348,493	-
General Obligation Bonds	103,776,953	-	103,776,953	-
Revenue Bond Anticipation Notes	-	284,968	284,968	-
Subscription Lease Liability	2,770,359	-	2,770,359	-
Leases Payable	-	-	-	67,436
Due to Primary Government	-	-	-	8,333,725
Notes Payable	-	-	-	1,339,165
Loans Payable	-	308,964,277	308,964,277	54,810
Total Noncurrent Liabilities	944,735,000	381,069,430	1,325,804,430	13,880,501
Total Liabilities	1,029,172,088	451,336,438	1,480,508,526	19,647,752
DEFERRED INFLOWS OF RESOURCES				
Deferred Property Taxes	55,356,023	-	55,356,023	6,767,683
Deferred Inflows Related to Pensions	21,278,036	897,951	22,175,987	264,549
Deferred Inflows Related to Leases	2,423,788	-	-	718,541
Deferred Inflows Related to OPEB	270,589,149	33,202,189	303,791,338	-
Total Deferred Inflows of Resources	349,646,996	34,100,140	383,747,136	7,750,773
NET POSITION				
Net Investment in Capital Assets	472,994,550	293,093,681	766,088,231	34,406,708
Restricted for:				
Expendable Purposes:				
Donor Restricted Funds	-	-	-	3,477,154
Debt Service	-	20,951,973	20,951,973	-
Road/Capital Projects	28,530,742	-	28,530,742	-
Multi-Modal Transportation Center	4,433,168	-	4,433,168	-
Public Safety	3,560,635	-	3,560,635	-
Tax Incremental Financing Projects	44,441,179	-	44,441,179	-
Community Development Projects	2,427,977	-	2,427,977	-
Nonexpendable Purposes:				
Permanent Funds	-	-	-	10,000
Unrestricted	(890,500,591)	(5,237,609)	(895,738,200)	7,544,539
Total Net Position	(334,112,340)	308,808,045	(25,304,295)	45,438,401
Total Liabilities, Deferred Inflows of Resources, and Net Position	$ 1,044,706,744	$ 794,244,623	$ 1,838,951,367	$ 72,836,926

CITY OF JOLIET, ILLINOIS

Statement of Activities
For the Year Ended December 31, 2024

Functions / Programs	Expenses	Indirect Expense Allocation	Program Charges for Services
Primary Government:			
Governmental Activities:			
General Government	$ 68,580,052	($ 29,668,622)	$ 6,635,190
Public Safety	146,701,018	24,610,504	16,193,847
Public Works	18,895,693	2,890,353	418,127
Refuse Disposal	14,289,420	-	16,443,784
Culture and Recreation	1,216,139	170,021	51,182
Community Development	34,719,196	1,997,744	5,065,586
Interest on Long-Term Debt	4,389,337	-	-
Total Governmental Activities	288,790,855	-	44,807,716
Business-Type Activities:			
Water and Sewer	61,910,598	-	76,601,979
Parking Facilities	1,952,506	-	631,922
Total Business-Type Activities	63,863,104	-	77,233,901
Total Primary Government	$ 352,653,959	$ -	$ 122,041,617
Component Units:			
Public Library	$ 8,358,625	$ -	$ 59,448
Riverwalk Homes, LLC	5,361,468	-	1,128,475
W.C.M.E.A.A.	5,093,432	-	1,832,844
The Joliet Area Historical Museum	2,798,377	-	802,238
Total Component Units	$ 21,611,902	$ -	$ 3,823,005

See Accompanying Notes to Basic Financial Statements.

Revenues		Net (Expense) Revenue and Changes in Net Position			
		Primary Government			
Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total	Component Units
$ 25,000	$ -	($ 32,251,240)	$ -	($ 32,251,240)	$ -
5,940,123	-	(149,177,552)	-	(149,177,552)	-
1,488,977	6,802,031	(13,076,911)	-	(13,076,911)	-
-	-	2,154,364	-	2,154,364	-
-	-	(1,334,978)	-	(1,334,978)	-
4,638,725	991,994	(26,020,635)	-	(26,020,635)	-
-	-	(4,389,337)	-	(4,389,337)	-
12,092,825	7,794,025	(224,096,289)	-	(224,096,289)	-
2,959,895	-	-	17,651,276	17,651,276	-
-	-	-	(1,320,584)	(1,320,584)	-
2,959,895	-	-	16,330,692	16,330,692	-
$ 15,052,720	$ 7,794,025	(224,096,289)	16,330,692	(207,765,597)	-
$ 1,508,734	$ -	-	-	-	(6,790,443)
4,429,040	-	-	-	-	196,047
6,175,668	-	-	-	-	2,915,080
4,899,953	-	-	-	-	2,903,814
$ 17,013,395	$ -	-	-	-	(775,502)
General Revenues:					
Property Taxes		51,619,047	-	51,619,047	6,329,592
Intergovernmental Revenues - Unrestricted					
Gaming Taxes		13,914,373	-	13,914,373	-
State Sales Taxes		31,310,311	-	31,310,311	-
State Income Taxes		25,884,057	-	25,884,057	-
Other Intergovernmental		10,143,423	-	10,143,423	-
Home Rule Sales Taxes		36,864,294	-	36,864,294	-
Utility Taxes		7,524,947	-	7,524,947	-
Other Taxes		15,822,812	-	15,822,812	-
Interest and Investment Earnings		10,273,693	3,496,760	13,770,453	567,178
Other General Revenues		4,677,756	2,912,204	7,589,960	880,384
Transfers		1,556,003	(1,556,003)	-	-
Total General Revenues and Transfers		209,590,716	4,852,961	214,443,677	7,777,154
Change in Net Position		(14,505,573)	21,183,653	6,678,080	7,001,652
Net Position - Beginning, as Restated		(319,606,767)	287,624,392	(31,982,375)	38,436,749
Net Position - Ending		($ 334,112,340)	$ 308,808,045	($ 25,304,295)	$ 45,438,401

CITY OF JOLIET, ILLINOIS

Governmental Funds
Balance Sheet
December 31, 2024

	General Fund	Evergreen Terrace II Fund	Motor Fuel Tax Fund	Tax Incremental Financing Fund #7	Other Governmental Funds	Total Governmental Funds
ASSETS						
Cash	$ -	$ -	$ 549,345	$ 10,440,125	$ 37,498,670	$ 48,488,140
Investments	111,943,736	-	22,706,306	33,599,967	8,340,326	176,590,335
Receivables						
Property Taxes, Net of Allowance for Uncollectible Amounts	52,766,225	-	-	1,145,639	1,444,159	55,356,023
Intergovernmental	24,563,045	-	564,626	-	38,882	25,166,553
Accrued Interest	424,618	6,165	-	56,159	66,490	553,432
Customer Accounts, Net	7,496,276	-	27,571	-	1,191,479	8,715,326
Estimated Unbilled Usage	1,232,289	-	-	-	-	1,232,289
Inventory	127,594	-	-	-	10,000	137,594
Interfund Receivables	16,117,858	-	977,952	-	217,694	17,313,504
Due from Component Unit	-	8,333,725	-	-	-	8,333,725
Total Assets	$ 214,671,641	$ 8,339,890	$ 24,825,800	$ 45,241,890	$ 48,807,700	$ 341,886,921
LIABILITIES, DEFERRED INFLOWS OF RESOURCES AND FUND BALANCES						
LIABILITIES						
Vouchers Payable	$ 14,984,472	$ 298,367	$ 1,499,918	$ 1,255,588	$ 7,518,952	$ 25,557,297
Customer Deposits and Credits	325,809	-	-	-	1,933,382	2,259,191
Health Claims Payable	2,159,200	-	-	-	-	2,159,200
Unearned Revenue	18,820,211	-	-	-	25,635	18,845,846
Interfund Payables	789,242	14,077,306	217,694	-	55,416	15,139,658
Accrued Payroll and Other	5,270,285	-	-	-	-	5,270,285
Total Liabilities	42,349,219	14,375,673	1,717,612	1,255,588	9,533,385	69,231,477
DEFERRED INFLOWS OF RESOURCES						
Deferred Property Taxes	52,766,225	-	-	1,145,639	1,444,159	55,356,023
Deferred Other Income	7,575,921	-	-	-	11,723	7,587,644
Total Deferred Inflows of Resources	60,342,146	-	-	1,145,639	1,455,882	62,943,667
FUND BALANCES						
Nonspendable	127,594	-	-	-	10,000	137,594
Restricted	-	-	23,108,188	42,840,663	17,444,850	83,393,701
Committed	15,594,175	-	-	-	-	15,594,175
Assigned	6,740,709	-	-	-	20,375,955	27,116,664
Unassigned	89,517,798	(6,035,783)	-	-	(12,372)	83,469,643
Total Fund Balances	111,980,276	(6,035,783)	23,108,188	42,840,663	37,818,433	209,711,777
Total Liabilities, Deferred Inflows of Resources, and Fund Balances	$ 214,671,641	$ 8,339,890	$ 24,825,800	$ 45,241,890	$ 48,807,700	$ 341,886,921

See Accompanying Notes to Basic Financial Statements.

CITY OF JOLIET, ILLINOIS

Reconciliation of Governmental Funds Balance Sheet to
Statement of Net Position
December 31, 2024

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Total fund balances - governmental funds	$ 209,711,777
Amounts reported for governmental activities in the Statement of Net Position are different because:	
Capital assets net of accumulated depreciation/amortization of $399,718,989 used in governmental activities are not current financial resources and therefore are not reported in the governmental funds.	580,452,778
Some assets, deferred outflows of resources, liabilities, and deferred inflows of resources reported in the Statement of Net Position do not require the use of current financial resources and therefore are not reported as assets, deferred outflows of resources, liabilities, or deferred inflows of resources in governmental funds. These activities consist of:	
Equity interest in component unit	5,585,658
Lease receivable	2,446,461
Deferred outflows of resources related to pensions	26,970,804
Deferred outflows of resources related to OPEB	102,503,780
Accrued interest payable on debt	(206,675)
Accrued compensated absences	(27,241,692)
Net pension liability	(374,233,396)
Estimated liability for self-insured losses	(5,157,160)
Lease Liability	(3,343,948)
Other postemployment benefits	(460,760,445)
General obligation bonds	(95,935,000)
Unamortized premium on bonds	(8,201,953)
Deferred inflows of resources related to pensions	(21,278,036)
Deferred inflows of resources related to OPEB	(270,589,149)
Deferred inflows of resources related to leases	(2,423,788)
Deferred revenues collected after sixty days	7,587,644
Net position of governmental activities	($ 334,112,340)

See Accompanying Notes to Basic Financial Statements.

CITY OF JOLIET, ILLINOIS

Statement of Revenues, Expenditures, and
Changes in Fund Balances
Governmental Funds
For the Year Ended December 31, 2024

	General Fund	Evergreen Terrace II Fund	Motor Fuel Tax Fund	Tax Incremental Financing Fund #7	Other Governmental Funds	Total Governmental Funds
Revenue						
Property Taxes	$ 51,043,274	$ -	$ -	$ 191,062	$ 915,233	$ 52,149,569
Other Taxes	57,919,732	-	-	-	2,235,603	60,155,335
Intergovernmental State Shared Revenue	68,691,879	-	6,683,615	-	12,511,522	87,887,016
Federal, State and Private Grants and Allotments	2,801,673	-	290,153	-	8,303,315	11,395,141
Charges for Services	18,949,380	-	-	-	-	18,949,380
Licenses, Permits, Rentals, and Fees	24,294,002	-	-	-	26,383	24,320,385
Fines and Forfeitures	1,469,008	-	-	-	372,206	1,841,214
Special Assessments	-	-	-	-	2,511	2,511
Net Investment Income (Loss)	5,793,355	27,614	1,196,289	2,781,524	516,993	10,315,775
Other	4,344,259	-	-	-	999,893	5,344,152
Total Revenue	235,306,562	27,614	8,170,057	2,972,586	25,883,659	272,360,478
Expenditures						
Current:						
General Government	62,445,111	-	-	-	1,095,972	63,541,083
Public Safety	120,384,299	-	-	-	2,674,978	123,059,277
Public Works	17,824,332	-	8,683	-	41,641	17,874,656
Refuse Disposal	14,289,420	-	-	-	-	14,289,420
Culture and Recreation	1,103,609	-	-	-	-	1,103,609
Community Development	7,970,466	-	-	17,342	1,710,900	9,698,708
Capital Outlay	2,970,336	-	9,099,186	21,159,863	29,970,479	63,199,864
Debt Service - Principal	-	-	-	-	709,242	709,242
Debt Service - Interest and Fees	-	-	-	-	5,002,236	5,002,236
Total Expenditures	226,987,573	-	9,107,869	21,177,205	41,205,448	298,478,095
Revenue Over (Under) Expenditures	8,318,989	27,614	(937,812)	(18,204,619)	(15,321,789)	(26,117,617)
Other Financing Sources (Uses)						
Sale of Capital Assets	25,503	-	-	-	54,525	80,028
Proceeds from SBITA	2,970,336	-	-	-	-	2,970,336
Transfers In	3,676,416	-	-	-	6,820,803	10,497,219
Transfers Out	(994,429)	-	-	(4,890,026)	(3,056,761)	(8,941,216)
Total Other Financing Sources (Uses)	5,677,826	-	-	(4,890,026)	3,818,567	4,606,367
Net Change in Fund Balance	13,996,815	27,614	(937,812)	(23,094,645)	(11,503,222)	(21,511,250)
Fund Balances, (Deficit) Beginning of Year	97,983,461	(6,063,397)	24,046,000	65,935,308	49,321,655	231,223,027
Fund Balances, (Deficit) End of Year	$ 111,980,276	($ 6,035,783)	$ 23,108,188	$ 42,840,663	$ 37,818,433	$ 209,711,777

See Accompanying Notes to Basic Financial Statements.

CITY OF JOLIET, ILLINOIS

Reconciliation of the Statement of Revenues,
Expenditures, and Changes in Fund Balances of
Governmental Funds to Statement of Activities
For the Year Ended December 31, 2024

Net change in fund balances - governmental funds		($ 21,511,250)
Amounts reported for governmental activities in the Statement of Activities are different because:		
Some revenues were not collected for several months after the close of the fiscal year and therefore, were not considered to be "available" and are not reported as revenue in the governmental funds. The change from fiscal year 2023 to 2024 consists of:		
Sales, income and use taxes received from the state of Illinois	212,517	
Other taxes received from the state of Illinois	(15,126)	
Utility and auto rental taxes received from the state of Illinois	(5,795)	
Total change in unavailable revenues		191,596
Governmental funds report capital outlays as expenditures. However, in the Statement of Activities, the cost of those assets are depreciated/amortized over their estimated useful lives as depreciation/amortization expense.		
This is the amount of assets capitalized in the current period.	62,423,010	
This is the amount of depreciation/amortization recorded in the current period.	(23,077,666)	
		39,345,344
Governmental funds only report the disposal of assets to the extent proceeds are received. In the Statement of Activities, a gain or loss is reported for each disposal. This is the basis in the capital assets that were disposed.		(56,805)
Repayment of bond principal is an expenditure in the governmental funds, but the repayment reduced long-term liabilities in the Statement of Net Position.		350,000
Repayment of debt principal on leases payable is an expenditure in the governmental funds, but the repayment reduced long-term liabilities in the Statement of Net Position.		359,242
Proceeds from the issuance of a subscription-based information technology arrangement are reported as an other financing source in governmental funds; however, in the Statement of Net Position, the related subscription liability is reported as a long-term liability.		(2,970,336)
Governmental funds do not report the change in certain long-term assets and liabilities, the change has been recorded in the Statement of Net Position:		
Decrease in interest payable		438
Increase in compensated absences		(6,494,900)
Decrease in claims liabilities		1,158,915
Increase in net pension liability and related deferred amounts		(9,080,758)
Increase in other postemployment benefits and related deferred amounts		(16,506,697)
Decrease in accrued interest receivable		(42,082)
Decrease in leases receivable		(2,059)
The City's share in the equity interest of a component unit increased during the year		141,318
The City amortized bond premiums in the Statement of Net Position.		612,461
Change in net position of governmental activities		($ 14,505,573)

See Accompanying Notes to Basic Financial Statements.

CITY OF JOLIET, ILLINOIS

Statement of Net Position
Proprietary Funds
December 31, 2024

	Business-Type Activities		
	Water and Sewer Fund	(Nonmajor) Parking Fund	Total
ASSETS			
Current Assets			
Unrestricted Assets			
Cash	$ 6,845,102	$ 644	$ 6,845,746
Investments	19,778,274	-	19,778,274
Receivables			
Intergovernmental	69,104,659	-	69,104,659
Accrued Interest	125	-	125
Customer Accounts, Net of $3,172,648 Allowance for Uncollectible Amounts	4,907,347	2,520	4,909,867
Estimated Unbilled Usage	6,464,580	-	6,464,580
Interfund Receivables	1,779	-	1,779
Total Unrestricted Assets	107,101,866	3,164	107,105,030
Restricted Assets (Water Debt Accounts)			
Cash	13,733,643	-	13,733,643
Escrow Deposits	22,464,538	-	22,464,538
Interfund Receivable	559,801	-	559,801
Total Restricted Assets	36,757,982	-	36,757,982
Total Current Assets	143,859,848	3,164	143,863,012
Noncurrent Assets			
Capital Assets			
Land and Land Improvements	3,324,138	2,232,179	5,556,317
Waterworks and Sewerage System	462,777,116	-	462,777,116
Parking Decks and Lots	-	1,119,278	1,119,278
Equipment	16,867,463	132,308	16,999,771
Construction in Progress	149,352,813	-	149,352,813
Total Noncurrent Assets	632,321,530	3,483,765	635,805,295
Total Assets	776,181,378	3,486,929	779,668,307
DEFERRED OUTFLOWS OF RESOURCES			
Deferred Outflows of Resources Related to Pensions	3,938,315	236,070	4,174,385
Deferred Outflows of Resources Related to OPEB	12,066,984	510,572	12,577,556
Total Deferred Outflows of Resources	16,005,299	746,642	16,751,941
Total Assets and Deferred Outflows of Resources	$ 792,186,677	$ 4,233,571	$ 796,420,248

See Accompanying Notes to Basic Financial Statements.

	Business-Type Activities		
	Water and Sewer Fund	(Nonmajor) Parking Fund	Total
LIABILITIES			
Current Liabilities			
Payable from Unrestricted Assets			
Vouchers Payable	$ 6,669,663	$ 100,161	$ 6,769,824
Accrued Payroll	741,917	31,207	773,124
Accrued Compensated Absences - Current	1,739,245	89,536	1,828,781
Loans Payable - Current	11,972,369	-	11,972,369
Revenue Bond Anticipation Notes - Current	21,490,000	-	21,490,000
Customer Deposits and Credits	1,274,744	2,001	1,276,745
Interfund Payables	135,073	2,040,552	2,175,625
Unearned Revenue	27,906	2,520	30,426
Other Postemployment Benefits - Current Portion	1,567,472	66,322	1,633,794
Payable from Restricted Assets			
Vouchers Payable	22,979,380	-	22,979,380
Accrued Interest Payable	1,512,565	-	1,512,565
Total Current Liabilities	70,110,334	2,332,299	72,442,633
Noncurrent Liabilities			
Long Term Debt			
Accrued Compensated Absences	1,739,243	89,535	1,828,778
Net Pension Liability	14,317,669	770,691	15,088,360
Other Postemployment Benefits	52,674,322	2,228,725	54,903,047
Revenue Bond Anticipation Notes	284,968	-	284,968
Loans Payable	308,964,277	-	308,964,277
Total Noncurrent Liabilities	377,980,479	3,088,951	381,069,430
Total Liabilities	448,090,813	5,421,250	453,512,063
DEFERRED INFLOWS OF RESOURCES			
Deferred Inflows of Resources Related to Pensions	774,505	123,446	897,951
Deferred Inflows of Resources Related to OPEB	31,854,385	1,347,804	33,202,189
Total Deferred Inflows of Resources	32,628,890	1,471,250	34,100,140
NET POSITION			
Net Investment in Capital Assets	289,609,916	3,483,765	293,093,681
Restricted for:			
Expendable Purposes:			
Debt Service	20,951,973	-	20,951,973
Unrestricted	905,085	(6,142,694)	(5,237,609)
Total Net Position	311,466,974	(2,658,929)	308,808,045
Total Liabilities and Net Position	$ 792,186,677	$ 4,233,571	$ 796,420,248

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CITY OF JOLIET, ILLINOIS

Statement of Revenues, Expenses, and
Changes in Net Position
Proprietary Funds
For the Year Ended December 31, 2024

	Business-Type Activities		
	Water and Sewer Fund	(Nonmajor) Parking Fund	Total
Operating Revenue			
Charges for Services - Water	$ 37,995,395	$ -	$ 37,995,395
Charges for Services - Sewer	36,102,109	-	36,102,109
Charges for Services - Other	212,789	631,142	843,931
Tap on / Turn on Fees	2,204,915	-	2,204,915
Fines and Other	2,164,190	87,616	2,251,806
	78,679,398	718,758	79,398,156
Operating Expense			
Personnel Services	13,150,321	693,442	13,843,763
Personnel Benefits	6,328,292	532,253	6,860,545
Personnel Benefits - Change in Pension and OPEB	525,728	246,383	772,111
Other Employee Costs	327,587	-	327,587
Professional Services	2,560,013	25,778	2,585,791
Property Services	6,357,703	213,890	6,571,593
Other Services	465,616	10,919	476,535
Supplies	9,285,134	67,061	9,352,195
Other Expenses	280,795	-	280,795
Depreciation	18,902,810	162,780	19,065,590
	58,183,999	1,952,506	60,136,505
Operating Income (Loss)	20,495,399	(1,233,748)	19,261,651
Nonoperating Revenue (Expense)			
Federal Grants	2,753,019	-	2,753,019
Interest Earnings	3,496,762	(2)	3,496,760
IEPA Loan Forgiveness	954,825	-	954,825
Amortization of Bond Premiums and Deferrals	1,300,791	-	1,300,791
Interest Expense	(5,027,390)	-	(5,027,390)
Total Nonoperating Revenue (Expense)	3,478,007	(2)	3,478,005
Income (Loss) Before Transfers	23,973,406	(1,233,750)	22,739,656
Transfers In	-	425,052	425,052
Transfers Out	(1,981,055)	-	(1,981,055)
Total Transfers	(1,981,055)	425,052	(1,556,003)
Change in Net Position	21,992,351	(808,698)	21,183,653
Total Net Position, Beginning of Year, as Restated	289,474,623	(1,850,231)	287,624,392
Total Net Position, End of Year	$ 311,466,974	($ 2,658,929)	$ 308,808,045

See Accompanying Notes to Basic Financial Statements.

CITY OF JOLIET, ILLINOIS

Statement of Cash Flows
Proprietary Funds
For the Year Ended December 31, 2024

	Business-Type Activities		
	Water and Sewer Fund	(Nonmajor) Parking Fund	Total
Cash Flows from Operating Activities			
Receipts from Customers	$ 77,160,131	$ 718,788	$ 77,878,919
Payments to Suppliers	(23,398,605)	(820,074)	(24,218,679)
Payments to Employees	(12,115,133)	(507,236)	(12,622,369)
Net Cash Provided by (Used in) Operating Activities	41,646,393	(608,522)	41,037,871
Cash Flows from Noncapital Financing Activities			
Payments (to) from Other Funds	(1,847,761)	659,982	(1,187,779)
Operating Grants Received	2,753,019	-	2,753,019
Net Cash Provided by Noncapital Financing Activities	905,258	659,982	1,565,240
Cash Flows from Capital and Related Financing Activities			
Purchases of Capital Assets	(128,518,152)	(51,458)	(128,569,610)
Payments on Loans	(65,193,199)	-	(65,193,199)
Loan Proceeds	77,151,496	-	77,151,496
Payment of Interest on Debt	(6,566,581)	-	(6,566,581)
Net Cash (Used in) Capital and Related Financing Activities	(123,126,436)	(51,458)	(123,177,894)
Cash Flows from Investing Activities			
Investment Sales or Maturities	18,562,516	-	18,562,516
Income Received on Investments	3,496,762	(2)	3,496,760
Net Cash Provided by (Used in) Investing Activities	22,059,278	(2)	22,059,276
Net (Decrease) in Cash	(58,515,507)	-	(58,515,507)
Cash and Restricted Cash, Beginning of Year	79,094,252	644	79,094,896
Cash and Restricted Cash, End of Year	$ 20,578,745	$ 644	$ 20,579,389

See Accompanying Notes to Basic Financial Statements.

	Business-Type Activities		
	Water and Sewer Fund	(Nonmajor) Parking Fund	Total
Reconciliation of Operating Income (Loss) to Net Cash Provided by (Used in) Operating Activities:			
Operating Income (Loss)	$ 20,495,399	($ 1,233,748)	$ 19,261,651
Adjustments to Reconcile Operating Income (Loss) to Net Cash Provided by (Used in) Operating Activities:			
Depreciation Expense	18,902,810	162,780	19,065,590
Changes in Assets and Liabilities			
Receivables	(1,593,656)	(900)	(1,594,556)
Vouchers Payable	2,206,535	29,827	2,236,362
Accrued Payroll	68,057	8,250	76,307
Accrued Compensated Absences	967,131	177,956	1,145,087
Unearned Revenue	2,337	900	3,237
Other Postemployment Benefits and Related Deferred Amounts	(2,112,054)	123,708	(1,988,346)
Net Pension Liability and Related Deferred Amounts	2,637,782	122,675	2,760,457
Customer Deposits and Credits	72,052	30	72,082
Total Adjustments	21,150,994	625,226	21,776,220
Net Cash Provided by (Used in) Operating Activities	$ 41,646,393	($ 608,522)	$ 41,037,871

CITY OF JOLIET, ILLINOIS

Statement of Fiduciary Net Position
Fiduciary Funds
December 31, 2024

	Pension Trust Funds
ASSETS	
Cash	$ 8,125,536
Investments, at Fair Value	
Money Market Mutual Funds	3,315,480
Pooled Investments	601,907,069
Total Investments	605,222,549
Accrued Interest Receivable	12,100
Prepaid Items	14,271
Due from Primary Government	433
Total Assets	613,374,889
LIABILITIES	
Accrued Expenses	23,255
Total Liabilities	23,255
NET POSITION RESTRICTED FOR PENSIONS	$ 613,351,634

See Accompanying Notes to Basic Financial Statements.

CITY OF JOLIET, ILLINOIS

Statement of Changes in Fiduciary Net Position
Fiduciary Funds
For the Year Ended December 31, 2024

	Pension Trust Funds
Additions	
Contributions	
Employer Contributions	$ 33,508,629
Plan Member Contributions	6,363,621
Total Contributions	39,872,250
Investment Income	
Net Increase in Fair Value of Investments	48,755,326
Interest and Dividends	6,991,750
	55,747,076
Less Investment Expenses	509,217
Net Investment Income	55,237,859
Miscellaneous Income	1,038
Total Additions	95,111,147
Deductions	
Benefit Payments (Including Refunds of Plan Member Contributions)	40,736,733
Administrative and Other Expenses	217,009
Total Deductions	40,953,742
Net Increase in Net Position	54,157,405
Net Position Restricted for Pensions	
Beginning of Year	559,194,229
End of Year	$ 613,351,634

See Accompanying Notes to Basic Financial Statements.

CITY OF JOLIET, ILLINOIS

Combining Statement of Net Position
Component Units
June 30, 2024 and December 31, 2024

	December 31, 2024		June 30, 2024		
ASSETS	**Joliet Public Library**	**Riverwalk Homes, LLC**	**Will County Metropolitan Exposition and Auditorium Authority**	**The Joliet Area Historical Museum**	**Total**
Current Assets:					
Cash	$ 3,893,439	$ 465,005	$ 5,038,205	$ 1,132,117	$ 10,528,766
Investments	-	-	-	40,044	40,044
Receivables					
Property Taxes, Net of Allowance for Uncollectible Amounts	6,767,683	-	-	-	6,767,683
Accrued Interest	-	-	6,396	-	6,396
Customer Accounts, Net	7,375	23,547	1,310,282	1,371	1,342,575
Leases Receivable			149,764		149,764
Pledges Receivable	-	-	-	646,000	646,000
Subsidy Receivable - HUD	-	921,863	-	-	921,863
Other	-	38,799	130,684	-	169,483
Inventory	-	-	26,591	43,207	69,798
Prepaid Expenses	-	224,270	67,401	1,150	292,821
Deposits	-	-	-	1,150	1,150
Restricted Assets					
Cash	-	3,313,301	-	-	3,313,301
Investments	-	-	1,337,775	-	1,337,775
Total Current Assets	10,668,497	4,986,785	8,067,098	1,865,039	25,587,419
Noncurrent Assets:					
Leases Receivable - Non-Current	-	-	1,372,700	60,951	1,433,651
Other Assets	-	-	-	307,934	307,934
Capital Assets (Net)					
Library	20,687,032	-	-		20,687,032
Riverwalk Homes, LLC	-	11,631,609	-	-	11,631,609
W.C.M.E.A.A.	-	-	8,141,777	-	8,141,777
Historical Museum	-	-	-	3,971,576	3,971,576
Intangible Assets (Net)	-	56,903	-	-	56,903
Total Noncurrent Assets	20,687,032	11,688,512	9,514,477	4,340,461	46,230,482
Total Assets	31,355,529	16,675,297	17,581,575	6,205,500	71,817,901
DEFERRED OUTFLOWS OF RESOURCES					
Deferred Outflows of Resources Related to Pensions	1,019,025	-	-	-	1,019,025
Total Deferred Outflows of Resources	1,019,025	-	-	-	1,019,025
Total Assets and Deferred Outflows of Resources	$ 32,374,554	$ 16,675,297	$ 17,581,575	$ 6,205,500	$ 72,836,926

See Accompanying Notes to Basic Financial Statements.

	December 31, 2024		June 30, 2024		
LIABILITIES	**Joliet Public Library**	**Riverwalk Homes, LLC**	**Will County Metropolitan Exposition and Auditorium Authority**	**The Joliet Area Historical Museum**	**Total**
Current Liabilities:					
Vouchers Payable	$ 49,655	$ 408,959	$ 500,151	$ 1,767,948	$ 2,726,713
Accrued Payroll	200,328	-	46,562	-	246,890
Accrued Compensated Absences	46,379	-	-	-	46,379
Accrued Interest	-	6,165	-	-	6,165
Accrued Real Estate Taxes	-	397,717	-	-	397,717
Notes Payable - Current	-	-	297,586	-	297,586
Unearned Revenue	-	120,277	-	6,544	126,821
Other	-	46,259	1,852,209	20,512	1,918,980
Total Current Liabilities	296,362	979,377	2,696,508	1,795,004	5,767,251
Noncurrent Liabilities:					
Accrued Compensated Absences	185,518	-	41,514	-	227,032
Due to Primary Government	-	8,333,725	-	-	8,333,725
General Obligation Bonds	-	-	-	-	-
Loans and Leases Payable	-	-	54,810	67,436	122,246
Notes Payable	-	-	1,339,165	-	1,339,165
Net Pension Liability	3,858,333	-	-	-	3,858,333
Total Noncurrent Liabilities	4,043,851	8,333,725	1,435,489	67,436	13,880,501
Total Liabilities	4,340,213	9,313,102	4,131,997	1,862,440	19,647,752
DEFERRED INFLOWS OF RESOURCES					
Deferred Property Taxes	6,767,683	-	-	-	6,767,683
Deferred Inflows - Pensions	264,549	-	-	-	264,549
Deferred Inflows - Leases	-	-	718,541	-	718,541
Total Deferred Inflows of Resources	7,032,232	-	718,541	-	7,750,773
NET POSITION					
Net Investment in Capital Assets	20,687,032	3,297,884	6,450,216	3,971,576	34,406,708
Restricted for:					
Expendable Purposes:					
Donor Restricted Funds	-	-	1,062,964	2,414,190	3,477,154
Nonexpendable Purposes:					
Permanent Funds	10,000	-	-	-	10,000
Unrestricted	305,077	4,064,311	5,217,857	(2,042,706)	7,544,539
Total Net Position	21,002,109	7,362,195	12,731,037	4,343,060	45,438,401
Total Liabilities, Deferred Inflows of Resources, and Net Position	$ 32,374,554	$ 16,675,297	$ 17,581,575	$ 6,205,500	$ 72,836,926

CITY OF JOLIET, ILLINOIS

Combining Statement of Activities
Component Units
For the Year Ended June 30, 2024 and December 31, 2024

Functions / Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions
Joliet Public Library			
Library Operations	$ 8,358,625	$ 59,448	$ 1,508,734
Riverwalk Homes, LLC			
Public Housing	5,361,468	1,128,475	4,429,040
W.C.M.E.A.A.			
Culture and Recreation	466,923	-	593,926
Theatre and Rental Operations	4,626,509	1,832,844	5,581,742
The Joliet Area Historical Museum			
Culture and Recreation	2,798,377	802,238	4,899,953
Total Component Units	$ 21,611,902	$ 3,823,005	$ 17,013,395

General Revenues:
Property Taxes
Interest and Investment Earnings
Other General Revenues

Total General Revenues

Change in Net Position

Net Position - Beginning

(Distributions)

Net Position - Ending

Net (Expense) Revenue and Changes in Net Position				
December 31 2024		June 30, 2024		
Joliet Public Library	Riverwalk Homes, LLC	Will County Metropolitan Exposition and Auditorium Authority	The Joliet Area Historical Museum	Total
($ 6,790,443)	$ -	$ -	$ -	($ 6,790,443)
-	196,047	-	-	196,047
-	-	127,003	-	127,003
-	-	2,788,077	-	2,788,077
-	-	-	2,903,814	2,903,814
(6,790,443)	196,047	2,915,080	2,903,814	(775,502)
6,329,592	-	-	-	6,329,592
169,157	86,588	262,323	49,110	567,178
38,735	-	821,973	19,676	880,384
6,537,484	86,588	1,084,296	68,786	7,777,154
(252,959)	282,635	3,999,376	2,972,600	7,001,652
21,255,068	7,079,560	8,731,661	1,370,460	38,436,749
-	-	-	-	-
$ 21,002,109	$ 7,362,195	$ 12,731,037	$ 4,343,060	$ 45,438,401

-

1. Summary of Significant Accounting Policies

Introduction

The City of Joliet, Illinois (the City) was incorporated June 19, 1852. The City is a home rule unit and operates under the Council / Manager form of government. The City Council is composed of the Mayor and eight council members. The City provides services to the community that includes police, fire, water and wastewater utility, community development, street maintenance, and general services.

The financial statements of the City of Joliet, Illinois are prepared in accordance with Accounting Principles Generally Accepted in the United States of America (USGAAP). USGAAP includes all relevant Governmental Accounting Standards Board (GASB) pronouncements. The accounting and reporting framework and the more significant accounting policies are discussed in subsequent subsections of this note.

Financial Reporting Entity

As defined by accounting principles generally accepted in the United States of America established by the Governmental Accounting Standards Board, the financial reporting entity consists of the primary government, as well as its component units, which are legally separate organizations for which the elected officials of the primary government are financially accountable. Financial accountability is defined as:

1) Appointment of a voting majority of the component unit's board, and either (a) the ability to impose will by the primary government, or (b) the possibility that the component unit will provide a financial benefit to or impose a financial burden on the primary government; or
2) Fiscal dependency on the primary government.

The accompanying financial statements present the City of Joliet, Illinois (the primary government) and its component units. The financial data of the component units are included in the City's reporting entity because of the significance of their operational or financial relationship with the City.

Component Units that are Fiduciary in Nature

The Police Pension Fund and Firefighters' Pension Fund of the City of Joliet are Illinois local governments, as such; they are separate legal entities with their own management and budget authority. These funds exist solely to provide pension benefits for the City's police officers and firefighters and their beneficiaries. The financial statements of the Pension Funds as of and for the fiscal year ended December 31, 2024, are reported as pension trust funds - fiduciary funds. Each pension fund prepared separately issued component unit financial statements. The Police Pension Fund report may be obtained by writing to the City of Joliet Administrative Office, 150 West Jefferson Street, Joliet, Illinois 60432. The Firefighters' Pension Fund report may be obtained by writing to the Joliet Firefighters' administrative office, 101 East Clinton Street, Joliet, Illinois 60432.

Discretely Presented Component Units

A discretely presented component unit is an entity that is legally separate from the City, but for which the City is financially accountable, or whose relationship with the City is such that exclusion would cause the City's statements to be misleading or incomplete. The City's component units are reported in a separate column in the government-wide financial statements to emphasize that they are legally separate from the City.

1. Summary of Significant Accounting Policies

Joliet Public Library

The Joliet Public Library provides a broad range of services and reference information to area citizens, including book and film rental and audio-visual materials. On September 1, 1875, under the provisions of an 1872 Illinois Statute, "The Illinois Local Public Library Act", the Joliet City Council adopted an ordinance providing for the establishment of a public library in Joliet. The Joliet Public Library began public service on March 7, 1876. The Library is governed by a board of library trustees consisting of nine members appointed by the Mayor of the City of Joliet and confirmed by the City Council. Board members serve three-year terms with three members being appointed annually.

The Joliet Public Library is primarily supported by property taxes. The annual budget, appropriation, and levy for the Library are enacted as ordinances of the City of Joliet by the City Council of the City of Joliet. The Library receives some revenue from the sale of real property, fines, and fees, and from state, federal, and corporate grants. Separate financial statements may be obtained at the Library's business office, 150 North Ottawa Street, Joliet, Illinois, 60432.

Riverwalk Homes, LLC

Riverwalk Homes LLC (the "LLC") was formed on May 3, 2016 as the result of an agreement between the City and Holsten Real Estate Development Corporation (Holsten) to establish a limited liability company to own, manage and potentially redevelop the 356-unit multifamily rental developments know as Evergreen Terrace located within the Joliet city limits. Evergreen Terrace provides rental housing for low-income residents; rents are charged at market rates subsidized by the U.S. Department of Housing and Urban Development (HUD). The City is a partner in the LLC, which is fiscally dependent on the City; the City provides financing, approves major operational and financial decisions, and shares in the potential financial benefits and burdens of the LLC. Accordingly, the LLC is reported as a discretely presented component unit of the City of Joliet. Separate financial statements may be requested from the LLC's business office, 1020 W. Montrose Ave., Chicago, Illinois, 60613.

Will County Metropolitan Exposition and Auditorium Authority

The Will County Metropolitan Exposition and Auditorium Authority (the Authority) was created under Illinois Public Act 80-909. The original purpose of the Authority was to rehabilitate and restore a historic building, the Rialto Square Theatre. Duties of the Authority consist of promoting, operating, and maintaining expositions and conventions in the metropolitan area for industrial, cultural, educational, theatrical, sports, trade, and scientific exhibits and to construct, equip, and maintain auditoriums and exposition buildings for such purposes. While the Authority still has the same basic purpose, theatre operations, from January 1, 1989 through December 31, 1993, had been carried out by the Rialto Square Theatre Corporation, a separate autonomous non-profit organization. As of January 1, 1994, the Authority resumed theatre operations. In 1982, the Act was amended to allow the authority to lease property as an owner and change the Authority name from Joliet to Will County Metropolitan Exposition and Auditorium Authority. The Mayor of the City of Joliet, with the consent of the City Council, appoints a voting majority of Authority's Governing Board. The City, through an intergovernmental agreement, provides a substantial amount of financial support to the Authority. The Authority operates on a fiscal year ending June 30th. Separate financial statements may be obtained at the Authority's administrative office, 15 East Van Buren Street, Joliet, Illinois, 60432.

1. Summary of Significant Accounting Policies

The Joliet Area Historical Museum

The Joliet Area Historical Museum (the Museum) is an Illinois nonprofit organization incorporated in 1999. The museum was established to maintain, promote, and support a museum dedicated to presenting the history of the Joliet area to the public. The Museum was opened to the public in October 2002. The Museum is supported primarily through an agreement with the City of Joliet, grants, contributions, and membership dues. The City, through an agreement with the Museum, provides a substantial amount of financial support to the Museum. The Museum is fiscally dependent on the City; the City approves the Museum's annual budget, and the Museum cannot borrow funds without the prior approval of the City.

The City has the sole and exclusive right to all income, receipts, and revenues and other consideration of whatever kind or nature realized by, from, or in connection with the Museum Property, the Inaugural Collection, or the operation of the Museum. The Museum operates on a fiscal year ending June 30th. Separate financial statements may be obtained at the Museum's administrative office, 204 North Ottawa Street, Joliet, Illinois, 60432.

No other agencies or units of local government meet the criteria of GASB Statement Numbers 14, 39, or 61 for inclusion in the reporting entity as a component unit.

Basis of Presentation

Government-wide Financial Statements

The Statement of Net Position and Statement of Activities display information about the reporting government as a whole. They include all funds of the reporting entity except for fiduciary funds. The statements distinguish between governmental and business-type activities. Governmental activities generally are financed through taxes, intergovernmental revenue, and nonexchange revenue. Business-type activities are financed in whole or in part by fees charged to external parties for goods or services.

Fund Financial Statements

Fund financial statements of the reporting entity are organized into funds, each of which is considered a separate accounting entity. The operations of each fund are accounted for with a separate set of self-balancing accounts that comprise its assets, deferred outflows of resources, liabilities, deferred inflows of resources fund equity, revenues, and expenditures or expenses, as appropriate. Governmental resources are allocated to and accounted for in individual funds based upon the purpose for which they are to be spent and the means by which spending activities are controlled. The City's funds are organized into three major categories: governmental, proprietary, and fiduciary. An emphasis is placed on major funds within the governmental and proprietary categories. A fund is considered major if it is the primary operating fund of the City (General Fund) or meets the following criteria:

1. Summary of Significant Accounting Policies

a) Total assets plus deferred outflows of resources, liabilities plus deferred inflows of resources, revenues, or expenditures/expenses of that individual governmental or enterprise fund are at least 10% of the corresponding total for all funds of that category or type; and

b) Total assets plus deferred outflows of resources, liabilities plus deferred inflows of resources, revenues, or expenditures/expenses of that individual governmental or enterprise fund are at least 5% of the corresponding total for all governmental and enterprise funds combined.

Governmental Funds

Governmental funds are those through which most governmental functions of the City are financed. The City's expendable financial resources (except those accounted for in proprietary funds) are accounted for through governmental funds. The measurement focus is upon determination of changes in financial position, rather than upon net income determination. The following are the City's governmental funds:

General Fund - The General Fund, a major fund, is the general operating fund of the City. It is used to account for and report all financial resources not accounted for and reported in another fund.

Special Revenue Funds - Special revenue funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects.

The City's major special revenue funds are the following:

Evergreen Terrace II Fund - Accounts for revenue and expenditures related to the Evergreen Terrace property. Historically, the main revenue source of this fund was federal grants from the U.S. Department of Housing and Urban Development. Additional revenue sources include miscellaneous income. The fund recorded the payment towards the eventual purchase the Evergreen Terrace property in 2015; the purchase was completed in 2017.

Motor Fuel Tax Fund - Accounts for revenue and expenditures for improvement of City streets and bridges. The main revenue source is taxes imposed on the purchase of motor fuel. Additional revenue sources include state and federal grants and interest income.

Tax Incremental Financing Fund #7 – Accounts for revenue and expenditures related to the Tax Financing District created for the Rock Run Crossings Redevelopment Project Area.

Debt Service Fund - The Debt Service Fund is used to account for and report financial resources that are restricted, committed, or assigned to expenditure for principal and interest of general long-term debt and related costs.

Capital Projects Funds - Capital projects funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

1. Summary of Significant Accounting Policies

Proprietary Funds

Proprietary funds are used to account for the City's ongoing organizations and activities, which are similar to those often, found in the private sector. The measurement focus is based upon determination of net income.

Enterprise Funds – Enterprise funds are used to report any activity for which a fee is charged to external users for goods or services. The City uses enterprise funds to account for operations that are financed and operated in a manner similar to private business enterprises – where the intent of the City Council is that the costs (expenses, including depreciation) of providing goods or services to the general public on a continuing basis be financed or recovered primarily through user charges.

The City's major enterprise fund is the following:

Water and Sewer Fund - Accounts for the revenue and expense related to providing a safe, potable water supply for domestic and industrial usage and fire protection and for maintaining a dependable system for collecting and treating the waste waters of the City of Joliet.

Fiduciary Funds (not Included in Government-wide Statements)

Fiduciary Funds are used to account for assets held by the City in a trustee capacity. These include the following fund types:

Pension Trust Funds. The Pension trust funds include the City of Joliet Police Pension Fund and City of Joliet Firefighters' Pension Fund. These funds account for City contributions in the form of property taxes and contributions from participants used to fund the respective pension plans and payments to beneficiaries in accordance with the Illinois Pension Code.

Measurement Focus and Basis of Accounting

Measurement focus is a term used to describe "which" transactions are recorded within the various financial statements. Basis of accounting refers to "when" transactions are recorded regardless of the measurement focus applied.

Measurement Focus

On the government-wide Statement of Net Position and the Statement of Activities, both governmental and business-type activities are presented using the economic resources measurement focus as defined in item b. below.

In the fund financial statements, the "current financial resources" measurement or the "economic resources" measurement is used as appropriate:

1. Summary of Significant Accounting Policies

a. All governmental funds utilize a “current financial resources” measurement focus. Only current financial assets, deferred outflows of resources (if any), liabilities, and deferred inflows of resources are generally included on their balance sheets. Their operating statements present sources and uses of available spendable financial resources during a given period. These funds use fund balance as their measure of available spendable financial resources at the end of the period.

b. The proprietary funds utilize an “economic resources” measurement focus. The accounting objectives of this measurement focus are the determination of operating income, changes in net position (or cost recovery), financial position, and cash flows. All assets, deferred outflows of resources, liabilities, and deferred inflows of resources (whether current or noncurrent) associated with their activities are reported. Proprietary fund equity is classified as net position. Pension Trust Funds are accounted for in essentially the same manner as proprietary funds since preservation of capital is critical.

Basis of Accounting

Government-wide Financial Statements

In the government-wide Statement of Net Position and Statement of Activities, both governmental and business-type activities are presented using the accrual basis of accounting. Under the accrual basis of accounting, revenues are recognized when earned and expenses are recorded when the liability is incurred, or economic asset used. Changes in net position resulting from exchange and exchange-like transactions are recognized when the exchange takes place. This is the same approach used in the preparation of the proprietary fund financial statements but differs from the manner in which governmental fund financial statements are prepared. Therefore, governmental fund financial statements include reconciliations with brief explanations to better identify the relationship between the government-wide statements and the statements for governmental funds.

The government-wide Statement of Activities presents a comparison between expenses, both direct and indirect, and program revenues for each segment of the business-type activities of the City and for each governmental program. Direct expenses are those that are specifically associated with a service, program, or department and are therefore clearly identifiable to a particular function. Indirect expenses for centralized services and administrative overhead are allocated among the programs, functions, and segments using a full cost allocation approach and are presented separately to enhance comparability of direct expenses between governments that allocate direct expenses and those that do not. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program or business segment is self-financing or draws from the general revenues of the City.

1. Summary of Significant Accounting Policies

Eliminations have been made in the Statement of Net Position to remove the "grossing-up" effect on assets and liabilities within the governmental and business-type activities' columns for amounts reported in the individual funds as internal receivables and payables. Similarly, transfers between funds have been eliminated in the Statement of Activities. Interfund services provided and used (sales and purchases of goods and services between funds for a price approximating their external exchange value) are not eliminated in the process of consolidation.

Net position is reported as restricted when constraints placed on net position use is either externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or imposed by law through constitutional provisions or enabling legislation.

Fund Financial Statements

Fund financial statements report detailed information about the City. The focus of governmental and enterprise fund financial statements is on major funds rather than reporting on funds by type. Each major fund is presented in a separate column. Nonmajor funds are aggregated and presented in a single column.

Governmental Funds

In the fund financial statements, governmental funds are presented on the modified accrual basis of accounting. Under this modified accrual basis of accounting, revenues are recognized when "measurable and available". Measurable means knowing or being able to reasonably estimate the amount. Available means collectable within sixty days, or soon enough thereafter, to be used to pay liabilities of the current period. Expenditures (including capital outlay) are recorded when the related fund liability is incurred, except for general obligation bond principal and interest which are reported when due. When an asset is recorded in governmental fund financial statements, but the revenue is not available, the City reports a deferred inflow of resources until such time as the revenue becomes available.

In applying the susceptible-to-accrual concept to intergovernmental revenues, the legal and contractual requirements of the numerous individual programs are used as guidelines. Monies that are virtually unrestricted as to purpose of expenditure, which are usually revocable only for failure to comply with prescribed compliance requirements, are reflected as revenues at the time of receipt or earlier if the susceptible-to-accrual criteria are met.

Shared revenues remitted from the State of Illinois, such as state income tax, replacement tax, sales tax, gaming tax, automobile rental tax, pari-mutuel tax, and State motor fuel tax allotments, are accrued applying the susceptible-to-accrual concept based upon the earlier of the month they were liabilities to the State, or the month collected by the State.

Licenses and permits, charges for services (other than water), and miscellaneous revenues (except for investment earnings) are recorded as revenues when received in cash because they are generally not measurable until actually received. Investment earnings are recorded as earned since they are measurable and available.

1. Summary of Significant Accounting Policies

Revenues from Federal and State grants and similar programs are recognized when the City has done everything necessary to establish its right to the revenue. Usually this is at the time expenditures have been incurred for an authorized purpose.

Proprietary Funds

All proprietary funds are accounted for using the accrual basis of accounting. These funds account for operations that are primarily financed by user charges. The economic resources focus concerns determining costs as a means of maintaining the capital investment and management control. Their revenues are recognized when earned and expenses are recognized when the liability is incurred, or economic asset used. Allocations of costs, such as depreciation, are recorded in proprietary funds. Unbilled utility service receivables are recorded at the end of the year.

Proprietary funds separate all activity into two categories: operating and non-operating revenues and expenses. Operating revenues and expenses result from providing services and producing and delivering goods. Non-operating revenues and expenses entail all other activity not included in operating revenues and expenses - generally revenues from grants and interest and expenses for debt service.

Budgets and Budgetary Accounting

Annual budgets are legally adopted and separately reported for all funds of the City. The City Council follows these procedures in establishing the budgetary data reflected in the financial statements:

Prior to December 31st, the City Manager submits to the City Council a proposed annual budget for the fiscal year commencing January 1st. The annual budget includes proposed expenditures and the means of financing them. All budgets are adopted on a modified accrual basis except for the following modifications:

- Collections of special revenue fund loans, capital project fund assessments, and special assessments are budgeted as revenue in the year received.
- Special revenue fund loans are shown as expenditures when the funds are disbursed.
- Certain transfers between governmental funds are budgeted as revenues and expenditures.
- In the enterprise funds, payment of principal and interest are shown as expenses.
- For report presentation purposes, actual revenues and expenditures and other financing sources and uses have been adjusted to incorporate these modifications with a reconciliation provided.
- Public hearings are conducted to obtain taxpayer comments.

Prior to December 31st, the annual budget is legally enacted through passage of an ordinance. Passage of the annual budget is done in lieu of an appropriation ordinance as permitted by the Illinois Compiled Statutes.

The City Manager is authorized to transfer budgeted amounts between departments within any fund; however, any revisions that alter the total expenditures of any fund must be approved by the City Council. The level of control (level at which expenditures may not exceed budget) is the fund total, not the individual line items. The annual budget can be amended by a two-thirds vote of the City Council. All appropriations lapse at year-end.

1. Summary of Significant Accounting Policies

Cash and Cash Equivalents

Cash, as presented in the Statement of Cash Flows for the City's Enterprise Funds, consist of demand deposit accounts and petty cash funds. Investments in certificates of deposit, which may or may not have initial maturities of less than three months, are considered to be investments rather than cash.

Leases Receivable

In the government-wide financial statements, leases receivable are reported as assets in the Statement of Net Position. At the commencement of a lease, a lease receivable is recognized and measured at the present value of lease payments expected to be received during the lease term. The receivable is reduced by principal payments made under the lease agreement. Lease payments are recognized as revenue in the governmental funds when they are received and measurable in accordance with the modified accrual basis of accounting.

Capital Assets

Capital assets are stated on the basis of historical cost (estimated for certain items purchased prior to December 31, 1997). Major capital asset additions are financed primarily from bond proceeds. Assets acquired through gifts or donations are recorded at their estimated acquisition value at the time of acquisition. The City has established a capitalization threshold of $25,000 for infrastructure and land improvements, buildings, waterworks and sewerage systems, and parking decks. The capitalization threshold for furniture and equipment is $5,000.

Depreciation of Capital Assets

Depreciation has been provided over the estimated useful lives of the assets using the straight-line method. The estimated useful lives are shown below:

Infrastructure	40 Years
Land Improvements	10 to 15 Years
Buildings	50 Years
Waterworks and Sewerage Systems	40 Years
Parking Decks	50 Years
Equipment	5 to 15 Years

1. Summary of Significant Accounting Policies

Interfund Transfers

Permanent reallocations of resources between funds of the reporting entity are classified as interfund transfers.

Investments

Investments of the City are carried at fair value (see note 4). Short-term investments are reported at cost, which approximates fair value. Securities traded on national exchanges are valued at the last reported sales price. Investments that do not have an established market are reported at estimated fair value.

Employee Compensated Absences

In accordance with Governmental Accounting Standards Board (GASB) Statement No. 101, *Compensated Absences*, the City recognizes a liability for employee vacation, sick leave, and compensatory time for which employees are eligible to receive payments upon termination, retirement, or death. This liability is reported in the Statement of Net Position and is funded from the same governmental or proprietary fund that pays the respective employee's salary.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Illinois Municipal Retirement Fund (IMRF) and the Police and Firefighters' Pension Plans and additions to/deductions from those plans' fiduciary net position have been determined on the same basis as they are reported by those plans, respectively. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Customer Accounts and Unbilled Receivables

Estimated sales for municipal waste, water, and wastewater usage, which are unbilled at year-end, are recognized as current year revenue and are included in "Receivables - Estimated Unbilled Usage". Customer accounts receivable are recorded net of an allowance for uncollectible accounts.

Construction Period Interest

The City expenses construction period interest in the year incurred in accordance with GASB Statement No. 89, *Accounting for Interest Cost Incurred Before the End of a Construction Period.*

1. Summary of Significant Accounting Policies

Inventory

Inventory recorded in the governmental funds consists of commercial real estate held for resale and residential real estate purchased for rehabilitation and subsequent sale under the Neighborhood Stabilization Grant. This inventory is recorded at cost.

Fund Balances

The fund balances of the City's governmental funds are required to be reported using five separate classifications as listed below. The City may not necessarily utilize each classification in a given fiscal year.

Nonspendable fund balance - Includes amounts that cannot be spent because they are either not in spendable form, or, for legal or contractual reasons, must be kept intact. This classification may include inventories, prepaid amounts, assets held for sale, and long-term receivables.

Restricted fund balance - Constraints placed on the use of these resources are either externally imposed by creditors (such as through debt covenants), grantors, contributors, or other governments; or are imposed by law (through constitutional provisions or enabling legislation).

Committed fund balance - Amounts that can only be used for specific purposes because of a formal action (ordinance) to establish (and modify or rescind) a fund balance commitment by the City's highest level of decision-making authority, the City Council.

Assigned fund balance - Amounts that are constrained by the City's intent to be used for specific purposes, but that do not meet the criteria to be classified as restricted or committed. Intent can be stipulated by the City Council, Mayor, or another body (such as a Finance Committee), or by an official to whom that authority has been given. The City has taken formal action to create each of the City's funds reported in this report, thereby assigning those resources for the purpose for which the fund was established. Any non-negative year end fund balance that is not reported as nonspendable, restricted, or committed is reported as assigned (with the exception of the General Fund).

Unassigned fund balance - This is the residual classification of the General Fund. Only the General Fund reports a positive unassigned fund balance. Other governmental funds might report a negative balance in this classification, as the result of cumulative overspending for specific purposes for which amounts had been restricted, committed, or assigned.

Note 18 provides details of fund balances.

1. Summary of Significant Accounting Policies

Restricted Net Position – Proprietary Funds

Certain cash and investments along with related intergovernmental receivables in the Water and Sewer Fund are restricted for debt service and capital improvements in accordance with the ordinances authorizing the issuance of the Senior Lien Revenue Bond Anticipation Notes and the IEPA and WIFIA loans. These assets are reflected as restricted assets. The City also reports liabilities for amounts payable from restricted assets. Restricted assets that exceed related amounts payable are reported as a restriction of net position.

Use of Resources Policy

The City considers restricted resources to have been used first when expenditures/expenses are incurred for purposes for which both restricted and unrestricted balances are available. Committed, assigned, and unassigned amounts are considered to have been spent in that order when expenditures are incurred for purposes for which amounts in any of those unrestricted fund balance classifications could be used. Expenditures incurred for a specifically identified purpose will reduce the specific identified classification of fund balance.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, deferred outflows of resources, and deferred inflows of resources and disclosure of contingent assets, liabilities, deferred outflows of resources, and deferred inflows of resources at the date of the financial statements and the reported amounts of revenues and expenses during the period. Actual results could differ from those estimates.

New Accounting Pronouncement

The City adopted the provisions of Governmental Accounting Standards Board (GASB) Statement No. 101, *Compensated Absences,* in calendar year 2024. The adoption of this GASB statement required the City to assess the types of leave offered to employees, how they are accounted for internally as well as how required obligations are calculated for financial reporting statement presentation.

2. Property Taxes

Property taxes are levied each year on all taxable real property located in the City. The amounts recorded as revenue for fiscal year 2024 represent the taxes from the 2023 and prior year levies. The budget anticipates that the 2024 property tax levy will be used to finance the 2025 expenditures. The 2024 levy has been recognized as a receivable as of December 31, 2024 but recognition as revenue has been deferred to 2025 because the revenue is not considered available to finance 2024 expenditures.

2. Property Taxes

Net property taxes receivable reflects the estimated collectible portion of the 2024 levies as of December 31, 2024. Property taxes receivable for prior years are immaterial and are not recorded.

Based on past experience, an allowance for estimated collection losses (1.5% of the extended levy) has been recorded to reduce the property taxes receivable to the estimated amounts collectible.

Property taxes are levied on the last Tuesday in December and attach as an enforceable lien on property on January 1st and are payable in two installments on or about June 1st and September 1st subsequent to the year of levy.

All of the City's governmental funds account for property taxes as described above.

3. Tax Abatements

As of December 31, 2024, the City provided tax abatements through four separate programs to encourage economic development within the City. The abatements are reported as reductions to revenues in the applicable individual funds of the City.

The City rebated a portion of the Tax Increment Financing (TIF) property taxes as allowed by the Illinois Tax Increment Redevelopment Allocation Act. The City had agreements with seven entities as of December 31, 2024. The entities must make improvements to properties within the TIF district. The entities remitted their share of property taxes to the County; upon receipt of the taxes from the County, the City refunded the entities up to 100% of the TIF tax paid by each entity, subject to various formulas as dictated by the individual agreements. Rebates paid under the TIF property tax program totaled $529,972 during the year ended December 31, 2024, including $244,538 paid to one developer, which amounted to 46.14% of the TIF rebates.

The City rebated a portion of sales taxes as allowed by the Illinois Compiled Statutes (Economic Incentive Agreements). The City's largest sales tax rebate program involves automobile dealerships. Dealerships can qualify for rebates up to $100,000 annually per location to a maximum of fifteen years based on the level of capital investments made to their properties, the sales volume of vehicles, and the amount of sales tax paid to the state. The City had three active agreements with auto dealers during the year ended December 31, 2024. The City also had three sales tax rebate agreements with non-auto dealers which involved rebates based on percentages of sales. Rebates paid under the sales tax programs totaled $1,542,603 during the year ended December 31, 2024, including a total of $1,278,645 paid to three auto dealers.

The City rebated a portion of business district sales taxes as allowed by the Illinois Business District Development and Redevelopment Law. The City had ten-year agreements with two entities that operate within the specified business district as of December 31, 2024. The entities remitted sales taxes to the state of Illinois; upon collection of the taxes from the state, the City refunded the entities up to 100% of the incremental business district sales tax paid by each entity. Rebates paid under the business district sales tax program were made to gas stations that also operated convenience stores for a total of $69,114 during the year ended December 31, 2024.

3. Tax Abatements

The City rebated amusement taxes as allowed under home-rule provisions of the Illinois Compiled Statutes. The City had an agreement with a racetrack developer as of December 31, 2024. The developer remitted amusement taxes to the City; upon collection of the taxes from the developer, the City refunded up to 100% of the amusement tax paid to reimburse the developer for certain public improvements made by the developer. Rebates paid under this program totaled $48,536 during the year ended December 31, 2024.

4. Cash and Investments

Primary Government

The City is authorized by the Illinois Compiled Statutes (the Illinois Public Funds Investment Act (30 ILCS 235/2) to invest any available funds in: (1) in bonds, notes, certificates of indebtedness, treasury bills or other securities, which are guaranteed by the full faith and credit of the United States of America as to principal and interest; (2) in bonds, notes, debentures, or other similar obligations of the United States of America, its agencies, and its instrumentalities; (3) in interest-bearing savings accounts, interest-bearing certificates of deposit or interest-bearing time deposits or any other investments constituting direct obligations of any bank as defined by the Illinois Banking Act; (4) in short term obligations of corporations organized in the United States with assets exceeding $500,000,000 if (i) such obligations are rated at the time of purchase at one of the 3 highest classifications established by at least 2 standard rating services and which mature not later than 270 days from the date of purchase, (5) in money market mutual funds registered under the Investment Company Act of 1940, (6) interest bearing bonds of any county, township, city, village, incorporated town, municipal corporation, school district, or state.

Deposits

In addition to checking accounts, the City maintains an investment pool comprised of certificates of deposit, an Illinois Funds Money Market Fund account and other investment accounts that are available for use by all funds. Each fund type's portion of this pool is displayed on the combined balance sheet as "Investments". The year-end carrying amounts and bank balances for the City and Pension Trust Funds (excluding cash on hand of $4,066) are as follows:

	Carrying Amount			Total
	Checking Accounts	Certificates of Deposit	Total	Bank Balance
All City Funds Except Pension Trust Funds	$ 108,811,587	$ 15,435,123	$ 124,246,710	$ 149,983,730
Police Pension Fund	6,270,567	-	6,270,567	6,276,155
Firefighters' Pension Fund	1,854,869	-	1,854,869	1,855,849
Total	$ 116,937,023	$ 15,435,123	$ 132,372,146	$ 158,115,734

4. Cash and Investments

Custodial Credit Risk - this is the risk that in the event of a bank failure, the City's deposits may not be returned to it. The City's investment policy, which covers the City's policies for all "deposits" and "investments" requires collateral for all deposits and investments except for those investments in the state pool (the Illinois Funds) or the federal government securities. The collateral must have a market value of not less than 100% of all deposits and investments. The Pension Funds' investment policies do not require collateralization of deposits or investments. As of year-end, all account balances at banks were either insured by the Federal Deposit Insurance Corporation (FDIC) up to $250,000 or collateralized with securities of the U.S. Government held in the City's name by financial institutions acting as the City's agent.

The City maintains an investment in the Illinois Funds Money Market Fund. The balance at December 31, 2024 was $48,324,372. The Illinois Funds Money Market Fund is an external investment pool created by the Illinois General Assembly. The fund invests in U.S. Treasury bills and notes, fully collateralized time deposits in Illinois financial institutions, collateralized repurchase agreements, and mutual funds that invest in U.S. Treasury obligations and collateralized repurchased agreements; the average weighted maturity of the pool's investments at December 31, 2024 is 23 days. The fair value of the position in the Illinois Funds Money Market Fund is the same as the value of the pool shares. The Illinois State Treasurer's Investment Advisory Board has oversight responsibility over the Illinois Funds Money Market Fund.

Investments

Fair Value Measurement - Investments are measured at fair value on a recurring basis. The City categorizes their fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs. The City had the following recurring fair value measurements as of December 31, 2024:

Investment Description	Fair Value	Fair Value Measurements Using		
		Level 1 Inputs	Level 2 Inputs	Level 3 Inputs
U.S. Treasury Bills	$ 94,503,796	$ -	$ 94,503,796	$ -
U.S. Treasury Notes	20,821,832	-	20,821,832	-
Total Investments	$ 115,325,628	$ -	$ 115,325,628	$ -

Debt and equity securities classified in Level 1 of the fair value hierarchy are valued using prices quoted in active markets for those securities. Debt securities classified in Level 2 of the fair value hierarchy are valued using a matrix pricing technique. Matrix pricing is used to value securities based on the securities' relationship to benchmark quoted prices.

Custodial Credit Risk - The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty to a transaction, the City will not be able to recover the value of investment or collateral securities that are in the possession of an outside party. The investment policies for the City as it pertains to custodial credit risk for investments were outlined above. The investments held in external investment pools and in open-end mutual funds are not exposed to custodial credit risk because their existence is not evidenced by securities that exist in physical or book entry form.

4. Cash and Investments

At December 31, 2024, the City's fixed income investments, maturities (using the segmented time distribution method) and fair values were as follows:

Investment Description	Total Fair Value 12/31/2024	Investment Maturities: Less Than One Year	One to Five Years	Five to Ten Years	Over Ten Years
U.S. Treasury Bills	$ 94,503,796	$ 94,503,796	$ -	$ -	$ -
U.S. Treasury Notes	20,821,832	20,821,832	-	-	-
Total Investments	$ 115,325,628	$ 115,325,628	$ -	$ -	$ -

Police Pension Investments

The Illinois Police Officers' Pension Investment Fund (IPOPIF) is an investment trust fund responsible for the consolidation and fiduciary management of the pension assets of Illinois suburban and downstate police pension funds. IPOPIF was created by Public Act 101-0610, and codified within the Illinois Pension Code, becoming effective January 1, 2020, to streamline investments and eliminate unnecessary and redundant administrative costs, thereby ensuring assets are available to fund pension benefits for the beneficiaries of the participating pension funds. Participation in IPOPIF by Illinois suburban and downstate police pension funds is mandatory. Investments of the Fund are combined in a commingled external investment pool and held by IPOPIF. A schedule of investment expenses is included in IPOPIF's annual report. For additional information on IPOPIF's investments, please refer to their annual comprehensive financial report as of June 30, 2024. A copy of that report can be obtained from IPOPIF at 456 Fulton Street, Suite 402, Peoria, Illinois 61602 or at www.ipopif.org. The Fund transferred all eligible assets, except cash and money market mutual funds, to the Investment Fund on December 1, 2022.

IPOPIF's current investment policy was adopted by the Board of Trustees on December 17, 2021 and last revised on April 12, 2024. IPOPIF is authorized to invest in all investments allowed by Illinois Compiled Statutes (ILCS). The IPOPIF shall not be subject to any of the limitations applicable to investments of pension fund assets by the transferor pension funds under Sections 1-113.1 through 1-113.12 or Article 3 of this Code.

As of December 31, 2024, the Pension Fund has $344,240,067 invested in IPOPIF, which is measured at the Net Asset Value (NAV) per share as determined by the Pool. The pooled investments consist of the investments as noted in the target allocation table available at www.ipopif.org.

As of December 31, 2024, the Pension Fund has $1,701 invested in money market mutual funds which had investment maturities of less than one year and were rated AAAm by Standard & Poor's rating agency. The money market mutual funds were registered in the name of the Pension Fund.

4. Cash and Investments

Firefighter's Pension Investments

The Illinois Firefighters' Pension Investment Fund (IFPIF) is an investment trust fund responsible for the consolidation and fiduciary management of the pension assets of Illinois suburban and downstate firefighter pension funds. IFPIF was created by Public Act 101-0610, and codified within the Illinois Pension Code, becoming effective January 1, 2020, to streamline investments and eliminate unnecessary and redundant administrative costs, thereby ensuring assets are available to fund pension benefits for the beneficiaries of the participating pension funds. Participation in IFPIF by Illinois suburban and downstate firefighter pension funds is mandatory. Investments of the Fund are combined in a commingled external investment pool and held by IFPIF. A schedule of investment expenses is included in IFPIF's annual report. For additional information on IFPIF's investments, please refer to their annual report as of June 30, 2024. A copy of that report can be obtained from IFPIF at 1919 South Highland Avenue, Building A, Suite 237, Lombard, IL 60148 or at www.ifpif.org. The Fund transferred all eligible assets to the Investment Fund on January 4, 2022.

IFPIF's current investment policy was adopted by the Board of Trustees on June 17, 2022. IFPIF is authorized to invest in all investments allowed by Illinois Compiled Statutes (ILCS). The IFPIF shall not be subject to any of the limitations applicable to investments of pension fund assets currently held by the transferor pension funds under Sections 1-113.1 through 1-113.12 or Article 4 of the Illinois Pension Code.

As of December 31, 2024, the Pension Fund has $257,667,002 invested in IFPIF, which is measured at the Net Asset Value (NAV) per share as determined by the Pool. The pooled investments consist of the investments as noted in the target allocation table available at www.ifpif.org.

As of December 31, 2024, the Pension Fund has $3,313,779 invested in money market mutual funds which had investment maturities of less than one year and were rated AAAm by Standard & Poor's rating agency. The money market mutual funds were registered in the name of the Pension Fund.

A reconciliation of the City's cash and investment balances as reported in the basic financial statements and the deposits and investments presented in this note is as follows:

4. Cash and Investments

Cash and Investments (Note Above)	
Cash - Carrying Amount of Deposits	$ 132,372,146
Cash on Hand	4,066
Investments - City Investment in Illinois Funds	48,324,372
Investments - City Investment in U.S. Treasury Notes and Bills	115,325,628
Investments - Police Pension Fund	344,241,768
Investments - Firefighters' Pension Fund	260,980,781
Total	$ 901,248,761

Cash and Investments (Basic Financial Statements)	
Primary Government Cash - Statement of Net Position	$ 69,067,529
Primary Government Escrow Deposits - Statement of Net Position	22,464,538
Primary Government Investments - Statement of Net Position	196,368,609
Pension Trust Funds Cash - Statement of Fiduciary Net Position	8,125,536
Pension Trust Funds Investments - Statement of Fiduciary Net Position	605,222,549
Total	$ 901,248,761

Discretely Presented Component Units

The Joliet Public Library and the Will County Metropolitan Exposition and Auditorium Authority are authorized by the Illinois Compiled Statutes to invest in instruments similar to the City as noted above.

Joliet Public Library:

At December 31, 2024, the Library's carrying amount of the Library's deposits totaled $616,346 and the bank balances totaled $637,423. In addition, the Library has $2,273 invested in the Illinois Funds and $3,274,820 invested in IPRIME at year-end, which is measured as net asset value per share as determined by the pool.

Credit Risk - Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. The Library limits its exposure to credit risk by primarily investing in obligations guaranteed by the United States Government or securities issued by agencies of the United States Government explicitly or implicitly guaranteed by the United States Government. At December 31, 2024, the Library's investment in the Illinois Funds was rated AAAmm by Fitch and IPRIME was rated AAAm by Standard & Poor's.

Custodial Credit Risk - In the case of deposits, this is the risk that in the event of a bank failure, the Library's deposits may not be returned to it. The Library's investment policy requires the pledging of collateral of all bank balances in excess of the federal depository insurance with the collateral held by a third party in the Library's name. At December 31, 2024, the entire amount of the bank balance of deposits was covered by collateral, federal depository or equivalent insurance.

4. Cash and Investments

For an investment, this is the risk that in the event of the failure of the counterparty, the Library will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The Library's investment policy does not specifically address custodial credit risk for investments. The Library's investments in the Illinois Funds and IPRIME are not subject to custodial credit risk.

Will County Metropolitan Exposition and Auditorium Authority:

At June 30, 2024, the carrying amount of the Authority's deposits totaled $5,038,205 and the bank balances totaled $5,055,533. The Authority had investments in mutual funds of $656,266 and investments in fixed income mutual funds of $681,509. Both were valued using Level 2 inputs.

Custodial Credit Risk - In the case of deposits, this is the risk that in the event of a bank failure, the Authority's deposits may not be returned to it. The Authority's investment policy does not address custodial credit risk for deposits. At June 30, 2024, all of the bank balance was covered by collateral, federal depository or equivalent insurance. For an investment, this is the risk that, in the event of the failure of the counterparty, the Authority will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The Authority's investment policy does not address custodial credit risk for investments.

Riverwalk Homes, LLC:

At December 31, 2024, the LLC's cash consisted of $1,500 of petty cash and demand deposits held at local financial institutions. The LLC is a for-profit organization that reports under standards set by the Financial Accounting Standards Board. As such, reporting requirements for deposits and investments are different from GASB requirements. At year end, the carrying amount of the LLC's deposits was $3,776,806 and the bank balance was $3,952,725. Deposit and investment risk disclosures were not available.

The Joliet Area Historical Museum:

The Museum is a nonprofit organization that reports under standards set by the Financial Accounting Standards Board. As such, reporting requirements for deposits and investments are different from GASB requirements. At year end June 30, 2024, the Museum maintained cash and cash equivalents of $1,132,117. Deposit and investment risk disclosures were not available.

5. Budgetary Reporting

The budget is prepared on the same basis and uses the same accounting principles as are used to prepare the financial statements. No supplemental appropriations were made during the year. The budget information is presented in this report in all cases where annual appropriations are required. Unexpended budgeted amounts lapse at the end of the budget year. Spending control for most funds is established by the amount of expenditures budgeted for the fund, but management control is exercised at budgetary line-item levels. The following is a summary of funds that incurred expenditures in excess of the final budget along with the amounts of the excess: Tax Incremental Financing Fund #4, $2,505; Tax Incremental Financing Fund #5, $405,005; Tax Incremental Financing Fund #6, $1,005; Special Revenue Revolving Fund, $70,632; Foreign Fire Tax Fund, $119,222; Park Hill Special Services Area Fund, $825; and the Capital Improvement Fund, $4,503,694.

6. Interfund Balances and Transfers

Interfund transfers during the year ended December 31, 2024 were as follows:

Fund	Interfund Transfers In	Interfund Transfers Out
General Fund:		
Nonmajor Governmental Funds	$ 1,695,361	$ 569,377
Water and Sewer Fund	1,981,055	-
Nonmajor Enterprise Fund	-	425,052
Total General Fund	3,676,416	994,429
Tax Incremental Financing Fund #7		
Nonmajor Governmental Funds	-	4,890,026
	-	4,890,026
Nonmajor Governmental Funds:		
General Fund	181,693	1,695,361
Nonmajor Governmental Funds	6,639,110	1,361,400
Total Nonmajor Governmental Funds	6,820,803	3,056,761
Water and Sewer Fund:		
General Fund	-	1,981,055
Total Water and Sewer Fund	-	1,981,055
Nonmajor Enterprise Fund:		
General Fund	425,052	-
Total Nonmajor Enterprise Fund	425,052	-
Grand Total	$ 10,922,271	$ 10,922,271

Routine Transfers

The above transfers were made to move monies between funds to finance operations and various programs in accordance with budgetary authorizations approved by the City Council. The Tax Incremental Financing Fund #7 and the Vehicle Replacement Fund (a nonmajor capital projects fund) transferred $4,890,026 and $861,400, respectively, to the General Debt Service Fund (a nonmajor debt service fund) to make principal and interest payments on bonds.

During the course of operations, numerous transactions occur between individual funds that may result in amounts owed between funds. Short-term interfund loans are reported as “internal receivables and payables.” The purpose of most short-term loans is to cover temporary cash shortfalls in funds with deficit cash positions, all of which are expected to be repaid within one year. Internal (interfund) balances at December 31, 2024 were as follows:

6. Interfund Balances and Transfers

Fund	Internal Balances Receivable	Internal Balances Payable
General Fund:		
Evergreen Terrace II Fund	$ 14,077,306	$ -
Motor Fuel Tax Fund	-	787,463
Water and Sewer Fund	-	1,779
Nonmajor Enterprise Funds	2,040,552	-
Total General Fund	16,117,858	789,242
Evergreen Terrace II Fund:		
General Fund	-	14,077,306
Total Evergreen Terrace II Fund	-	14,077,306
Motor Fuel Tax Fund:		
General Fund	787,463	-
Nonmajor Governmental Funds	55,416	217,694
Water and Sewer Fund	135,073	-
Total Motor Fuel Tax Fund	977,952	217,694
Water and Sewer Fund		
General Fund	1,779	-
Motor Fuel Tax Fund	-	135,073
Total Water and Sewer Fund	1,779	135,073
Nonmajor Governmental Funds:		
Motor Fuel Tax Fund	217,694	55,416
Total Nonmajor Governmental Funds	217,694	55,416
Nonmajor Enterprise Fund:		
General Fund	-	2,040,552
Total Nonmajor Enterprise Fund	-	2,040,552
Grand Total	$ 17,315,283	$ 17,315,283

Due to Primary Government – Due from Component Unit

In a prior fiscal year, the City transferred $11,472,658 to Riverwalk Homes, LLC as a loan to be used to effectively purchase the Evergreen Terrace property. Riverwalk Homes, LLC has recorded a noncurrent liability to represent the amount of the loan to be repaid to the City. As of December 31, 2024, a formal loan payment schedule had not been determined, and the agreed interest rate was established at 0%. The loan is expected to be repaid through annual payments based on revenues earned by the LLC in excess of expenses incurred. During the year ended December 31, 2024, $0 was repaid by Riverwalk Homes, LLC to the City based on fiscal activity that occurred prior to December 31, 2024, thereby maintaining the outstanding loan balance at $7,558,504, which is reported by the City as “Due from Component Unit” in the Statement of Net Position.

6. Interfund Balances and Transfers

In 2019, the City passed a resolution to execute a Predevelopment Loan Agreement (Promissory Note) with Riverwalk Homes, LLC for an amount not to exceed $2,000,000. The purpose of the Predevelopment Loan Agreement is to provide financing that will enable Riverwalk Homes, LLC to pay certain predevelopment costs related to the expected reduction of 179 units on the property. Interest accrues monthly at a rate of 6.00%. The Promissory Note is expected to be repaid when Riverwalk Homes, LLC secures Development Financing for the Redevelopment Project. The entire outstanding balance of the Promissory Note plus all accrued and unpaid interest is due and payable on the earlier of (i) the date of closing of any Development Financing, or (ii) October 23, 2022. The term may be extended for a period of 12 months if certain conditions are met. On October 27, 2023, the City of Joliet approved and authorized execution of an extension for an amount not to exceed $2,000,000 for a period of 24 months at a rate of 6.00%. As of December 31, 2024, the City has loaned $775,221 to Riverwalk Homes, LLC, which is reported by the City as “Due from Component Unit” in the Statement of Net Position.

7. Capital Assets

Capital asset activity for the year ended December 31, 2024 was as follows:

Primary Government	Balance 12/31/2023	Additions	Reductions	Balance 12/31/2024
Governmental Activities:				
Capital Assets not Being Depreciated:				
Land	$ 31,435,042	$ -	$ -	$ 31,435,042
Construction in Progress	59,374,549	43,496,554	8,654,561	94,216,542
Subtotal	90,809,591	43,496,554	8,654,561	125,651,584
Depreciable/Amortizable Capital Assets:				
Infrastructure	652,320,104	13,533,428	-	665,853,532
Land Improvements	12,255,573	1,197,762	-	13,453,335
Buildings	77,854,089	2,015,183	-	79,869,272
Equipment	85,413,675	7,864,308	2,033,527	91,244,456
Furniture and Fixtures	8,068	-	-	8,068
Subscriptions (Intangible Asset)	1,121,184	2,970,336	-	4,091,520
Subtotal	828,972,693	27,581,017	2,033,527	854,520,183
Total at Historical Cost	919,782,284	71,077,571	10,688,088	980,171,767
Less Accumulated Depreciation/Amortization for:				
Infrastructure	270,005,453	16,158,288	-	286,163,741
Land Improvements	8,165,841	570,532	-	8,736,373
Buildings	39,286,693	1,788,248	-	41,074,941
Equipment	60,778,262	4,186,870	1,976,722	62,988,410
Furniture and Fixtures	8,068	-	-	8,068
Subscriptions (Intangible Asset)	373,728	373,728	-	747,456
Total Accumulated Depreciation/Amortization	378,618,045	23,077,666	1,976,722	399,718,989
Governmental Activities Capital Assets, Net	$ 541,164,239	$ 47,999,905	$ 8,711,366	$ 580,452,778

7. Capital Assets

Depreciation and Amortization expense was charged to the City's governmental functions as follows:

General Government	$ 2,130,926
Public Safety	2,881,034
Public Works	16,128,466
Culture and Recreation	18,036
Community Development	1,919,204
Total Depreciation and Amortization Expense	$ 23,077,666

Primary Government	Balance 12/31/2023	Additions	Reductions	Balance 12/31/2024
Business-Type Activities:				
Capital Assets not Being Depreciated:				
Land	$ 5,504,645	$ 51,672	$ -	$ 5,556,317
Construction in Progress	103,561,023	143,129,471	97,337,681	149,352,813
Subtotal	109,065,668	143,181,143	97,337,681	154,909,130
Depreciable Capital Assets:				
Waterworks and Sewerage System	728,568,979	11,600,013	-	740,168,992
Parking Decks and Lots	7,267,770	-	-	7,267,770
Equipment	41,237,104	4,130,452	52,886	45,314,670
Subtotal	777,073,853	15,730,465	52,886	792,751,432
Total at Historical Cost	886,139,521	158,911,608	97,390,567	947,660,562
Less Accumulated Depreciation for:				
Waterworks and Sewerage System	261,504,975	15,886,901	-	277,391,876
Parking Decks and Lots	6,003,104	145,388	-	6,148,492
Equipment	25,334,484	3,033,301	52,886	28,314,899
Total Accumulated Depreciation	292,842,563	19,065,590	52,886	311,855,267
Business-Type Capital Assets, Net	$ 593,296,958	$ 139,846,018	$ 97,337,681	$ 635,805,295

Depreciation expense of $18,902,810 and $162,780 was charged to the Water and Sewer and Parking Facilities functions, respectively.

7. Capital Assets

Component Units	Balance 12/31/2023	Additions	Reductions	Balance 12/31/2024
Joliet Public Library	$ 39,706,109	$ 831,678	$ 768,832	$ 39,768,955
Less Accumulated Depreciation/Amortization	18,419,117	1,431,638	768,832	19,081,923
Joliet Public Library Capital Assets, Net	$ 21,286,992	($ 599,960)	$ -	$ 20,687,032
Riverwalk Homes, LLC	$ 13,968,538	$ 402,561	$ -	$ 14,371,099
Less Accumulated Depreciation/Amortization	2,366,777	372,713	-	2,739,490
Riverwalk Homes, LLC Capital Assets, Net	$ 11,601,761	$ 29,848	$ -	$ 11,631,609

	Balance 6/30/2023	Additions	Reductions	Balance 6/30/2024
W.C.M.E.A.A.	$ 17,906,024	$ 3,532,646	$ -	$ 21,438,670
Less Accumulated Depreciation/Amortization	12,895,681	401,212	-	13,296,893
W.C.M.E.A.A. Capital Assets, Net	$ 5,010,343	$ 3,131,434	$ -	$ 8,141,777
Joliet Area Historical Museum	$ 1,140,973	$ 3,547,765	$ -	$ 4,688,738
Less Accumulated Depreciation/Amortization	647,332	69,830	-	717,162
Joliet Area Historical Museum Capital Assets, Net	$ 493,641	$ 3,477,935	$ -	$ 3,971,576

8. Pension and Retirement Fund Commitments

Illinois Municipal Retirement Fund

Plan Description

The City's defined benefit pension plan for regular employees provides retirement and disability benefits, post-retirement increases, and death benefits to plan members and beneficiaries. The amounts presented in this note are the combined totals for the City and the discretely presented component unit, the Library, as the employees of the Library are included in the City's IMRF Plan. IMRF does not calculate the Library's portion of the amounts presented in this note separate from the City. The Library's employees' total annual wages subject to IMRF comprise 8% of the total annual wages of the Plan. Therefore, the City has allocated 8% of the total net pension liability and deferred inflows and outflows to the Library. The City's plan is managed by the Illinois Municipal Retirement Fund (IMRF), the administrator of an agent multiple-employer public pension fund. A summary of IMRF's pension benefits is provided in the "Benefits Provided" section of this document. Details of all benefits are available from IMRF. Benefit provisions are established by statute and may only be changed by the General Assembly of the State of Illinois. IMRF issues a publicly available Annual Comprehensive Financial Report that includes financial statements, detailed information about the pension plan's fiduciary net position, and required supplementary information. The report is available for download at www.imrf.org.

Benefits Provided

IMRF has three benefit plans. The vast majority of IMRF members participate in the Regular Plan (RP). The Sheriff's Law Enforcement Personnel (SLEP) plan is for sheriffs, deputy sheriffs, and selected police chiefs. Counties could adopt the Elected County Official (ECO) plan for officials elected prior to August 8, 2011 (the ECO plan was closed to new participants after that date).

All three IMRF benefit plans have two tiers. Employees hired before January 1, 2011, are eligible for Tier 1 benefits. Tier 1 employees are vested for pension benefits when they have at least eight years of qualifying service credit. Tier 1 employees who retire at age 55 (at reduced benefits) or after age 60 (at full benefits) with eight years of service are entitled to an annual retirement benefit, payable monthly for life, in an amount equal to 1-2/3% of the final rate of earnings for the first 15 years of service credit, plus 2% for each year of service credit after 15 years to a maximum of 75% of their final rate of earnings. Final rate of earnings is the highest total earnings during any consecutive 48 months within the last 10 years of service, divided by 48. Under Tier 1, the pension is increased by 3% of the original amount on January 1 every year after retirement.

Employees hired on or after January 1, 2011 are eligible for Tier 2 benefits. For Tier 2 employees, pension benefits vest after ten years of service. Participating employees who retire at age 62 (at reduced benefits) or after age 67 (at full benefits) with ten years of service are entitled to an annual retirement benefit, payable monthly for life, in an amount equal to 1-2/3% of the final rate of earnings for the first 15 years of service credit, plus 2% for each year of service credit after 15 years to a maximum of 75% of their final rate of earnings. Final rate of earnings is the highest total earnings during any 96 consecutive months within the last 10 years of service, divided by 96. Under Tier 2, the pension is increased on January 1 every year after retirement, upon reaching age 67, by the *lesser* of:

- 3% of the original pension amount, or
- 1/2 of the increase in the Consumer Price Index of the original pension amount.

8. Pension and Retirement Fund Commitments

Employees Covered by Benefit Terms

At December 31, 2024, the following employees were covered by the benefit terms:

	Regular
Inactive Plan Members and Beneficiaries Currently Receiving Benefits	513
Inactive Plan Members Entitled to But Not Yet Receiving Benefits	271
Active Plan Members	507
Total	1,291

Contributions

As set by statute, the City's Regular Plan Members are required to contribute 4.5% of their annual covered salary. The statute requires employers to contribute the amount necessary, in addition to member contributions, to finance the retirement coverage of its own employees. The City's annual contribution rate for calendar year 2024 was 14.23%. For the fiscal year ended December 31, 2024, the City contributed $6,532,972 to the plan. The City also contributes for disability benefits, death benefits, and supplemental retirement benefits, all of which are pooled at the IMRF level. Contribution rates for disability and death benefits are set by IMRF's Board of Trustees, while the supplemental retirement benefits rate is set by statute.

Net Pension Liability

The City's net pension liability was measured as of December 31, 2024. The total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date.

Actuarial Assumptions

The following are the methods and assumptions used to determine total pension liability at December 31, 2024:

- The Actuarial Cost Method used was Entry Age Normal.
- The Asset Valuation Method used was Market Value of Assets.
- The Inflation Rate was assumed to be 2.25%.
- Salary Increases were expected to be 2.85% to 13.75%, including inflation.
- The Investment Rate of Return was assumed to be 7.25%.
- Projected Retirement Age was from the Experience-based Table of Rates, specific to the type of eligibility condition, last updated for the 2023 valuation according to an experience study from years 2020 to 2022.
- For non-disabled retires, the Pub-2010, Amount-Weighted, below-median income, General, Retiree, Male (adjusted 108%) and Female (adjusted 106.4%) tables, and future mortality improvements projected using scale MP-2021 were used.
- For disabled retirees, the Pub-2010, Amount-Weighted, below-median income, General, Disabled Retiree, Male and Female (both unadjusted) tables, and future mortality improvements projected using scale MP-2021.
- For active members, the Pub-2010, Amount-Weighted, below-median income, General, Employee, Male and Female (both unadjusted) tables, and future mortality improvements projected using scale MP-2021.

8. Pension and Retirement Fund Commitments

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense, and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return to the target asset allocation percentage and adding expected inflation. The target allocation and best estimates of geometric real rates of return for each major asset class are summarized in the following table as of December 31, 2024:

Asset Class	Target Percentage	Long-Term Expected Real Rate of Return
Domestic Equity	33.50%	4.35%
International Equity	18.00%	5.40%
Fixed Income	24.50%	5.20%
Real Estate	10.50%	6.40%
Alternative Investments	12.50%	4.85-6.25%
Cash Equivalents	1.00%	3.60%
Total	100.00%	

Discount Rate

A Single Discount Rate of 7.25% was used to measure the total pension liability for the Regular Plan. The projection of cash flow used to determine this Single Discount Rate assumed that the plan members' contributions will be made at the current contribution rate, and that employer contributions will be made at rates equal to the difference between actuarially determined contribution rates and the member rate. The Single Discount Rate reflects:

1. The long-term expected rate of return on pension plan investments (during the period in which the fiduciary net position is projected to be sufficient to pay benefits), and
2. The tax-exempt municipal bond rate based on an index of 20-year general obligation bonds with an average AA credit rating (which is published by the Federal Reserve) as of the measurement date (to the extent that the contributions for use with the long-term expected rate of return are not met).

For the purpose of the most recent valuation, the expected rate of return on plan investments is 7.25%, the municipal bond rate is 4.08%, and the resulting single discount rate was 7.25%.

8. Pension and Retirement Fund Commitments

Changes in the Net Pension Liability

	Regular Plan
Total Pension Liability	
Service Cost	$ 3,827,828
Interest	22,413,192
Differences Between Expected and Actual Experience	2,068,594
Benefit Payments, Including Refunds of Plan Member Contributions	(18,571,996)
Net Change in Total Pension Liability	9,737,618
Total Pension Liability - Beginning	316,519,564
Total Pension Liability - Ending	326,257,182
Plan Fiduciary Net Position	
Contributions from Employer	6,532,972
Contributions from Plan Members	2,046,473
Pension Plan Net Investment Income	27,043,863
Benefit Payments, Including Refunds of Plan Member Contributions	(18,571,996)
Other Changes	(8,766,760)
Net Change in Plan Fiduciary Net Position	8,284,552
Plan Fiduciary Net Position - Beginning	269,743,477
Plan Fiduciary Net Position - Ending	278,028,029
Net Pension Liability - Ending	$ 48,229,153

The Library has been allocated $3,858,332 of the ending net pension liability of $48,229,153 with the remaining $44,370,821 being reported by the City.

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the plan's net pension liability, calculated using a Single Discount Rate of 7.25%, for the Regular Plan as well as what the plan's net pension liability would be if it were calculated using a Single Discount Rate that is 1% lower or 1% higher:

Regular Plan	1% Decrease (6.25%)	Current Discount Rate (7.25%)	1% Increase (8.25%)
City's Net Pension Liability	$ 80,141,375	$ 44,370,821	$ 15,693,288
Library - Component Unit's Net Pension Liability	6,968,815	3,858,332	1,364,634
Total Net Pension Liability	$ 87,110,190	$ 48,229,153	$ 17,057,922

8. Pension and Retirement Fund Commitments

Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

For the year ended December 31, 2024, the City recognized pension expense of $16,624,245, for the Regular Plan. At December 31, 2024, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Regular Plan					
	City		Library - Component Unit		Total	
Deferred Amounts Related to Pensions	Deferred Outflows of Resources	Deferred Inflows of Resources	Deferred Outflows of Resources	Deferred Inflows of Resources	Deferred Outflows of Resources	Deferred Inflows of Resources
Deferred Amounts to be Recognized in Pension Expense in Future Periods						
Differences between Expected and Actual Experience	$ 5,752,168	$ 3,030,114	$ 500,188	$ 263,488	$ 6,252,356	$ 3,293,602
Changes of Assumptions	-	12,205	-	1,061	-	13,266
Net Difference between Projected and Actual Earnings on Pension Plan Investments	5,966,620	-	518,837	-	6,485,457	-
Total Deferred Amounts Related to Pensions	$11,718,788	$ 3,042,319	$1,019,025	$ 264,549	$12,737,813	$ 3,306,868

The Library has been allocated $1,019,025 and $264,549 of the ending deferred outflows and deferred inflows of resources, respectively, with the remaining $11,718,788 and $3,042,319 of the ending deferred outflows and deferred inflows of resources, respectively being reported by the City.

Amounts of deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense in future periods as follows:

	Regular Plan		
	City	Library - Component Unit	Total
Year Ending December 31,	Net Deferred Outflows of Resources	Net Deferred Outflows of Resources	Net Deferred Outflows of Resources
2025	$ 5,317,156	$ 462,361	$ 5,779,517
2026	8,155,008	709,131	8,864,139
2027	(3,292,876)	(286,337)	(3,579,213)
2028	(1,502,818)	(130,680)	(1,633,498)
Total	$ 8,676,469	$ 754,476	$ 9,430,945

8. Pension and Retirement Fund Commitments

Police Pension and Firefighter's Pension Plans

Plan Descriptions

The City contributes to two single employer defined benefit pension plans: the Joliet Police Pension Plan and the Joliet Firefighters' Pension Plan (Plans). Each plan provides retirement, disability, and death benefits, and annual cost-of-living adjustments to plan members and beneficiaries. Sworn Police and Fire personnel are covered by the Plans. The Plans are part of the City of Joliet's financial reporting entity and are included in the City's financial report as pension trust funds.

Although these are single-employer pension plans, the defined benefits and employee and employer contribution requirements are governed by Illinois Compiled Statutes and may only be amended by the Illinois legislature. The Joliet Police Pension Fund is administered by the Joliet Police Pension Board of Trustees. Two members of the Police Pension Board are appointed by the City's Mayor, one member is elected by pension beneficiaries, and two members are elected by active police employees. The Joliet Firefighters' Pension Fund is administered by the Joliet Firefighters' Pension Board of Trustees. Two members of the Firefighters' Pension Board are appointed by the City's Mayor, one member is elected by pension beneficiaries, and two members are elected by active firefighter employees.

Participating employees are required to contribute 9.91% and 9.455% of their salary to the Police and Firefighters' Plans, respectively. If a participating employee leaves the covered employment, other than due to employment connected disability or death, before 20 years of credited service, accumulated employee contributions are refundable to the employee. The City is required to contribute the remaining amounts necessary to finance the plans and the administrative costs as actuarially determined by an enrolled actuary. Effective January 1, 2011, the City has until the year 2040 to fund 90% of the past service cost for the Police and Firefighters' Pension Plans. For the year ended December 31, 2024, the City's contributions were 57.88% and 58.85% of covered payroll for the Police and Firefighters' Pension Plans, respectively.

Rather than use annual actuarial information provided by the Illinois Division of Insurance, the City of Joliet has commissioned its own actuarial study by Lauterbach & Amen, LLP of Naperville, Illinois. Lauterbach & Amen, LLP bases the information that is included in the required supplementary information on actuarial calculations.

At January 1, 2024 (the date of the latest actuarial valuation) membership in each plan consisted of the following:

	Police Pension	Firefighters' Pension
Inactive Plan Members and Beneficiaries Currently Receiving Benefits	248	183
Inactive Plan Members Entitled to But Not Yet Receiving Benefits	33	3
Active Plan Members	266	212
Total	547	398

8. Pension and Retirement Fund Commitments

Summary of Significant Accounting Polices and Plan Asset Matters

Basis of Accounting

The Police Pension Fund and the Firefighters' Pension Fund are pension trust funds and are accounted for by the accrual basis of accounting. Employee and employer contributions are recognized as additions when due, pursuant to formal commitments, as well as statutory or contractual requirements. Benefits and refunds are recognized when due and payable in accordance with the terms of each plan.

Method Used to Value Investments

Plan investments are reported at fair value. Short-term investments are reported at cost, which approximates fair value. Securities traded on national exchanges are valued at the last reported sales price. Investments that do not have an established market are reported at estimated fair value. Investments invested in the Illinois Police Officers' Pension Investment Fund (IPOPIF) and the Illinois Firefighters' Pension Investment Fund (IFPIF) are measured at the Net Asset Value (NAV) per share as determined by each Pool. Details regarding cash and investments are disclosed in note 4.

Net Pension Liability

The components of the net pension liability of the Police and Firefighters' Pension Plans as of December 31, 2024 were as follows:

	Police Pension	Firefighters' Pension
Total Pension Liability	$546,250,810	$412,051,760
Plan Fiduciary Net Position	350,511,422	262,840,213
Net Pension Liability	$195,739,388	$149,211,547
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability	64.17%	63.79%

See the schedule of changes in the employer's net pension liability and related ratios in the required supplementary information for additional information related to the funded status of the Plans.

Actuarial Assumptions

The total pension liability for each pension plan was determined by actuarial valuations as of December 31, 2024 based on information rolled forward from actuarial valuation reports as of January 1, 2024, using the following actuarial assumptions, applied to all periods included in the measurement:

Valuation Date: January 1, 2024 - Actuarially determined contribution rates are calculated as of January 1, which is 24 months prior to the end of the fiscal year in which contributions are reported.

8. Pension and Retirement Fund Commitments

Actuarial Cost Method: Entry Age Normal.

Amortization Method: Level percentage of pay (Closed).

Remaining Amortization Period: 21 years.

Asset Valuation Method: Fair value.

Inflation: 2.50%.

Salary Increases: Police 4.25% - 36.18%; Firefighters' 4.00% - 30.96%.

Projected Increase in Total Payroll: 3.25%.

Investment Rate of Return: 6.50% as of the January 1, 2024 valuation.

Postretirement Benefit Increases: Postretirement benefit increases are 3.00%, compounded, for Tier 1 employees, and 3.00% or one-half of the annual increase in the Consumer Price Index, whichever is less, simple, for Tier 2 employees.

Mortality Table: PubS-2010(A) Adjusted for Plan Status, Demographics, and Illinois Public Pension Data, as Appropriate.

Retirement Rates: Joliet Police/Firefighters' Retirement Rates Capped at Age 58.

Termination Rates: 100% of L&A 2024 Illinois Police/Firefighters' Termination Rates.

Disability Rates: 100% of L&A 2024 Illinois Police/Firefighters' Disability Rates.

Discount Rates

A single discount rate of 6.50% and 6.50% was used to measure the total pension liability for the Police Pension Plan and the Firefighters' Pension Plan, respectively. The single discount rates were based on the expected rate of return on pension plan investments of 6.50% and the municipal bond rate of 4.08% (changed from 3.26% in 2023). The projection of cash flows used to determine this single discount rate assumed that plan member contributions will be made at the current contribution rate and that employer contributions will be made at rates equal to the difference between actuarially determined contribution rates and the member rate.

The single discount rate is calculated the same way as the single discount rate is for IMRF mentioned earlier.

8. Pension and Retirement Fund Commitments

Changes in the Net Pension Liability

	Police Pension Plan	Firefighters' Pension Plan
Total Pension Liability		
Service Cost	$ 9,001,855	$ 7,936,953
Interest	34,094,227	24,999,698
Changes of Benefit Terms	1,072,393	-
Differences Between Expected and Actual Experience	1,303,600	(1,178,504)
Changes of Assumptions	(10,647,945)	3,013,484
Benefit Payments, Including Refunds of Plan Member Contributions	(24,166,061)	(16,570,672)
Net Change in Total Pension Liability	10,658,069	18,200,959
Total Pension Liability - Beginning	535,592,741	393,850,801
Total Pension Liability - Ending	546,250,810	412,051,760
Plan Fiduciary Net Position		
Contributions from Employer	18,456,702	15,051,927
Contributions from Plan Members	3,238,173	2,602,974
Other Contributions	522,474	-
Pension Plan Net Investment Income	29,956,091	25,282,807
Benefit Payments, Including Refunds of Plan Member Contributions	(24,166,061)	(16,570,672)
Pension Plan Administrative Expense	(139,649)	(77,360)
Net Change in Plan Fiduciary Net Position	27,867,730	26,289,676
Plan Fiduciary Net Position - Beginning	322,643,692	236,550,537
Plan Fiduciary Net Position - Ending	350,511,422	262,840,213
Net Pension Liability - Ending	$195,739,388	$149,211,547

Discount Rate Sensitivity

The following is a sensitivity analysis of the net pension liability to changes in the discount rate. The table below presents the pension liability of the City calculated using the discount rate of 6.50% and 6.50% for the Police and Firefighters' Pension Plans, respectively, as well as what the City's net pension liability would be if it were calculated using a discount rate that is 1% lower or 1% higher than the current rate:

Police Pension	1% Decrease (5.50%)	Current Discount Rate (6.50%)	1% Increase (7.50%)
City's Net Pension Liability	$ 274,726,807	$ 195,739,388	$ 131,458,914

Firefighters' Pension	1% Decrease (5.50%)	Current Discount Rate (6.50%)	1% Increase (7.50%)
City's Net Pension Liability	$ 208,004,896	$ 149,211,547	$ 101,220,894

8. Pension and Retirement Fund Commitments

Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

For the year ended December 31, 2024, the City recognized pension expense of $20,239,128 and $15,782,869 for the Police and Firefighters' Pension Plans, respectively. At December 31, 2024, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Police Pension Plan		Firefighters' Pension Plan	
Deferred Amounts Related to Pensions	Deferred Outflows of Resources	Deferred Inflows of Resources	Deferred Outflows of Resources	Deferred Inflows of Resources
Deferred Amounts to be Recognized in Pension Expense in Future Periods				
Differences between Expected and Actual Experience	$ 9,486,077	$ 2,873,826	$ 3,971,494	$ 5,132,752
Changes of Assumptions	-	9,738,473	2,712,419	203,883
Net Difference between Projected and Actual Earnings on Pension Plan Investments	3,256,411	-	-	1,184,734
Total Deferred Amounts Related to Pensions	$ 12,742,488	$ 12,612,299	$ 6,683,913	$ 6,521,369

Amounts of deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense in future periods as follows:

	Police Pension Plan	Firefighters' Pension Plan
Year Ending December 31,	Net Deferred Outflows of Resources	Net Deferred Outflows of Resources
2025	$ 1,513,161	$ 424,180
2026	7,119,976	4,622,283
2027	(5,267,681)	(4,017,750)
2028	(2,416,782)	(1,036,014)
2029	(818,485)	169,845
Total	$ 130,189	$ 162,544

Investment Rate of Return

For the year ended December 31, 2024, the annual money-weighted rate of return on pension plan investments, net of pension plan investment expense was 9.36% and 10.72% for the Police and Firefighters' Pension Plans, respectively. The money-weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested.

8. Pension and Retirement Fund Commitments

Funding Policy

The City funds its contributions to the Police and Firefighter's pension plans through an annual tax levy. The levy amount is actuarially determined as the annual contribution necessary to fund the normal costs, plus the amount to amortize the unfunded accrued liability. The City levies 102% of the Annual Required Contribution based on the actuarial calculations for the next tax extension. Therefore, the annual required contributions for the year ended December 31, 2024 are levied for the 2025 tax levy and will be collected during the fiscal year ending December 31, 2026.

Reconciliation of Pension Note to Government-Wide Financial Statements

	Net Pension Liability	Deferred Outflows of Resources Related to Pensions	Deferred Inflows of Resources Related to Pensions
Amounts Reported in Note 8			
IMRF - Regular Plan	$ 48,229,153	$ 12,737,818	$ 3,306,868
Police Pension Plan	195,739,388	12,742,483	12,612,299
Firefighters' Pension Plan	149,211,547	6,683,913	6,521,369
Total	$ 393,180,088	$ 32,164,214	$ 22,440,536
Amounts Reported in the Government-Wide Financial Statements			
Governmental Activities	$ 374,233,396	$ 26,970,804	$ 21,278,036
Business-Type Activities	15,088,360	4,174,385	897,951
Component Unit - Library	3,858,332	1,019,025	264,549
Total	$ 393,180,088	$ 32,164,214	$ 22,440,536

	IMRF	Police Pension	Fire Pension	Total
Total Pension Expense	$ 16,624,245	$ 20,239,128	$ 15,782,869	$ 52,646,242

9. Postemployment Benefits Other Than Pensions

The City administers a single employer defined benefit healthcare and life insurance plan, the "Retiree Healthcare and Life Insurance Plan" (RHLIP) or "the Plan".

Plan Description

The Plan provides lifetime healthcare and life insurance for eligible retirees and their dependents through the City's group health insurance and life insurance plans, which covers both active and retired members. Benefit provisions are established through negotiations between the City and the unions representing City employees and are renegotiated each bargaining period. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75. The Plan does not issue a stand-alone financial report.

9. Postemployment Benefits Other Than Pensions

Benefits Provided

Retiree Cost Sharing Provisions

Police and Fire retirees as well as IMRF retirees with 20 or more years of service receive single healthcare coverage at no charge to the member.

Former IMRF retirees with less than 20 years of service pay a portion of the 1988 single premium rate according to schedules based on their date of retirement and the City pays the difference between the current blended rate and the 1988 blended rate.

Employees and Retirees Not Meeting Years of Service Requirements

The City is legally required to offer postemployment healthcare benefits to former employees and retirees. Former employees, who are not retirees, are provided healthcare benefits mandated by the Consolidated Omnibus Budget Reconciliation Act (COBRA). Former employees, who are qualified under COBRA, may apply for coverage by the City's health plan. The cost is 100% funded on a monthly pay-as-you-go basis by the former employee based upon the actual cost of the health plan for the chosen level of coverage.

Illinois statutes mandate that a municipal government must offer its retirees a health insurance plan equivalent to that offered to active employees. Illinois statutes enable a government to make the health plan benefits supplemental to Medicare and to offer these supplemental benefits at a different retiree contribution rate than regular benefits provided by the group plan. State statutes do not presently require the government to pay any portion of the cost of the plan for retired employees.

Retired employees that do not meet the years of service requirements covered under the City's plan are required to pay 100% of the cost of their insurance based on the rates paid by the City. Retired employees must be covered under the City's health insurance plan at the time of retirement to receive this benefit and must continue coverage with the City's plan to maintain this benefit.

Employees may also be covered under the Public Safety Employee Benefits Act (PSEBA). The PSEBA statute grants special health insurance to public safety employees who are catastrophically injured in the line of duty. Once awarded, the recipient, their spouse, and dependent children receive health insurance, the premium of which is paid for by the City for life.

Life Insurance

Additionally, the City pays 100% of the premiums to provide group term life insurance ranging from $10,000 to $50,000, depending on type of qualifying employee group and date of retirement.

Funding Policy

All plan funding is done on a pay-as-you-go basis. For fiscal year 2024, the City contributed $15,146,708 to the Plan.

Employees Covered by Benefit Terms

At December 31, 2024, the following employees were covered by the benefit terms:

9. Postemployment Benefits Other Than Pensions

Inactive Plan Members Currently Receiving Benefits	755
Inactive Plan Members Entitled to But Not Yet Receiving Benefits	-
Active Plan Members	859
Total	1,614

Eligibility

The eligibility requirements for benefits are:

- Tier I IMRF full-time city employees are eligible at age 55 with at least 8 years of service. Tier II IMRF full-time city employees are eligible at age 62 with at least 10 years of service.
- Tier I full-time police officers are eligible at age 50 with 20 years of service. Tier II full-time police officers are eligible at age 55 with 10 years of service.
- Tier I full-time firefighters are eligible at age 50 with 20 years of service. Tier II full-time firefighters are eligible at age 55 with 10 years of service.

Dependents of employees and retirees are eligible for healthcare coverage.

Total OPEB Liability

The City's total OPEB liability of $517,297,286 was measured as of December 31, 2024 and was determined by an actuarial valuation as January 1, 2025.

Actuarial Assumptions and Other Inputs

The total OPEB liability in the January 1, 2025 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Actuarial Cost Method:	Entry Age Normal.
Payroll Increases:	3.00%.
Retirement Age:	Experience-based table of rates that are specific to the type of eligibility condition.
Healthcare Trend Rates:	Beginning fiscal year 2024 at 7.90% for PPO graded down to 5.0% per year ultimate trend.

The discount rate of 4.08% was based on the Fidelity 20-Year General Obligation Municipal Bond Index.

Mortality rates were developed as follows – IMRF Mortality follow the PubG-2010(B) Improved Generationally using MP-2021 Improvement Rates, weighted per IMRF Experience Study Report dated January 4, 2024. Police and Fire Mortality follow the Sex Distinct Raw Rates as developed in the PubS-2010(A) Study improved to 2021 using MP-2021 Improvement Rates. These rates are improved generationally using MP-2021 Improvement Rates.

9. Postemployment Benefits Other Than Pensions

Changes in the Total OPEB Liability

	Total OPEB Liability
Balance at December 31, 2023	$691,099,954
Changes for the Year:	
Service Cost	24,017,503
Interest on the Total OPEB Liability	22,282,967
Differences Between Expected and Actual Experience of the Total OPEB Liability	(182,640,613)
Changes of Assumptions	(22,315,817)
Benefit Payments	(15,146,708)
Net Changes	(173,802,668)
Balance at December 31, 2024	$ 517,297,286

The OPEB long term liability is reported in the Statement of Net Position, with $447,445,446 reported in Governmental Activities and $54,903,047 reported in Business-type Activities. The OPEB current portion of the liability is reported in the Statement of Net Position, with $13,314,999 reported in Governmental Activities and $1,633,794 reported in Business-type Activities.

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the City, as well as what the City's total OPEB liability would be if it were calculated using a discount rate that is 1% lower (3.08%) or 1% point higher (5.08%) than the current discount rate:

Discount Rate	1% Decrease	Current Discount Rate	1% Increase
City's Total OPEB Liability	$ 605,207,122	$ 517,297,286	$ 447,781,728

Sensitivity of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following presents the total OPEB liability of the City, as well as what the City's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1% lower (6.9% adjusting to 4.0%) or 1% higher (8.9% adjusting to 6.0%) than the current healthcare cost trend rates:

Healthcare Trend Rate	1% Decrease	Current Healthcare Trend Rate	1% Increase
City's Total OPEB Liability	$ 440,229,944	$ 517,297,286	$ 616,215,179

9. Postemployment Benefits Other Than Pensions

OPEB Expense and Deferred Inflows of Resources Related to OPEB

For the year ended December 31, 2024, the City recognized OPEB expense of $29,682,470, net of deferred amounts.

At December 31, 2024, the City reported deferred outflows and inflows of resources related to OPEB from the following sources:

Deferred Amounts Related to OPEB	Deferred Outflows of Resources	Deferred Inflows of Resources
Deferred Amounts to be Recognized in OPEB Expense in Future Periods		
Differences between Expected and Actual Experience	$ 26,534,304	$154,455,333
Changes of Assumptions	$ 88,547,032	$149,336,005
Total Deferred Amounts Related to OPEB	$ 115,081,336	$303,791,338

Amounts reported as net deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year Ending December 31,	Net Deferred Inflows of Resources
2025	$ 17,487,004
2026	35,975,461
2027	52,737,981
2028	42,785,539
2029	24,542,061
Thereafter	15,181,956
Total	$ 188,710,002

10. Commitments, Contingencies and Subsequent Events

General Litigation

The City monitors all claims and lawsuits on a case-by-case basis. If a claim is asserted and a probable loss is reasonably estimable, the City recognizes a liability in the financial statements. The City is currently a defendant in several lawsuits. Although the outcome of these lawsuits is not presently determinable, in the opinion of the City, the resolution of these matters will not have a material adverse effect on the financial condition of the City.

10. Commitments, Contingencies and Subsequent Events

Fund Commitments

The City has entered into contracts totaling approximately $95.9 million for projects to be paid from loan proceeds from the Water and Sewer Fund, $63.2 million for road projects to be paid from state reimbursements and grant funds from the Motor Fuel Tax Fund, the Grant and Special Revenue Fund, and the Capital Improvement Fund, and $19.2 million for the Olympic Boulevard project from the Tax Incremental Financing #7 Fund; as of December 31, 2024, about $136.9 million had been paid or accrued leaving remaining commitments at $41.4 million.

Additionally, the City has committed to pay Will County $10 million over 20 years towards the building of the new County courthouse. The City made the seventh payment of $500,000 in fiscal year 2024 from the General Fund.

Subsequent Events

The City of Joliet entered into an agreement with the City of Chicago to receive the City's water supply from the City of Chicago through Lake Michigan in 2021. The City currently receives its water supply from a deep groundwater aquifer. It is estimated that the City's current water source will not be able to meet the City's water demands by the year 2030. Future water rate increases, and debt issuances are expected to fund the project.

11. Compensated Absences

All full-time City employees accumulate vacation, sick leave, and compensatory time hours for subsequent use or for payment upon termination, death, or retirement. In accordance with GASB Statement No. 101, the City records a liability for compensated absences using the vesting method. Under this method, the liability is measured based on the accumulated leave of employees who are currently eligible to receive payments upon termination.

Leave balances in excess of the amounts payable at termination are excluded from the liability, as they are available only for future use as paid time off and do not represent a current obligation.

Governmental fund liabilities for compensated absences are typically liquidated by the General Fund. The City’s liability for compensated absences as of December 31, 2024, is summarized as follows:

11. Compensated Absences

	Balance 12/31/2023, as Restated	Additions/ (Reductions)	Balance 12/31/2024	Amount Due Within One Year
Governmental Activities	$ 20,746,792	$ 6,494,900	$ 27,241,692	$ 13,620,846
Business-Type Activities:				
Water and Sewer Fund	2,511,357	967,131	3,478,488	1,739,245
Sewer Fund				
Parking Fund	1,115	177,956	179,071	89,536
Total Business-Type	2,512,472	1,145,087	3,657,559	1,828,781
Total Liability	$ 23,259,264	$ 7,639,987	$ 30,899,251	$ 15,449,627

12. Risk Management

The City is exposed to various risks of loss related to torts: theft, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The City accounts for its risk financing activities in the General Fund. The General Fund pays all general liabilities, unemployment, and workers' compensation, and auto and collision claims for which the City is held liable. The City's Consolidated Property & Casualty Insurance Program consists of primary package insurance coverage consists of excess specific coverage for General, Auto, Police / Law Enforcement, Public Official / Employment Practices Liability (EPL), and Employee Benefit Liability (EMT). The coverage limit on the primary package policy is $5,000,000 per occurrence and aggregate with an additional $10,000,000 umbrella extending over the initial $5,000,000 package limit. The Self-Insured Retention (SIR) is $1,000,000 for all package components. Worker's Compensation Excess Specific coverage is to statutory limits with $1,000,000 of employer's liability. The SIR for this line is $900,000. The City's property coverage is all risk, repair, or replacement Full Limit Value (FLV) with a $75,000 deductible.

This coverage includes Extra Expense ($7,000,000 per named location), EDP equipment ($7,000,000 per named location), Flood ($5,000,000 with $100,000 deductible), Property in Transit and Builder's Risk coverage at various limits as well as Earthquake ($50,000,000 with a $100,000 deductible) coverage for a Total Insured Value (TIV) of $350,757,216.

The City's Boiler and Machinery coverage is $250,000,000 with a $75,000 deductible. All coverage is on an "Occurrence" form/basis. There were no significant reductions in insurance coverage from the previous year. Settled claims have not exceeded the insurance coverage in the last three years.

The City also participates in an externally administered self-insurance programs for workers' compensation, unemployment compensation, and general liability claims and medical claims. The City's group health insurance plans maintain specific stop loss coverage for claims in excess of $240,000 and aggregate stop loss coverage for total plan losses in excess of 125% of projected claims. Dental coverage benefits are limited to $1,000 per covered individual per year. The claims liability of $5,157,160 for workers' compensation, unemployment compensation, and general liability claims is reported as a liability in the Statement of Net Position. This liability includes an estimate of both incremental and non-incremental claims adjustment expenses and is based on the estimated outcome of outstanding claims on a case-by-case basis. The amount estimated to be paid within one year is $2,269,160. The claims are typically paid by the General Fund.

12. Risk Management

The liability for health claims of $2,159,200 is reported in the General Fund. The amount is based on reported claims due and payable at year-end along with an estimate of claims that were incurred before year-end but not yet reported.

Changes in the claim's liability amounts in the fiscal years ended December 31, 2024 and 2023 were as follows:

	Workers' Compensation, Unemployment, General Liability	Health Claims	Total
Claims Liability, December 31, 2022	$ 6,843,823	$ 1,583,700	$ 8,427,523
Incurred Claims	2,556,779	27,868,310	30,425,089
Change in Estimates	(527,748)	-	(527,748)
Claim Payments	(2,556,779)	(28,291,910)	(30,848,689)
Claims Liability, December 31, 2023	6,316,075	1,160,100	7,476,175
Incurred Claims	2,356,255	33,270,061	35,626,316
Change in Estimates	(1,158,915)	-	(1,158,915)
Claim Payments	(2,356,255)	(32,270,961)	(34,627,216)
Claims Liability, December 31, 2024	$ 5,157,160	$ 2,159,200	$ 7,316,360

13. Long-Term Debt

Changes in long-term debt during the year were as follows:

	Balance December 31, 2023	Debt Issued	Debt Retired / Defeased	Balance December 31, 2024	Amounts Due Within One Year
Primary Government					
Governmental Activities:					
General Obligation Bonds	$ 96,285,000	$ -	($ 350,000)	$ 95,935,000	$ 360,000
Premium on Bonds	8,814,414	-	(612,461)	8,201,953	-
Total General Obligation Bonds	105,099,414	-	(962,461)	104,136,953	360,000
Subscription Lease Liability	732,854	2,970,336	(359,242)	3,343,948	573,589
Total Governmental Activities	105,832,268	2,970,336	(1,321,703)	107,480,901	933,589
Business-Type Activities:					
Waterworks and Sewerage					
Senior Lien Revenue Bond Anticipation Notes	76,605,000	-	(55,115,000)	21,490,000	21,490,000
Premium on Bond Anticipation Notes	1,585,759	-	(1,300,791)	284,968	-
Total Senior Lien Revenue Bond Anticipation Notes	78,190,759	-	(56,415,791)	21,774,968	21,490,000
WIFIA Loans Payable	55,115,000	22,222,254	-	77,337,254	-
IEPA Loans Payable	212,592,650	42,039,765	(11,033,023)	243,599,392	11,972,369
Total Loans Payable	267,707,650	64,262,019	(11,033,023)	320,936,646	11,972,369
Total Business-Type Activities	345,898,409	64,262,019	(67,448,814)	342,711,614	33,462,369
Total Primary Government	$ 451,730,677	$ 67,232,355	($ 68,770,517)	$ 450,192,515	$ 34,395,958

13. Long-Term Debt

Annual debt service payments required to service outstanding bonds at December 31, 2024 are as follows:

Governmental Activities:

General Obligation Bonds:

Years Ending December 31,	Interest	Principal	Total
2025	$ 4,960,225	$ 360,000	$ 5,320,225
2026	4,949,425	375,000	5,324,425
2027	4,938,175	385,000	5,323,175
2028	4,926,625	1,790,000	6,716,625
2029	4,845,025	2,475,000	7,320,025
2030-2034	22,000,225	19,035,000	41,035,225
2035-2039	16,225,125	29,200,000	45,425,125
2040-2044	7,305,675	42,315,000	49,620,675
	$ 70,150,500	$ 95,935,000	$ 166,085,500

Business-Type Activities:

Revenue Bond Anticipation Notes:

Years Ending December 31,	Interest	Principal	Total
2025	$ 537,250	$ 21,490,000	$ 22,027,250
	$ 537,250	$ 21,490,000	$ 22,027,250

General Obligation Bonds

General obligation bonds outstanding at December 31, 2024 are summarized as follows:

	Series	Interest Rates	Dated	Principal
General Obligation Bonds				
Alternate Revenue Source	2020A	3.00%	10/20/2020	$ 2,340,000
Rock Run Crossing Project	2022	5.00% - 5.50%	9/28/2022	93,595,000
				$ 95,935,000

13. Long-Term Debt

2020A Series Bonds

The 2020A Series Bonds are General Obligation Bonds with an issue date of October 20, 2020 for $3,665,000, issued to finance vehicle replacements, other capital improvements and the costs of issuing the Bonds. The 2020A Series Bonds are payable in varying amounts beginning December 15, 2021 until December 15, 2030. Interest is due semi-annually at a rate of 3.00%. The bonds are not subject to optional redemption prior to maturity. The 2020A bond issue is scheduled to be paid from the Debt Service Fund from transfers from the Vehicle Replacement Fund.

2022 Series Bonds

The 2022 Series Bonds are General Obligation Bonds with an issue date of September 28, 2022 for $93,595,000, issued to finance a portion of the costs of the City's redevelopment plan and project concerning the redevelopment of the Rock Run Crossings Tax Increment Financing (TIF) Redevelopment Project Area, payment of capitalized interest on the Bonds through and including September 28, 2025, and payment of costs associated with the issuance of the Bonds. The 2022 Series Bonds are payable in varying amounts beginning December 15, 2028 until December 15, 2044. Interest is due semi-annually at rates ranging from 5.00% to 5.50%. The Bonds due December 15, 2028-2032, inclusive, are not subject to optional redemption. The Bonds due December 15, 2033-2044, inclusive, are callable in whole or in part on any date on or after December 15, 2032, at a price of par and accrued interest. The 2022 bond issue is scheduled to be paid from the General Obligation Bonds, Series 2022, Bond Fund.

Revenue Bond Anticipation Notes

Revenue Bond Anticipation Notes outstanding at December 31, 2024 are summarized as follows:

	Series	Interest Rate	Dated	Principal
Revenue Bond Anticipation Notes	2022	5.00%	4/12/2022	$ 21,490,000

2022 Series Revenue Bond Anticipation Notes

The 2022 Series Revenue Bond Anticipation Notes are Waterworks and Sewerage Senior Lien Revenue Bond Anticipation Notes with an issue date of April 12, 2022 for $76,605,000, issued to finance the alternative water source project and the water main replacement project. The 2022 Revenue Bond Anticipation Notes are payable in varying amounts beginning January 1, 2024 until January 1, 2025. Interest is due semi-annually at a rate of 5.00% The bonds are not subject to optional redemption prior to maturity. The Revenue Bond Anticipation Notes are payable from the Water and Sewer Fund.

Defeased Debt

In 2022, the City defeased the 2014A Waterworks and Sewerage Revenue Bonds by the deposit and investment of moneys to be held in a trust account to provide for all future debt service payments. Accordingly, the trust account assets and the liability for the defeased bonds are not included in the City's financial statements. At December 31, 2024, $0 of bonds outstanding are considered defeased.

13. Long-Term Debt

Subscription Lease Liability

The City has entered into multiple subscription arrangements for administrative and public safety software lasting up to nine years. At December 31, 2024, the City reported a subscription lease liability of $3,343,948. Principal reduction of $359,242 was reported for the year ended December 31, 2024.

Annual debt service payments required to service outstanding subscription lease liabilities at December 31, 2024 are as follows:

Years Ending December 31,	Interest	Principal	Total
2025	$ 14,945	$ 573,589	$ 588,534
2026	110,814	122,386	233,200
2027	105,919	166,481	272,400
2028	99,260	217,740	317,000
2029	90,550	279,450	370,000
2030-2034	218,793	1,984,302	2,203,095
	$ 640,281	$ 3,343,948	$ 3,984,229

Illinois EPA Loans Payable

All of the City's Illinois Environmental Protection Agency (IEPA) Loans are payable from the Water and Sewer Fund. Loan obligations outstanding at December 31, 2024 are summarized as follows:

13. Long-Term Debt

Loan Number	Interest Rate	Principal Owed at Year End	Phase
L17-4445	1.250%	$ 621,172	Repayment
L17-3148	1.250%	5,749,524	Repayment
L17-4705	1.995%	15,664,903	Repayment
L17-4750	1.995%	4,690,486	Repayment
L17-5070	1.995%	7,921,810	Repayment
L17-4706	1.750%	30,456,101	Repayment
L17-5412	1.750%	14,735,681	Repayment
L17-5403	1.750%	4,660,720	Repayment
L17-5427	1.640%	4,423,117	Repayment
L17-5404	1.760%	9,911,805	Repayment
L17-5428	1.760%	3,739,233	Repayment
L17-4760	1.640%	19,840,823	Repayment
L17-5405	1.840%	9,474,592	Repayment
L17-5429	1.840%	5,538,546	Repayment
L17-4751	2.000%	1,727,646	Repayment
L17-5430	2.000%	6,081,371	Repayment
L17-5464	2.000%	7,182,991	Repayment
L17-5431	1.350%	6,559,392	Repayment
L17-5465	1.350%	7,107,592	Repayment
L17-5747	0.000%	762,315	Drawdown
L17-6074	1.240%	41,773,677	Drawdown
L17-6075	1.810%	34,975,895	Drawdown
		$ 243,599,392	

13. Long-Term Debt

IEPA Loan - L17-4445, issued in the amount of $1,501,841 to provide funds to improve the public water supply. The loan is dated August 9, 2012, and is due in semi-annual installments of $43,512, which includes interest of 1.25%. The final payment is due April 9, 2032.

IEPA Loan - L17-3148, issued in the amount of $12,340,922 to provide funds to improve the public water supply. The loan is dated November 7, 2013 and is due in semi-annual installments of $357,547, which includes interest of 1.25%. The final payment is due June 7, 2033.

IEPA Loan - L17-4705, issued in the amount of $24,620,917 to provide funds to improve the wastewater system. The loan is dated September 30, 2014 and is due in semi-annual installments of $765,573, which includes interest of 1.995%. The final payment is due June 23, 2036.

IEPA Loan - L17-4750, issued in the amount of $7,090,832 to provide funds for the U.S. Route 6 sanitary sewer improvements project. The loan is dated September 30, 2014 and is due in semi-annual installments of $220,732, which includes interest of 1.995%. The final payment is due July 7, 2036.

IEPA Loan - L17-5070, issued in the amount of $12,423,520 to provide funds to improve the East-side Wastewater Treatment Plant. The loan is dated September 30, 2014 and is due in semi-annual installments of $387,154, which includes interest of 1.995%. The final payment is due June 23, 2036.

IEPA Loan - L17-4706, issued in the amount of $38,528,175 to provide funds for the wet weather pumping station improvements project. The loan is dated May 3, 2017 and is due in semi-annual installments ranging from $1,110,337 to $2,756,083, which includes interest of 1.75%. The final payment is due December 31, 2039.

IEPA Loan - L17-5412, issued in the amount of $19,328,596 to provide funds for wastewater treatment plant improvements. The loan is dated May 3, 2017 and is due in semi-annual installments ranging from $496,738 to $577,527, which includes interest of 1.75%. The final payment is due March 1, 2039.

IEPA Loan - L17-5403, issued in the amount of $6,460,294 to provide funds for the sewer main rehabilitation project. The loan is dated May 1, 2017 and is due in semi-annual installments ranging from $118,710 to $194,563, which includes interest of 1.75%. The final payment is due May 16, 2038.

IEPA Loan - L17-5427, issued in the amount of $6,377,769 to provide funds for the watermain rehabilitation project. The loan is dated May 3, 2017 and is due in semi-annual installments of $189,592, which includes interest of 1.64%. The final payment is due November 1, 2037.

IEPA Loan - L17-5404, issued in the amount of 12,599,237 to provide funds for the sewer main rehabilitation project. The loan is dated April 13, 2018 and is due in semi-annual installments ranging from $341,139 to $377,365, which includes interest of 1.76%. The final payment is due December 15, 2039.

IEPA Loan - L17-5428, issued in the amount of $5,113,324 to provide funds for the watermain rehabilitation project. The loan is dated March 19, 2018 and is due in semi-annual installments of $156,199, which includes interest of 1.76%. The final payment is due May 2, 2038.

13. Long-Term Debt

IEPA Loan - L17-4760, in the amount of $22,100,471 issued to provide funds for the wastewater treatment plant project. The loan is dated April 1, 2019 and is due in semi-annual installments ranging from $622,241 to $671,050, which includes interest of 1.64%. The final payment is due September 28, 2041.

IEPA Loan - L17-5405, issued in the amount of $11,409,845 to provide funds for the sanitary sewer rehabilitation program. The loan is dated April 15, 2019 and is due in semi-annual installments ranging from $300,014 to $343,150, which includes interest of 1.84%. The final payment is due November 25, 2040.

IEPA Loan - L17-5429, issued in the amount of $7,058,675 to provide funds for the watermain rehabilitation project. The loan is dated March 19, 2019 and is due in semi-annual installments of $212,109, which includes interest of 1.84%. The final payment is due November 11, 2039.

IEPA Loan - L17-4751, issued in the amount of $2,224,045 to provide funds for the sewer main cleaning and televising project. The loan is dated July 29, 2019 and is due in semi-annual installments ranging from $68,597 to $68,924, which includes interest of 2.00%. The final payment is due June 2, 2039.

IEPA Loan - L17-5430, issued in the amount of $7,284,847 provide funds for the drinking water distribution systems in Raynor Park & Ridgewood areas project. The loan is dated March 27, 2020 and is due in semi-annual installments ranging from $167,772 to $223,009, which includes interest of 2.00%. The final payment is due October 24, 2040.

IEPA Loan - L17-5464, issued in the amount of $8,027,516 to provide funds for the sanitary sewer systems in the Marycrest and Reedswood areas project. The loan is dated March 27, 2020 and is due in semi-annual installments ranging from $219,413 to $244,248, which includes interest of 2.00%. The final payment is due March 10, 2042.

IEPA Loan - L17-5431, issued in the amount of $7,366,846 to provide funds for the drinking water distribution systems in the Florence Park, Reedswood, Garnsey Park & Forest Park areas project. The loan is dated March 22, 2021 and is due in semi-annual installments ranging from $141,621 to $216,555, which includes interest of 1.35%. The final payment is due July 1, 2041.

IEPA Loan - L17-5465, issued to provide funds for the City's 2021 Sanitary Sewer Rehabilitation Project. The loan is dated March 9, 2021. The loan is anticipated to total $7,812,364 plus construction period interest to be repaid by the City over a twenty-year period with interest at 1.35%. The City had drawn a total of $7,107,592 through December 31, 2024. Currently, the loan is due in semi-annual installments ranging from $189,827 to $212,194, which includes interest of 1.35%. The final payment is due October 11, 2043. The City anticipates the loan schedule to be revised after the final drawdown.

IEPA Loan – L17-6074, issued to provide funds for the water main replacement program. The loan is dated April 28, 2023. The loan is anticipated to total $49,350,610 plus construction period interest to be repaid by the City over a twenty-year period with interest at 1.24%. The City had drawn a total of $41,773,677 through December 31, 2024. Currently, the loan is due in semi-annual installments ranging from $1,088,589 to $1,212,604, which includes interest of 1.24%. The final payment is due June 1, 2044. The City anticipates the loan schedule to be revised after the final drawdown.

13. Long-Term Debt

IEPA Loan – L17-5745, issued to provide funds for the lead service line replacement program. The loan is dated February 15, 2022. The loan is anticipated to total $3,903,674 plus construction period interest to be repaid by the City over a twenty-year period with interest at 0.91%. The City had drawn a total of $3,903,674 through December 31, 2024 of which $3,903,674 was forgiven. The final loan amount and repayment schedule were not available at the time of this report.

IEPA Loan – L17-5746, issued to provide funds for the lead service line replacement program. The loan is dated April 28, 2023. The loan is anticipated to total $5,506,142 plus construction period interest to be repaid by the City over a twenty-year period with interest at 1.04%. The City had drawn a total of $1,681,901 through December 31, 2024 of which $1,681,901 was forgiven. The final loan amount and repayment schedule were not available at the time of this report.

IEPA Loan – L17-5747, issued to provide funds for the lead service line replacement program. The loan is dated March 14, 2024. The loan is anticipated to total $4,008,461 plus construction period interest to be repaid by the City over a thirty-year period with interest at 0.00%. The City had drawn a total of $762,315 through December 31, 2024. The final loan amount and repayment schedule were not available at the time of this report.

IEPA Loan – L17-6075, issued to provide funds for replacing watermains in various locations throughout the City. The loan is dated March 14, 2024. The loan is anticipated to total $76,484,000 plus construction period interest to be repaid by the City over a thirty-year period with interest at 1.81%. The City had drawn a total of $34,975,894 through December 31, 2024. The final loan amount and repayment schedule were not available at the time of this report.

Annual debt service payments required to service the outstanding IEPA Loans with determined payment schedules (all loans except L17-6075, L17-5747) at December 31, 2024 are as follows:

Business-Type Activities:

IEPA Loans:

Years Ending December 31,	Interest	Principal	Total
2025	$ 3,472,757	$ 11,972,369	$ 15,445,126
2026	3,180,114	12,389,024	15,569,138
2027	2,971,862	12,597,281	15,569,143
2028	2,760,012	12,809,126	15,569,138
2029	2,544,507	13,024,633	15,569,140
2030-2034	9,366,742	67,188,753	76,555,495
2035-2039	3,878,132	59,752,000	63,630,132
2040-2044	507,958	18,127,996	18,635,954
	$ 28,682,084	$ 207,861,182	$ 236,543,266

Construction Period Interest

The City reported construction period interest in the amount of $1,219,566 during the year ended December 31, 2024 as a component of interest expense within the Water and Sewer Fund.

13. Long-Term Debt

WIFIA Loans Payable

WIFIA Loan – N19154IL, issued to provide funds for the City's Alternative Water Supply Program (AWSP). The loan is dated April 19, 2022. The loan is anticipated to total $87,465,000 plus construction interest to be repaid by the City over a forty-two-year period with interest at 3.00%. The City had drawn a total of $44,100,760 through December 31, 2024. The final loan amount and repayment schedule were not available at the time of this report.

WIFIA Loan – N19142IL, issued to provide funds for the City's Water Main Replacement Program (WMRP). The loan is dated April 19, 2022. The loan is anticipated to total $220,989,947 plus construction interest to be repaid by the City forty-two-year period with interest at 3.00%. The City had drawn a total of $33,236,494 through December 31, 2024. The final loan amount and repayment schedule were not available at the time of this report.

14. Inter-Entity Transactions

The City's expenses for the year ended December 31, 2024 include a total of $250,000 paid to the Joliet Area Historical Museum and $475,000 paid to Will County Metropolitan Exposition and Auditorium Authority (Component Units) as annual support/grant payments. The City also paid $330,699 to the Plainfield Library District for the benefit of the Joliet Library (Component Unit) to pay for the duplicate library real estate taxes that would have resulted from the City annexing property formerly included in the Plainfield Library District. The City received $540,747 from the Joliet Public Library during the year for reimbursement of Library employee pension costs.

15. Significant Water and Sewer Fund Customers

Revenue from water and sewer service charges and annual water and sewer usage in cubic feet from the ten largest users for the year ended December 31, 2024 are as follows:

	Combined Water and Sewer Usage Cubic Feet	Total Water and Sewer Revenues
Village of Shorewood	58,812,900	$ 2,798,470
P Q Corporation	44,079,461	1,990,399
Ecolab, Inc.	23,972,789	1,554,300
Village of Rockdale	37,713,664	1,068,061
St. Joseph Medical Center	18,841,017	1,178,760
Larkin Village Apartments	9,172,354	517,085
Stepan Company	7,964,594	747,716
Village of Channahon	14,679,696	501,652
Riverwalk Homes, LLC	6,801,460	425,845
City of Joliet	4,772,142	355,139
Total Ten Largest System Users	226,810,077	$ 11,137,428
Total System Users	1,120,698,983	$ 74,097,504
Ten Largest as a Percentage of Total System Users	20.24%	15.03%

16. Leases Receivable

In accordance with GASB Statement No. 87, *Leases*, the City is a lessor in certain lease arrangements.

On April 27, 2023, the City entered into a bridge and ground lease agreement requiring annual lease payments of $100,000 through April 27, 2122. The lease receivable was measured at the present value of future lease payments, discounted at a rate of 4%, resulting in a lease receivable and corresponding deferred inflow of resources of $2,448,520 at inception. The first lease payment was received in 2024.

For the year ended December 31, 2024, the City recognized interest revenue of $97,941 and lease revenue of $100,000, of which $2,059 reduced the principal balance of the lease receivable. As of December 31, 2024, the lease receivable balance was $2,446,461. The deferred inflow of resources will be recognized as lease revenue over the term of the lease.

17. Fund Balances/Net Position

Prior Period Adjustment

During the current fiscal year, the City implemented GASB Statement No. 101, *Compensated Absences*. As a result, certain liabilities for compensated absences that were not previously recorded have been recognized.

The effect of this prior period adjustment on beginning net position is as follows:

Activity	Net Position, as Previously Reported	Prior Period Adjustment	Net Position, as Restated
Governmental Activities	($ 314,701,277)	($ 4,905,490)	($ 319,606,767)
Business-Type Activities	288,249,245	(624,853)	$ 287,624,392

Fund Balances

As of December 31, 2024, the Evergreen Terrace II Fund and the Block Grant Fund had deficit fund balances of $6,035,783 and $12,372, respectively. The deficits are anticipated to be reduced through future transfers from the General Fund coupled with future revenues.

Details of the City's fund balances by individual major fund and nonmajor funds in the aggregate are as follows:

17. Fund Balances/Net Position

	Major Funds					
	General Fund	Evergreen Terrace II Fund	Motor Fuel Tax Fund	TIF Incremental Financing Fund #7	Nonmajor Governmental Funds	Total Governmental Funds
Fund Balances:						
Nonspendable for:						
Inventory	$ 127,594	$ -	$ -	$ -	$ 10,000	$ 137,594
Total Nonspendable	127,594	-	-	-	10,000	137,594
Restricted for:						
Road Projects	-	-	23,108,188	-	5,422,554	28,530,742
Multi-Modal Transportation Center	-	-	-	-	4,433,169	4,433,169
Public Safety	-	-	-	-	3,560,634	3,560,634
Tax Increment Financing Projects	-	-	-	42,840,663	1,600,516	44,441,179
Community Development Projects	-	-	-	-	2,427,977	2,427,977
Total Restricted	-	-	23,108,188	42,840,663	17,444,850	83,393,701
Committed for:						
Employee and Retiree Insurance	15,594,175	-	-	-	-	15,594,175
Total Committed	15,594,175	-	-	-	-	15,594,175
Assigned to:						
Debt Service	-	-	-	-	370,388	-
Evergreen Terrace Deficit	6,035,783	-	-	-	-	6,035,783
Public Safety	704,926	-	-	-	-	704,926
Road Projects	-	-	-	-	871,260	871,260
Tax Increment Financing Projects	-	-	-	-	37,945	37,945
Capital Projects	-	-	-	-	19,096,362	19,096,362
Total Assigned	6,740,709	-	-	-	20,375,955	27,116,664
Unassigned	89,517,798	(6,035,783)	-	-	(12,372)	83,469,643
Total Fund Balances	$ 111,980,276	($ 6,035,783)	$ 23,108,188	$ 42,840,663	$ 37,818,433	$ 209,711,777

18. Intergovernmental Agreement

Grand Prairie Water Commission

On June 28, 2024, the Grand Prairie Water Commission (Commission) was established through an intergovernmental agreement among the Village of Channahon, City of Crest Hill, City of Joliet, Village of Minooka, Village of Romeoville, and Village of Shorewood. The agreement defines the governance, membership, and administrative framework of the Commission.

Under the agreement, the City of Joliet incurred advanced development and construction costs related to the Commission's capital program. The Commission is obligated to reimburse the City of Joliet through a credit applied to Joliet's proportionate share of capital costs, debt service, and financing costs. The total reimbursement credit will be recognized over the life of the capital construction program and reflected as a reduction in Joliet's share of the Commission's debt service obligations. As of December 31, 2024, the total credit incurred under this arrangement was $68,180,624.

18. Intergovernmental Agreement

On July 2, 2024, the City of Joliet entered into a separate intergovernmental agreement with the Commission for program management services. This agreement remains in effect until all program-related contracts are concluded, which is anticipated by May 1, 2031. Under the agreement, the Commission will compensate the City of Joliet $2,890,000 for program management services. Compensation is applied as a credit against the advanced development and construction costs previously incurred by the City, consistent with the June 28, 2024, agreement. The credit will be recognized as a reduction in Joliet's share of the Commission's debt service obligations. As of December 31, 2024, the total credit incurred under this agreement was $924,035.

The sum of both credits is recorded in the Water and Sewer Fund as an Intergovernmental Receivable.

Required Supplementary Information

CITY OF JOLIET, ILLINOIS

Required Supplementary Information
Schedules of Changes in the Net Pension Liability (Asset) and Related Ratios
Illinois Municipal Retirement Fund
Last Ten Calendar Years

	Regular Plan				
	2024	2023	2022	2021	2020
Total Pension Liability					
Service Cost	$ 3,827,828	$ 3,891,976	$ 3,322,022	$ 3,312,881	$ 3,519,456
Interest	22,413,192	22,310,092	20,817,885	20,258,660	19,826,771
Changes of Benefit Terms	-	-	-	-	-
Differences Between Expected and Actual Experience	2,068,594	(6,167,350)	14,383,567	1,931,125	2,029,200
Changes of Assumptions	-	(24,842)	-	-	(2,201,859)
Benefit Payments, Including Refunds of Plan Member Contributions	(18,571,996)	(18,539,468)	(17,913,084)	(17,674,500)	(16,551,886)
Net Change in Total Pension Liability	9,737,618	1,470,408	20,610,390	7,828,166	6,621,682
Total Pension Liability - Beginning	316,519,564	315,049,156	294,438,766	286,610,600	279,988,918
Total Pension Liability - Ending (A)	$ 326,257,182	$ 316,519,564	$ 315,049,156	$ 294,438,766	$ 286,610,600
Plan Fiduciary Net Position					
Contributions from Employer	$ 6,532,972	$ 5,817,828	$ 6,345,756	$ 7,105,666	$ 6,714,960
Contributions from Plan Members	2,046,473	2,076,403	1,890,639	1,616,650	1,626,643
Pension Plan Net Investment Income	27,043,863	27,854,002	(39,759,359)	45,358,494	34,144,438
Benefit Payments, Including Refunds of Plan Member Contributions	(18,571,996)	(18,539,468)	(17,913,084)	(17,674,500)	(16,551,886)
Other Changes	(8,766,760)	4,467,285	(1,007,148)	(791,395)	2,215,022
Net Change in Plan Fiduciary Net Position	8,284,552	21,676,050	(50,443,196)	35,614,915	28,149,177
Plan Fiduciary Net Position - Beginning	269,743,477	248,067,427	298,510,623	262,895,708	234,746,531
Plan Fiduciary Net Position - Ending (B)	$ 278,028,029	$ 269,743,477	$ 248,067,427	$ 298,510,623	$ 262,895,708
Net Pension (Asset)/Liability - Ending (A) - (B)	$ 48,229,153	$ 46,776,087	$ 66,981,729	($ 4,071,857)	$ 23,714,892
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability	85.22%	85.22%	78.74%	101.38%	91.73%
Covered Payroll	45,909,854	42,101,465	41,754,384	35,705,089	36,039,518
Net Pension (Asset)/Liability as a Percentage of Covered Payroll	105.05%	111.10%	160.42%	-11.40%	65.80%

Notes to Schedule:

The information is based on actuarial valuation reports from the Illinois Municipal Retirement Fund. Information for SLEP and ECO is available for 2014 through 2016 only, all values for subsequent years are zero, and therefore are not reported in this schedule.

	Regular Plan					Sheriff's Law Enforcement Personnel (SLEP)
2019	2018	2017	2016	2015	2016
$ 3,370,476	$ 3,261,078	$ 3,423,970	$ 3,687,773	$ 3,462,247	$ -
19,099,829	18,289,446	18,103,466	17,731,524	16,879,641	8,176
3,405,497	-	-	-	-	-
-	5,353,631	2,861,853	(3,592,731)	3,010,012	(117,189)
-	7,621,642	(7,842,025)	(1,828,304)	305,128	-
(15,295,132)	(14,692,567)	(13,279,611)	(12,347,896)	(11,682,532)	-
10,580,670	19,833,230	3,267,653	3,650,366	11,974,496	(109,013)
269,408,248	249,575,018	246,307,365	242,656,999	230,682,503	109,013
$ 279,988,918	$ 269,408,248	$ 249,575,018	$ 246,307,365	$ 242,656,999	$ -
$ 5,794,739	$ 7,869,477	$ 6,082,556	$ 6,803,057	$ 6,296,473	$ -
1,698,370	1,615,812	1,566,625	1,511,711	1,554,476	-
39,450,112	(12,771,979)	34,343,478	12,526,627	889,033	8,176
(15,295,132)	(14,692,567)	(13,279,611)	(12,347,896)	(11,682,532)	-
(270,608)	4,865,474	(3,435,778)	111,738	5,820,479	(117,207)
31,377,481	(13,113,783)	25,277,270	8,605,237	2,877,929	(109,031)
203,369,050	216,482,833	191,205,563	182,600,326	179,722,397	109,031
$ 234,746,531	$ 203,369,050	$ 216,482,833	$ 191,205,563	$ 182,600,326	$ -
$ 45,242,387	$ 66,039,198	$ 33,092,185	$ 55,101,802	$ 60,056,673	$ -
83.84%	75.49%	86.74%	77.63%	75.25%	N/A
35,519,094	34,419,996	33,339,400	32,634,810	33,256,589	-
127.37%	191.86%	99.26%	168.84%	180.59%	N/A

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CITY OF JOLIET, ILLINOIS

Required Supplementary Information
Schedules of Changes in the Net Pension Liability (Asset) and Related Ratios
Illinois Municipal Retirement Fund
Last Ten Calendar Years

	Sheriff's Law Enforcement Personnel (SLEP)	Elected County Official (ECO)	
	2015	2016	2015
Total Pension Liability			
Service Cost	$ -	$ -	$ -
Interest	9,462	10,627	11,441
Changes of Benefit Terms	-	-	-
Differences Between Expected and Actual Experience	(26,605)	(152,321)	(22,294)
Changes of Assumptions	-	-	-
Benefit Payments, Including Refunds of Plan Member Contributions	-	-	-
Net Change in Total Pension Liability	(17,143)	(141,694)	(10,853)
Total Pension Liability - Beginning	126,156	141,694	152,547
Total Pension Liability - Ending (A)	$ 109,013	$ -	$ 141,694
Plan Fiduciary Net Position			
Contributions from Employer	$ -	$ -	$ -
Contributions from Plan Members	-	-	-
Pension Plan Net Investment Income	605	10,627	727
Benefit Payments, Including Refunds of Plan Member Contributions	-	-	-
Other Changes	(12,575)	(152,344)	(4,471)
Net Change in Plan Fiduciary Net Position	(11,970)	(141,717)	(3,744)
Plan Fiduciary Net Position - Beginning	121,001	141,717	145,461
Plan Fiduciary Net Position - Ending (B)	$ 109,031	$ -	$ 141,717
Net Pension Liability(Asset) - Ending (A) - (B)	($ 18)	$ -	($ 23)
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability	100.02%	N/A	100.02%
Covered Payroll	-	-	-
Net Pension Liability as a Percentage of Covered Payroll	N/A	N/A	N/A

CITY OF JOLIET, ILLINOIS

Required Supplementary Information
Schedules of Changes in the Net Pension Liability and Related Ratios
Police and Firefighters' Pension Plans
Last Ten Calendar Years

	Police Pension				
	2024	2023	2022	2021	2020
Total Pension Liability					
Service Cost	$ 9,001,855	$ 8,698,192	$ 8,564,323	$ 8,802,448	$ 9,088,118
Interest	34,094,227	32,841,172	31,068,299	29,560,386	28,907,526
Changes of Benefit Terms	1,072,393	-	(146,062)	-	-
Differences Between Expected and Actual Experience	1,303,600	9,298,928	5,480,301	(9,877,244)	(1,122,171)
Changes of Assumptions	(10,647,945)	-	-	-	(925,715)
Benefit Payments, Including Refunds of Plan Member Contributions	(24,166,061)	(22,453,924)	(21,520,871)	(19,067,076)	(16,997,555)
Net Change in Total Pension Liability	10,658,069	28,384,368	23,445,990	9,418,514	18,950,203
Total Pension Liability - Beginning	535,592,741	507,208,373	483,762,383	474,343,869	455,393,666
Total Pension Liability - Ending (A)	$ 546,250,810	$ 535,592,741	$ 507,208,373	$ 483,762,383	$ 474,343,869
Plan Fiduciary Net Position					
Contributions from Employer	$ 18,456,702	$ 16,851,673	$ 18,307,696	$ 17,822,557	$ 18,280,384
Contributions from Plan Members	3,238,173	3,041,168	2,907,232	2,845,339	3,085,215
Pension Plan Net Investment Income	29,956,091	37,334,732	(40,921,727)	35,015,340	30,572,883
Other Contributions	522,474	159,570	470,331	434,118	-
Benefit Payments, Including Refunds of Plan Member Contributions	(24,166,061)	(22,453,924)	(21,520,871)	(19,067,076)	(16,997,555)
Pension Plan Administrative Expense	(139,649)	(196,888)	(124,761)	(111,971)	(121,149)
Other Changes	-	-	-	-	-
Net Change in Plan Fiduciary Net Position	27,867,730	34,736,331	(40,882,100)	36,938,307	34,819,778
Plan Fiduciary Net Position - Beginning	322,643,692	287,907,361	328,789,461	291,851,154	257,031,376
Plan Fiduciary Net Position - Ending (B)	$ 350,511,422	$ 322,643,692	$ 287,907,361	$ 328,789,461	$ 291,851,154
Net Pension Liability - Ending (A) - (B)	$ 195,739,388	$ 212,949,049	$ 219,301,012	$ 154,972,922	$ 182,492,715
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability	64.17%	60.24%	56.76%	67.97%	61.53%
Covered Payroll	31,889,580	30,885,792	29,323,073	26,914,393	29,595,345
Net Pension Liability as a Percentage of Covered Payroll	613.80%	689.47%	747.88%	575.80%	616.63%

Notes to Schedule:

Changes of assumptions
The assumed rate on High Quality 20 Year Tax-Exempt G.O. Bonds was changed from 3.26% to 4.08% for the current year. The discount rate used in the determination of the Total Pension Liability was changed from 6.75% to 6.50% in 2017. The demographic assumptions were changed for Inflation Rate, Individual Pay Increases, Mortality Rates, Retirement Rates, Disability Rates, and Termination Rates.

The information is based on the actuarial valuation reports from Lauterbach & Amen, LLP.

Police Pension					Firefighters' Pension
2019	2018	2017	2016	2015	2024
$ 9,033,925	$ 8,665,644	$ 9,386,524	$ 8,813,638	$ 8,669,493	$ 7,936,953
28,329,242	24,778,368	23,283,519	23,486,380	22,362,935	24,999,698
1,149,628	-	-	-	-	-
(1,563,501)	1,348,991	5,686,038	(2,016,850)	(3,044,027)	(1,178,504)
(9,687,451)	24,363,423	8,623,625	-	-	3,013,484
(15,405,334)	(14,125,349)	(13,363,228)	(12,876,051)	(12,167,696)	(16,570,672)
11,856,509	45,031,077	33,616,478	17,407,117	15,820,705	18,200,959
443,537,157	398,506,080	364,889,602	347,482,485	331,661,780	393,850,801
$ 455,393,666	$ 443,537,157	$ 398,506,080	$ 364,889,602	$ 347,482,485	$ 412,051,760
$ 16,945,177	$ 15,495,791	$ 14,779,880	$ 14,559,331	$ 13,884,298	$ 15,051,927
3,063,258	3,108,245	2,868,155	2,763,589	3,160,099	2,602,974
36,064,195	(10,586,143)	26,522,448	12,420,957	(1,307,614)	25,282,807
-	-	-	33,263	4,863	-
(15,405,334)	(14,125,349)	(13,363,228)	(12,876,051)	(12,167,696)	(16,570,672)
(91,869)	(136,812)	(89,316)	(61,794)	(79,676)	(77,360)
-	(67)	-	-	-	-
40,575,427	(6,244,335)	30,717,939	16,839,295	3,494,274	26,289,676
216,455,949	222,700,284	191,982,345	175,143,050	171,648,776	236,550,537
$ 257,031,376	$ 216,455,949	$ 222,700,284	$ 191,982,345	$ 175,143,050	$ 262,840,213
$ 198,362,290	$ 227,081,208	$ 175,805,796	$ 172,907,257	$ 172,339,435	$ 149,211,547
56.44%	48.80%	55.88%	52.61%	50.40%	63.79%
28,790,239	29,027,828	28,433,521	27,538,519	28,477,526	25,577,501
688.99%	782.29%	618.30%	627.87%	605.18%	583.37%

(Continued)

CITY OF JOLIET, ILLINOIS

Required Supplementary Information
Schedules of Changes in the Net Pension Liability and Related Ratios
Police and Firefighters' Pension Plans
Last Ten Calendar Years

	Firefighters' Pension			
	2023	2022	2021	2020
Total Pension Liability				
Service Cost	$ 7,816,476	$ 7,403,617	$ 7,425,951	$ 7,690,460
Interest	24,053,245	22,706,556	21,841,465	21,532,678
Changes of Benefit Terms	-	(324,945)	-	-
Differences Between Expected and Actual Experience	6,215,278	(1,368,656)	(10,860,716)	(2,510,567)
Changes of Assumptions	-	-	-	(1,389,273)
Benefit Payments, Including Refunds of Plan Member Contributions	(15,750,717)	(15,028,772)	(14,072,204)	(13,409,217)
Net Change in Total Pension Liability	22,334,282	13,387,800	4,334,496	11,914,081
Total Pension Liability - Beginning	371,516,519	358,128,719	353,794,223	341,880,142
Total Pension Liability - Ending (A)	$ 393,850,801	$ 371,516,519	$ 358,128,719	$ 353,794,223
Plan Fiduciary Net Position				
Contributions from Employer	$ 13,598,600	$ 15,402,824	$ 14,839,206	$ 14,394,917
Contributions from Plan Members	2,505,967	2,432,582	2,285,214	2,182,812
Pension Plan Net Investment Income	30,419,723	(34,311,112)	28,494,191	23,721,454
Other Contributions	-	-	105,358	-
Benefit Payments, Including Refunds of Plan Member Contributions	(15,750,717)	(15,028,772)	(14,072,204)	(13,409,217)
Pension Plan Administrative Expense	(100,428)	(104,724)	(95,108)	(189,172)
Other Changes	-	-	-	-
Net Change in Plan Fiduciary Net Position	30,673,145	(31,609,202)	31,556,657	26,700,794
Plan Fiduciary Net Position - Beginning	205,877,392	237,486,594	205,929,937	179,229,143
Plan Fiduciary Net Position - Ending (B)	$ 236,550,537	$ 205,877,392	$ 237,486,594	$ 205,929,937
Net Pension Liability - Ending (A) - (B)	$ 157,300,264	$ 165,639,127	$ 120,642,125	$ 147,864,286
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability	60.06%	55.42%	66.31%	58.21%
Covered Payroll	24,772,398	24,459,222	22,668,620	24,035,545
Net Pension Liability as a Percentage of Covered Payroll	634.98%	677.21%	532.20%	615.19%

Firefighters' Pension				
2019	2018	2017	2016	2015
$ 7,295,824	$ 6,662,002	$ 8,014,727	$ 7,525,565	$ 7,425,956
20,633,305	19,060,190	17,123,847	17,333,665	16,604,938
1,142,397	-	-	-	-
(877,508)	(1,646,466)	15,731,411	(3,393,450)	(5,803,238)
2,294,619	11,946,281	216,603	-	-
(12,087,909)	(11,552,577)	(11,040,814)	(10,163,038)	(9,726,302)
18,400,728	24,469,430	30,045,774	11,302,742	8,501,354
323,479,414	299,009,984	268,964,210	257,661,468	249,160,114
$ 341,880,142	$ 323,479,414	$ 299,009,984	$ 268,964,210	$ 257,661,468
$ 13,356,441	$ 12,616,328	$ 12,413,523	$ 12,332,156	$ 12,021,687
2,219,369	2,205,919	2,085,635	2,170,300	2,215,794
27,819,107	(7,110,234)	17,294,618	8,825,529	(1,051,514)
-	-	-	13,623	725
(12,087,909)	(11,552,577)	(11,040,814)	(10,163,038)	(9,726,302)
(97,726)	(113,551)	(88,613)	(82,021)	(77,628)
-	-	-	-	-
31,209,282	(3,954,115)	20,664,349	13,096,549	3,382,762
148,019,861	151,973,976	131,309,627	118,213,078	114,830,316
$ 179,229,143	$ 148,019,861	$ 151,973,976	$ 131,309,627	$ 118,213,078
$ 162,650,999	$ 175,459,553	$ 147,036,008	$ 137,654,583	$ 139,448,390
52.42%	45.76%	50.83%	48.82%	45.88%
23,888,091	22,678,175	23,367,482	22,631,944	23,496,032
680.89%	773.69%	629.23%	608.23%	593.50%

CITY OF JOLIET, ILLINOIS

Required Supplementary Information
Schedules of Employer Contributions
Illinois Municipal Retirement Fund
Last Ten Calendar Years

Regular Plan

Calendar Year Ended December 31,	Actuarially Determined Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contribution as a Percentage of Covered Payroll
2024	$ 6,532,972	$ 6,532,972	$ -	$ 45,909,854	14.23%
2023	5,207,951	5,817,828	(609,877)	42,101,465	13.82%
2022	6,275,684	6,345,756	(70,072)	41,754,384	15.20%
2021	6,366,217	7,105,666	(739,449)	35,705,089	19.90%
2020	6,588,024	6,714,960	(126,936)	36,039,518	18.63%
2019	5,469,940	5,794,739	(324,799)	35,519,094	16.31%
2018	5,944,333	7,869,477	(1,925,144)	34,419,996	22.86%
2017	5,721,041	6,082,556	(361,515)	33,339,400	18.24%
2016	6,083,129	6,803,057	(719,928)	32,634,810	20.85%
2015	5,853,160	6,296,473	(443,313)	33,256,589	18.93%

Sheriff's Law Enforcement Personnel (SLEP)

Calendar Year Ended December 31,	Actuarially Determined Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contribution as a Percentage of Covered Payroll
2016	$ -	$ -	$ -	$ -	N/A
2015	-	-	-	-	N/A

Elected County Official (ECO)

Calendar Year Ended December 31,	Actuarially Determined Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contribution as a Percentage of Covered Payroll
2016	$ -	$ -	$ -	$ -	N/A
2015	-	-	-	-	N/A

Information for SLEP and ECO is available for 2015 through 2016 only, all values for subsequent years are zero, and therefore are not reported in this schedule.

Notes to Schedule:

*Summary of Actuarial Methods and Assumptions Used in the Calculation of the 2024 Contribution Rate**

Valuation Date:	
Notes	Actuarially determined contribution rates are calculated as of December 31 each year, which are 12 months prior to the beginning of the fiscal year in which contributions are reported.

Methods and Assumptions Used to Determine 2024 Contribution Rates:

Actuarial Cost Method:	Aggregate Entry Age Normal.
Amortization Method:	Level Percentage of Payroll, Closed.
Remaining Amortization Period:	19-year closed period.
Asset Valuation Method:	5-Year smoothed market; 20% corridor.
Wage Growth:	2.75%.
Price Inflation:	2.25%.
Salary Increases:	2.75% to 13.75% including inflation.
Investment Rate of Return:	7.25%.
Retirement Age:	Experience-based table of rates that are specific to the type of eligibility condition. Last updated for the 2020 valuation pursuant to an experience study of the period 2017-2019.
Mortality:	For non-disabled retirees, the Pub-2010, Amount-Weighted, below-median income, General, Retiree, Male (adjusted 106%) and Female (adjusted 105%) tables, and future mortality improvements projected using scale MP-2020. For disabled retirees, the Pub-2010, Amount-Weighted, below-median income, General, Disabled Retiree, Male and Female (both unadjusted) tables, and future mortality improvements projected using scale MP-2020. For active members, the Pub-2010, Amount-Weighted, below-median income, General, Employee, Male and Female (both unadjusted) tables, and future mortality improvements projected using scale MP-2020.
Other Information:	
Notes:	There were no benefit changes during the year.

* Based on Valuation Assumptions used in the December 31, 2022 actuarial valuation.

CITY OF JOLIET, ILLINOIS

Required Supplementary Information
Schedules of Employer Contributions
Police and Firefighters' Pension Plans
Last Ten Calendar Years

Police Pension Plan

Calendar Year Ended December 31,	Actuarially Determined Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contribution as a Percentage of Covered Payroll
2024	$ 18,274,303	$ 18,456,702	($ 182,399)	$ 31,889,580	57.88%
2023	16,742,510	16,851,673	(109,163)	30,885,792	54.56%
2022	18,215,648	18,307,696	(92,048)	29,323,073	62.43%
2021	17,798,548	17,822,557	(24,009)	26,914,393	66.22%
2020	18,199,059	18,280,384	(81,325)	29,595,345	61.77%
2019	16,883,093	16,945,177	(62,084)	28,790,239	58.86%
2018	15,484,796	15,495,791	(10,995)	29,027,828	53.38%
2017	14,716,739	14,779,880	(63,141)	28,433,521	51.98%
2016	14,374,516	14,559,331	(184,815)	27,538,519	52.87%
2015	13,802,050	13,884,298	(82,248)	28,477,526	48.76%

Firefighters' Pension Plan

Calendar Year Ended December 31,	Actuarially Determined Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contribution as a Percentage of Covered Payroll
2024	$ 14,890,794	$ 15,051,927	($ 161,133)	$ 25,577,501	58.85%
2023	13,509,263	13,598,600	(89,337)	24,772,398	54.89%
2022	15,326,786	15,402,824	(76,038)	24,459,222	62.97%
2021	14,818,185	14,839,206	(21,021)	22,668,620	65.46%
2020	14,331,263	14,394,917	(63,654)	24,035,545	59.89%
2019	13,307,530	13,356,441	(48,911)	23,888,091	55.91%
2018	12,607,884	12,616,328	(8,444)	22,678,175	55.63%
2017	12,359,863	12,413,523	(53,660)	23,367,482	53.12%
2016	12,174,544	12,332,156	(157,612)	22,631,944	54.49%
2015	11,949,709	12,021,687	(71,978)	23,496,032	51.16%

Notes to Schedule:
In the fiscal year ended December 31, 2016, there was a transition plan between the Pension Board and the City. The Actuarially Determined Contribution shown above for the current year is the Recommended Contributions from the January 1, 2023 Actuarial Valuation completed by Lauterbach & Amen, LLP for the December 2023 tax levy.

The methods and assumptions shown to the right are based on the same Actuarial Valuation. For more detail on the age-based and service-based rates, please see the Actuarial Valuation.

Notes to Schedule:

The Police and Firefighters' Pension Plans both use the following actuarial assumptions.

Valuation Date:	January 1, 2024. Actuarially determined contribution rates are calculated as of January 1, which is 24 months prior to the end of the fiscal year in which contributions are reported.

Methods and Assumptions Used to Determine Contribution Rates:

Actuarial Cost Method:	Entry Age Normal.
Amortization Method:	Level Percentage of Pay (Closed).
Remaining Amortization Period:	21 Years.
Asset Valuation Method:	4-year Smoothed Market (Fair) Value.
Inflation:	2.25%.
Salary Increases:	Police 4.00% - 35.93%; Firefighters' 3.75% - 30.71%.
Projected Increase in Total Payroll:	3.25%.
Investment Rate of Return:	6.50%.
Postretirement Benefit Increases:	3.00% compounded, for Tier 1 employees, and the lesser of 3.00% or one-half of the annual increase in the CPI, simple, for Tier 2 employees.
Mortality Rates:	Pub-2010 Adjusted for Plan Status, Demographics, and Illinois Public Pension Data, as Appropriate.
Retirement Rates:	Joliet Police/Fire Retirement Rates Capped at Age 58.
Termination Rates:	100% of L&A 2020 Illinois Police/Firefighters Termination Rates.
Disability Rates:	100% of L&A 2020 Illinois Police/Firefighters Disability Rates.
Other Information:	There were no benefit changes during the year.

The information is based on the actuarial valuation reports from Lauterbach & Amen, LLP.

CITY OF JOLIET, ILLINOIS

Required Supplementary Information
Schedules of Investment Returns
Police and Firefighters' Pension Plans
Last Ten Calendar Years

Annual Money-Weighted Rate of Return, Net of Investment Expense:

Calendar Year	Police Pension Plan	Firefighters' Pension Plan
2024	9.36%	10.72%
2023	13.00%	14.93%
2022	-12.47%	-14.41%
2021	12.05%	13.80%
2020	11.87%	13.20%
2019	16.62%	18.61%
2018	-4.76%	-4.60%
2017	13.80%	13.16%
2016	7.05%	7.40%
2015	-0.75%	-0.88%

CITY OF JOLIET, ILLINOIS

Required Supplementary Information
Retiree Healthcare and Life Insurance Plan
Schedule of Changes in the Total OPEB Liability and Related Ratios
Last Seven Calendar Years

Fiscal Year Ended December 31,	2024	2023	2022	2021	2020	2019	2018
Total OPEB Liability							
Service Cost	$ 24,017,503	$ 20,220,630	$ 30,259,746	$ 28,572,659	$ 18,535,836	$ 12,676,507	$ 15,000,707
Interest on the Total OPEB Liability	22,282,967	22,300,257	14,826,507	15,826,535	15,748,884	16,802,253	15,273,079
Differences Between Expected and Actual Experience of the Total OPEB Liability	(182,640,613)	-	35,647,460	-	23,895,111	-	-
Changes of Assumptions	(22,315,817)	55,963,006	(188,070,310)	(59,425,014)	124,552,432	145,847,299	(54,188,449)
Benefit Payments	(15,146,708)	(13,706,412)	(12,148,513)	(11,402,567)	(10,546,166)	(10,172,077)	(9,784,325)
Net Change in Total OPEB Liability	(173,802,668)	84,777,481	(119,485,110)	(26,428,387)	172,186,097	165,153,982	(33,698,988)
Total OPEB Liability - Beginning	691,099,954	606,322,473	725,807,583	752,235,970	580,049,873	414,895,891	448,597,879
Total OPEB Liability - Ending	$ 517,297,286	$ 691,099,954	$ 606,322,473	$ 725,807,583	$ 752,235,970	$ 580,049,873	$ 414,898,891
Covered Valuation Payroll	91,977,484	88,095,323	85,529,440	78,555,264	83,138,659	85,296,971	80,416,684
Total OPEB Liability as a Percentage of Covered Valuation Payroll	562.42%	784.49%	708.90%	923.95%	904.80%	680.04%	515.93%

Notes to Schedule:

No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement 75 to pay related benefits.

Changes of Assumptions. Changes of assumptions and other inputs reflect the effects on changes in the discount rate each period. The following are the discount rates used in each period.

Fiscal Year	Discount Rate
2017	3.44%
2018	4.10%
2019	2.74%
2020	2.12%
2021	2.06%
2022	3.72%
2023	3.26%
2024	4.08%

CITY OF JOLIET, ILLINOIS

Required Supplementary Information
General Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Local Taxes:				
Property Taxes	$ 52,276,600	$ 48,862,240	$ 51,043,274	$ 2,181,034
Home Rule Sales Tax	36,900,000	36,535,933	36,786,655	250,722
Telecommunications Tax	1,596,000	1,573,000	1,520,753	(52,247)
Natural Gas Tax	2,472,000	1,600,000	1,311,780	(288,220)
Natural Gas Third Party Tax	406,000	405,000	393,030	(11,970)
Electricity Tax	2,619,000	3,000,000	2,963,948	(36,052)
Hotel/Motel Tax	4,600,000	4,900,000	4,826,006	(73,994)
Real Estate Transfer Tax	2,310,000	2,310,000	2,304,894	(5,106)
Titled/Registration Tax	140,000	155,000	174,056	19,056
Automobile Rental Tax	45,000	60,000	54,017	(5,983)
Food and Beverage Tax	4,837,500	4,625,000	4,676,004	51,004
Gasoline Privilege Tax	600,000	700,000	743,563	43,563
Amusement Tax	20,000	25,000	49,668	24,668
Less Rebates	-	-	(48,536)	(48,536)
Amusement Tax, Net	20,000	25,000	1,132	(23,868)
Cable Franchise Tax	1,300,000	1,300,000	1,341,393	41,393
Other Tax	1,356,250	-	742,102	742,102
Payments in Lieu of Taxes	40,000	65,000	80,399	15,399
State Shared Revenues:				
State Sales Tax	30,237,500	31,565,458	32,702,937	1,137,479
Less Rebates	(850,000)	(1,600,000)	(1,542,603)	57,397
State Sales Tax, Net	29,387,500	29,965,458	31,160,334	1,194,876
Income Taxes	21,353,458	25,639,728	25,884,057	244,329
Replacement Taxes	6,293,103	6,150,000	4,192,911	(1,957,089)
Out of State Use Tax	6,656,250	6,295,657	5,343,851	(951,806)
Pari-Mutuel Tax	75,000	49,000	49,395	395
Video Gaming Tax	1,350,000	1,770,000	1,819,075	49,075
Other Tax	-	1,185,000	242,256	(942,744)
Federal Grants	300,000	7,995,703	561,485	(7,434,218)
State Grants	15,000	15,000	67,247	52,247
State Reimbursements	135,000	300,000	2,172,941	1,872,941
Charges for Services	15,078,000	16,282,500	18,949,380	2,666,880
Municipal Waste Fees	15,594,500	15,987,600	16,233,784	246,184
Licenses	1,275,000	1,365,000	1,483,932	118,932
Permits	4,207,500	4,009,500	5,062,615	1,053,115

(Continued)

CITY OF JOLIET, ILLINOIS

Required Supplementary Information
General Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Rentals	$ 560,000	$ 625,000	$ 621,007	($ 3,993)
Fees	701,000	687,000	892,664	205,664
Forfeitures	-	-	135,290	135,290
Fines	1,100,000	1,500,000	1,333,718	(166,282)
Net Investment Income (Loss)	1,500,000	3,000,000	5,793,355	2,793,355
Miscellaneous	3,238,500	3,422,500	4,344,259	921,759
Total Revenue	220,338,161	232,360,819	235,306,562	2,945,743
Expenditures				
Personnel Services	98,202,607	100,688,216	101,926,368	(1,238,152)
Personnel Benefits	77,758,095	76,942,731	76,292,762	649,969
Other Employee Costs	815,775	825,203	757,445	67,758
Professional Services	6,358,350	6,114,542	5,852,484	262,058
Property Services	26,493,850	27,836,319	25,577,670	2,258,649
Other Services	3,219,834	3,337,437	1,699,396	1,638,041
Supplies	9,190,000	9,499,419	8,739,064	760,355
Other Expenditures	3,708,770	3,440,270	3,172,048	268,222
Capital Outlay	-	-	2,970,336	(2,970,336)
Total Expenditures	225,747,281	228,684,137	226,987,573	1,696,564
Revenue Over (Under) Expenditures	(5,409,120)	3,676,682	8,318,989	4,642,307
Other Financing Sources (Uses)				
Sale of Capital Assets	-	-	25,503	25,503
Proceeds from SBITA	-	-	2,970,336	2,970,336
Transfers In	36,230,372	37,395,375	3,676,416	(33,718,959)
Transfers Out	(30,628,722)	(39,550,825)	(994,429)	38,556,396
Total Other Financing Sources (Uses)	5,601,650	(2,155,450)	5,677,826	7,833,276
Net Change in Fund Balance	$ 192,530	$ 1,521,232	13,996,815	$ 12,475,583
Fund Balance, Beginning of Year			97,983,461	
Fund Balance, End of Year			$ 111,980,276	

CITY OF JOLIET, ILLINOIS

Required Supplementary Information
Evergreen Terrace II Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Net Investment Income (Loss)	$ -	$ 35,000	$ 27,614	($ 7,386)
Miscellaneous Revenue	15,000	-	-	-
Total Revenue	15,000	35,000	27,614	(7,386)
Expenditures				
General Government				
Professional Services	10,000	10,000	-	10,000
Total Expenditures	10,000	10,000	-	10,000
Net Change in Fund Balance	$ 5,000	$ 25,000	27,614	$ 2,614
Fund Balance (Deficit), Beginning of Year			(6,063,397)	
Fund Balance (Deficit), End of Year			($ 6,035,783)	

CITY OF JOLIET, ILLINOIS

Required Supplementary Information
Motor Fuel Tax Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
State Shared Revenue				
Allotments	$ 6,388,881	$ 6,500,000	$ 6,683,615	$ 183,615
Federal Grants	-	-	290,153	290,153
Net Investment Income (Loss)	5,000	1,000,000	1,196,289	196,289
Total Revenue	6,393,881	7,500,000	8,170,057	670,057
Expenditures				
Public Works				
Professional Services	-	-	30	(30)
Property Services	-	-	8,653	(8,653)
Property and Projects	24,570,000	13,207,411	9,099,186	4,108,225
Total Expenditures	24,570,000	13,207,411	9,107,869	4,099,542
Net Change in Fund Balance	($ 18,176,119)	($ 5,707,411)	(937,812)	$ 4,769,599
Fund Balance, Beginning of Year			24,046,000	
Fund Balance, End of Year			$ 23,108,188	

CITY OF JOLIET, ILLINOIS

Required Supplementary Information
Tax Incremental Financing Fund #7
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Property Taxes	$ 65,227	$ 65,227	$ 191,062	$ 125,835
Net Investment Income (Loss)	-	-	2,781,524	2,781,524
Total Revenue	65,227	65,227	2,972,586	2,907,359
Expenditures				
Community Development				
Professional Services	-	-	17,342	(17,342)
Property and Projects	40,000,000	30,000,000	21,159,863	8,840,137
Debt Interest	4,890,025	4,890,025	-	4,890,025
Total Expenditures	44,890,025	34,890,025	21,177,205	13,712,820
Revenue (Under) Expenditures	(44,824,798)	(34,824,798)	(18,204,619)	16,620,179
Other Financing (Uses)				
Transfers Out	-	-	(4,890,026)	(4,890,026)
Total Other Financing (Uses)	-	-	(4,890,026)	(4,890,026)
Net Change in Fund Balance	($ 44,824,798)	($ 34,824,798)	(23,094,645)	$ 11,730,153
Fund Balance, Beginning of Year			65,935,308	
Fund Balance, End of Year			$ 42,840,663	

CITY OF JOLIET, ILLINOIS

Notes to Required Supplementary Information
December 31, 2024

Basis of Accounting

The City prepared the budget for the general fund and the major special revenue funds on the modified accrual basis of accounting. Certain budgeted amounts were amended during the fiscal year.

Fund Deficit

As of December 31, 2024, the Evergreen Terrace II Fund had deficit fund balance of $6,035,783. The deficit is anticipated to be reduced through future transfers from the General Fund.

Other Supplementary Information

CITY OF JOLIET, ILLINOIS

General Fund
Detailed Schedule of Expenditures - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Mayor and Council Department				
Mayor's Office				
Personnel Services	$ 123,667	$ 94,208	$ 78,529	$ 15,679
Personnel Benefits	27,138	20,613	16,911	3,702
Other Employee Costs	7,250	18,100	13,872	4,228
Professional Services	15,000	7,500	46,906	(39,406)
Other Services	3,050	2,200	1,219	981
Supplies	2,000	1,000	282	718
Other Expenditures	260,000	260,000	468	259,532
Total	438,105	403,621	158,187	245,434
City Council				
Personnel Services	154,691	159,891	164,844	(4,953)
Personnel Benefits	25,741	34,983	18,107	16,876
Other Employee Costs	3,300	4,700	(225)	4,925
Professional Services	-	-	187	(187)
Other Services	6,000	3,500	2,841	659
Supplies	500	200	60	140
Total	190,232	203,274	185,814	17,460
Liquor Commission				
Personnel Services	58,346	62,550	60,628	1,922
Personnel Benefits	7,922	13,686	13,035	651
Other Employee Costs	100	100	-	100
Professional Services	1,350	1,400	990	410
Other Services	1,550	1,550	90	1,460
Supplies	500	500	-	500
Total	69,768	79,786	74,743	5,043
Total Mayor and Council Department	698,105	686,681	418,744	267,937
Department of the City Manager				
City Manager's Office				
Personnel Services	642,974	586,184	632,968	(46,784)
Personnel Benefits	140,721	126,625	132,145	(5,520)
Other Employee Costs	89,000	119,000	70,236	48,764
Professional Services	200,000	287,000	191,121	95,879
Property Services	5,000	5,000	1,295	3,705
Other Services	180,000	219,250	68,323	150,927
Supplies	35,500	36,000	18,552	17,448
Other Expenditures	212,000	112,000	29,408	82,592
Total	1,505,195	1,491,059	1,144,048	347,011

(Continued)

CITY OF JOLIET, ILLINOIS

General Fund
Detailed Schedule of Expenditures - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Emergency Management				
Personnel Services	$ 128,125	$ 137,222	$ 127,992	$ 9,230
Personnel Benefits	28,034	30,179	27,864	2,315
Other Employee Costs	750	215	215	-
Professional Services	100,000	23,165	10,599	12,566
Property Services	18,000	17,500	28,791	(11,291)
Supplies	5,000	5,000	22,349	(17,349)
Total	279,909	213,281	217,810	(4,529)
Total Department of the City Manager	1,785,104	1,704,340	1,361,858	342,482
Department of the City Clerk				
City Clerk				
Personnel Services	587,481	587,481	467,336	120,145
Personnel Benefits	121,882	121,882	99,873	22,009
Other Employee Costs	6,250	6,250	1,110	5,140
Professional Services	37,500	37,500	10,343	27,157
Property Services	10,000	10,000	6,653	3,347
Other Services	10,100	10,100	8,804	1,296
Supplies	18,000	18,000	12,763	5,237
Total	791,213	791,213	606,882	184,331
Front Desk				
Personnel Services	160,249	160,249	157,194	3,055
Personnel Benefits	34,406	34,406	34,166	240
Professional Services	4,000	4,000	-	4,000
Other Services	-	-	506	(506)
Supplies	12,750	12,750	169	12,581
Total	211,405	211,405	192,035	19,370
Total Department of the City Clerk	1,002,618	1,002,618	798,917	203,701
Department of Administrative Services				
Human Resources				
Personnel Services	467,378	481,511	482,006	(495)
Personnel Benefits	36,331,413	35,804,295	34,998,520	805,775
Other Employee Costs	14,600	15,850	18,857	(3,007)
Professional Services	801,000	1,216,000	1,025,870	190,130
Property Services	5,750	750	6,771	(6,021)
Other Services	1,867,950	2,058,050	552,523	1,505,527
Supplies	30,000	30,000	4,122	25,878
Other Expenditures	1,000	1,000	354	646
Total	39,519,091	39,607,456	37,089,023	2,518,433

(Continued)

CITY OF JOLIET, ILLINOIS

General Fund
Detailed Schedule of Expenditures - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Buildings and Grounds				
Personnel Services	$ 1,128,908	$ 1,196,000	$ 1,243,199	($ 47,199)
Personnel Benefits	241,882	261,685	256,007	5,678
Other Employee Costs	25,000	-	-	-
Professional Services	65,000	75,000	75,724	(724)
Property Services	2,025,000	2,075,000	1,875,603	199,397
Other Services	1,020	1,020	2,225	(1,205)
Supplies	279,500	279,500	228,872	50,628
Other Expenditures	170,000	170,000	93,362	76,638
Total	3,936,310	4,058,205	3,774,992	283,213
Fleet Services				
Personnel Services	2,801,517	2,889,517	3,026,250	(136,733)
Personnel Benefits	612,975	632,226	638,911	(6,685)
Other Employee Costs	19,500	19,000	18,993	7
Professional Services	80,000	50,000	(8,417)	58,417
Property Services	1,900,000	2,140,000	2,129,888	10,112
Other Services	7,050	7,050	3,892	3,158
Supplies	2,032,100	2,371,100	2,450,700	(79,600)
Total	7,453,142	8,108,893	8,260,217	(151,324)
Total Department of Administrative Services	50,908,543	51,774,554	49,124,232	2,650,322
Department of Community and Economic Development				
Administration				
Personnel Services	546,477	309,234	309,726	(492)
Personnel Benefits	118,716	67,661	67,218	443
Other Employee Costs	12,700	5,830	9,922	(4,092)
Professional Services	100,000	73,276	142,145	(68,869)
Other Services	20,000	1,800	6,196	(4,396)
Supplies	6,500	3,000	2,135	865
Other Expenditures	1,327,200	1,327,200	1,363,679	(36,479)
Total	2,131,593	1,788,001	1,901,021	(113,020)
Buildings and Grounds				
Personnel Services	28,000	165,447	195,351	(29,904)
Personnel Benefits	2,142	36,200	40,592	(4,392)
Professional Services	8,000	-	1,950	(1,950)
Property Services	285,000	159,757	179,477	(19,720)
Other Services	1,200	-	-	-
Supplies	41,400	39,221	30,752	8,469
Total	365,742	400,625	448,122	(47,497)

(Continued)

CITY OF JOLIET, ILLINOIS

General Fund
Detailed Schedule of Expenditures - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Planning				
Personnel Services	$ 754,452	$ 755,768	$ 707,413	$ 48,355
Personnel Benefits	164,221	164,221	157,603	6,618
Other Employee Costs	14,000	14,000	7,628	6,372
Professional Services	470,000	470,000	18,137	451,863
Property Services	120,000	120,000	25,967	94,033
Other Services	15,150	15,500	9,720	5,780
Supplies	3,980	3,980	2,875	1,105
Other Expenditures	6,200	6,200	220,825	(214,625)
Total	1,548,003	1,549,669	1,150,168	399,501
Neighborhood Services				
Personnel Services	1,709,201	1,709,201	1,709,712	(511)
Personnel Benefits	373,974	373,974	372,437	1,537
Other Employee Costs	5,275	1,200	460	740
Professional Services	90,000	50,000	45,722	4,278
Property Services	101,000	120,000	86,850	33,150
Other Services	34,500	16,156	24,468	(8,312)
Supplies	13,950	10,600	12,663	(2,063)
Total	2,327,900	2,281,131	2,252,312	28,819
Inspections				
Personnel Services	1,446,250	1,495,128	1,465,155	29,973
Personnel Benefits	316,443	327,137	317,906	9,231
Other Employee Costs	11,760	13,700	8,411	5,289
Professional Services	50,000	50,000	-	50,000
Other Services	17,450	20,300	16,736	3,564
Supplies	8,450	9,650	6,251	3,399
Total	1,850,353	1,915,915	1,814,459	101,456
Economic Development				
Personnel Services	287,612	239,009	207,198	31,811
Personnel Benefits	62,076	51,442	42,893	8,549
Other Employee Costs	19,000	19,000	7,499	11,501
Professional Services	34,500	34,500	20,600	13,900
Property Services	20,000	20,000	12,829	7,171
Other Services	173,200	173,200	254,869	(81,669)
Supplies	7,500	7,500	5,715	1,785
Other Expenditures	128,370	128,370	44,466	83,904
Total	732,258	673,021	596,069	76,952
Total Department of Community and Economic Development	8,955,849	8,608,362	8,162,151	446,211

(Continued)

CITY OF JOLIET, ILLINOIS

General Fund
Detailed Schedule of Expenditures - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Department of Finance				
Administration				
Personnel Services	$ 430,687	$ 397,687	$ 420,957	($ 23,270)
Personnel Benefits	757,947	487,014	435,103	51,911
Other Employee Costs	6,000	5,000	2,818	2,182
Professional Services	275,000	300,000	422,157	(122,157)
Other Services	8,500	7,200	7,472	(272)
Supplies	7,500	2,500	2,226	274
Other Expenditures	340,000	327,500	330,699	(3,199)
Total	1,825,634	1,526,901	1,621,432	(94,531)
Customer Service				
Personnel Services	97,402	85,654	84,817	837
Personnel Benefits	21,311	18,742	18,393	349
Other Employee Costs	650	1,650	100	1,550
Professional Services	8,000	15,000	5,213	9,787
Property Services	-	-	8,357	(8,357)
Other Services	350	2,500	577	1,923
Supplies	4,000	5,700	4,287	1,413
Total	131,713	129,246	121,744	7,502
Accounting				
Personnel Services	513,554	548,000	542,315	5,685
Personnel Benefits	112,368	119,902	116,892	3,010
Other Employee Costs	10,500	8,500	2,762	5,738
Professional Services	704,800	665,000	944,280	(279,280)
Property Services	200,000	200,000	-	200,000
Other Services	17,700	13,500	11,000	2,500
Supplies	8,000	22,500	26,097	(3,597)
Total	1,566,922	1,577,402	1,643,346	(65,944)
Purchasing				
Personnel Services	263,955	269,550	230,342	39,208
Personnel Benefits	57,755	58,977	50,055	8,922
Other Employee Costs	2,500	2,500	370	2,130
Professional Services	22,500	40,000	29,310	10,690
Property Services	14,420,000	15,177,046	14,289,420	887,626
Other Services	250	750	551	199
Supplies	5,000	10,000	715	9,285
Total	14,771,960	15,558,823	14,600,763	958,060

(Continued)

CITY OF JOLIET, ILLINOIS

General Fund
Detailed Schedule of Expenditures - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Compliance				
Personnel Services	$ 61,381	$ -	$ -	$ -
Personnel Benefits	13,431	-	-	-
Other Expenditures	1,500	-	-	-
Total	76,312	-	-	-
Total Department of Finance	18,372,541	18,792,372	17,987,285	805,087
Technology Department				
Administration				
Personnel Services	182,858	548,133	470,559	77,574
Personnel Benefits	40,009	119,078	98,926	20,152
Other Employee Costs	35,500	28,748	33,659	(4,911)
Professional Services	430,000	322,101	314,721	7,380
Property Services	1,120,000	1,196,431	755,465	440,966
Other Services	6,300	9,350	9,362	(12)
Supplies	16,000	16,000	17,315	(1,315)
Total	1,830,667	2,239,841	1,700,007	539,834
Applications				
Personnel Services	1,012,765	901,926	939,367	(37,441)
Personnel Benefits	221,593	196,487	203,246	(6,759)
Property Services	55,000	80,738	97,012	(16,274)
Total	1,289,358	1,179,151	1,239,625	(60,474)
Infrastructure				
Personnel Services	389,602	132,169	168,235	(36,066)
Personnel Benefits	85,243	28,064	36,543	(8,479)
Property Services	550,000	609,597	677,861	(68,264)
Other Services	437,500	357,966	309,794	48,172
Supplies	-	6,388	6,388	-
Other Expenditures	15,000	-	-	-
Total	1,477,345	1,134,184	1,198,821	(64,637)
Total Technology Department	4,597,370	4,553,176	4,138,453	414,723

(Continued)

CITY OF JOLIET, ILLINOIS

General Fund
Detailed Schedule of Expenditures - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Legal Department				
Legal				
Personnel Services	$ 854,644	$ 582,513	$ 698,238	($ 115,725)
Personnel Benefits	186,999	127,091	146,815	(19,724)
Other Employee Costs	5,250	5,250	7,744	(2,494)
Professional Services	850,000	850,000	1,208,255	(358,255)
Property Services	60,000	60,000	20,772	39,228
Other Services	8,020	5,220	9,330	(4,110)
Supplies	7,000	3,500	4,808	(1,308)
Other Expenditures	1,000,000	1,000,000	800,359	199,641
Total	2,971,913	2,633,574	2,896,321	(262,747)
Adjudication				
Personnel Services	92,171	92,171	97,278	(5,107)
Personnel Benefits	20,167	20,167	20,916	(749)
Professional Services	40,000	40,000	90,482	(50,482)
Property Services	82,000	67,500	3,800	63,700
Other Services	15,000	15,000	15,315	(315)
Supplies	2,000	750	90	660
Total	251,338	235,588	227,881	7,707
Total Legal Department	3,223,251	2,869,162	3,124,202	(255,040)
Police Department				
Police Pension				
Personnel Benefits	-	-	18,456,702	(18,456,702)
Administration/Operations				
Personnel Services	42,764,785	45,476,299	46,848,016	(1,371,717)
Personnel Benefits	20,198,520	20,203,938	1,927,148	18,276,790
Other Employee Costs	359,080	398,000	340,367	57,633
Professional Services	597,000	561,000	588,269	(27,269)
Property Services	1,927,500	2,004,000	2,145,390	(141,390)
Other Services	255,019	247,000	264,204	(17,204)
Supplies	534,500	539,400	534,841	4,559
Other Expenditures	6,500	7,000	10,769	(3,769)
Capital Outlay	-	-	2,970,336	(2,970,336)
Total	66,642,904	69,436,637	55,629,340	13,807,297
School Crossing Guards				
Personnel Services	332,230	332,230	310,353	21,877
Personnel Benefits	25,418	25,418	23,742	1,676
Total	357,648	357,648	334,095	23,553
Total Police Department	67,000,552	69,794,285	74,420,137	(4,625,852)

(Continued)

CITY OF JOLIET, ILLINOIS

General Fund
Detailed Schedule of Expenditures - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Fire Department				
Fire Pension				
Personnel Benefits	$ -	$ -	$ 15,051,927	($ 15,051,927)
Total	-	-	15,051,927	(15,051,927)
Administration				
Personnel Services	31,147,442	31,311,834	31,064,075	247,759
Personnel Benefits	15,460,584	15,491,529	539,508	14,952,021
Other Employee Costs	127,500	102,400	207,649	(105,249)
Professional Services	138,000	129,000	139,052	(10,052)
Property Services	538,500	631,000	617,817	13,183
Other Services	76,100	98,300	86,567	11,733
Supplies	563,500	594,700	763,974	(169,274)
Other Expenditures	240,000	100,000	240,000	(140,000)
Total	48,291,626	48,458,763	33,658,642	14,800,121
Total Fire Department	48,291,626	48,458,763	48,710,569	(251,806)
Public Works Department				
Public Works				
Property Services	-	-	44,384	(44,384)
Administration				
Personnel Services	354,342	354,342	346,163	8,179
Personnel Benefits	77,530	77,530	69,941	7,589
Other Employee Costs	4,010	4,010	398	3,612
Professional Services	200	-	-	-
Other Services	1,700	4,300	3,387	913
Supplies	600	600	177	423
Other Expenditures	-	-	37,659	(37,659)
Total	438,382	440,782	457,725	(16,943)
Buildings and Grounds				
Personnel Services	97,069	-	-	-
Personnel Benefits	7,425	-	-	-
Other Employee Costs	500	-	-	-
Professional Services	229,000	229,000	142,946	86,054
Property Services	467,000	350,000	260,080	89,920
Other Services	11,200	1,200	-	1,200
Supplies	53,680	118,680	146,218	(27,538)
Total	865,874	698,880	549,244	149,636

(Continued)

CITY OF JOLIET, ILLINOIS

General Fund
Detailed Schedule of Expenditures - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Engineering and Construction				
Personnel Services	$ 1,813,020	$ 1,838,020	$ 2,111,793	($ 273,773)
Personnel Benefits	396,688	402,158	455,614	(53,456)
Other Employee Costs	7,600	8,000	3,745	4,255
Professional Services	901,000	491,000	282,870	208,130
Property Services	605,000	605,000	277,757	327,243
Other Services	15,500	17,000	14,075	2,925
Supplies	110,500	110,500	67,966	42,534
Other Expenditures	1,000	1,000	-	1,000
Total	3,850,308	3,472,678	3,213,820	258,858
Electrical				
Personnel Services	503,036	503,036	498,406	4,630
Personnel Benefits	110,064	110,064	104,439	5,625
Other Employee Costs	7,200	5,200	-	5,200
Professional Services	15,000	5,000	6,768	(1,768)
Property Services	2,000	2,000	225	1,775
Other Services	7,375	7,375	3,553	3,822
Supplies	4,109,700	4,109,700	3,277,923	831,777
Total	4,754,375	4,742,375	3,891,314	851,061
Roadways				
Personnel Services	5,957,552	5,957,552	5,689,959	267,593
Personnel Benefits	1,292,065	1,292,065	1,228,766	63,299
Other Employee Costs	21,000	19,000	855	18,145
Professional Services	76,500	73,100	83,464	(10,364)
Property Services	1,787,000	2,010,000	1,846,144	163,856
Other Services	19,100	19,100	10,946	8,154
Supplies	1,184,200	1,042,500	952,679	89,821
Total	10,337,417	10,413,317	9,812,813	600,504
Bicentennial Park				
Personnel Services	308,784	328,500	369,994	(41,494)
Personnel Benefits	63,292	63,292	73,898	(10,606)
Professional Services	15,000	15,000	12,820	2,180
Property Services	190,100	175,000	179,062	(4,062)
Other Services	2,000	2,000	851	1,149
Supplies	86,190	88,000	135,100	(47,100)
Total	665,366	671,792	771,725	(99,933)
Total Public Works Department	20,911,722	20,439,824	18,741,025	1,698,799
Total General Fund	$ 225,747,281	$ 228,684,137	$ 226,987,573	$ 1,696,564

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NONMAJOR SPECIAL REVENUE FUNDS

To account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects.

Block Grant Fund - Accounts for revenue and expenditures of the Community Development Block Grant Programs.

Grants and Special Revenue Fund – Accounts for revenue and expenditures related to the Grants and Special Accounts Fund created to record grant activities.

Special Revenue Revolving Fund – Accounts for revenue and expenditures related to the collection of fines, fees, and forfeitures to be used for public safety purposes.

Foreign Fire Tax Fund – Accounts for a state shared tax on out-of-state insurance companies to be used for fire department purposes.

City Center Special Service Area Fund – Accounts for revenue and expenditures related to Special Area property tax levied for the City Center area.

Park Hill Special Service Area Fund – Accounts for revenue and expenditures related to Special Area property tax levied for the Park Hill subdivision.

Miscellaneous Special Service Area Fund – Accounts for revenue and expenditures related to Special Area property tax levied for the other areas.

Business District Tax Allocation Fund – Accounts for revenue and expenditures related to the business district tax created for the Illinois Route 53 and Laraway Road Business District.

Tax Incremental Financing Fund #2 – Accounts for revenue and expenditures related to the Tax Incremental Financing District created for the Downtown Development Program.

Tax Incremental Financing Fund #3 – Accounts for revenue and expenditures related to the Tax Incremental Financing District created for the Cass Street Redevelopment Program.

Tax Incremental Financing Fund #4 – Accounts for revenue and expenditures related to the Tax Incremental Financing District created for the Presence-Saint Joseph Area Redevelopment Program.

Tax Incremental Financing Fund #5 – Accounts for revenue and expenditures related to the Tax Incremental Financing District created for the Downtown Redevelopment Project Area.

Tax Incremental Financing Fund #6 – Accounts for revenue and expenditures related to the Tax Incremental Financing District created for the Silver Cross Redevelopment Project Area.

NONMAJOR DEBT SERVICE FUND

This fund is used to account for and report financial resources that are restricted, committed, or assigned to expenditure for principal and interest on general long-term debt.

General Debt Service Fund - Accounts for the payment of principal and interest on general obligation bonds.

NONMAJOR CAPITAL PROJECTS FUNDS

These funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

Capital Improvement Fund - Accounts for expenditures of funds transferred in from the General Fund and Special Revenue Funds for various capital improvement projects.

Vehicle Replacement Fund - Accounts for revenue and expenditures related to the purchase and replacement of vehicles in the City's fleet.

Performance Bonds Fund - Accounts for expenditures for monies received from taxpayers for their portion of property improvement expenditures.

CITY OF JOLIET, ILLINOIS

All Nonmajor Governmental Funds
Combining Balance Sheet
December 31, 2024

	Special Revenue Funds					
	Block Grant Fund	Grants and Special Revenue Fund	Special Revenue Revolving Fund	Foreign Fire Tax Fund	City Center Special Service Area Fund	Park Hill Special Service Area Fund
ASSETS						
Cash	$ 34,603	$ 9,192,746	$ 1,666,923	$ 295,285	$ 1,019,095	$ 59,087
Investments	-	-	-	250,000	-	-
Receivables						
Property Taxes, Net of Allowance for Uncollectible Amounts	-	-	-	-	523,372	-
Intergovernmental	-	-	-	-	-	-
Accrued Interest	-	-	-	-	-	-
Accounts Receivable	-	-	-	-	950	-
Inventory	-	10,000	-	-	-	-
Total Assets	34,603	9,202,746	1,666,923	545,285	1,543,417	59,087
LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND FUND BALANCES						
LIABILITIES						
Vouchers Payable	$ 46,975	$ 1,256,950	$ 21,939	$ -	$ 33,879	$ 375
Customer Deposits and Credits	-	711,500	-	-	-	-
Unearned Revenue	-	-	-	-	950	-
Internal Payables	-	55,416	-	-	-	-
Total Liabilities	46,975	2,023,866	21,939	-	34,829	375
DEFERRED INFLOWS OF RESOURCES						
Deferred Property Taxes	-	-	-	-	523,372	-
Deferred Other Income	-	-	-	-	-	-
Total Deferred Inflows of Resources	-	-	-	-	523,372	-
FUND BALANCES						
Nonspendable	-	10,000	-	-	-	-
Restricted	-	7,168,880	1,644,984	545,285	984,994	58,712
Assigned	-	-	-	-	222	-
Unassigned	(12,372)	-	-	-	-	-
Total Fund Balances	(12,372)	7,178,880	1,644,984	545,285	985,216	58,712
Total Liabilities, Deferred Inflows of Resources, and Fund Balances	$ 34,603	$ 9,202,746	$ 1,666,923	$ 545,285	$ 1,543,417	$ 59,087

Miscellaneous Special Service Area Fund	Business District Tax Allocation Fund	Tax Incremental Financing Fund #2	Tax Incremental Financing Fund #3	Tax Incremental Financing Fund #4	Tax Incremental Financing Fund #5	Tax Incremental Financing Fund #6	Total Special Revenue Funds
$ 41,061	$ -	$ 673,819	$ 657,510	$ 195,556	$ 154,171	$ 12,916	$ 14,002,772
-	1,073,160	220,416	-	-	-	-	1,543,576
-	-	362,987	189,793	72,020	288,336	7,651	1,444,159
-	38,882	-	-	-	-	-	38,882
-	-	-	-	-	-	-	-
24,685	-	-	-	-	-	-	25,635
-	-	-	-	-	-	-	10,000
65,746	1,112,042	1,257,222	847,303	267,576	442,507	20,567	17,065,024
$ -	$ 37,688	$ 11,380	$ 256,927	$ 2,540	$ 2,540	$ 2,540	$ 1,673,733
-	-	-	-	-	-	-	711,500
24,685	-	-	-	-	-	-	25,635
-	-	-	-	-	-	-	55,416
24,685	37,688	11,380	256,927	2,540	2,540	2,540	2,466,284
-	-	362,987	189,793	72,020	288,336	7,651	1,444,159
-	11,723	-	-	-	-	-	11,723
-	11,723	362,987	189,793	72,020	288,336	7,651	1,455,882
-	-	-	-	-	-	-	10,000
41,061	1,062,631	844,910	400,583	193,016	151,631	10,376	13,107,063
-	-	37,945	-	-	-	-	38,167
-	-	-	-	-	-	-	(12,372)
41,061	1,062,631	882,855	400,583	193,016	151,631	10,376	13,142,858
$ 65,746	$ 1,112,042	$ 1,257,222	$ 847,303	$ 267,576	$ 442,507	$ 20,567	$ 17,065,024

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CITY OF JOLIET, ILLINOIS

All Nonmajor Governmental Funds
Combining Balance Sheet
December 31, 2024

	Debt Service Fund	Capital Projects Funds				
	General Debt Service Fund	Capital Improvement Fund	Vehicle Replacement Fund	Performance Bonds Fund	Total Capital Projects Funds	Total
ASSETS						
Cash	$ 370,388	$ 21,010,278	$ 902,322	$ 1,212,910	$ 23,125,510	$ 37,498,670
Investments	-	1,793,953	-	5,002,797	6,796,750	8,340,326
Receivables						
Property Taxes, Net of Allowance for Uncollectible Amounts	-	-	-	-	-	1,444,159
Intergovernmental	-	-	-	-	-	38,882
Accrued Interest	-	66,490	-	-	66,490	66,490
Accounts Receivable	-	984,714	181,130	-	1,165,844	1,191,479
Inventory	-	-	-	-	-	10,000
Total Assets	370,388	24,073,129	1,083,452	6,215,707	31,372,288	48,807,700
LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND FUND BALANCES						
LIABILITIES						
Vouchers Payable	$ -	$ 5,815,246	$ 9,973	$ 20,000	$ 5,845,219	$ 7,518,952
Customer Deposits and Credits	-	235,000	-	986,882	1,221,882	1,933,382
Unearned Revenue	-	-	-	-	-	25,635
Internal Payables	-	-	-	-	-	55,416
Total Liabilities	-	6,050,246	9,973	1,006,882	7,067,101	9,533,385
DEFERRED INFLOWS OF RESOURCES						
Deferred Property Taxes	-	-	-	-	-	1,444,159
Deferred Other Income	-	-	-	-	-	11,723
Total Deferred Inflows of Resources	-	-	-	-	-	1,455,882
FUND BALANCES						
Nonspendable	-	-	-	-	-	10,000
Restricted	-	-	-	4,337,787	4,337,787	17,444,850
Assigned	370,388	18,022,883	1,073,479	871,038	19,967,400	20,375,955
Unassigned	-	-	-	-	-	(12,372)
Total Fund Balances	370,388	18,022,883	1,073,479	5,208,825	24,305,187	37,818,433
Total Liabilities, Deferred Inflows of Resources, and Fund Balances	$ 370,388	$ 24,073,129	$ 1,083,452	$ 6,215,707	$ 31,372,288	$ 48,807,700

CITY OF JOLIET, ILLINOIS

All Nonmajor Governmental Funds
Combining Statement of Revenue, Expenditures and
Changes in Fund Balances
For the Year Ended December 31, 2024

	Special Revenue Funds					
	Block Grant Fund	Grants and Special Revenue Fund	Special Revenue Revolving Fund	Foreign Fire Tax Fund	City Center Special Service Area Fund	Park Hill Special Service Area Fund
Revenue						
Property Taxes	$ -	$ -	$ -	$ -	$ 522,648	$ 7,874
Other Taxes	-	-	-	-	-	-
Intergovernmental State Shared Revenue	-	-	-	329,188	-	-
Federal, State and Private Grants and Allotments	2,218,140	3,703,450	-	-	-	-
Rentals and Fees	-	-	26,383	-	-	-
Fines and Forfeitures	-	-	372,206	-	-	-
Special Assessments	-	-	-	-	-	-
Net Investment Income (Loss)	-	(1)	23,018	6,358	-	-
Other	-	-	26,152	-	-	-
Total Revenue	2,218,140	3,703,449	447,759	335,546	522,648	7,874
Expenditures						
Current:						
Public Safety	1,545	2,164,281	337,751	171,401	-	-
Community Development	735,280	260,509	-	-	209,405	8,825
Capital Outlay	639,952	1,742,201	199,081	175,821	23,054	-
Debt Service - Principal	-	-	-	-	-	-
Debt Service - Interest and Fees	-	-	-	-	-	-
Total Expenditures	1,448,124	4,208,632	536,832	347,222	232,459	8,825
Revenue Over (Under) Expenditures	770,016	(505,183)	(89,073)	(11,676)	290,189	(951)
Other Financing Sources (Uses)						
Sale of Capital Assets	-	-	-	-	-	-
Transfers In	-	631,693	-	-	-	-
Transfers Out	-	-	-	-	(50,000)	-
Total Other Financing Sources (Uses)	-	631,693	-	-	(50,000)	-
Net Change in Fund Balance	770,016	126,510	(89,073)	(11,676)	240,189	(951)
Fund Balances (Deficits), Beginning of Year	(782,388)	7,052,370	1,734,057	556,961	745,027	59,663
Fund Balances (Deficits), End of Year	($ 12,372)	$ 7,178,880	$ 1,644,984	$ 545,285	$ 985,216	$ 58,712

Miscellaneous Special Service Area Fund	Business District Tax Allocation Fund	Tax Incremental Financing Fund #2	Tax Incremental Financing Fund #3	Tax Incremental Financing Fund #4	Tax Incremental Financing Fund #5	Tax Incremental Financing Fund #6	Total Special Revenue Funds
$ -	$ -	$ 53,379	$ 107,772	$ 43,897	$ 173,947	$ 5,716	$ 915,233
-	-	-	-	-	-	-	-
-	87,036	-	-	-	-	-	416,224
-	-	-	-	-	-	-	5,921,590
-	-	-	-	-	-	-	26,383
-	-	-	-	-	-	-	372,206
2,511	-	-	-	-	-	-	2,511
-	78,091	8,133	-	-	-	-	115,599
-	-	-	-	-	-	-	26,152
2,511	165,127	61,512	107,772	43,897	173,947	5,716	7,795,898
-	-	-	-	-	-	-	2,674,978
-	-	10,010	5,006	5,005	405,005	5,005	1,644,050
-	-	-	-	-	-	-	2,780,109
-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	-
-	-	10,010	5,006	5,005	405,005	5,005	7,212,125
2,511	165,127	51,502	102,766	38,892	(231,058)	711	583,773
-	-	-	-	-	-	-	-
-	-	-	-	-	-	-	631,693
-	-	-	-	-	-	-	(50,000)
-	-	-	-	-	-	-	581,693
2,511	165,127	51,502	102,766	38,892	(231,058)	711	1,165,466
38,550	897,504	831,353	297,817	154,124	382,689	9,665	11,977,392
$ 41,061	$ 1,062,631	$ 882,855	$ 400,583	$ 193,016	$ 151,631	$ 10,376	$ 13,142,858

(Continued)

CITY OF JOLIET, ILLINOIS

All Nonmajor Governmental Funds
Combining Statement of Revenue, Expenditures and
Changes in Fund Balances
For the Year Ended December 31, 2024

	Debt Service Fund	Capital Projects Funds				
	General Debt Service Fund	Capital Improvement Fund	Vehicle Replacement Fund	Performance Bonds Fund	Total Capital Projects Funds	Total
Revenue						
Property Taxes	$ -	$ -	$ -	$ -	$ -	$ 915,233
Other Taxes	-	-	2,235,603	-	2,235,603	2,235,603
Intergovernmental State Shared Revenue	-	12,095,298	-	-	12,095,298	12,511,522
Federal, State and Private Grants and Allotments	-	2,381,725	-	-	2,381,725	8,303,315
Rentals and Fees	-	-	-	-	-	26,383
Fines and Forfeitures	-	-	-	-	-	372,206
Special Assessments	-	-	-	-	-	2,511
Net Investment Income (Loss)	-	149,003	-	252,391	401,394	516,993
Other	-	100,000	72,560	801,181	973,741	999,893
Total Revenue	-	14,726,026	2,308,163	1,053,572	18,087,761	25,883,659
Expenditures						
Current:						
Public Safety	-	-	-	-	-	2,674,978
Community Development	-	66,850	-	-	66,850	1,710,900
Capital Outlay	-	25,008,674	2,181,696	-	27,190,370	29,970,479
Debt Service - Principal	709,242	-	-	-	-	709,242
Debt Service - Interest	4,999,968	2,268	-	-	2,268	5,002,236
Total Expenditures	5,709,210	26,102,417	2,181,696	-	28,284,113	41,205,448
Revenue Over (Under) Expenditures	(5,709,210)	(11,376,391)	126,467	1,053,572	(10,196,352)	(15,321,789)
Other Financing Sources (Uses)						
Sale of Capital Assets	-	54,525	-	-	54,525	54,525
Transfers In	6,139,110	50,000	-	-	50,000	6,820,803
Transfers Out	-	(2,145,361)	(861,400)	-	(3,006,761)	(3,056,761)
Total Other Financing Sources (Uses)	6,139,110	(2,040,836)	(861,400)	-	(2,902,236)	3,818,567
Net Change in Fund Balance	429,900	(13,417,227)	(734,933)	1,053,572	(13,098,588)	(11,503,222)
Fund Balances (Deficits), Beginning of Year	(59,512)	31,440,110	1,808,412	4,155,253	37,403,775	49,321,655
Fund Balances (Deficits), End of Year	$ 370,388	$ 18,022,883	$ 1,073,479	$ 5,208,825	$ 24,305,187	$ 37,818,433

CITY OF JOLIET, ILLINOIS

Block Grant Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Federal Grants	$ 3,202,906	$ 3,202,906	$ 2,218,140	($ 984,766)
Total Revenue	3,202,906	3,202,906	2,218,140	(984,766)
Expenditures				
Community Development				
Personnel Services	-	-	71,347	(71,347)
Other Employee Costs	-	4,500	4,872	(372)
Professional Services	1,665,317	1,765,866	723,761	1,042,105
Property Services	195,445	-	7,879	(7,879)
Other Services	-	-	313	(313)
Property and Projects	1,342,144	650,152	639,952	10,200
Total Expenditures	3,202,906	2,420,518	1,448,124	972,394
Net Change in Fund Balance	$ -	$ 782,388	770,016	($ 12,372)
Fund Balance (Deficit), Beginning of Year			(782,388)	
Fund Balance (Deficit), End of Year			($ 12,372)	

CITY OF JOLIET, ILLINOIS

Grants and Special Revenue Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Federal Grants	$ 2,682,257	$ 1,203,422	$ 240,344	($ 963,078)
State Grants	1,086,000	2,558,177	3,428,106	869,929
State Reimbursements	-	1,200,000	35,000	(1,165,000)
Net Investment Income (Loss)	5,000	5,000	(1)	(5,001)
Total Revenue	3,773,257	4,966,599	3,703,449	(1,263,150)
Expenditures				
Public Safety				
Personnel Services	1,302,000	1,912,500	1,493,185	419,315
Personnel Benefits	1,000	1,000	-	1,000
Other Employee Costs	15,500	15,500	49,200	(33,700)
Professional Services	629,124	410,259	112,813	297,446
Property Services	-	-	249,275	(249,275)
Other Services	10,000	10,000	14,804	(4,804)
Supplies	117,500	230,567	243,404	(12,837)
Other Expenditures	7,500	7,500	1,600	5,900
Property and Projects	743,980	891,500	331,484	560,016
Public Works				
Property and Projects	9,520,213	2,150,000	896,140	1,253,860
Community Development				
Other Employee Costs	-	-	3,311	(3,311)
Professional Services	1,035,000	247,470	298,369	(50,899)
Supplies	-	-	470	(470)
Property and Projects	-	400,000	514,577	(114,577)
Total Expenditures	13,381,817	6,276,296	4,208,632	2,067,664
Revenue (Under) Expenditures	(9,608,560)	(1,309,697)	(505,183)	804,514
Other Financing Sources				
Transfers In	98,347	127,377	631,693	504,316
Net Change in Fund Balance	($ 9,510,213)	($ 1,182,320)	126,510	$ 1,308,830
Fund Balance, Beginning of Year			7,052,370	
Fund Balance, End of Year			$ 7,178,880	

CITY OF JOLIET, ILLINOIS

Special Revenue Revolving Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Fees	$ -	$ -	$ 26,383	$ 26,383
Forfeitures	78,500	78,500	305,774	227,274
Fines	165,000	165,000	66,432	(98,568)
Net Investment Income (Loss)	50	50	23,018	22,968
Miscellaneous Revenue	20,000	20,000	26,152	6,152
Total Revenue	263,550	263,550	447,759	184,209
Expenditures				
Public Safety				
Other Employee Costs	43,700	43,700	14,612	29,088
Professional Services	64,500	64,500	81,045	(16,545)
Property Services	1,000	1,000	-	1,000
Other Services	5,000	5,000	-	5,000
Supplies	200,000	200,000	211,031	(11,031)
Other Expenditures	42,000	42,000	31,063	10,937
Property and Projects	110,000	110,000	199,081	(89,081)
Total Expenditures	466,200	466,200	536,832	(70,632)
Net Change in Fund Balance	($ 202,650)	($ 202,650)	(89,073)	$ 113,577
Fund Balance, Beginning of Year			1,734,057	
Fund Balance, End of Year			$ 1,644,984	

CITY OF JOLIET, ILLINOIS

Foreign Fire Tax Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
State Shared Revenue	$ 235,585	$ 235,585	$ 329,188	$ 93,603
Net Investment Income (Loss)	182	182	6,358	6,176
Total Revenue	235,767	235,767	335,546	99,779
Expenditures				
Public Safety				
Professional Services	-	-	24,211	(24,211)
Supplies	-	-	147,190	(147,190)
Other Expenditures	228,000	228,000	-	228,000
Property and Projects	-	-	175,821	(175,821)
Total Expenditures	228,000	228,000	347,222	(119,222)
Net Change in Fund Balance	$ 7,767	$ 7,767	(11,676)	($ 19,443)
Fund Balance, Beginning of Year			556,961	
Fund Balance, End of Year			$ 545,285	

CITY OF JOLIET, ILLINOIS

City Center Special Service Area Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Property Taxes	$ 500,000	$ 500,000	$ 522,648	$ 22,648
Total Revenue	500,000	500,000	522,648	22,648
Expenditures				
Community Development				
Professional Services	75,000	75,000	16,650	58,350
Other Expenditures	400,000	400,000	192,755	207,245
Property and Projects	100,000	100,000	23,054	76,946
Total Expenditures	575,000	575,000	232,459	342,541
Revenue Over (Under) Expenditures	(75,000)	(75,000)	290,189	365,189
Other Financing (Uses)				
Transfers Out	(50,000)	(50,000)	(50,000)	-
Net Change in Fund Balance	($ 125,000)	($ 125,000)	240,189	$ 365,189
Fund Balance, Beginning of Year			745,027	
Fund Balance, End of Year			$ 985,216	

CITY OF JOLIET, ILLINOIS

Park Hill Special Service Area Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Property Taxes	$ 8,000	$ 8,000	$ 7,874	($ 126)
Total Revenue	8,000	8,000	7,874	(126)
Expenditures				
Community Development				
Property Services	8,000	8,000	8,825	(825)
Total Expenditures	8,000	8,000	8,825	(825)
Net Change in Fund Balance	$ -	$ -	(951)	($ 951)
Fund Balance, Beginning of Year			59,663	
Fund Balance, End of Year			$ 58,712	

CITY OF JOLIET, ILLINOIS

Miscellaneous Special Service Area Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Property Taxes	$ 14,000	$ 5,000	$ -	($ 5,000)
Special Assessments	-	-	2,511	2,511
Total Revenue	14,000	5,000	2,511	(2,489)
Expenditures				
Community Development Property and Projects	14,000	5,000	-	5,000
Total Expenditures	14,000	5,000	-	5,000
Net Change in Fund Balance	$ -	$ -	2,511	$ 2,511
Fund Balance, Beginning of Year			38,550	
Fund Balance, End of Year			$ 41,061	

CITY OF JOLIET, ILLINOIS

Business District Tax Allocation Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
State Shared Revenue	$ 200,000	$ 200,000	$ 156,150	($ 43,850)
Less Rebates	(100,000)	(100,000)	(69,114)	30,886
State Shared Revenue, Net	100,000	100,000	87,036	(12,964)
Net Investment Income (Loss)	54,000	54,000	78,091	24,091
Total Revenue	154,000	154,000	165,127	11,127
Expenditures				
Total Expenditures	-	-	-	-
Net Change in Fund Balance	$ 154,000	$ 154,000	165,127	$ 11,127
Fund Balance, Beginning of Year			897,504	
Fund Balance, End of Year			$ 1,062,631	

CITY OF JOLIET, ILLINOIS

Tax Incremental Financing Fund #2
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Property Taxes	$ 450,000	$ 450,000	$ 418,509	($ 31,491)
Less Rebates	(400,000)	(400,000)	(365,130)	34,870
Property Taxes, Net	50,000	50,000	53,379	3,379
Net Investment Income (Loss)	2,000	2,000	8,133	6,133
Total Revenue	52,000	52,000	61,512	9,512
Expenditures				
Community Development				
Professional Services	50,000	50,000	10,010	39,990
Property and Projects	2,000	2,000	-	2,000
Total Expenditures	52,000	52,000	10,010	41,990
Net Change in Fund Balance	$ -	$ -	51,502	$ 51,502
Fund Balance, Beginning of Year			831,353	
Fund Balance, End of Year			$ 882,855	

CITY OF JOLIET, ILLINOIS

Tax Incremental Financing Fund #3
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Property Taxes	$ 106,000	$ 106,000	$ 157,168	$ 51,168
Less Rebates	(60,000)	(60,000)	(49,396)	10,604
Property Taxes, Net	46,000	46,000	107,772	61,772
Total Revenue	46,000	46,000	107,772	61,772
Expenditures				
Community Development				
Professional Services	2,500	2,500	5,006	(2,506)
Property and Projects	85,000	85,000	-	85,000
Total Expenditures	87,500	87,500	5,006	82,494
Net Change in Fund Balance	($ 41,500)	($ 41,500)	102,766	$ 144,266
Fund Balance, Beginning of Year			297,817	
Fund Balance, End of Year			$ 400,583	

CITY OF JOLIET, ILLINOIS

Tax Incremental Financing Fund #4
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Property Taxes	$ 25,000	$ 25,000	$ 43,897	$ 18,897
Total Revenue	25,000	25,000	43,897	18,897
Expenditures				
Community Development				
Professional Services	2,500	2,500	5,005	(2,505)
Total Expenditures	2,500	2,500	5,005	(2,505)
Net Change in Fund Balance	$ 22,500	$ 22,500	38,892	$ 16,392
Fund Balance, Beginning of Year			154,124	
Fund Balance, End of Year			$ 193,016	

CITY OF JOLIET, ILLINOIS

Tax Incremental Financing Fund #5
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Property Taxes	$ 125,575	$ 251,047	$ 289,393	$ 38,346
Less Rebates	(15,000)	(118,709)	(115,446)	3,263
Property Taxes, Net	110,575	132,338	173,947	41,609
Total Revenue	110,575	132,338	173,947	41,609
Expenditures				
Community Development				
Professional Services	1,500	-	405,005	(405,005)
Total Expenditures	1,500	-	405,005	(405,005)
Net Change in Fund Balance	$ 109,075	$ 132,338	(231,058)	($ 363,396)
Fund Balance, Beginning of Year			382,689	
Fund Balance, End of Year			$ 151,631	

CITY OF JOLIET, ILLINOIS

Tax Incremental Financing Fund #6
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Property Taxes	$ 3,000	$ 3,000	$ 5,716	$ 2,716
Total Revenue	3,000	3,000	5,716	2,716
Expenditures				
Community Development				
Professional Services	4,000	4,000	5,005	(1,005)
Total Expenditures	4,000	4,000	5,005	(1,005)
Net Change in Fund Balance	($ 1,000)	($ 1,000)	711	$ 1,711
Fund Balance, Beginning of Year			9,665	
Fund Balance, End of Year			$ 10,376	

CITY OF JOLIET, ILLINOIS

General Debt Service Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Total Revenue	$ -	$ -	$ -	$ -
Expenditures				
Debt Principal	650,000	1,820,000	709,242	1,110,758
Debt Interest	5,036,075	4,971,542	4,999,968	(28,426)
Total Expenditures	5,686,075	6,791,542	5,709,210	1,082,332
Revenue (Under) Expenditures	(5,686,075)	(6,791,542)	(5,709,210)	1,082,332
Other Financing Sources				
Transfers In	5,686,075	6,791,542	6,139,110	(652,432)
Net Change in Fund Balance	$ -	$ -	429,900	$ 429,900
Fund Balance (Deficit), Beginning of Year			(59,512)	
Fund Balance, End of Year			$ 370,388	

CITY OF JOLIET, ILLINOIS

Capital Improvement Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
State Shared Revenue	$ 13,200,000	$ 12,300,000	$ 12,095,298	($ 204,702)
Federal Grants	-	-	2,381,725	2,381,725
State Grants	3,150,000	236,363	-	(236,363)
Net Investment Income (Loss)	80,000	150,000	149,003	(997)
Miscellaneous Revenue	100,000	100,000	100,000	-
Total Revenue	16,530,000	12,786,363	14,726,026	1,939,663
Expenditures				
General Government				
Property and Projects	3,340,000	4,434,245	4,712,818	(278,573)
Public Safety				
Property and Projects	3,850,000	2,632,911	3,633,175	(1,000,264)
Public Works				
Property and Projects	14,965,000	11,031,567	14,938,984	(3,907,417)
Community Development				
Property and Projects	11,273,325	3,500,000	2,815,172	684,828
Debt Interest	-	-	2,268	(2,268)
Total Expenditures	33,428,325	21,598,723	26,102,417	(4,503,694)
Revenue (Under) Expenditures	(16,898,325)	(8,812,360)	(11,376,391)	(2,564,031)
Other Financing Sources				
Sales of Capital Assets	-	55,000	54,525	(475)
Transfers In	50,000	50,000	50,000	-
Total Other Financing Sources	50,000	105,000	104,525	(475)
Net Change in Fund Balance	($ 16,848,325)	($ 8,707,360)	(13,417,227)	($ 4,709,867)
Fund Balance, Beginning of Year			31,440,110	
Fund Balance, End of Year			$ 18,022,883	

CITY OF JOLIET, ILLINOIS

Vehicle Replacement Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Other Taxes	$ 2,150,000	$ 2,150,000	$ 2,235,603	$ 85,603
Miscellaneous Revenue	60,000	50,000	72,560	22,560
Total Revenue	2,210,000	2,200,000	2,308,163	108,163
Expenditures				
General Government				
Property and Projects	2,500,000	1,250,000	-	1,250,000
Public Safety				
Property and Projects	-	-	184,531	(184,531)
Public Works				
Property and Projects	-	-	1,997,165	(1,997,165)
Debt Principal	350,000	-	-	-
Debt Interest and Fees	80,700	-	-	-
Total Expenditures	2,930,700	1,250,000	2,181,696	(931,696)
Revenue Over (Under) Expenditures	(720,700)	950,000	126,467	(823,533)
Other Financing (Uses)				
Transfers Out	-	(430,700)	(861,400)	(430,700)
Net Change in Fund Balance	($ 720,700)	$ 519,300	(734,933)	($ 1,254,233)
Fund Balance, Beginning of Year			1,808,412	
Fund Balance, End of Year			$ 1,073,479	

CITY OF JOLIET, ILLINOIS

Performance Bonds Fund
Schedule of Revenue, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Year Ended December 31, 2024

	Original Budget	Final Budget	Actual Amounts GAAP Basis	Variance With Final Budget Positive (Negative)
Revenue				
Net Investment Income (Loss)	$ 10,000	$ 240,000	$ 252,391	$ 12,391
Miscellaneous Revenue	215,000	850,000	801,181	(48,819)
Total Revenue	225,000	1,090,000	1,053,572	(36,428)
Expenditures				
Public Works				
Property and Projects	3,447,313	1,090,000	-	1,090,000
Total Expenditures	3,447,313	1,090,000	-	1,090,000
Net Change in Fund Balance	($ 3,222,313)	$ -	1,053,572	$ 1,053,572
Fund Balance, Beginning of Year			4,155,253	
Fund Balance, End of Year			$ 5,208,825	

TRUST FUNDS

These funds are used to accumulate resources for the payment of retirement benefits.

Joliet Police Pension Fund and Joliet Firefighters' Pension Fund - Account for property tax revenue and contributions from participants used to fund the respective pension plans and payments to beneficiaries in accordance with the Illinois Pension Code.

CITY OF JOLIET, ILLINOIS

Pension Trust Funds
Combining Statement of Net Position
December 31, 2024

	Joliet Police Pension Fund	Joliet Firefighters' Pension Fund	Total
ASSETS			
Cash	$ 6,270,567	$ 1,854,969	$ 8,125,536
Investments, at Fair Value			
Money Market Mutual Funds	1,701	3,313,779	3,315,480
Pooled Investments	344,240,067	257,667,002	601,907,069
Total Investments	344,241,768	260,980,781	605,222,549
Accrued Interest Receivable	7	12,093	12,100
Prepaid Items	13,486	785	14,271
Due from Primary Government	433	-	433
Total Assets	$ 350,526,261	$ 262,848,628	$ 613,374,889
LIABILITIES			
Accrued Expenses	14,839	8,416	23,255
Total Liabilities	14,839	8,416	23,255
NET POSITION RESTRICTED FOR PENSIONS	$ 350,511,422	$ 262,840,212	$ 613,351,634

CITY OF JOLIET, ILLINOIS

Pension Trust Funds
Combining Statement of Changes in Net Position
For the Year Ended December 31, 2024

	Joliet Police Pension Fund	Joliet Firefighters' Pension Fund	Total
Additions			
Contributions			
Employer Contributions	$ 18,456,702	$ 15,051,927	$ 33,508,629
Plan Member Contributions	3,760,647	2,602,974	6,363,621
Total Contributions	22,217,349	17,654,901	39,872,250
Investment Income			
Net Increase in Fair Value of Investments	28,187,656	20,567,670	48,755,326
Interest and Dividends	1,956,687	5,035,063	6,991,750
	30,144,343	25,602,733	55,747,076
Less Investment Expenses	188,353	320,864	509,217
Net Investment Income	29,955,990	25,281,869	55,237,859
Miscellaneous Income	100	938	1,038
Total Additions	52,173,439	42,937,708	95,111,147
Deductions			
Benefit Payments (Including Refunds of Plan Member Contributions)	24,166,061	16,570,672	40,736,733
Administrative and Other Expenses	139,648	77,361	217,009
Total Deductions	24,305,709	16,648,033	40,953,742
Net Increase in Net Position	27,867,730	26,289,675	54,157,405
Net Position Restricted for Pensions			
Beginning of Year	322,643,692	236,550,537	559,194,229
End of Year	$ 350,511,422	$ 262,840,212	$ 613,351,634

Other Schedules

CITY OF JOLIET, ILLINOIS

General Obligation Bonds
Schedule of Debt Service Requirements
December 31, 2024

Due in Fiscal Year	Series 2020A		Series 2022	
	Interest	Principal	Interest	Principal
2025	$ 70,200	$ 360,000	$ 4,890,025	$ -
2026	59,400	375,000	4,890,025	-
2027	48,150	385,000	4,890,025	-
2028	36,600	395,000	4,890,025	1,395,000
2029	24,750	405,000	4,820,275	2,070,000
2030	12,600	420,000	4,716,775	2,540,000
2031	-	-	4,589,775	3,200,000
2032	-	-	4,429,775	3,940,000
2033	-	-	4,232,775	4,285,000
2034	-	-	4,018,525	4,650,000
2035	-	-	3,786,025	5,005,000
2036	-	-	3,535,775	5,405,000
2037	-	-	3,265,525	5,805,000
2038	-	-	2,975,275	6,255,000
2039	-	-	2,662,525	6,730,000
2040	-	-	2,309,200	7,250,000
2041	-	-	1,928,575	7,830,000
2042	-	-	1,497,925	8,430,000
2043	-	-	1,034,275	9,065,000
2044	-	-	535,700	9,740,000
	$ 251,700	$ 2,340,000	$ 69,898,800	$ 93,595,000

Total G. O. Bonds		
Interest	Principal	Total
$ 4,960,225	$ 360,000	$ 5,320,225
4,949,425	375,000	5,324,425
4,938,175	385,000	5,323,175
4,926,625	1,790,000	6,716,625
4,845,025	2,475,000	7,320,025
4,729,375	2,960,000	7,689,375
4,589,775	3,200,000	7,789,775
4,429,775	3,940,000	8,369,775
4,232,775	4,285,000	8,517,775
4,018,525	4,650,000	8,668,525
3,786,025	5,005,000	8,791,025
3,535,775	5,405,000	8,940,775
3,265,525	5,805,000	9,070,525
2,975,275	6,255,000	9,230,275
2,662,525	6,730,000	9,392,525
2,309,200	7,250,000	9,559,200
1,928,575	7,830,000	9,758,575
1,497,925	8,430,000	9,927,925
1,034,275	9,065,000	10,099,275
535,700	9,740,000	10,275,700
$ 70,150,500	$ 95,935,000	$ 166,085,500

CITY OF JOLIET, ILLINOIS

Waterworks and Sewerage Senior Lien Revenue Bond Anticipation Notes
Schedule of Debt Service Requirements
December 31, 2024

Due in Fiscal Year	Series 2022 Interest	Series 2022 Principal	Total
2025	$ 537,250	$ 21,490,000	$ 22,027,250
	$ 537,250	$ 21,490,000	$ 22,027,250

STATISTICAL SECTION
(UNAUDITED)

This part of the City's Annual Comprehensive Financial Report presents detailed information as a context for understanding what the information in the financial statements, note disclosures, and required supplementary information says about the City's overall financial health.

Financial Trends

These schedules contain trend information to help the reader understand how the City's financial performance and well-being have changed over time.

Revenue Capacity

These schedules contain information to help the reader assess the City's most significant local revenue sources, gaming tax and property tax.

Debt Capacity

These schedules present information to help the reader assess the affordability of the City's current levels of outstanding debt and the City's ability to issue additional debt in the future.

Demographic and Economic Information

These schedules offer demographic and economic indicators to help the reader understand the environment within which the City's financial activities take place.

Operating Information

These schedules contain service and infrastructure data to help the reader understand how the information in the City's financial report relates to the services the City provides and the activities it performs.

Sources:
Unless otherwise noted, the information in these schedules is derived from the Annual Comprehensive Financial Reports for the relevant year.

CITY OF JOLIET, ILLINOIS

Net Position by Component
Last Ten Fiscal Years

	2024	2023	2022	2021
Governmental Activities				
Net Investment in Capital Assets	$ 472,994,550	$ 435,398,785	$ 307,822,977	$ 370,539,903
Restricted	83,393,701	106,237,660	125,388,798	37,135,614
Unrestricted	(890,500,591)	(856,337,722)	(832,425,186)	(808,907,828)
Total Governmental Activities Net Position	($ 334,112,340)	($ 314,701,277)	($ 399,213,411)	($ 401,232,311)
Business-Type Activities				
Net Investment in Capital Assets	$ 293,093,681	$ 315,443,592	$ 305,135,756	$ 287,396,144
Restricted	20,951,973	16,449,349	-	12,284,447
Unrestricted	(5,237,609)	(43,643,696)	(36,608,280)	(31,339,311)
Total Business-Type Activities Net Position	$ 308,808,045	$ 288,249,245	$ 268,527,476	$ 268,341,280
Primary Government				
Net Investment in Capital Assets	$ 766,088,231	$ 750,842,377	$ 612,958,733	$ 657,936,047
Restricted	104,345,674	122,687,009	125,388,798	49,420,061
Unrestricted	(895,738,200)	(899,981,418)	(869,033,466)	(840,247,139)
Total Primary Government Net Position	($ 25,304,295)	($ 26,452,032)	($ 130,685,935)	($ 132,891,031)

2020	2019	2018	2017	2016	2015
$ 368,506,720	$ 375,068,849	$ 383,661,426	$ 388,065,570	$ 383,541,338	$ 378,506,323
27,258,578	22,847,552	17,879,732	17,863,696	17,361,426	18,655,939
(824,586,124)	(778,655,081)	(740,992,302)	(451,324,590)	(427,905,826)	(398,698,215)
($ 428,820,826)	($ 380,738,680)	($ 339,451,144)	($ 45,395,324)	($ 27,003,062)	($ 1,535,953)
$ 271,218,607	$ 263,747,462	$ 264,425,448	$ 259,920,346	$ 260,510,239	$ 250,648,934
2,350,511	2,139,255	3,341,721	5,701,474	5,202,785	5,722,109
(17,194,737)	(16,597,309)	(24,852,924)	(9,619,776)	(11,884,028)	(6,066,613)
$ 256,374,381	$ 249,289,408	$ 242,914,245	$ 256,002,044	$ 253,828,996	$ 250,304,430
$ 639,725,327	$ 638,816,311	$ 648,086,874	$ 647,985,916	$ 644,051,577	$ 629,155,257
29,609,089	24,986,807	21,221,453	23,565,170	22,564,211	24,378,048
(841,780,861)	(795,252,390)	(765,845,226)	(460,944,366)	(439,789,854)	(404,764,828)
($ 172,446,445)	($ 131,449,272)	($ 96,536,899)	$ 210,606,720	$ 226,825,934	$ 248,768,477

CITY OF JOLIET, ILLINOIS

Changes in Net Position
Last Ten Fiscal Years

	2024	2023	2022	2021
Expenses				
Governmental Activities:				
General Government	$ 68,580,052	$ 59,932,989	$ 58,432,282	$ 52,828,126
Public Safety	146,701,018	152,971,736	144,620,535	132,824,607
Public Works	18,895,693	30,050,150	4,382,254	32,875,300
Refuse Disposal	14,289,420	13,880,599	13,458,403	13,032,051
Culture and Recreation	1,216,139	991,897	1,318,400	477,537
Community Development	34,719,196	15,953,998	43,511,083	9,647,939
Interest on Long-Term Debt	4,389,337	4,249,955	1,288,616	89,238
Total Governmental Activities Expenses	288,790,855	278,031,324	267,011,573	241,774,798
Business-Type Activities:				
Water and Sewer	61,910,598	59,471,357	71,279,006	53,981,249
Parking Facilities	1,952,506	1,197,877	4,746,734	(1,890,877)
Total Business-Type Activities Expenses	63,863,104	60,669,234	76,025,740	52,090,372
Total Primary Government Expenses	$ 352,653,959	$ 338,700,558	$ 343,037,313	$ 293,865,170
Program Revenues				
Governmental Activities:				
Charges for Services				
General Government	$ 6,635,190	$ 6,031,671	$ 6,792,104	$ 6,902,383
Public Safety	16,193,847	13,595,120	14,798,854	13,730,298
Public Works	418,127	306,937	259,694	161,743
Refuse Disposal	16,443,784	15,880,888	15,287,915	14,615,714
Culture and Recreation	51,182	39,353	6,939	6,277
Community Development	5,065,586	4,393,044	7,500,723	5,523,319
Operating Grants and Contributions	12,092,825	8,404,438	18,041,450	10,504,510
Capital Grants and Contributions	7,794,025	6,727,364	6,317,565	39,306,669
Total Governmental Activities Program Revenues	64,694,566	55,378,815	69,005,244	90,750,913
Business-Type Activities:				
Charges for Services				
Water and Sewer	76,601,979	72,494,763	65,965,875	62,607,538
Parking Facilities	631,922	711,379	718,186	786,688
Operating Grants and Contributions	2,959,895	131,967	677,260	966,930
Total Business-Type Activities Program Revenues	80,193,796	73,338,109	67,361,321	64,361,156
Total Primary Government Program Revenues	$ 144,888,362	$ 128,716,924	$ 136,366,565	$ 155,112,069

2020	2019	2018	2017	2016	2015
$ 49,980,218	$ 50,420,394	$ 25,112,082	$ 26,910,633	$ 27,501,400	$ 19,877,213
143,961,307	135,723,717	102,189,677	131,214,009	133,710,811	127,358,059
32,285,867	32,870,326	26,476,365	31,100,933	29,383,814	27,987,446
12,640,468	12,282,778	11,899,949	13,521,614	12,894,084	12,460,715
833,027	1,883,144	467,738	642,398	553,556	447,329
11,678,139	7,059,853	6,123,649	11,633,266	8,386,315	7,135,386
150,192	108,750	138,717	165,993	186,888	374,713
251,529,218	240,348,962	172,408,177	215,188,846	212,616,868	195,640,861
48,914,568	49,616,482	26,334,156	44,796,958	41,704,915	39,426,756
4,382,816	2,075,099	1,021,882	1,466,392	1,341,353	1,204,871
53,297,384	51,691,581	27,356,038	46,263,350	43,046,268	40,631,627
$ 304,826,602	$ 292,040,543	$ 199,764,215	$ 261,452,196	$ 255,663,136	$ 236,272,488
$ 7,268,410	$ 6,352,373	$ 5,387,802	$ 4,556,714	$ 4,976,975	$ 8,632,591
10,220,782	7,401,295	7,225,088	7,259,085	7,334,790	2,014,236
217,347	247,516	277,386	152,124	246,966	274,524
14,251,104	14,161,223	14,684,833	13,651,588	13,559,162	12,541,922
13,967	11,485	13,458	10,688	10,550	13,645
3,921,949	1,799,125	1,860,766	2,712,330	3,181,783	2,509,717
15,287,306	4,603,947	3,452,285	10,270,431	3,392,494	2,080,544
4,905,987	9,692,408	5,187,449	14,256,780	11,906,276	10,029,451
56,086,852	44,269,372	38,089,067	52,869,740	44,608,996	38,096,630
58,971,328	57,043,684	54,354,188	48,317,206	46,056,230	44,337,491
843,164	1,418,992	1,023,198	921,365	1,028,288	1,193,106
1,702,914	319,342	79,084	578,851	212,227	184,299
61,517,406	58,782,018	55,456,470	49,817,422	47,296,745	45,714,896
$ 117,604,258	$ 103,051,390	$ 93,545,537	$ 102,687,162	$ 91,905,741	$ 83,811,526

(Continued)

CITY OF JOLIET, ILLINOIS

Changes in Net Position
Last Ten Fiscal Years

	2024	2023	2022	2021
Net (Expense)/Revenue				
Governmental Activities	($ 224,096,289)	($ 222,652,509)	($ 198,006,329)	($ 151,023,885)
Business-Type Activities	16,330,692	12,668,875	(8,664,419)	12,270,784
Total Primary Government Net Expense	($ 207,765,597)	($ 209,983,634)	($ 206,670,748)	($ 138,753,101)
General Revenues and Other Changes in Net Position				
Governmental Activities:				
Property Taxes	$ 51,619,047	$ 47,669,392	$ 45,067,265	$ 42,887,796
Intergovernmental Revenues				
Gaming Taxes	13,914,373	17,852,386	17,615,356	13,405,205
State Sales Taxes	31,310,311	29,588,441	27,967,125	27,654,734
State Income Taxes	25,884,057	24,181,098	24,694,845	20,208,366
Other Intergovernmental	10,143,423	13,567,324	15,947,362	11,157,234
Home Rule Sales Taxes	36,864,294	35,235,270	34,212,480	33,020,407
Utility Taxes	7,524,947	8,381,915	8,364,618	8,800,317
Other Taxes	15,822,812	15,890,782	16,560,343	15,663,684
Interest and Investment Earnings	10,273,693	9,096,857	1,730,325	35,666
Other General Revenues	4,677,756	3,788,371	6,384,082	4,584,982
Transfers	1,556,003	2,033,240	1,481,428	1,194,009
Unusual or Infrequent Item				
Hobolt Road Bridge	-	99,879,567	-	-
Total Governmental Activities General Revenues and Other	209,590,716	307,164,643	200,025,229	178,612,400
Business-Type Activities:				
Interest and Investment Earnings	3,496,760	6,019,088	2,300,837	25,525
Other General Revenues	2,912,204	3,067,046	8,031,206	864,599
Transfers	(1,556,003)	(2,033,240)	(1,481,428)	(1,194,009)
Total Business-Type Activities General Revenues and Other	4,852,961	7,052,894	8,850,615	(303,885)
Total Primary Government General Revenues and Other	$ 214,443,677	$ 314,217,537	$ 208,875,844	$ 178,308,515
Change in Net Position				
Governmental Activities	($ 14,505,573)	$ 84,512,134	$ 2,018,900	$ 27,588,515
Business-Type Activities	21,183,653	19,721,769	186,196	11,966,899
Total Primary Government	$ 6,678,080	$ 104,233,903	$ 2,205,096	$ 39,555,414
Other Changes in Net Position				
Governmental Activities:				
Adjustment to Beginning of the Year Net Position to Record Pensions (2015), OPEB (2018), Agency Funds (2020) and Compensated Absences (2024).	($ 4,905,490)	$ -	$ -	$ -
Business-Type Activities:				
Adjustment to Beginning of the Year Net Position to Record Pensions (2015), OPEB (2018) and Compensated Absences (2024).	($ 624,853)	$ -	$ -	$ -

2020	2019	2018	2017	2016	2015
($ 195,442,366)	($ 196,079,590)	($ 134,319,110)	($ 162,319,106)	($ 168,007,872)	($ 157,544,231)
8,220,022	7,090,437	28,100,432	3,554,072	4,250,477	5,083,269
($ 187,222,344)	($ 188,989,153)	($ 106,218,678)	($ 158,765,034)	($ 163,757,395)	($ 152,460,962)
$ 40,989,921	$ 38,987,265	$ 37,205,732	$ 35,837,009	$ 35,673,215	$ 35,032,713
7,551,817	17,381,263	17,886,392	18,493,435	18,441,096	18,725,838
22,313,934	23,166,239	22,587,994	21,682,218	21,102,355	20,748,216
16,451,718	16,028,154	14,410,342	13,552,231	14,164,006	15,941,799
9,624,070	8,334,683	6,994,012	6,879,855	6,320,214	5,939,035
24,891,434	26,152,280	26,271,831	25,043,481	24,789,062	24,693,377
8,267,953	8,827,764	10,001,397	9,432,443	9,828,321	9,960,388
11,044,394	9,512,349	10,135,781	8,934,694	8,816,247	7,978,752
334,852	1,015,862	793,265	267,632	99,754	51,268
3,253,072	3,234,587	1,578,942	1,545,937	1,077,583	1,373,583
2,045,704	2,151,608	2,179,111	2,257,909	2,228,910	3,885,289
-	-	-	-	-	-
146,768,869	154,792,054	150,044,799	143,926,844	142,540,763	144,330,258
209,909	626,995	370,640	147,548	57,047	14,874
700,746	809,339	761,147	729,337	1,445,952	102,621
(2,045,704)	(2,151,608)	(2,179,111)	(2,257,909)	(2,228,910)	(3,885,289)
(1,135,049)	(715,274)	(1,047,324)	(1,381,024)	(725,911)	(3,767,794)
$ 145,633,820	$ 154,076,780	$ 148,997,475	$ 142,545,820	$ 141,814,852	$ 140,562,464
($ 48,673,497)	($ 41,287,536)	$ 15,725,689	($ 18,392,262)	($ 25,467,109)	($ 13,213,973)
7,084,973	6,375,163	27,053,108	2,173,048	3,524,566	1,315,475
($ 41,588,524)	($ 34,912,373)	$ 42,778,797	($ 16,219,214)	($ 21,942,543)	($ 11,898,498)
$ 591,351	$ -	($ 309,781,509)	$ -	$ -	($ 310,976,420)
$ -	$ -	($ 40,140,907)	$ -	$ -	($ 15,079,442)

CITY OF JOLIET, ILLINOIS

Fund Balances, Governmental Funds
Last Ten Fiscal Years

	2024	2023	2022	2021
General Fund				
Nonspendable	$ 127,594	$ 127,594	$ 127,594	$ 127,594
Committed	15,594,175	16,180,843	-	-
Assigned	6,740,709	6,749,895	6,733,517	7,487,670
Unassigned	89,517,798	74,925,129	74,364,436	55,245,616
Total General Fund	$ 111,980,276	$ 97,983,461	$ 81,225,547	$ 62,860,880
All Other Governmental Funds				
Nonspendable	$ 10,000	$ 10,000	$ 10,000	$ 10,000
Restricted	83,393,701	106,237,660	125,388,798	37,146,939
Assigned	20,375,955	33,897,203	30,174,225	7,510,701
Unassigned	(6,048,155)	(6,905,297)	(6,209,148)	(6,582,933)
Total All Other Governmental Funds	$ 97,731,501	$ 133,239,566	$ 149,363,875	$ 38,084,707
Total All Governmental Funds	$ 209,711,777	$ 231,223,027	$ 230,589,422	$ 100,945,587

Beginning in 2011, the City adopted the provisions of GASB Statement No. 54, which required reporting fund balances in new classifications: Nonspendable, Restricted, Committed, Assigned, and Unassigned. The City also consolidated certain special revenue funds into the General Fund.

2020	2019	2018	2017	2016	2015
$ 127,594	$ -	$ -	$ -	$ -	$ -
-	-	-	-	-	-
6,741,605	6,292,345	6,317,236	11,334,278	10,610,275	9,211,661
41,933,837	40,573,443	46,976,265	44,529,030	44,024,884	47,388,659
$ 48,803,036	$ 46,865,788	$ 53,293,501	$ 55,863,308	$ 54,635,159	$ 56,600,320
$ 310,000	$ 310,000	$ 10,000	$ 20,000	$ 160,000	$ 60,500
27,281,402	22,873,819	17,914,742	17,905,969	17,410,793	18,710,710
5,742,650	7,489,773	1,866,027	3,336,173	3,195,713	1,683,637
(6,665,826)	(6,508,990)	(6,477,120)	(6,548,160)	(2,979,668)	(2,822,608)
$ 26,668,226	$ 24,164,602	$ 13,313,649	$ 14,713,982	$ 17,786,838	$ 17,632,239
$ 75,471,262	$ 71,030,390	$ 66,607,150	$ 70,577,290	$ 72,421,997	$ 74,232,559

CITY OF JOLIET, ILLINOIS

Changes in Fund Balances, Governmental Funds
Last Ten Fiscal Years

	2024	2023	2022
Revenues			
Property Taxes	$ 52,149,569	$ 48,184,245	$ 45,571,379
Other Taxes	60,155,335	59,413,431	58,912,673
Intergovernmental State Shared Revenue	87,887,016	91,828,008	92,224,019
Federal, State and Private Grants and Allotments	11,395,141	6,739,852	38,710,393
Charges for Services	18,949,380	16,097,888	17,266,823
Net Investment Income (Loss)	10,315,775	9,035,061	1,734,965
Licenses, Permits, Rentals and Fees	24,320,385	22,757,229	25,493,543
Fines	1,841,214	1,952,529	2,073,072
Special Assessments	2,511	2,243	4,569
Other	5,344,152	4,386,599	12,310,922
Total Revenues	272,360,478	260,397,085	294,302,358
Expenditures			
Current:			
General Government	63,541,083	24,683,482	23,707,535
Public Safety	123,059,277	78,853,648	79,276,735
Public Works	17,874,656	14,012,911	15,769,370
Refuse Disposal	14,289,420	13,880,599	13,458,403
Culture and Recreation	1,103,609	789,235	1,060,366
Employee Benefits and Pension Plans	-	66,211,796	68,615,115
Community Development	9,698,708	8,250,228	8,402,750
Capital Projects	63,199,864	48,364,949	57,820,820
Debt Service - Principal	709,242	728,330	805,000
Debt Service - Interest and Fees	5,002,236	6,030,592	113,096
Total Expenditures	298,478,095	261,805,770	269,029,190
Revenue Over (Under) Expenditures	(26,117,617)	(1,408,685)	25,273,168
Other Financing Sources (Uses)			
Issuance of Bonds	-	-	93,595,000
Premium on Bonds Sold	-	-	9,294,139
Proceeds from Sale of Capital Assets	80,028	9,050	100
Proceeds from SBITA	2,970,336	-	-
Transfer to Escrow Paying Agent	-	-	-
Transfers In	10,497,219	19,653,927	31,859,701
Transfers Out	(8,941,216)	(17,620,687)	(30,378,273)
Total Other Financing Sources (Uses)	4,606,367	2,042,290	104,370,667
Unusual or Infrequent Item			
Houbolt Road Bridge Contributed Capital - Revenue	-	99,879,567	-
Houbolt Road Bridge Contributed Capital - Expense	-	(99,879,567)	-
Purchase of Evergreen Terrace Property	-	-	-
Net Change in Fund Balances	($ 21,511,250)	$ 633,605	$ 129,643,835
Other Change in Fund Balances			
Adjustments to Prior Year Balances	$ -	$ -	$ -
Debt Service as a Percentage of Noncapital Expenditures	3.8%	3.2%	0.4%
Expenditures Capitalized as Assets	$ 149,571,669	$ 149,571,669	$ 57,878,797

The cumulative effect of fund balance adjustments was reported as a restatement of the beginning fund balance, as restating all prior periods was not practicable. Beginning in 2024, employee benefits and pension plan expenditures were presented within the appropriate functional category rather thar as a separate line item.

2021	2020	2019	2018	2017	2016	2015
$ 43,447,284	$ 41,543,930	$ 39,558,469	$ 37,767,927	$ 36,358,067	$ 36,024,156	$ 35,414,233
56,783,119	44,302,920	44,454,706	46,684,526	43,229,989	43,571,342	42,562,509
78,588,876	61,299,271	69,873,609	66,050,439	64,559,312	63,991,635	65,463,314
15,449,907	15,029,549	7,208,584	4,140,062	19,425,135	8,001,048	8,065,503
15,156,706	12,551,905	9,520,800	9,424,557	9,274,672	9,916,403	8,809,756
39,307	336,123	1,015,862	793,265	267,632	99,754	51,268
22,946,989	21,061,107	18,855,954	17,664,209	17,203,166	17,614,564	15,624,983
2,936,532	2,378,505	1,685,402	2,389,942	1,863,426	1,850,688	1,750,861
6,533	861	8,570	34,974	122,159	44,300	29,505
3,960,364	3,015,210	2,540,757	1,686,668	1,594,598	3,859,574	1,489,478
239,315,617	201,519,381	194,722,713	186,636,569	193,898,156	184,973,464	179,261,410
20,671,042	19,576,480	21,527,838	21,791,671	17,436,911	17,547,309	16,947,843
72,244,515	69,252,677	68,121,732	67,357,897	64,603,678	63,817,375	64,768,510
15,021,521	13,660,988	14,799,486	13,192,358	12,516,159	11,150,234	12,724,464
13,032,051	12,640,468	12,282,778	11,899,949	13,521,614	12,894,084	12,460,715
355,120	633,480	693,543	496,866	337,262	272,215	257,448
67,110,077	63,695,191	59,795,474	59,031,286	55,887,290	55,823,484	53,285,862
5,778,451	6,515,665	5,996,583	6,452,111	6,745,689	5,256,246	5,088,528
18,731,674	16,081,018	7,591,298	10,915,835	21,699,358	20,613,519	17,185,910
1,895,000	1,535,000	1,495,000	1,445,000	1,400,000	1,370,000	910,000
195,850	188,451	166,149	208,512	248,263	276,950	301,569
215,035,301	203,779,418	192,469,881	192,791,485	194,396,224	189,021,416	183,930,849
24,280,316	(2,260,037)	2,252,832	(6,154,916)	(498,068)	(4,047,952)	(4,669,439)
-	3,665,000	-	-	-	-	6,775,000
-	398,854	-	-	-	-	267,221
-	-	18,800	5,665	250	8,480	2,000
-	-	-	-	-	-	-
-	-	-	-	-	-	(6,925,701)
11,995,142	4,339,484	8,737,490	5,741,435	13,903,181	9,659,844	8,637,763
(10,801,133)	(2,293,780)	(6,585,882)	(3,562,324)	(11,645,272)	(7,430,934)	(4,752,474)
1,194,009	6,109,558	2,170,408	2,184,776	2,258,159	2,237,390	4,003,809
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	(3,604,798)	-	-
$ 25,474,325	$ 3,849,521	$ 4,423,240	($ 3,970,140)	($ 1,844,707)	($ 1,810,562)	($ 665,630)
$ -	$ 591,351	$ -	$ -	$ -	$ -	$ 341,234
1.1%	0.9%	0.9%	0.9%	0.9%	1.0%	0.7%
$ 17,063,613	$ 13,965,191	$ 7,637,783	$ 10,733,420	$ 20,534,960	$ 20,613,837	$ 17,185,910

CITY OF JOLIET, ILLINOIS

Gaming Tax Collections
Last Ten Fiscal Years

Year	Gaming Privilege Tax	Gaming Admissions Tax	Video Gaming Tax	Total Gaming Tax Revenues
2024	$ 10,746,333	$ 1,348,965	$ 1,819,075	$ 13,914,373
2023	14,810,609	1,421,027	1,620,750	17,852,386
2022	14,810,609	1,381,198	1,423,549	17,615,356
2021	10,963,117	1,374,772	1,067,316	13,405,205
2020	6,051,166	883,706	616,945	7,551,817
2019	14,361,690	2,126,390	893,183	17,381,263
2018	14,810,609	2,247,682	828,101	17,886,392
2017	15,311,293	2,455,899	726,243	18,493,435
2016	15,249,806	2,534,350	656,940	18,441,096
2015	15,566,534	2,634,383	524,921	18,725,838

Source of Information: Illinois Gaming Board

Two casinos operate within the City's municipal boundaries, Hollywood and Harrah's. The City receives gaming taxes from the State of Illinois based on amounts deposited in the State Gaming Fund by the two casinos in accordance with the Illinois Compiled Statutes - the “Riverboat Gambling Act” (230 ILCS 10).

The Riverboat Gambling Act is a complex set of laws governing the operation and taxes related to gaming. The Act provides for the collection of two separate taxes, an admissions tax and a privilege tax, each of which have changed in amounts and percentages throughout the years.

Currently, the City receives an admissions tax - per 230 ILCS 10/12(b), “a municipality shall receive from the State $1 for each person embarking on a riverboat docked within the municipality”.

The City also receives a privilege tax based on the annual adjusted gross receipts received from gambling games - per 230 ILCS 10/13(b), “Beginning January 1, 1998, from the tax revenue deposited in the State Gaming Fund under this Section, an amount equal to 5% of adjusted gross receipts generated by a riverboat shall be paid monthly, subject to appropriation by the General Assembly, to the unit of local government that is designated as the home dock of the riverboat."

CITY OF JOLIET, ILLINOIS

Principal Gaming Taxpayers in the City
Taxes Collected Last Ten Fiscal Years

Hollywood Casino Joliet
Start Date: June 17, 1992

Year	Admissions	Taxable AGR	Taxes Collected State	Taxes Collected City
2024	$ 662,363	$ 90,310,402	$ 16,111,263	$ 5,177,883
2023	682,597	91,347,616	16,332,029	5,249,978
2022	652,183	87,084,422	15,162,491	5,006,404
2021	644,353	82,190,822	14,061,805	4,753,753
2020	389,283	47,153,700	4,546,065	2,746,968
2019	913,745	115,598,950	26,272,150	6,693,694
2018	957,117	118,103,575	27,172,896	6,862,296
2017	1,064,305	123,276,333	29,068,418	7,228,122
2016	1,063,931	121,263,932	28,413,640	7,127,128
2015	1,094,526	125,325,182	29,794,181	7,360,785

Harrah's Joliet Casino & Hotel
Start Date: May 4, 1993

Year	Admissions	Taxable AGR	Taxes Collected State	Taxes Collected City
2024	$ 686,602	$ 124,616,258	$ 24,668,441	$ 6,917,415
2023	738,430	131,360,268	26,969,938	7,306,443
2022	729,015	135,174,681	27,475,248	7,487,749
2021	730,419	137,464,929	27,688,883	7,584,136
2020	494,423	73,869,620	8,497,987	4,187,904
2019	1,212,645	171,634,844	46,704,303	9,794,386
2018	1,290,565	178,108,599	49,449,570	10,195,995
2017	1,391,594	182,949,526	51,587,997	10,539,070
2016	1,470,419	183,732,190	52,058,714	10,657,028
2015	1,539,857	186,005,491	53,106,911	10,840,132

Total Two Casinos Combined

Year	Admissions	Taxable AGR	Taxes Collected State	Taxes Collected City
2024	$ 1,348,965	$ 214,926,661	$ 40,779,704	$ 12,095,298
2023	1,421,027	222,707,884	43,301,967	12,556,421
2022	1,381,198	222,259,103	42,637,739	12,494,153
2021	1,374,772	219,655,751	41,750,688	12,337,889
2020	883,706	121,023,320	13,044,052	6,934,872
2019	2,126,390	287,233,794	72,976,453	16,488,080
2018	2,247,682	296,212,174	76,622,466	17,058,291
2017	2,455,899	306,225,859	80,656,415	17,767,192
2016	2,534,350	304,996,122	80,472,354	17,784,156
2015	2,634,383	311,330,673	82,901,092	18,200,917

Taxable AGR - Taxable Adjusted Gross Receipts - Gross gaming receipts, less winnings paid to wagerers.

CITY OF JOLIET, ILLINOIS

Equalized Assessed Valuation and Estimated Actual Valuation
Last Ten Tax Years

	Will County				
Tax Year	**Railroad Property**	**Farm Property**	**Non-Farm Property**	**Total Equalized Assessed Value**	**Railroad Property**
2024	$ 75,413,097	$ 3,803,895	$ 4,239,099,514	$ 4,318,316,506	$ -
2023	43,089,409	3,616,837	3,796,395,326	3,843,101,572	-
2022	42,087,311	3,513,940	3,555,925,363	3,601,526,614	-
2021	38,225,141	3,540,029	3,290,193,825	3,331,958,995	-
2020	41,229,921	3,078,228	3,172,134,137	3,216,442,286	-
2019	37,659,356	3,005,051	3,015,057,513	3,055,721,920	-
2018	37,527,865	3,214,243	2,791,929,177	2,832,671,285	-
2017	37,262,944	3,392,291	2,622,054,392	2,662,709,627	-
2016	39,269,099	3,610,795	2,463,426,580	2,506,306,474	-
2015	38,681,579	10,920,794	2,333,492,731	2,383,095,104	-

Source of Information: Office of Will County Clerk and Office of Kendall County Clerk

Kendall County			Total Equalized Assessed Value Both Counties	City Direct Tax Rate	Total Estimated Actual Taxable Value	Equalized Assessed Value as a Percentage of Estimated Actual Taxable Value
Farm Property	Non-Farm Property	Total Equalized Assessed Value				
$ 3,914,053	$ 457,029,818	$ 460,943,871	$ 4,779,260,377	1.2340	$ 14,337,781,131	33.33%
3,629,511	405,672,000	409,301,511	4,252,403,083	1.2996	12,757,209,249	33.33%
3,364,347	347,503,098	350,867,445	3,952,394,059	1.3061	11,857,182,177	33.33%
3,150,678	314,502,946	317,653,624	3,649,612,619	1.3499	10,948,837,857	33.33%
2,905,842	296,688,855	299,594,697	3,516,036,983	1.3393	10,548,110,949	33.33%
2,766,293	280,068,033	282,834,326	3,338,556,246	1.3552	10,015,668,738	33.33%
2,562,806	257,271,277	259,834,083	3,092,505,368	1.4014	9,277,516,104	33.33%
2,431,257	235,281,724	237,712,981	2,900,422,608	1.4303	8,701,267,824	33.33%
2,288,930	209,428,257	211,717,187	2,718,023,661	1.4789	8,154,070,983	33.33%
2,199,167	190,366,250	192,565,417	2,575,660,521	1.5517	7,726,981,563	33.33%

CITY OF JOLIET, ILLINOIS

Direct and Overlapping Property Tax Rates
Last Ten Tax Years

Tax Rates Per $100 Assessed Valuation (1)

	2024	2023	2022	2021	2020
City of Joliet (2)	1.2340	1.2996	1.3061	1.3499	1.3393
Will County (Including Forest Preserve)	0.6282	0.7021	0.6877	0.7100	0.7231
Joliet Township	0.2647	0.2914	0.2967	0.3028	0.3009
School District #204	2.3846	2.4226	2.5107	2.4848	2.4822
School District #86	3.2435	3.5444	3.7594	3.8653	3.8494
Community College #525	0.2687	0.2818	0.2876	0.2848	0.2891
Joliet Park District	0.3521	0.3788	0.3869	0.4003	0.4050
Total (3)	8.3758	8.9207	9.2351	9.3979	9.3890

	2019	2018	2017	2016	2015
City of Joliet (2)	1.3552	1.4014	1.4298	1.4789	1.5517
Will County (Including Forest Preserve)	0.7304	0.7431	0.7881	0.8091	0.8295
Joliet Township	0.3112	0.3634	0.3775	0.3977	0.4139
School District #204	2.5396	2.6017	2.6513	2.8030	2.8675
School District #86	3.9618	4.1230	4.3298	4.4793	4.6426
Community College #525	0.2938	0.2924	0.2994	0.3099	0.3065
Joliet Park District	0.4163	0.4387	0.4531	0.4700	0.4855
Total (3)	9.6083	9.9637	10.3290	10.7479	11.0972

Notes:

(1) Source of Information: Office of Will County Clerk

(2) The City is a home rule unit under the 1970 Illinois State Constitution and, as such, has no statutory tax rate limitations. Tax rate is a blended rate from Will and Kendall Counties.

(3) Representative tax rates for other governmental units are from Joliet Township tax code #3011, which represents approximately 24% of the City's 2024 EAV.

CITY OF JOLIET, ILLINOIS

Principal Property Taxpayers in the City
Most Current Year Available and Nine Years Prior

Taxpayer	Type of Business Property	2024 Equalized Assessed Valuation	Percentage of Total 2024 Equalized Assessed Valuation	2024 Rank
Centerpoint Joliet Trml RR LLC	Intermodal Center	$ 141,040,367	2.95%	1
TCIH	Property Development	74,410,231	1.56%	2
Cherry Hill Joliet	Hickory Farms Distribution	20,723,285	0.43%	3
Harrah's Joliet Landco LLC	Harrah's/Gaming	18,942,269	0.40%	4
Channahon Owner	Real Estate	17,632,670	0.37%	5
Ikea Property	Retail Store	17,283,942	0.36%	6
Joliet Bulk Barge & Rail LLC	Oil Storage	14,237,852	0.30%	7
Dollar Tree Distribution Inc.	Dollar Tree Distribution Center	14,015,844	0.29%	8
Supervalu Holdings Inc.	Central Grocers Distribution Center	13,609,737	0.28%	9
GLP Capital LP	Hollywood/Gaming	13,501,264	0.28%	10
		$ 345,397,461	7.22%	
Total City Assessed Valuation		$ 4,779,260,377		

Taxpayer	Type of Business Property	2015 Equalized Assessed Valuation	Percentage of Total 2015 Equalized Assessed Valuation	2015 Rank
Centerpoint Joliet Trml RR LLC	Intermodal Center	$ 37,846,299	1.47%	1
Star-West Louis Joliet LLC	Westfield Louis Joliet Mall	23,716,445	0.92%	2
Desplaines Development LP	Harrah's/Gaming	20,981,965	0.81%	3
GLP Capital LP	Hollywood/Gaming	16,568,086	0.64%	4
GCI Joliet LLC	Central Grocers Distribution Center	13,535,467	0.53%	5
Dollar Tree Distribution Inc.	Dollar Tree Distribution Center	13,374,495	0.52%	6
Teachers Insurance & Annuity Assoc.	Financial Services	12,767,219	0.50%	7
Hart Illinois Industrials LLC	Chemicals	12,291,979	0.48%	8
Wal-Mart RE Business Trust	Retail Store	11,821,520	0.46%	9
2700 Ellis Road Acquisition Corp.	Northern Builders Warehousing	11,112,432	0.43%	10
		$ 174,015,907	6.76%	
Total City Assessed Valuation		$ 2,575,660,521		

Note: Every effort has been made to identify the largest taxpayers. However, some taxpayers may have multiple parcels which may have been overlooked. Details for the 2024 EAV is the most current available.

Source of Information: Office of Will County Clerk.

CITY OF JOLIET, ILLINOIS

Property Tax Rates - Levies and Collections

Last Ten Tax Years

Rates Extended	2024	2023	2022	2021
General	0.0968	0.0473	0.0220	0.0072
Police Protection	0.1339	0.1625	0.2025	0.1372
Fire Protection	0.1431	0.1529	0.1529	0.1106
Corporate Purpose Bond and Interest	-	-	-	0.0001
Joliet Police Pension	0.3990	0.4342	0.4279	0.5048
Joliet Firemen Pension	0.3181	0.3538	0.3453	0.4247
Joliet Public Library	0.1431	0.1489	0.1555	0.1653
Total Rates Extended	1.2340	1.2996	1.3061	1.3499
Levies Extended				
General	$ 4,625,770	$ 2,011,387	$ 869,386	$ 262,201
Police Protection	6,398,969	6,909,909	8,003,282	5,006,665
Fire Protection	6,119,976	6,446,917	5,996,264	4,002,797
Corporate Purpose Bond and Interest	-	-	-	3,332
Joliet Police Pension	19,068,742	18,463,279	16,912,084	18,421,053
Joliet Firemen Pension	13,604,222	15,057,281	13,647,336	15,498,189
Joliet Public Library	6,838,845	6,331,623	6,146,324	6,032,142
Total Levies Extended	$ 56,656,523	$ 55,220,396	$ 51,574,676	$ 49,226,379
Current Year Collections	$ -	$ 55,194,864	$ 51,391,635	$ 48,998,092
Subsequent Collections	-	-	-	-
Total Collections	$ -	$ 55,194,864	$ 51,391,635	$ 48,998,092
Percentage of Extensions Collected				
Current Year Collections	0.00%	99.95%	99.65%	99.54%
Total Collections	0.00%	99.95%	99.65%	99.54%

Source of Information: Office of Will County Clerk and Office of Kendall County Clerk.
Note: Tax Rates are expressed in dollars per $100 of Assessed Valuation.
The Special Service Area, Township Road and Bridge, and Tax Incremental Financing tax levies are not included in this schedule.

2020	2019	2018	2017	2016	2015
0.0024	0.0003	0.0003	0.0004	0.0003	0.0076
0.0967	0.0750	0.0942	0.1070	0.1059	0.1113
0.0888	0.0641	0.0718	0.0825	0.0861	0.0907
0.0453	0.0496	0.0540	0.0572	0.0608	0.0646
0.5102	0.5513	0.5515	0.5377	0.5459	0.5668
0.4248	0.4341	0.4347	0.4378	0.4585	0.4801
0.1711	0.1808	0.1949	0.2072	0.2214	0.2306
1.3393	1.3552	1.4014	1.4298	1.4789	1.5517
$ 84,415	$ 9,931	$ 9,252	$ 11,388	$ 8,154	$ 195,655
3,400,008	2,503,606	2,912,880	3,103,999	2,878,515	2,865,478
3,095,905	2,140,344	2,219,304	2,393,988	2,318,417	2,310,911
1,592,675	1,657,256	1,669,849	1,659,326	1,652,558	1,663,028
17,942,056	18,406,452	17,054,907	15,596,523	14,654,323	14,592,836
14,938,702	14,494,201	13,442,913	12,698,335	12,649,233	12,360,567
6,016,718	6,035,176	6,027,085	6,008,273	6,018,276	5,936,927
$ 47,070,479	$ 45,246,966	$ 43,336,190	$ 41,471,832	$ 40,179,476	$ 39,925,402
$ 46,768,654	$ 44,980,528	$ 43,101,704	$ 41,231,236	$ 40,032,874	$ 39,831,418
-	-	-	-	-	-
$ 46,768,654	$ 44,980,528	$ 43,101,704	$ 41,231,236	$ 40,032,874	$ 39,831,418
99.36%	99.41%	99.46%	99.42%	99.64%	99.76%
99.36%	99.41%	99.46%	99.42%	99.64%	99.76%

CITY OF JOLIET, ILLINOIS

Ratio of Outstanding Debt by Type
Last Ten Fiscal Years

	Governmental Activities			Business-Type Activities			
Fiscal Year	General Obligation Bonds	Resources Restricted for Bond Payment	Subscription Lease Liability	Water/Sewer Revenue Bonds/Notes	Resources Restricted for Bond Payment	IEPA/WIFIA Loans	Net Total Debt
2024	$ 104,136,953	$ -	$ 3,343,948	$ 21,774,968	$ -	$ 320,936,646	$ 450,192,515
2023	105,099,414	-	732,854	78,190,759	-	267,707,650	451,730,677
2022	106,178,547	-	-	80,668,239	-	184,181,156	371,027,942
2021	4,156,180	(422,237)	-	3,812,149	(1,719,518)	188,728,990	194,555,564
2020	6,146,293	(496,142)	-	5,788,755	(1,658,699)	174,410,887	184,191,094
2019	3,652,255	(506,350)	-	7,977,923	(2,139,255)	151,102,424	160,086,997
2018	5,195,911	(508,390)	-	11,483,666	(3,341,721)	121,170,617	134,000,083
2017	6,703,443	(471,186)	-	17,153,971	(5,701,474)	80,593,633	98,278,387
2016	8,178,619	(466,468)	-	22,568,403	(5,202,785)	53,744,150	78,821,919
2015	9,633,277	(448,809)	-	28,652,953	(5,722,109)	41,623,729	73,739,041

Fiscal Year	Net Total Debt as a Percentage of Personal Income	Population	Net General Bonded Debt Per Capita	Net Total Debt Per Capita	Net General Bonded Debt Per Actual Value of Property	Net Water/Sewer Revenue Bonds Per Number of Water/Sewer Customers
2024	8.28%	151,837	686	2,965	0.73%	433
2023	8.79%	150,489	698	3,002	0.82%	1,560
2022	7.86%	150,362	706	2,468	0.90%	1,499
2021	4.37%	150,362	25	1,294	0.03%	42
2020	4.47%	147,344	38	1,250	0.05%	82
2019	4.05%	148,099	21	1,081	0.03%	121
2018	3.51%	148,262	32	904	0.05%	164
2017	2.64%	148,262	42	663	0.07%	230
2016	2.19%	148,262	52	532	0.09%	371
2015	2.05%	148,262	62	497	0.12%	500

Source of Information: Various City Offices

CITY OF JOLIET, ILLINOIS

Computation of Direct and Overlapping Bonded Debt
December 31, 2024

	Total Debt	Applicable Percent (1)	Overlapping Debt
Direct Debt			
City of Joliet	$ 107,480,901	100.000%	$ 107,480,901
Overlapping Debt			
Schools			
Elementary			
Troy Community Consolidated School District #30C	26,225,000	59.170%	15,517,333
Laraway Community Consolidated School District #70C	17,070,000	72.960%	12,454,272
Union School District #81	164,083	53.970%	88,556
Rockdale School District #84	-	0.000%	-
Joliet Public Schools District #86	108,885,000	85.220%	92,791,797
Manhattan School District #114	95,050,000	0.060%	57,030
New Lenox School District #122	106,589,424	6.600%	7,034,902
High Schools and College			
Minooka Community High School District #111	26,335,000	2.930%	771,616
Joliet Township High School District #204	66,380,000	63.330%	42,038,454
Lockport Township High School District #205	4,550,000	0.010%	455
Lincolnway Community High School District #210	192,834,580	1.290%	2,487,566
Unit School District #202U	108,620,000	23.910%	25,971,042
Community College District #525	98,510,000	14.230%	14,017,973
Total Schools			213,230,996
Other Than Schools			
Will County	325,370,000	13.900%	45,226,430
Will County Forest Preserve District	56,320,000	13.900%	7,828,480
Channahon Park District	8,888,930	6.250%	555,558
Joliet Park District	33,186,720	82.600%	27,412,231
Lockport Park District	905,000	0.010%	91
New Lenox Township	2,183,255	9.320%	203,479
Plainfield Towship	6,472,525	29.080%	1,882,210
White Oak Library District	10,445,000	0.010%	1,045
New Lenox Park District	229,622	9.170%	21,056
Total Other Than Schools			83,130,580
Total Overlapping Debt			$ 296,361,576
Total Direct and Overlapping Debt			$ 403,842,477

Notes: (1) Overlapping debt percentages as of tax year 2024.

CITY OF JOLIET, ILLINOIS

Legal Debt Margin Information

The City of Joliet is a “home rule” municipality under the 1970 Illinois Constitution. As a home rule community, the City has no debt limit nor is it required to seek referendum approval for issuance of general obligation debt. The Illinois General Assembly may, by a three-fifths vote, limit debt incurred which is payable through any funds other than ad valorem property tax receipts. When debt is secured through property taxes, the General Assembly may set limits and require referenda.

CITY OF JOLIET, ILLINOIS

Pledged Revenue Coverage
Last Ten Fiscal Years

	Water Revenue Bonds					
				Debt Service		
Fiscal Year	Utility Service Charges	Less: Operating Expenses	Net Available Revenue	Principal	Interest	Coverage
2024	$ 78,679,398	$ 38,755,461	39,923,937	$ 65,193,199	$ 3,806,820	0.58
2023	73,245,397	34,212,429	39,032,968	9,563,795	8,833,819	2.12
2022	66,619,881	37,943,107	28,676,774	12,165,895	3,755,001	1.80
2021	63,872,776	30,274,993	33,597,783	9,538,552	2,862,263	2.71
2020	59,578,000	29,228,279	30,349,721	8,848,009	2,681,123	2.63
2019	57,779,996	26,739,319	31,040,677	7,157,941	1,701,281	3.50
2018	55,136,084	24,321,949	30,814,135	8,437,815	1,473,450	3.11
2017	49,058,858	30,784,261	18,274,597	7,537,763	1,606,487	2.00
2016	47,540,620	29,078,388	18,462,232	6,382,855	960,989	2.51
2015	44,439,639	27,508,552	16,931,087	6,229,832	1,227,519	2.27

At December 31, 2024, there was 1 bond anticipation note issue and 24 loans with outstanding balances payable from water/sewer revenues. Details about the City's outstanding debt can be found in the notes to the financial statements. Operating expenses do not include interest, depreciation, or the change in the net pension liability/OPEB expenses. Debt service principal does not include amounts defeased by new debt. Interest expense does not include construction period interest.

CITY OF JOLIET, ILLINOIS

Demographic and Economic Statistics
Last Ten Years

Year	(a) Population	(b) Per Capita Income	(a) x (b) Personal Income	Unemployment Rate
2024	151,837	$ 35,820	$ 5,438,801,340	5.9
2023	150,489	34,169	5,142,058,641	5.1
2022	150,362	31,390	4,719,863,180	4.5
2021	150,362	29,615	4,452,970,630	7.3
2020	147,344	27,990	4,124,158,560	11.3
2019	147,344	26,843	3,955,154,992	3.9
2018	148,099	25,812	3,822,731,388	4.8
2017	148,462	25,089	3,724,763,118	6.4
2016	148,262	24,374	3,613,737,988	7.4
2015	147,433	24,461	3,606,358,613	7.4

Sources of Information: U.S. Census Bureau and U.S. Bureau of Labor Statistics

CITY OF JOLIET, ILLINOIS

Principal Employers in the City
Current Year and Nine Years Prior

Employer	Type of Business or Property	2024 Number of Employees	2024 Rank	Percentage of 2024 Total Employment
Amazon	Fulfillment Center	3,500	1	4.38%
Ascension St. Joseph	Hospital	2,532	2	3.17%
Will County	County Government	2,370	3	2.97%
Joliet Junior College	Community College District	1,576	4	1.97%
Joliet Public Schools District 86	Elementary School District	1,510	5	1.89%
Joliet Township District #204	School District	919	6	1.15%
City of Joliet	City Government	915	7	1.15%
University of St. Francis	University	779	8	0.98%
Cadence Premier Logistics	Logistics	686	9	0.86%
Great Kitchens	Food Products Supplier	675	10	0.85%

Employer	Type of Business or Property	2015 Number of Employees	2015 Rank	Percentage 2015 Total Employment
Presence St. Joseph Medical Center	Hospital	2,430	1	1.78%
Will County	County Government	2,269	2	1.66%
Joliet Junior College	Community College District	1,078	3	0.79%
Amazon	Fufillment Center	1,000	4	0.73%
NRG Energy	Electric Utility Company	987	5	0.72%
Caterpillar Inc	Tractors and Earthmoving Equipment	950	6	0.70%
Harrah's Casino	Riverboat Casino	850	7	0.62%
City of Joliet	City Government	836	8	0.61%
Hollywood Casino	Riverboat Casino	685	9	0.50%
Filtration Group	Filtration	600	10	0.44%

Sources of Information: Will County Center for Economic Development and CMAP

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CITY OF JOLIET, ILLINOIS

City Employment Statistics
Last Ten Fiscal Years

Function	2024 Full Time	2024 Part Time	2023 Full Time	2023 Part Time	2022 Full Time	2022 Part Time	2021 Full Time	2021 Part Time	2020 Full Time	2020 Part Time
General Government	96	27	96	30	56	33	86	9	87	16
Public Safety										
Police Department	326	34	330	36	355	49	309	13	323	12
Fire Department	219	-	218	-	214	1	203	-	207	-
Streets and Bridges	68	-	49	2	49	-	47	1	49	-
Culture and Recreation (1)	4	-	4	3	4	-	4	-	4	-
Community Development	47	-	49	-	47	-	33	-	34	-
Public Works	21	-	21	1	42	3	20	-	21	-
Water and Sewer	85	1	87	5	100	5	82	2	75	3
Parking Facilities	3	7	3	7	2	14	3	6	4	6
Subtotals	869	69	857	84	869	105	787	31	804	37
TOTAL STAFF		938		941		974		818		841

Function	2019 Full Time	2019 Part Time	2018 Full Time	2018 Part Time	2017 Full Time	2017 Part Time	2016 Full Time	2016 Part Time	2015 Full Time	2015 Part Time
General Government	98	15	89	15	95	18	55	25	41	12
Public Safety										
Police Department	328	37	314	35	337	35	326	37	327	40
Fire Department	209	-	207	-	207		205	1	211	1
Streets and Bridges	51	-	49	-	52	-	64	-	45	1
Culture and Recreation (1)	4	-	3	-	4	-	4	-	3	-
Community Development	32	-	30	1	32	2	29	1	22	-
Public Works	19	-	17	-	18	-	20	-	18	-
Water and Sewer	77	2	75	4	78	2	77	2	94	5
Parking Facilities	5	10	3	6	4	10	4	12	4	12
Subtotals	823	64	787	61	827	67	784	78	765	71
TOTAL STAFF		887		848		894		862		836

(1) Includes Customer Services Division Employees.

Source of Information: City of Joliet Annual Budgets.

CITY OF JOLIET, ILLINOIS

Operating Indicators by Function
Last Ten Fiscal Years

Function	2024	2023	2022	2021	2020
General Government					
Fiscal					
Purchase Orders Processed	1,052	1,113	1,114	1,043	1,279
Nonpayroll Checks Issued	8,780	8,957	10,132	9,284	9,034
Maintenance					
Square Footage Maintained by Staff (City Hall)	62,007	62,007	62,007	62,007	62,007
Information Technology Services					
Wireless Network Locations	6	5	5	5	24
Point-to-point Networks Monitored	29	36	36	36	19
Public Safety					
Police					
Physical Arrests Made	3,520	3,192	2,395	2,649	4,625
Traffic Violations	15,544	14,225	11,831	10,179	10,645
Parking Violations	12,079	9,426	7,318	6,979	7,473
911 Emergency Calls Received	91,639	90,374	84,701	72,047	81,705
Fire					
Emergency Responses	23,911	23,082	22,794	21,771	20,884
Inspections	3,096	2,155	2,214	2,100	700
Calls For Service	23,911	23,082	22,794	21,771	20,884
Significant Fires Extinguished	80	75	74	62	51
Streets and Bridges					
Lane Miles of Road Resurfaced	18	17	22	17	7
Potholes Repaired	19,500	20,150	19,800	23,500	28,500
Culture and Recreation					
Programs Sponsored	8	-	2	11	-
Water and Sewer					
Water and Sewer Accounts	53,433	50,119	53,828	49,405	48,343
Water Only Accounts	288	561	590	537	570
Sewer Only Accounts	364	454	454	512	472
New Connections (Net)	-	-	-	-	-
Water Main Breaks	177	159	220	200	185
Average Daily Consumption in Gallons	11,024,290	10,448,584	14,676,614	11,178,752	11,570,411
Parking Facilities					
Parking Spaces	2,424	2,424	2,424	2,424	3,050

Source of Information: Various City Offices.

2019	2018	2017	2016	2015
1,258	1,296	1,508	1,589	1,607
10,838	11,124	10,587	10,574	10,737
62,007	62,007	62,007	62,007	62,007
40	41	41	67	67
45	41	43	116	116
5,169	5,168	4,392	4,539	4,812
10,708	11,853	11,331	13,829	18,621
17,954	10,272	15,558	n/a	19,208
89,164	87,216	90,955	90,101	104,000
21,803	20,950	21,672	20,569	19,993
3,300	3,300	1,845	1,845	1,617
21,803	20,950	21,672	20,569	19,993
47	36	45	43	40
8	14	9	18	19.70
40,363	37,280	30,850	31,000	23,410
4	4	4	1	1
48,309	49,719	49,719	46,185	45,847
1,307	448	448	329	275
537	142	125	299	36
-	-	12	183	1,030
245	254	261	239	216
11,376,908	11,010,834	11,241,288	10,999,623	10,572,418
3,050	2,835	2,835	2,835	2,835

CITY OF JOLIET, ILLINOIS

Capital Asset Statistics by Function
Last Ten Fiscal Years

Function	2024	2023	2022	2021	2020
Public Safety					
Police					
Stations	2	2	2	2	2
Substations	-	-	-	-	-
Patrol Units	311	324	301	332	295
Fire					
Active Stations	9	9	9	9	9
Vehicles	85	80	59	63	78
Streets and Bridges					
Miles of Streets	596	596	596	596	596
Bridges	43	41	41	41	41
Traffic Signals	129	129	127	127	122
Warning Flashers	28	28	28	28	38
Public Works					
Vehicles	157	156	128	160	167
Water and Sewer					
Vehicles	83	82	86	42	81
Water					
Water Mains (Miles)	679	679	670	670	665
Fire Hydrants	9,137	8,761	8,627	8,551	8,429
Storage Capacity in Gallons	16,500,000	16,500,000	16,500,000	16,500,000	16,500,000
Sewer					
Sanitary Sewers (Miles)	602	602	598	598	594
Storm Sewers (Miles)	593	577	556	556	556
Parking Facilities					
Lots	8	8	8	8	10
Decks	1	1	1	1	2

Source of Information: Various City Offices.

2019	2018	2017	2016	2015
2	2	2	2	2
-	-	1	1	1
291	309	321	334	341
9	9	9	9	9
78	78	59	60	60
596	596	594	594	516
41	41	40	40	40
122	122	122	122	123
38	38	38	38	38
151	151	151	135	139
78	65	94	93	95
665	647	626	619	609
8,427	8,151	7,991	7,917	7,782
16,500,000	16,500,000	16,500,000	16,500,000	16,500,000
594	579	569	567	569
556	550	548	558	558
10	9	9	9	9
2	2	2	2	2

CITY OF JOLIET, ILLINOIS

Miscellaneous Statistics
December 31, 2024

Date of Organization:	January 19, 1852
Form of Government:	City Manager
Governing Body:	City Council
Land Area:	Approximately 63.3 square miles
Number of Housing Units:	53,636
Number of Registered Voters:	40,853
Number of Townships:	8
Number of School Districts:	8
Number of Community College Districts:	1

Source of Information: City of Joliet Website, Will County Clerk's Office and CMAP

APPENDIX B

FORM OF APPROVING OPINION OF BOND COUNSEL

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Katten

December 4, 2025

The City Council of the
City of Joliet, Illinois

Dear Members:

We have examined a record of proceedings relating to the issuance of $109,835,000 aggregate principal amount of Waterworks and Sewerage Senior Lien Revenue Bonds, Series 2025 (the "Bonds") of the City of Joliet, a municipal corporation and a home rule unit of local government of the State of Illinois (the "City"). The Bonds are limited obligations of the City issued pursuant to the authority of Article VII, Section 6 of the Illinois Constitution of 1970 and by virtue of an ordinance adopted by the City Council of the City on June 3, 2025 and entitled: "Ordinance Approving One or More Supplemental Indentures and Authorizing the Issuance of Not to Exceed $145,000,000 Waterworks and Sewerage Senior Lien Revenue Bonds of the City of Joliet, Illinois" (the "Bond Ordinance").

The Bonds are secured pursuant to a Master Indenture of Trust Securing Waterworks and Sewerage Revenue Senior Lien Obligations, dated as of March 15, 2022 (the "Indenture"), between the City and U.S. Bank Trust Company, National Association, as trustee (the "Trustee"), as supplemented by a Second Supplemental Indenture Securing Waterworks and Sewerage Senior Lien Revenue Bonds, Series 2025, dated as of December 1, 2025 (the "Second Supplemental Indenture"). Terms used herein that are defined in the Indenture and the Second Supplemental Indenture shall have the meanings set forth therein unless otherwise defined herein.

Under the terms of the Indenture, the City has previously issued Senior Lien Obligations that are presently outstanding and the City may hereafter authorize and issue additional Senior Lien Obligations as permitted by the Indenture. Senior Lien Obligations are entitled to the benefit and security of the Indenture, including the pledge of Revenues and other funds maintained for the benefit of the Senior Lien Obligations.

The Bonds are issuable only as fully registered bonds without coupons in the denomination of $5,000 or any integral multiple thereof. The Bonds are dated December 4, 2025 and bear interest from their date payable on July 1, 2026, and semi-annually thereafter on each January 1 and July 1 until paid. The Bonds mature on January 1 in each of the following years in the respective principal amounts set opposite such years, and the Bonds maturing in each such year bear interest at the respective rates of interest per annum set opposite such principal amounts in the following table:

Year	Principal Amount	Interest Rate
2034	$4,240,000	5.00%
2035	4,455,000	5.00
2036	4,675,000	5.00
2037	4,915,000	5.00
2038	5,160,000	5.00
2039	5,410,000	5.00
2040	5,685,000	5.00
2041	5,970,000	5.00
2042	6,265,000	5.00
2043	6,580,000	5.00
2044	6,910,000	5.00
2045	7,260,000	5.00
2050	42,310,000	5.25

The Bonds maturing on and after January 1, 2036 are subject to redemption, at the option of the City, on or after January 1, 2035, as a whole or in part at any time, and if in part, in such principal amounts and from such maturities as the City shall determine and by lot for Bonds of the same maturity, at a redemption price equal to the principal amount thereof to be redeemed, plus accrued interest to the date of redemption.

The Bonds maturing on January 1, 2050 are subject to mandatory redemption, in part and by lot, by the application of Sinking Fund Payments as provided in the Second Supplemental Indenture on January 1 of the years 2046 to 2049, both inclusive, at a redemption price equal to the principal amount thereof to be redeemed.

We are of the opinion that:

1. The City is a municipal corporation duly existing under the laws of the State of Illinois and is a home rule unit of local government within the meaning of Section 6(a) of Article VII of the Illinois Constitution of 1970. The City has all requisite power and authority under the Constitution and the laws of the State of Illinois (i) to enter into the Indenture and the Second Supplemental Indenture with the Trustee and to issue the Bonds thereunder, and (ii) to improve, maintain and operate the System and to charge and collect rates, fees and other charges for the use and services of the System and to perform all of its obligations under the Indenture and the Second Supplemental Indenture in those respects.

2. The Bond Ordinance has been duly adopted and is in full force and effect. The Indenture and the Second Supplemental Indenture have been duly authorized, executed and delivered by the City, constitute valid and binding obligations of the City and are enforceable in accordance with their terms.

3. The Bonds have been duly authorized and issued, are the legal, valid and binding limited obligations of the City, are entitled to the benefits and security of the

Indenture and the Second Supplemental Indenture, and are enforceable in accordance with their terms.

4. The Bonds are a Series of Senior Lien Obligations under the Indenture. The Bonds and the interest thereon are limited obligations of the City payable from the Trust Estate pledged under the Indenture, subject to the provisions of the Indenture permitting or requiring the application of the Trust Estate for the purposes and on the terms and conditions set forth in the Indenture and the right of the City to make periodic withdrawals as permitted by the Indenture. The Bonds do not constitute an indebtedness of the City within the meaning of any state constitutional or statutory limitation or give rise to a charge against its general credit or taxing powers. Neither the full faith and credit nor the taxing power of the City is pledged to the payment of the principal of, premium, if any, or interest on the Bonds.

5. The Indenture and the Second Supplemental Indenture create the valid pledges, liens and security interests which they purport to create under the Indenture and the Second Supplemental Indenture.

6. Under existing law, interest on the Bonds is not includible in the gross income of the owners thereof for federal income tax purposes. If there is continuing compliance with the requirements of the Internal Revenue Code of 1986 (the "Code"), interest on the Bonds will continue to be excluded from the gross income of the owners thereof for federal income tax purposes. In addition, interest on the Bonds does not constitute an item of tax preference for purposes of computing alternative minimum taxable income for individuals. However, interest on the Bonds is included in computing the adjusted financial statement income of those corporations subject to the corporate alternative minimum tax. Interest on the Bonds is not exempt from present Illinois income taxes.

The Code contains certain requirements that must be satisfied from and after the date hereof in order to preserve the exemption from federal income taxes of interest on the Bonds. These requirements relate to the use and investment of the proceeds of the Bonds, the payment of certain amounts to the United States of America, the security and source of payment of the Bonds and the use and tax ownership of the property financed with the proceeds of the Bonds. The City has covenanted in the Indenture and the Second Supplemental Indenture to comply with these requirements.

In rendering the foregoing opinion, we advise you that the enforceability (but not the validity or binding effect) of the Bonds, the Indenture and the Second Supplemental Indenture (i) may be limited by any applicable bankruptcy, insolvency or other laws affecting the rights or remedies of creditors now or hereafter in effect and (ii) is subject to principles of equity in the event that equitable remedies are sought, either in an action at law or in equity.

Respectfully yours,

LG/hf

APPENDIX C

BOOK-ENTRY ONLY SYSTEM

THE INFORMATION IN THIS APPENDIX HAS BEEN FURNISHED BY DTC. NO REPRESENTATION IS MADE BY THE CITY OR THE UNDERWRITERS AS TO THE COMPLETENESS OR ACCURACY OF SUCH INFORMATION OR AS TO THE ABSENCE OF MATERIAL ADVERSE CHANGES IN SUCH INFORMATION SUBSEQUENT TO THE DATE HEREOF. NO ATTEMPT HAS BEEN MADE BY THE CITY OR THE UNDERWRITERS TO DETERMINE WHETHER DTC IS OR WILL BE FINANCIALLY OR OTHERWISE CAPABLE OF FULFILLING ITS OBLIGATIONS AS DESCRIBED HEREIN. NEITHER THE CITY NOR THE TRUSTEE WILL HAVE ANY RESPONSIBILITY OR OBLIGATION TO DTC PARTICIPANTS, INDIRECT PARTICIPANTS OR THE PERSONS FOR WHICH THEY ACT AS NOMINEES WITH RESPECT TO THE BONDS, OR FOR ANY PRINCIPAL, PREMIUM, IF ANY, OR INTEREST PAYMENT THEREON.

The Depository Trust Company, New York, NY ("DTC"), will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchase of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of the Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds. DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the Bond Registrar and request that copies of the notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the City as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the City or Trustee, on payable date in accordance with

their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name" and will be the responsibility of such Participant and not of DTC, the Trustee, or the City, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the City or the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A Beneficial Owner shall give notice to elect to have its Bonds purchased or tendered, through its Participant, to the Trustee, and shall effect delivery of such Bonds by causing the Direct Participant to transfer the Participant's interest in the Bonds, on DTC's records, to the Trustee. The requirement for physical delivery of Bonds in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Bonds are transferred by Direct Participants on DTC's records and followed by a book-entry credit of tendered Bonds to the Trustee's DTC account.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the City or the Trustee. Under such circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered. The City may decide to discontinue use of the system of book-entry only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the City believes to be reliable, but the City takes no responsibility for the accuracy thereof.

NEITHER THE CITY, THE UNDERWRITERS, NOR THE TRUSTEE WILL HAVE ANY RESPONSIBILITY OR OBLIGATION TO ANY DIRECT PARTICIPANTS OR INDIRECT PARTICIPANTS OR THE PERSONS FOR WHOM THEY ACT WITH RESPECT TO (1) THE ACCURACY OF ANY RECORDS MAINTAINED BY DTC OR ANY SUCH DIRECT PARTICIPANT OR INDIRECT PARTICIPANT; (2) THE PAYMENT BY ANY PARTICIPANT OF ANY AMOUNT DUE TO ANY BENEFICIAL OWNER IN RESPECT OF THE PRINCIPAL OF OR INTEREST OR PREMIUM ON THE BONDS; (3) THE DELIVERY BY ANY SUCH DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY NOTICE TO ANY BENEFICIAL OWNER THAT IS REQUIRED OR PERMITTED UNDER THE TERMS OF THE INDENTURE TO BE GIVEN TO BONDHOLDERS; (4) THE SELECTION OF THE BENEFICIAL OWNERS TO RECEIVE PAYMENT IN THE EVENT OF ANY PARTIAL REDEMPTION OF THE BONDS; OR (5) ANY CONSENT GIVEN OR OTHER ACTION TAKEN BY DTC AS BONDHOLDER.

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APPENDIX D

FORM OF CONTINUING DISCLOSURE UNDERTAKING

CONTINUING DISCLOSURE UNDERTAKING
FOR THE PURPOSE OF PROVIDING
CONTINUING DISCLOSURE INFORMATION
UNDER SECTION (B)(5) OF RULE 15C2-12

Update

This Continuing Disclosure Undertaking (the "Agreement") is executed and delivered by the City of Joliet, Illinois (the "Issuer"), in connection with the issuance of $109,835,000 in aggregate principal amount of Waterworks and Sewerage Senior Lien Revenue Bonds, Series 2025 (the "Bonds") The Bonds are being issued pursuant to an ordinance adopted by the City Council of the City (the "City Council") on June 3, 2025, entitled: "Ordinance Approving One or More Supplemental Indentures and Authorizing the Issuance of Not to Exceed $145,000,000 Waterworks and Sewerage Senior Lien Revenue Bonds of the City" (the "Ordinance"), the Master Trust Indenture dated as of March 15, 2022 (the "Master Trust Indenture") from the Issuer to U.S. Bank Trust Company, National Association, as trustee (the "Trustee") and the Second Supplemental Indenture from the Issuer to the Trustee dated as of December 1, 2025 (the "Second Supplemental Indenture" and together with the Master Trust Indenture, the "Indenture).

WHEREAS, the Obligor has issued its Bonds pursuant to the Indenture; and

WHEREAS, the Obligor is an Obligated Person (as defined in the SEC Rule);

NOW, THEREFORE, the Obligor hereby agrees as follows:

Section 1. Definitions. The words and terms defined in this Agreement shall have

(a) "Annual Financial Information" means the updated tables and operating data in the Official Statement as follows:

1. All of the tables under the heading "THE WATERWORKS AND SEWERAGE SYSTEM" within this Official Statement;

2. All of the tables under the heading "SYSTEM DEBT INFORMATION" within this Official Statement; and

3. All of the tables under the heading "SYSTEM FINANCIAL INFORMATION" (Excluding Budgeted Financial Information) within this Official Statement.

(b) "Bondholder" or "holder" or any similar term, when used with reference to a Bond or Bonds, means any person who shall be the registered owner of any outstanding Bond, or the holders of beneficial interests in the Bonds.

(c) "EMMA" is Electronic Municipal Market Access System established by the MSRB.

(d) "Final Official Statement" means the Official Statement, dated as of November 12, 2025, relating to the Bonds, including any document or set of documents included by specific reference to such document or documents filed with the MSRB through EMMA.

(e) "Financial Obligation" means a: (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term "financial obligation" shall not include municipal securities as to which a final official statement (as defined in the Rule) has been provided to the MSRB consistent with the Rule.

(f) "MSRB" means the Municipal Securities Rulemaking Board.

(g) "Rule" means Section (6)(5)(i) of Securities and Exchange Commission Rule 1502-12 promulgated under the Securities Exchange Act of 1934, as amended (17 C.F.R.§240.15c2-12).

Section 2. Term. The term of this Agreement is from the date hereof to the earlier of (i) the date of the last payment of principal of and interest on the Bonds, or (ii) the date the Bonds are defeased under the Indenture.

Section 3. Provision of Financial Information. (a) The Obligor hereby undertakes to provide the following financial information, in each case (i) in an electronic format as prescribed by the MSRB (currently through EMMA) and (ii) accompanied by identifying information as prescribed by the MSRB:

(1) To the MSRB, when and if available, the audited financial statements of the Obligor as prepared by the Obligor for each twelve-month period ending December 31, together with the opinion of such accountants and all notes thereto, within 210 days of each December 31; and

(2) To the MSRB, the Annual Financial Information of the Obligor within 210 days of each December 31.

(3) If any Annual Financial Information or audited financial statements relating to the Obligor referred to in paragraph (a) of this Section 3 no longer can be generated because the operations to which they related have been materially changed or discontinued, a statement to that effect, provided by the Obligor to EMMA, along with any other Annual Financial Information or audited financial statements required to be provided under this Agreement, shall satisfy the undertaking to provide such Annual Financial Information or audited financial statements. To the extent available, the Obligor shall cause to be filed along with the other Annual Financial Information or audited financial statements operating data similar to that which can no longer be provided.

(4) The disclosure may be accompanied by a certificate of an authorized representative of the Obligor in the form of Exhibit A attached hereto.

(5) Failure to provide the Annual Financial Information or audited financial statements or portions thereof because it is unavailable through circumstances beyond the control of the Obligor shall not be deemed to be a breach of this Agreement. The Obligor further agrees to supplement the filing when such data is available.

(6) Annual Financial Information or audited financial statements required to be provided pursuant to this Section 3 may be provided by a specific reference to such Annual Financial Information or audited financial statements already prepared and previously provided to MSRB. Any information included by reference shall also be (i) available to the public on the MSRB's Internet Website, or (ii) filed with the SEC.

(7) All continuing disclosure filings under the Agreement shall be made in accordance with the terms and requirements of the MSRB at the time of such filing. Currently, the SEC has approved the submission of continuing disclosure filings with EMMA, and the MSRB has requested that such filings be made by transmitting such filings to EMMA at www.emma.msrb.org.

Section 4. Accounting Principles. The audited financial statements will be prepared on a modified accrual basis as described in the auditors' report and notes accompanying the audited financial statements of the Obligor or those mandated by state law from time to time. The audited financial statements of the Obligor, as described in Section 3(a)(1) hereof, will be prepared in accordance with generally accepted accounting standards and Government Auditing Standards issued by the Comptroller General of the United States.

Section 5. Reportable Events. The Obligor shall disclose the following events in a timely manner, not in excess of ten (10) business days of the occurrence of any of the following events, to the MSRB, in each case (i) in an electronic format as prescribed by the MSRB and (ii) accompanied by identifying information as prescribed in MSRB:

(a) principal and interest payment delinquencies;
(b) non-payment related defaults, if material;
(c) unscheduled draws on debt service reserves reflecting financial difficulties;
(d) unscheduled draws on credit enhancements reflecting financial difficulties;
(e) substitution of credit or liquidity providers, or their failure to perform;
(f) adverse tax opinions or other material events affecting the tax exempt status of the Bonds; the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the securities;
(g) modifications to rights of Bondholders, if material;
(h) bond calls and tender offers, if material;
(i) defeasances;
(j) rating changes;

(k) bankruptcy, insolvency, receivership, or similar event of the obligated person*;

(l) release, substitution or sale of property securing repayment of the Bonds, if material;

(m) the consummation of a merger, consolidation, or acquisition involving the obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

(n) appointment of a successor or additional trustee or the change of name of a trustee, if material;

(o) incurrence of a financial obligation of the Obligor, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the Obligor, any of which affect security holders, if material**; and

(p) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation of the Obligor, any of which reflect financial difficulties**.

The disclosure may be accompanied by a certificate of an authorized representative of the Obligor in the form of Exhibit B attached hereto.

Section 6. Use of Agent. The Obligor may, at its sole discretion, utilize an agent (the "Dissemination Agent") in connection with the dissemination of any information required to be provided by the Obligor pursuant to the terms of this Agreement.

Further, the Obligor may, at its sole discretion, retain counsel or others with expertise in securities matters for the purpose of assisting the Obligor in making judgments with respect to the scope of its obligations hereunder and compliance therewith, all in order to further the purposes of this Agreement.

Section 7. Failure to Disclose. If, for any reason, the Obligor fails to provide the Annual Financial Information or audited financial statements as required by this Agreement, the Obligor shall provide notice of such failure in a timely manner to EMMA or to the MSRB, which may be in the form of the notice attached hereto as Exhibit C.

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* This Reportable Event is considered to occur when any of the following occurs: the appointment of a receiver, fiscal agent, or similar officer for the Obligor in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under State or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the Obligor, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the Obligor.

** The term "financial obligation" means a: (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) a guarantee of (i) or (ii). The term "financial obligation" does not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

Section 8. Remedies.

(a) The purpose of this Agreement is to enable the Underwriters to purchase the Bonds by providing for an undertaking by the Obligor in satisfaction of the SEC Rule. This Agreement is solely for the benefit of the holders of the Bonds and creates no new contractual or other rights for, nor can it be relied upon by, the SEC, underwriters, brokers, dealers, municipal securities dealers, potential customers, other Obligated Persons or any other third party. The sole remedy against the Obligor for any failure to carry out any provision of this Agreement shall be for specific performance of the Obligor's disclosure obligations hereunder and not for money damages of any kind or in any amount or for any other remedy.

(b) Subject to paragraph (d) of this Section 8, in the event the Obligor fails to provide any information required of it by the terms of this Agreement, any holder of Bonds may pursue the remedy set forth in the preceding paragraph in any court of competent jurisdiction in the county in which the Obligor is located. An affidavit to the effect that such person is a holder of Bonds supported by reasonable documentation of such claim shall be sufficient to evidence standing to pursue this remedy.

(c) Subject to paragraph (d) of this Section 8, any challenge to the adequacy of the information provided by the Obligor by the terms of this Agreement may be pursued only by holders of not less than 25% in principal amount of Bonds then outstanding in any court of competent jurisdiction in the county in which the Obligor is located. An affidavit to the effect that such persons are holders of Bonds supported by reasonable documentation of such claim shall be sufficient to evidence standing to pursue the remedy set forth in the preceding paragraph.

(d) Prior to pursuing any remedy under this Section 8, a holder of Bonds shall give notice to the Obligor, via registered or certified mail, of such breach and its intent to pursue such remedy. Fifteen (15) days after mailing of such notice, and not before, a holder of Bonds may pursue such remedy under this Section. The Obligor's failure to honor its covenants hereunder shall not constitute a breach or default of the Bonds, the Ordinance or any other agreement to which the Obligor is a party.

Section 9. Modification of Agreement. The Obligor may, from time to time, amend or modify this Agreement without the consent of or notice to the holders of the Bonds if either (a)(i) such amendment or modification is made in connection with a change in circumstances that arises from a change in legal requirements, change in law or change in the identity, nature or status of the Obligor, or type of business conducted, (ii) this Agreement, as so amended or modified, would have complied with the requirements of the SEC Rule on the date hereof, after taking into account any amendments or interpretations of the SEC Rule, as well as any change in circumstances, and (iii) such amendment or modification does not materially impair the interests of the holders of the Bonds, as determined either by (A) nationally recognized bond counsel or (B) an approving vote of the holders of the Bonds at the time of such amendment or modification; or (b) such amendment or modification (including an amendment or modification which rescinds this Agreement) is permitted by the SEC Rule, as then in effect.

Section 10. Previous Undertakings. Except as noted in the Official Statement, the Obligor hereby represents that it has not, in the previous five (5) years, failed to comply in all material respects, with any previous Undertakings.

Section 11. Interpretation Under Illinois Law. It is the intention of the parties hereto that this Agreement and the rights and obligations of the parties hereunder shall be governed by and construed and enforced in accordance with, the law of the State of Illinois.

Section 12. Severability Clause. In case any provision in this Agreement shall be invalid, illegal or unenforceable, the validity, legality and enforceability of the remaining provisions shall not in any way be affected or impaired thereby, provided to the extent that this Agreement addresses matters of federal securities laws, including the SEC Rule, this Agreement shall be construed in accordance with such federal securities laws and official interpretations thereof.

Section 13. Successors and Assigns. All covenants and agreements in this Agreement made by the Obligor shall bind its successors, whether so expressed or not.

IN WITNESS WHEREOF, the Obligor has caused this Agreement to be executed as of the 4th day of December, 2025.

CITY OF JOLIET, ILLINOIS

By:_____
Its: Mayor

EXHIBIT A

CERTIFICATE RE: ANNUAL FINANCIAL INFORMATION DISCLOSURE

The undersigned, on behalf of the City of Joliet, Illinois, as the Obligor under the Continuing Disclosure Undertaking, dated as of December 4, 2025 (the "Agreement"), hereby certifies that the information enclosed herewith constitutes the Annual Financial Information (as defined in the Agreement) which is required to be provided pursuant to Section 3(a)(2) of the Agreement.

Dated:_____

CITY OF JOLIET, ILLINOIS

By:_____
Its: Mayor, City Manager or Director of Finance

EXHIBIT B

CERTIFICATE RE: MATERIAL EVENT DISCLOSURE

The undersigned, on behalf of the City of Joliet, Illinois, as Obligor under the Continuing Disclosure Undertaking, dated as of December 4, 2025 (the "Agreement"), hereby certifies that the information enclosed herewith constitutes notice of the occurrence of a material event which is required to be provided pursuant to Section 5 of the Agreement.

Dated:_____

CITY OF JOLIET, ILLINOIS

By:_____
Its: Mayor, City Manager or Director of Finance

EXHIBIT C

NOTICE TO REPOSITORIES OF FAILURE TO FILE INFORMATION

Notice is hereby given that the City of Joliet, Illinois (the "Obligor"), has not provided the audited financial statements and Annual Financial Information as required by Section 3(a)(1) and (2) of the Continuing Disclosure Undertaking, dated as of December 4, 2025.

Dated:_____

CITY OF JOLIET, ILLINOIS

By:_____
Its: Mayor, City Manager or Director of Finance

APPENDIX E

SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE

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SUMMARY OF CERTAIN PROVISIONS OF THE INDENTURE

The following is a summary of certain provisions of the Master Indenture of Trust and the Second Supplemental Indenture to which reference is made for a complete statement of the terms and contents of the Master Indenture of Trust and the Second Supplemental Indenture.

DEFINITIONS

"*Aggregate Debt Service*" means, as of any particular date of computation and with respect to a particular Bond Year or other specified 12-month period, an amount of money equal to the aggregate amount required by the provisions of all Supplemental Indentures creating Series of Senior Lien Obligations, all instruments creating Senior Lien Section 208 Obligations and all Qualified Senior Lien Swap Agreements, to be deposited from Revenues in all Dedicated Sub-Funds (including the Common Debt Service Reserve Sub-Fund), accounts and subaccounts created under the Supplemental Indentures in the Bond Year or other specified 12-month period.

"*Annual Budget*" means the budget or amended budget of Operating Expenses for a Fiscal Year.

"*Annual Debt Service*" means, as of any particular date of computation and with respect to a particular Bond Year or other specified 12-month period, and Senior Lien Obligations of a particular Series or consisting of a particular Senior Lien Section 208 Obligation or Qualified Senior Lien Swap Agreement, an amount of money equal to the sum of:

(a) all interest payable during that Bond Year or other specified 12-month period on all Senior Lien Obligations of the Series or Senior Lien Section 208 Obligation Outstanding on the date of computation;

(b) all Principal Installments payable during that Bond Year or other specified 12-month period with respect to all Senior Lien Obligations of the Series or Senior Lien Section 208 Obligation Outstanding on the date of computation; and

(c) amounts due and payable during that Bond Year or other specified 12-month period on all Qualified Senior Lien Swap Agreements.

Amounts determined pursuant to clause (a) and (b) above must be calculated on the assumption that Senior Lien Obligations will, after the date of computation, cease to be Outstanding by reason, but only by reason, of the payment when due and application in accordance with this Indenture and the Supplemental Indenture creating that Series or the instrument creating that Senior Lien Section 208 Obligation of Principal Installments payable at or after the date of computation.

"*Applicable Bond Year*" means, with respect to a particular Fiscal Year, the Bond Year commencing during such Fiscal Year.

"*Applicable Payment Period*" means (i) with respect to any January 1, the period commencing on that date and ending on the next June 30 and (ii) with respect to any July 1, the period commencing on that date and ending on the next December 31.

"*Authorized Officer*" means (a) the Mayor, the Director of Finance, the City Treasurer, or any other official of the City so designated by a Certificate signed by the Mayor and filed with the Trustee for so long as that designation is in effect and (b) the City Clerk or Deputy City Clerk with respect to the certification of any ordinance or resolution of the City Council or any other document filed in his or her office.

"*Balloon Maturities*" means, with respect to any Series of Senior Lien Obligations having a term longer than one year, 50% or more of the principal of which matures on the same date or within a Bond Year, that portion of such Series which matures on such date or within such Bond Year. For purposes of this definition, the principal amount maturing on any date shall be reduced by the principal amount of such maturity scheduled to be amortized by Sinking Fund Payments.

"*Bond Counsel*" means a firm of attorneys having expertise in the field of law relating to municipal, state and public agency financing, selected by the City.

"*Bond Insurance Policy*" means a municipal bond insurance policy issued by a Bond Insurer, which guarantees payment of principal of any interest on Senior Lien Obligations of a Series.

"*Bond Insurer*" means, with respect to any Series, each insurance company that has insured the payment of the principal of any interest on all or any portion of such Series and any successor thereto.

"*Bond Year*" means a 12-month period commencing on January 2 of each calendar year and ending on January 1 of the next succeeding calendar year.

"*Capitalized Interest*" means any amount included in the proceeds of any series of System Obligations for the payment of interest on any System Obligations.

"*Certificate*" means a written instrument, certificate, statement, request or requisition of any person. In the case of the City, each Certificate shall be executed by an Authorized Officer.

"*Code*" means the Internal Revenue Code of 1986, as from time to time supplemented and amended. References to the Code and to sections of the Code shall include relevant final, temporary or proposed Regulations as in effect from time to time and, with reference to any Series of Senior Lien Obligations, as applicable to obligations issued on the date of issuance of that Series.

"*Common Reserve Bonds*" means Senior Lien Obligations entitled to the benefits of the Common Debt Service Reserve Sub-Fund.

"*Costs of Issuance*" means any item of expense payable or reimbursable, directly or indirectly, by the City and related to the authorization, offering, sale, issuance and delivery of Senior Lien Obligations, including, but not limited to, travel and other expenses of any officer or employee of the City in connection with the authorization, offering, sale, issuance and delivery of

the Senior Lien Obligations, printing costs, costs of preparation and reproduction of documents, filing and recording fees, initial fees and charges of any Fiduciary, legal fees and disbursements, fees and disbursements of any Bond Counsel, any Independent System Consultant and any Independent Accountant, fees and disbursements of other consultants and professionals, costs of credit ratings, fees and charges for preparation, execution, transportation and safekeeping of Senior Lien Obligations, application fees and premiums on municipal bond insurance and credit facility charges and costs and expenses relating to the refunding of Senior Lien Obligations, Junior Lien Obligations or other obligations issued to finance or refinance one or more System Projects.

"*Counsel's Opinion*" means a written opinion of Corporation Counsel for the City or other counsel selected by the City. Any Counsel's Opinion may be based, insofar as it relates to factual matters (information with respect to which is in the possession of the City) upon a Certificate or opinion of, or representation by, an officer of the City, unless the counsel knows, or in the exercise of reasonable care should have known, that the Certificate, opinion or representation with respect to the matters upon which the counsel's opinion may be based, as aforesaid, is erroneous.

"*Dedicated Sub-Fund*" means a sub-fund within the Debt Service Fund including each sub-fund created by a Supplemental Indenture and the Common Debt Service Reserve Sub-Fund.

"*Deposit Requirements*" means, with respect to any semi-annual deposit to the Debt Service Fund under "Deposit of Revenues and Disbursements from Revenue Fund" and any disbursement from the Debt Service Fund under "Use of Funds", the aggregate of the "*Sub-Fund Deposits*" and the "*Other Required Deposits*" that are required to be made under "Disbursements from Debt Service Fund".

"*Federal Obligation*" means any direct obligation of, or any obligation the full and timely payment of principal of and interest on which is guaranteed by, the United States of America.

"*Fiduciary*" means the Trustee or any Paying Agent or any or all of them, as may be appropriate.

"*Fiscal Year*" means January 1 through December 31 of any year, or such other fiscal year as the City may adopt for the System.

"*Government Grants-in-Aid*" means those moneys granted to the City by the United States of America or any of its agencies, or the State of Illinois, or any of its political subdivisions or agencies, to pay for all or a portion of the cost of one or more System Projects and does not include any payments made for services rendered by the System.

"*Indenture*" means the Master Indenture of Trust as originally executed and delivered by the City and the Trustee and as it may from time to time be amended or supplemented by Supplemental Indentures executed and delivered by the City and the Trustee.

"*Independent Accountant*" means a certified public accountant selected by the City, and who (a) in the case of an individual, is not an officer or employee of the City, (b) is acceptable to the Trustee and (c) may be the accountant that regularly audits the books of the City or the System.

"*Independent System Consultant*" means a consultant selected by the City and acceptable to the Trustee, with expertise in the administration, financing, planning, maintenance and operations of waterworks and sewerage systems and their facilities, and who, in the case of an individual, is not an officer or employee of the City.

"*Interest Payment Date*" means any Payment Date on which interest on any Senior Lien Obligation is payable.

"*Junior Lien Obligations*" means any bonds, notes or evidences of indebtedness secured by Revenues, other than Senior Lien Obligations, issued by the City as permitted by the Indenture.

"*Low Rating Period*" means, with respect to a Qualified Credit Instrument, any period of time during which the senior unsecured debt obligations of the Qualified Credit Provider of the Qualified Credit Instrument (or if the Qualified Credit Provider does not have a rating for its senior unsecured debt obligations, then the rating assigned as an issuer rating) are not rated in one of the three highest rating categories by any Rating Agency without regard to any refinement or gradation of rating category by numerical modifier or otherwise.

"*Low Rating Restoration Amount*" means, as of the first day of a Low Rating Period, the amount needed to restore the amount in the Common Debt Service Reserve Sub-Fund to the Reserve Requirement.

"*Low Rating Restoration Deposit Requirement*" means twenty-five percent (25%) of the Low Rating Restoration Amount.

"*Maximum Annual Debt Service*" means, as of any date of computation, an amount of money equal to the greatest amount of Senior Lien Debt Service for the then current or any future Bond Year.

"*Multiple Advance Loan Arrangement*" means an arrangement between the City, as borrower and a lender pursuant to which the loan amount is disbursed to the City, from time to time, in multiple advances (including any WIFIA Loan).

"*Net Revenues*," when used with respect to a period of time, means the excess (if any) of the Revenues for such period of time over the Operating Expenses for such period of time.

"*Operating Expenses*" means the City's reasonable and necessary current expenses of producing or purchasing water and maintaining, repairing and operating the System, including, without limiting the generality of the foregoing, all payments to be made by the City pursuant to agreements relating to the purchase and transmission of water and the collection and treatment of sewage, and all administrative, general and commercial expenses, insurance and surety bond premiums, payments to others for provision or supply of engineering expenses, legal expenses, auditing expenses, payments to pension, retirement, health and hospitalization funds, any taxes or rebates (including arbitrage rebate payments and yield reduction payments to the United States Treasury), that may be lawfully imposed on the City or its income or operations or the property under its control, ordinary and current rentals of equipment or other property, other rentals, usual expenses of maintenance and repair, refunds of moneys lawfully due to others, and any other current expenses or payments required to be paid by the City under the provisions of the Indenture

or by law, all of the foregoing to the extent properly and directly attributable to the System, expenses in connection with System Obligations, and the expenses, liabilities and compensation of the Fiduciaries, but not including any reserves for operation, maintenance or repair or any allowance for depreciation, amortization, payment of principal of or interest on System Obligations, franchise fees or similar charges.

"*Operating Requirement*" means, as of any particular date of computation, an amount of money equal to one-quarter of the amount required for payment of Operating Expenses in the current Fiscal Year, as shown by the Annual Budget then in effect.

"*Other Available Moneys*" means for any Fiscal Year the amount of money determined by an Authorized Officer to be transferred by the City for that Fiscal Year from sources other than Revenues to the Revenue Fund or the Debt Service Fund to the extent such money is pledged as part of the Trust Estate pursuant to a Supplemental Indenture.

"*Outstanding*," when used with reference to the Senior Lien Obligations, means, as of any date, all Senior Lien Obligations before or on that date being issued under this Indenture or incurred pursuant to the Indenture except:

(a) Senior Lien Obligations canceled by the Trustee or the Owner of a Senior Lien Section 208 Obligation, as the case may be, at or before that date or delivered before that date to the Trustee or to the City, as the case may be, for cancellation;

(b) Senior Lien Obligations (or portions of Senior Lien Obligations) for the payment or redemption of which there are held in trust and set aside for such payment or redemption (whether at, before or after the maturity or redemption date) moneys or Federal Obligations the principal of and interest on which when due or payable will provide moneys, together with the moneys, if any, deposited with the Trustee at the same time, in an amount sufficient to pay their principal or Redemption Price, as the case may be, with interest to the date of maturity or redemption date, and, if those Senior Lien Obligations are to be redeemed, for which notice of the redemption has been given as provided in the related Supplemental Indenture or provisions satisfactory to the Trustee have been made for giving the notice;

(c) Senior Lien Obligations for the transfer or exchange of, in lieu of or in substitution for which other Senior Lien Obligations have been authenticated and delivered pursuant to this Indenture or a Supplemental Indenture; and

(d) Senior Lien Obligations deemed to have been paid as provided under "Defeasance".

"*Owner*" means the registered owner of any bond constituting a part of a Series of Senior Lien Obligations.

"*Paying Agent*" means any bank or trust company designated as a paying agent for a Series and its successor or successors later appointed.

"*Payment Date*" means any date on which a Principal Installment or interest on any Series of Senior Lien Obligations is payable in accordance with its terms and the terms of this Indenture and the Supplemental Indenture creating the Series or, in the case of Senior Lien Section 208 Obligations or amounts payable under any Qualified Senior Lien Swap Agreement, in accordance with the terms of the instrument creating the Senior Lien Section 208 Obligations or the Qualified Senior Lien Swap Agreement.

"*Principal Installment*" means, as of any particular date of computation and with respect to Senior Lien Obligations of a particular Series or consisting of a particular Senior Lien Section 208 Obligation, an amount of money equal to the aggregate of:

(i) the principal amount of Outstanding Senior Lien Obligations of that Series or Senior Lien Section 208 Obligations which mature on a single future date, reduced by the aggregate principal amount of the Outstanding Senior Lien Obligations of that Series which would at or before that future date be retired by reason of the payment when due and the application in accordance with the Indenture and the Supplemental Indenture creating the Series or the instrument creating those Senior Lien Section 208 Obligations of Sinking Fund Payments payable at or before that future date for the retirement of the Outstanding Senior Lien Obligations of that Series, plus

(ii) the amount of any Sinking Fund Payments payable on that future date for the retirement of the Outstanding Senior Lien Obligations of that Series, and that future date is deemed to be the date when the Principal Installment is payable and the date of the Principal Installment.

"*Priority Projects*" means the Water Main Replacement Project and the Water Transmission System Project.

"*Qualified Collateral*" means: (a) Federal Obligations; and (b) direct and general obligations of any State of the United States of America or any political subdivision of the State of Illinois which are rated in one of the two highest rating categories by any two Rating Agencies without regard to any refinement or gradation of rating category by numerical modifier or otherwise.

"*Qualified Credit Instrument*" means a letter of credit, surety bond or non-cancellable insurance policy issued by a domestic or foreign bank, insurance company or other financial institution whose debt obligations on the date of issuance thereof are rated in one of the two highest rating categories by any two Rating Agencies without regard to any refinement or gradation of rating category by numerical modifier or otherwise.

"*Qualified Credit Provider*" means the issuer of a Qualified Credit Instrument.

"*Qualified Investments*" means:

(a) Federal Obligations;

(b) pre-refunded municipal obligations meeting the following conditions: (i) the municipal obligations are not subject to redemption prior to maturity, or the trustee

therefor has been given irrevocable instructions concerning their calling and redemption and the issuer thereof has covenanted not to redeem such obligations other than as set forth in such instructions; (ii) the municipal obligations are secured by cash and/or Federal Obligations, which Federal Obligations may be applied only to interest, principal and premium payments of such municipal obligations; (iii) the principal of and interest on the Federal Obligations (plus any cash in the escrow fund) are sufficient to meet the liabilities of the municipal obligations; (iv) the Federal Obligations serving as security for the municipal obligations are held by an escrow agent or trustee; (v) the Federal Obligations are not available to satisfy any other claims, including those against the trustee or escrow agent; and (vi) the municipal obligations are rated in the highest rating category by any two Rating Agencies without regard to any refinement or gradation of rating category by numerical modifier or otherwise;

(c) deposits in interest-bearing deposits or certificates of deposit or similar arrangements issued by any bank or national banking association, which deposits, to the extent not insured by the Federal Deposit Insurance Corporation, shall be secured by Qualified Collateral having a current market value (exclusive of accrued interest) at least equal to the amount of such deposits, marked to market monthly, and which Qualified Collateral shall have been deposited in trust by such bank or national banking association with the trust department of the Trustee or with a Federal Reserve Bank or branch or, with the written approval of the City and the Trustee, with another bank, trust company or national banking association for the benefit of the City and the appropriate Fund or Account as collateral security for such deposits;

(d) direct and general obligations of any state of the United States of America or any political subdivision of the State of Illinois which are rated in one of the two highest rating categories by any two Rating Agencies without regard to any refinement or gradation of rating category by numerical modifier or otherwise;

(e) obligations issued by any of the following agencies: Federal Intermediate Credit Banks, Federal Home Loan Banks System, Federal Land Banks, Export Import Bank, Tennessee Valley Authority, Resolution Funding Corporation, Government National Mortgage Association, Farmers Home Administration, Fannie Mae, Student Loan Marketing Association, Federal Farm Credit Banks Funding Corporation, Federal Home Loan Mortgage Corporation, Federal Housing Administration, any agency or instrumentality of the United States of America and any corporation controlled and supervised by, and acting as an agency or instrumentality of, the United States of America;

(f) any repurchase agreements collateralized by securities described in clauses (a) or (e) above with any registered broker/dealer subject to the Securities Investors' Protection Corporation jurisdiction or any commercial bank, if such broker/dealer or bank or parent holding company providing a guaranty has an uninsured, unsecured and unguaranteed rating in one of the three highest rating categories by any two Rating Agencies without regard to any refinement or gradation of rating category by numerical modifier or otherwise, provided; (i) a specific written agreement governs the transaction; (ii) the securities are held by a depository acting solely as agent for the Trustee, and such third party is (x) a Federal Reserve Bank, or (y) a bank which is a member of the Federal

Deposit Insurance Corporation and with combined capital, surplus and undivided profits of not less than $25,000,000, and the Trustee shall have received written confirmation from such third party that it holds such securities; (iii) a perfected first security interest under the Uniform Commercial Code, or book entry procedures prescribed at 1 C.F.R 306.1 *et seq.* or 31 C.F.R 350.0 *et seq.* in such securities is created for the benefit of the Trustee; (iv) the repurchase agreement has a term of one year or less, or the collateral securities will be valued no less frequently than monthly and will be liquidated if any deficiency in the required collateral percentage is not restored within two business days of such valuation; (v) the repurchase agreement matures at least 10 days (or other appropriate liquidation period) prior to a Payment Date; and (vi) the fair market value of the securities in relation to the amount of the repurchase obligations, including principal and interest, is equal to at least 100 percent;

(g) shares of an investment company, organized under the Investment Company Act of 1940, as amended, which invests its assets exclusively in obligations of the type described in clauses (a) to (e);

(h) investment agreements which represent the unconditional obligation of one or more banks, insurance companies or other financial institutions, or are guaranteed by a financial institution, in either case that has an unsecured rating, or which agreement is itself rated, as of the date of execution thereof, in one of the three highest rating categories by any two Rating Agencies without regard to any refinement or gradation of rating category by numerical modifier or otherwise;

(i) long-term or medium-term corporate debt instruments issued or guaranteed by any corporation that is rated in the highest rating category by any two Rating Agencies without regard to any refinement or gradation of rating category by numerical modifier or otherwise;

(j) prime commercial paper of a United States corporation, finance company or banking institution rated in the highest short-term rating category by any two Rating Agencies maintaining a rating on such paper;

(k) the Public Treasurers' Investment Pool of the State of Illinois; and

(l) any other type of investment in which the City directs the Trustee in writing to invest, provided that there is delivered to the Trustee a Certificate of an Authorized Officer stating that each Rating Agency has been informed of the proposal to invest in such investment and each Rating Agency has confirmed that such investment will not adversely affect the rating then assigned by such Rating Agency to any Senior Lien Obligations.

"*Qualified Senior Lien Swap Agreement*" means an agreement between the City and a Swap Provider under which the City agrees to pay the Swap Provider an amount calculated at an agreed-upon rate or index based upon a notional amount and the Swap Provider agrees to pay the City for a specified period of time an amount calculated at an agreed-upon rate or index based upon the notional amount, where (a) each Rating Agency (if the Rating Agency also rates the unsecured obligations of the Swap Provider or its guarantor) has assigned to the unsecured

obligations of the Swap Provider or of the party who guarantees the obligation of the Swap Provider to make its payments to the City, as of the date the swap agreement is entered into, a rating that is equal to or higher than the rating then assigned to the Senior Lien Obligations by the Rating Agency (without regard to municipal bond insurance or any other credit facility), and (b) the City has notified each Rating Agency (whether or not a Rating Agency also rates the unsecured obligations of the Swap Provider or its guarantor) in writing, at least 15 days before executing and delivering the swap agreement, of its intention to enter into the swap agreement.

"*Rating Agency*" means any nationally recognized statistical rating organization identified as such by the Securities and Exchange Commission that has an outstanding credit rating assigned to any Senior Lien Obligations.

"*Redemption Price*" means, with respect to any Series of Senior Lien Obligations, their principal amount plus the applicable premium, if any, payable upon their redemption, or such other redemption price as may be specified in the Senior Lien Obligations or Supplemental Indenture.

"*Refunding Bonds*" means all Senior Lien Obligations, whether issued in one or more Series, authenticated and delivered on original issuance for the purpose of the refunding of System Obligations of any series.

"*Regional Authority*" means any unit of local government or any municipal joint action agency of the State of Illinois authorized to own, operate and maintain a waterworks system or water supply, water transmission or water distribution facilities including, but not limited to, any water commission or regional water commission duly organized under the Illinois Municipal Code, any municipal joint action water agency organized under the Intergovernmental Cooperation Act, any public water district organized under the Public Water District Act, any Water Service District organized under the Water Service District Act and any water authority organized under the Water Authorities Act.

"*Regulations*" means the Income Tax Regulations (26 CFR Part 1) promulgated under and pursuant to the Code.

"*Reserve Requirement*" means the maximum amount of Principal Installments and interest payable on the Common Reserve Bonds in the current or any succeeding Bond Year, provided, however, that if upon the issuance of a Series of Common Reserve Bonds such amount would require that moneys be paid into the Common Debt Service Reserve Sub-Fund from the proceeds of such Common Reserve Bonds in an amount in excess of the maximum amount permitted under the Code, the Reserve Requirement shall be the sum of (a) the Reserve Requirement immediately preceding the issuance of such Common Reserve Bonds and (b) the maximum amount permitted under the Code to be deposited from the proceeds of such Common Reserve Bonds.

"*Revenues*" means and includes all amounts received or receivable directly or indirectly by the City for the use and operation of, or with respect to, the System, including, without limitation: all Service Charges, any contractual arrangement with respect to the use of the System or any portion thereof; all other rentals, charges and fees for the use of the System or for any service rendered by the City in the operation of the System; proceeds from the sale of System property when paid in installments over a period of two or more years and deposited into the Revenue Fund;

interest payments to the City; interest accruing on and any profit realized from the investment of, moneys held or credited to all System funds and accounts of the City; provided, however, that Revenues does not include: (i) the proceeds of any tax levied by or on behalf of the City; (ii) interest accruing on, and any profit resulting from the investment of, moneys in any fund or account of the City that is not available by agreement or otherwise for deposit into the Revenue Fund; (iii) Government Grants-in-Aid; (iv) insurance proceeds which are not deemed to be revenues in accordance with generally accepted accounting principles; (v) the proceeds of any condemnation awards; (vi) security deposits; (vii) the proceeds of the sale of any System property other than sale proceeds paid in installments over a period of two or more years and deposited into the Revenue Fund; and (viii) the proceeds of any borrowings by the City.

"*Senior Lien Debt Service*" means, as of any particular date of computation and with respect to a particular Bond Year, an amount of money equal to the aggregate of (a) all interest payable during such Bond Year on all Series of Senior Lien Obligations Outstanding on said date of computation, except interest payable from Capitalized Interest for a Series, plus (b) the principal amount of all Series of Senior Lien Obligations Outstanding on said date of computation which mature during such Bond Year, plus (c) the amount of all Sinking Fund Payments payable during such Bond Year with respect to any Series of Senior Lien Obligations Outstanding on said date of computation, all calculated on the assumption that Senior Lien Obligations will after said date of computation cease to be Outstanding by reason, but only by reason, of the payment of Senior Lien Obligations when due and the payment when due and application in accordance with the applicable Supplemental Indenture of Sinking Fund Payments payable at or after said date of calculation.

"*Senior Lien Obligations*" means (a) any of the bonds, notes or evidences of indebtedness issued by the City under and pursuant to the Indenture, (b) any Senior Lien Section 208 Obligations and (c) obligations of the City under a Qualified Senior Lien Swap Agreement except to the extent those obligations are subordinated hereunder or under that agreement.

"*Senior Lien Section 208 Obligations*" means any obligations incurred by the City to reimburse the issuer or issuers of one or more instruments securing one or more Series of Senior Lien Obligations as described in Section 208, including any fees or other amounts payable to the issuer of any such instrument, whether those obligations are set forth in one or more reimbursement agreements entered into between the City and the issuer of any such instrument, or in one or more notes or other evidences of indebtedness executed and delivered by the City pursuant thereto, or any combination of them.

"*Series*" means all of the Senior Lien Obligations authenticated and delivered on original issuance pursuant to a Supplemental Indenture and designated in it as a series, but, unless the context clearly indicates otherwise, does not include Senior Lien Section 208 Obligations or obligations of the City under a Qualified Senior Lien Swap Agreement.

"*Service Charges*" means the rates, fees or other charges imposed by the City for the use of services of the System.

"*Sinking Fund Payment*" means as of any particular date of determination and with respect to the outstanding Senior Lien Obligations of any Series or consisting of any Senior Lien Section 208 Obligations, the amount required by the Supplemental Indenture creating the Series or the

instrument creating the Senior Lien Section 208 Obligation to be paid in any event by the City on a single future date for the retirement of the Senior Lien Obligations which mature after that future date, but does not include any amount payable by the City by reason only of the maturity of a Senior Lien Obligation.

"*Supplemental Indenture*" means an indenture supplemental to or amendatory of this Indenture, executed and delivered by the City and the Trustee in accordance with "Supplemental Indentures".

"*Swap Provider*" means any counterparty with which the City enters into a Qualified Senior Lien Swap Agreement.

"*System*" means the existing combined waterworks and sewerage system of the City and any additions thereto including the Water Transmission System Project and the Water Main Replacement Project and any other additions, improvements, replacements and betterments to or relating to the "waterworks system" and the "sewerage system" of the City as such terms are defined in Section 11-139-1 of the Illinois Municipal Code including all other properties or interests in properties, equipment, contracts, structures and appurtenances, owned or used by the City in connection with the provision of water supply and distribution and the collection, treatment and disposal of sewerage and industrial wastes.

"*System Obligations*" means any bonds, notes or other evidences of indebtedness of the City, which bonds, notes or other evidences of indebtedness are payable from Revenues.

"*System Project*" means any Priority Project, any other capital improvement to or related to the System or the acquisition of land or any interest in land for the System, or any cost or expense paid or incurred in connection with or related to the System and the expansion of the System, whether or not of a capital nature, including but not limited to, improvements to the water transmission, pumping and delivery facilities of the water supply and distribution system of the City of Chicago that are related to the provision of water to the System and amounts needed to satisfy any judgment to remove any lien on or encumbrance of the property of the System.

"*System Reserve Requirement*" means, as of any particular date of computation, $200,000 or the greater amount, if any, as may most recently have been established by an ordinance of the City, as the amount reasonably necessary as a reserve for expenses with respect to the System for major repairs, renewals, replacements or maintenance items of a type not recurring annually or at shorter intervals.

"*Termination Payments*" means amounts due under a Qualified Senior Lien Swap Agreement upon a complete or partial termination thereof prior to its scheduled termination date.

"*Trust Estate*" means the property conveyed to the Trustee pursuant to "Pledge Effected by this Indenture" or pursuant to a Supplemental Indenture.

"*Trustee*" means U.S. Bank Trust Company, National Association, as trustee under this Indenture, or its successor as the trustee later appointed in the manner provided in this Indenture.

"*Water Main Replacement Project*" means a System wide program for the acquisition, construction and installation of new water mains, the rehabilitation of existing water mains and related improvements and appurtenances to replace or rehabilitate approximately 192 miles of existing water mains to improve System performance and reduce water losses of the System and to satisfy Lake Michigan water allocation permit requirements, including program management, project management and WIFIA Loan management costs and the costs of design and engineering, and acquisition of real property, rights of way, easements, permits and other rights in land.

"*Water Transmission System Project*" means a water transmission and delivery system consisting of capital improvements to provide for the transmission and delivery to and within the System of a supply of Lake Michigan water acquired pursuant to a water supply agreement with the City of Chicago including, but not be limited to, the design, engineering, acquisition, construction and installation of (1) a water transmission main approximately 35 miles in length commencing at the site of the existing City of Chicago Southwest Pumping Station and interconnecting with the water distribution facilities of the System, (2) improvements to the water transmission, pumping and delivery facilities of the water supply and distribution system of the City of Chicago at and adjacent to the existing City of Chicago Southwest Pumping Station site, (3) regional water transmission mains that will interconnect the System and water distribution systems of entities that will purchase water provided by means of the System, (4) modifications to the System, and (5) including for all of the foregoing, program management, project management and WIFIA loan management costs and the construction of water mains, water pumping and water storage facilities and equipment, the acquisition of real property, rights of way, easements, permits and other rights in land, improvements for the transmission to the System of Lake Michigan water and improvements to the water distribution facilities of the System including, but not limited to, new water pumping and storage facilities, and SCADA control and communications equipment.

"*Waterworks and Sewerage Fund*" means the Waterworks and Sewerage Fund, an enterprise fund of the City.

"*WIFIA Lender*" means the United States Environmental Protection Agency, an agency of the United States of America acting by and through the Administrator of the United States Environmental Protection Agency.

"*WIFIA Loan*" means any loan to the City by the WIFIA Lender pursuant to the Water Infrastructure Finance and Innovation Act, 33 U.S.C. 3901-3915, that constitutes one or more Series of Senior Lien Obligations created by one or more Supplemental Indentures.

AUTHORIZATION FOR INDENTURE

The Indenture is executed and delivered by the City by virtue of and pursuant to the home rule powers of the City. The City has ascertained and determines and declares that the execution and delivery of the Indenture is necessary to provide the services of the System to the citizens of the City and the present and future users of the System, that each and every act, matter, thing or course of conduct as to which provision is made in this Indenture is necessary or convenient in order to carry out and effectuate those purposes of the City and to carry out its powers and is in furtherance of the public benefit, safety and welfare of the City, and that each and every covenant or agreement contained in the Indenture is necessary, useful or convenient in order better to secure

the Senior Lien Obligations and are contracts or agreements necessary, useful and convenient to carry out and effectuate operation of the System and the corporate purposes of the City.

INDENTURE TO CONSTITUTE CONTRACT

In consideration of the purchase and acceptance of Senior Lien Obligations by those who shall hold them from time to time, the provisions of the Indenture and any Supplemental Indenture are a part of the contract of the City with the Owners of Senior Lien Obligations, and are deemed to be and constitute a contract among the City, the Trustee and the Owners from time to time of the Senior Lien Obligations.

AUTHORIZATION OF SENIOR LIEN OBLIGATIONS

In order to provide sufficient funds for the financing or refinancing of System Projects, Senior Lien Obligations are hereby authorized to be issued from time to time in one or more Series as in this Indenture provided, without limitation as to amount except as may be limited by law, for one or more of the following purposes:

(a) the payment, or the reimbursement for the payment, of the costs of one or more System Projects;

(b) the refunding of any Senior Lien Obligations, Junior Lien Obligations or other System Obligations issued to finance or refinance one or more System Projects; or

(c) the funding of any Fund, Account or Dedicated Sub-Fund as specified in this Indenture or the Supplemental Indenture under which any Senior Lien Obligations are issued; including, in each case, Capitalized Interest and the payment of Costs of Issuance.

Senior Lien Obligations consisting of Senior Lien Section 208 Obligations and Qualified Senior Lien Swap Agreements are also authorized to be incurred from time to time.

LIMITED OBLIGATIONS

The Senior Lien Obligations are legal, valid and binding limited obligations of the City payable from Revenues and certain other moneys and securities held by the Trustee under the provisions of this Indenture and any Supplemental Indenture. Any Senior Lien Obligation may also be payable from Other Available Moneys. The Senior Lien Obligations and the interest thereon do not constitute an indebtedness or a loan of the credit of the City within the meaning of any constitutional or statutory limitation, and neither the full faith and credit nor the taxing power of the City is pledged to the payment of the principal of or interest on the Senior Lien Obligations by this Indenture. No lien or security interest upon the physical facilities of the City is created by any lien, pledge or security interest granted by the Indenture or any Supplemental Indenture and no lien upon any real property of the City shall be created by the Indenture or any Supplemental Indenture.

CONDITIONS PRECEDENT TO DELIVERY OF ANY SERIES

Senior Lien Obligations of any Series must be executed by the City and delivered to the Trustee and thereupon must be authenticated by the Trustee and delivered to the City or upon its order, but only following the receipt by the Trustee of:

(a) a copy of an ordinance adopted by the City Council, authorizing the execution and delivery of the Supplemental Indenture creating such Series;

(b) a Counsel's Opinion to the effect that (i) the Indenture and the Supplemental Indenture have been duly and lawfully authorized by all necessary action on the part of the City, have been duly and lawfully executed by authorized officers of the City, are in full force and effect and are valid and binding upon the City and enforceable in accordance with their terms (except as limited by any applicable bankruptcy, liquidation, reorganization, insolvency or other similar laws or by general principles of equity if equitable remedies are sought); (ii) the Indenture and the Supplemental Indenture create the valid pledge of Revenues, moneys and securities which they purport to create; and (iii) upon their execution, authentication and delivery, the Senior Lien Obligations of the Series will have been duly and validly authorized and issued in accordance with the Constitution and laws of the State of Illinois, this Indenture and the Supplemental Indenture;

(c) a written order as to the delivery of the Series, executed by an Authorized Officer stating (i) the identity of the purchasers, aggregate purchase price and date and place of delivery of the Series, (ii) that no Event of Default has occurred and is continuing under this Indenture, and fixing and determining all terms and provisions of the Senior Lien Obligations not fixed or determined by this Indenture or the Supplemental Indenture;

(d) an executed counterpart of the Supplemental Indenture;

(e) a Certificate of the City setting forth the application of the proceeds of the Senior Lien Obligations;

(f) except in the case of any Series of Refunding Bonds;

(i) either (A) a Certificate of an Independent Accountant or a Certificate of the City, in either case stating that the sum of Net Revenues and Other Available Moneys (but with respect to Other Available Moneys only to the extent of the amount thereof deposited into the Revenue Fund or the Debt Service Fund during the applicable Fiscal Year) in the most recent completed Fiscal Year ending within the last 24 months for which audited financial statements have been prepared was not less than one hundred fifteen percent (115%) of Maximum Annual Debt Service as of the time immediately after the issuance of the Series of Senior Lien Obligations proposed to be issued (disregarding any Senior Lien Obligations that have been paid or discharged or will be paid or discharged immediately after the issuance of the Series of Senior Lien Obligations proposed to be issued) or (B) a Certificate of the Independent System Consultant (1) projecting the sum of Net Revenues and Other Available Moneys for each of the five Fiscal Years next

following the date of issuance of the Series of Senior Lien Obligations proposed to be issued; (2) setting forth the Maximum Annual Debt Service as of the time immediately following the issuance of such Series and (3) determining that the sum of such Net Revenues and Other Available Moneys for each of such five Fiscal Years will not be less than one hundred fifteen percent (115%) of such Maximum Annual Debt Service (disregarding any Senior Lien Obligations that have been paid or discharged or will be paid or discharged immediately after the issuance of the Series of Senior Lien Obligations proposed to be issued);

(ii) for the purposes of computing Revenues and Other Available Moneys under subsection (f)(i), there must be taken into account any change in the schedule of Service Charges and any change in the calculation of Other Available Moneys, in each case, with respect to any change that first took effect during the period commencing on the first day of such completed Fiscal Year and ending the date of issuance of the Series of Senior Lien Obligations proposed to be issued;

(iii) for the purpose of computing Maximum Annual Debt Service under subsection (f)(i), any Balloon Maturity shall be adjusted as provided in Section 404 and Senior Lien Debt Service on any Series issued in connection with a Multiple Advance Loan Arrangement shall be adjusted to include the estimated Senior Lien Debt Service on such Series taking into account the anticipated additional advances under the Multiple Advance Loan Arrangement as set forth in a Certificate of the City filed with the Trustee; and

(iv) under subsection (f)(i), the amount of Other Available Moneys shall be adjusted to exclude any particular source of Other Available Moneys if the pledge thereof as security for the payment of Senior Lien Obligations will expire prior to the last day of the fifth Fiscal Year next following the most recent completed Fiscal Year.

CONDITIONS PRECEDENT TO DELIVERY OF ANY SERIES OF REFUNDING BONDS

All Refunding Bonds of any Series must be executed by the City and delivered to the Trustee and thereupon must be authenticated by the Trustee and delivered to the City or upon its order, but only following the receipt by the Trustee of:

(a) the documents referred to in subsections (a), (b), (c), (d), (e) under "Conditions Precedent to the Delivery of Any Series";

(b) if a refunding of only Senior Lien Obligations is to be effected, either (i) any Certificate set forth in subsection (f)(i) under "Conditions Precedent to the Delivery of Any Series" or (ii) a Certificate of the City stating that, after giving effect to the refunding, the issuance of the Refunding Bonds will not increase the amount of Senior Lien Debt Service for any Bond Year;

(c) if a refunding of System Obligations (other than Senior Lien Obligations) is to be effected, any Certificate set forth in subsection (f)(i) under "Conditions Precedent to the Delivery of Any Series".

VARIABLE INTEREST RATES

For the purpose of determining Annual Debt Service and Senior Lien Debt Service, interest on variable rate indebtedness, including any variable rate Senior Lien Obligation, but excluding any variable rate Senior Lien Obligation for any period of time that the City's payment obligation is for a fixed interest rate pursuant to a Qualified Senior Lien Swap Agreement, shall be calculated at the highest of (a) the actual rate on the date of calculation, or if the indebtedness is not yet outstanding, the initial rate (if established and binding), (b) if the indebtedness has been outstanding for at least 12 months, the average rate over the 12 months immediately preceding the date of calculation, and (c)(i) if interest on the indebtedness in excludable from gross income under the applicable provisions of the Code, the average rate over the 12 months immediately preceding the date of calculation of the Municipal Market Data Scale for the 20 year maturity, or if that scale is no longer available, another similar scale or index designated by an Authorized Officer or (ii) if interest is not so excludable, the interest rate on Federal Obligations with comparable maturities, plus fifty basis points.

LETTERS OF CREDIT OR BOND PURCHASE AGREEMENTS

The City reserves the right to provide one or more irrevocable letters of credit to secure the payment of the principal of, premium, if any, and interest on one or more Series of Senior Lien Obligations, and if the Owners of those Senior Lien Obligations have the right to require their purchase, to secure the payment of the purchase price of those Senior Lien Obligations upon the demand of their Owners through one or more letters of credit or bond purchase agreements. Any obligation of the City to reimburse the issuer of the letter of credit or provider of the bond purchase agreement may (but shall not be required to) constitute a Senior Lien Obligation to the same extent as any Series of Senior Lien Obligations and in that event any and all amounts payable by the City to reimburse the issuer of any such letter of credit or provider of the bond purchase agreement, together with interest thereon, for purposes of the Indenture constitute the payment of principal, of, premium, if any, and interest on Senior Lien Obligations.

HEDGING TRANSACTIONS

If the City enters into a Qualified Senior Lien Swap Agreement with a Swap Provider requiring the City to pay a fixed interest rate on a notional amount, or requiring the City to pay a variable interest rate on a notional amount, and the City has made a determination that the Qualified Senior Lien Swap Agreement was entered into for the purpose of providing substitute interest payments for Senior Lien Obligations of a particular maturity or maturities in a principal amount equal to the notional amount of the Qualified Senior Lien Swap Agreement and so long as the Swap Provider under the Qualified Senior Lien Swap Agreement is not in default under the Qualified Senior Lien Swap Agreement: (i) for purposes of any calculation of Annual Debt Service or Senior Lien Debt Service, the interest rate on the Senior Lien Obligations of the maturity or maturities must be determined as if the Senior Lien Obligations bore interest at the fixed interest rate or the variable interest rate, as the case may be, payable by the City under the Qualified Senior

Lien Swap Agreement; (ii) any net payments (exclusive of Termination Payments) required to be made by the City to the Swap Provider pursuant to the Qualified Senior Lien Swap Agreement from Revenues must be made on a parity with payments due on other Senior Lien Obligations solely from amounts on deposit to the credit of the Debt Service Fund; (iii) any net payments (exclusive of Termination Payments) received by the City from the Swap Provider pursuant to the Qualified Senior Lien Swap Agreement shall be deposited to the credit of the Debt Service Fund; (iv) any Termination Payments due from the City shall be payable from Revenues on a junior and subordinate basis to all Senior Lien Obligations issued under this Indenture; and (v) any Termination Payments due to the City shall be applied as directed by the City, and shall not be subject to any lien created by the Indenture.

CREATION OF FUNDS AND ACCOUNTS

The City has established and agrees to maintain the Waterworks and Sewerage Fund. There is created by the Indenture the Operation and Maintenance Fund and the System General Fund to be held and administered by the City in accordance with the Indenture.

The Revenue Fund, the Debt Service Fund, the Junior Lien Obligation Debt Service Fund and the Renewal and Replacement Fund are created by the Indenture as special funds of the City to be held and administered by the Trustee in accordance with the Indenture. The Common Debt Service Reserve Sub-Fund is established as a Dedicated Sub-Fund within the Debt Service Fund.

The Trustee shall, at the written request of the City, establish such additional sub-funds (including Dedicated Sub-Funds) within the Funds and Accounts and subaccounts within any such sub-funds, for the purpose of identifying more precisely the sources of payments into and disbursements from the Funds or such sub-funds, Accounts and subaccounts.

Additional sub-funds within the Funds (other than the Junior Lien Obligation Debt Service Fund) and Accounts and subaccounts within such sub-funds may also be created by any Supplemental Indenture; and any such Supplemental Indenture may provide that amounts on deposit in such sub-funds, Accounts and subaccounts shall be held by the Trustee for the sole and exclusive benefit of such Senior Lien Obligations as may be specifically designated in such Supplemental Indenture; provided, however, that income derived from the investment of any moneys on deposit in a debt service reserve fund or account created pursuant to this Section 301 (including the Common Debt Service Reserve Sub-Fund) or pursuant to any such Supplemental Indenture, at the written direction of an Authorized Officer, shall be withdrawn from such fund or account by the Trustee and deposited into the Revenue Fund.

Any moneys and securities held in the Revenue Fund, the Debt Service Fund, the Junior Lien Obligation Debt Service Fund, the Renewal and Replacement Fund or any sub-fund, Account or subaccount shall be held in trust by the Trustee, as provided in the Indenture or such Supplemental Indenture, and shall be applied, used and withdrawn only for the purposes authorized in the Indenture or Supplemental Indenture.

All moneys and securities held by the City in the Operation and Maintenance Fund shall be accounted for and held separate and apart from all other moneys and securities of the City, shall

be applied, used and withdrawn only for the payment of Operating Expenses and, until so applied, used and withdrawn, shall be held in trust by the City for such purpose.

All moneys and securities held by the City in the System General Fund may be applied, used and withdrawn by the City for any lawful purpose of the System, free of any lien or security interest created by the Indenture.

THE PLEDGE EFFECTED BY THE INDENTURE

There are pledged for the payment of the principal and Redemption Price of, and interest on, Senior Lien Obligations, in accordance with their terms and the provisions of the Indenture, and a lien and a security interest is hereby granted for such purpose, subject only to the provisions of the Indenture permitting or requiring the application thereof for the purposes and on the terms and conditions set forth in this Indenture, on the Trust Estate consisting of (i) the Revenues, (ii) all amounts on deposit in all Funds, Accounts and Dedicated Sub-Funds established under the Indenture, subject however to the right of the City to make periodic withdrawals as permitted by the Indenture, and (iii) any and all other moneys (including Other Available Moneys) and securities furnished from time to time to the Trustee by the City or on behalf of the City or by any other persons to be held by the Trustee under the terms of the Indenture.

Pursuant to Section 13 of the Local Government Debt Reform Act, 30 Illinois Compiled Statutes 350/13, the Revenues and the other moneys and securities hereby pledged shall immediately be subject to the lien and pledge of the Indenture without any physical delivery or further act, and the lien and pledge of the Indenture shall be valid and binding as against all parties having claims of any kind in tort, contract or otherwise against the City, irrespective of whether such parties have notice hereof. Each pledge, assignment and grant of a lien and security interest by or pursuant to this Indenture shall be effective immediately without any further filing or action and shall be effective with respect to all persons regardless of whether any such person shall have notice of such pledge, assignment, lien or security interest.

DEPOSIT OF REVENUES AND DISBURSEMENTS FROM REVENUE FUND

(a) All Revenues shall be collected by the City and each month, prior to the tenth day of the month, the City shall (i) apply the Revenues to increase the amount then held in the Operation and Maintenance Fund to the Operating Requirement and (ii) promptly deposit all of the remaining Revenues to the credit of the Revenue Fund with the Trustee or in the name of the Trustee with a depositary or depositaries, each fully qualified under the Indenture to receive the same as deposits of money held by the Trustee, designated by the City and approved by the Trustee.

(b) The moneys in the Revenue Fund shall be disbursed and applied by the Trustee as required to make the following deposits and payments on the dates and in the amounts provided:

(1) On the business day of the Trustee immediately preceding each January 1 and July 1, the Trustee shall make the following deposits and payments in the manner and order of priority set forth:

FIRST, The Trustee shall first deposit into the Debt Service Fund the amount necessary to increase the amount on deposit therein to an amount sufficient to fund the Deposit Requirements corresponding to that January 1 or July 1, which amount (when added to the amounts then held in the applicable Dedicated Sub-Funds) shall be at least equal to the sum of (i) the aggregate Senior Lien Debt Service to be paid during the Applicable Payment Period, plus (ii) the aggregate amount of Principal Installments of and interest on Senior Lien Section 208 Obligations to be paid during the Applicable Payment Period, plus (iii) the amount, if any, required to cause the amount on deposit in the Common Debt Service Reserve Sub-Fund to be equal to the amount then required, plus (iv) the amount, if any, required to cause the amount on deposit in each debt service reserve account (other than the Common Debt Service Reserve Sub-Fund) established for any Senior Lien Obligation to be equal to the amount then required to be held in such account as provided in the Supplemental Indenture or the instrument creating such Senior Lien Obligation.

SECOND, The Trustee shall next deposit into the Junior Lien Obligation Debt Service Fund an amount, if any, equal to the aggregate amounts required for the next semi-annual period by any indenture, agreement or ordinance authorizing the issuance of Junior Lien Obligations to be deposited therein on such date and except as otherwise directed by the City, without priority, one over the other, to any sub-funds or accounts within the Junior Lien Obligation Debt Service Fund, the amount or amounts specified by one or more Certificates of the City filed with the Trustee.

THIRD, The Trustee shall next deposit into the Renewal and Replacement Fund the lesser of (i) the amount equal to twenty-five percent (25%) of the then current System Reserve Requirement and (ii) the amount, if any, required to increase the amount in the Renewal and Replacement Fund to the then current System Reserve Requirement.

FOURTH, At the direction of the City expressed in a Certificate of the City filed with the Trustee, the Trustee shall next pay to each Swap Provider under a Qualified Senior Lien Swap Agreement, the amount specified in such Certificate to be paid in respect of a Termination Payment payable to such Swap Provider.

FIFTH, The Trustee shall next transfer to the City for deposit into the System General Fund any amount remaining in the Revenue Fund unless the City shall have filed with the Trustee a Certificate specifying a lesser amount, in which case the amount specified by the City in the Certificate shall be the amount to be transferred to the City at such time for deposit into the System General Fund.

If at the time deposits are required to be made under paragraph (1), the moneys held in the Revenue Fund are insufficient to make any required deposit, the deposit shall be made up on the next applicable deposit date after required deposits into all other Funds enjoying a higher priority shall have been made in full.

Amounts on deposit in the Debt Service Fund, the Junior Lien Obligation Debt Service Fund and the Renewal and Replacement Fund in excess of the amount required hereunder or under any Supplemental Indenture or under any indenture, agreement or ordinance authorizing the issuance of Junior Lien Obligations to be on deposit in such Fund at the end of such Fiscal Year shall be transferred to the Revenue Fund.

USE OF FUNDS

The moneys on deposit in the Funds, shall be used for the purposes and uses specified as follows:

In addition to disbursements authorized under "Deposit of Revenues and Disbursements from the Revenue Fund", the Trustee shall apply moneys in the Revenue Fund to make up any deficiency arising in the Debt Service Fund and the Junior Lien Obligation Debt Service Fund under "Deposit of Revenues and Disbursements from the Revenue Fund" in the order of their priority one over another and in the manner specified under "Deposit of Revenues and Disbursements from the Revenue Fund".

The moneys in the Operation and Maintenance Fund shall be used by the City only to pay Operating Expenses.

The moneys in the Debt Service Fund shall be used only for the funding of Deposit Requirements under "Disbursements From Debt Service Fund". Whenever the amount held in the Debt Service Fund is less than aggregate sum of the current Deposit Requirements to be funded from the Debt Service Fund, the Deposit Requirements shall be funded in the following order of priority and for Deposit Requirements having the same priority, pro-rata on the basis of the relative amounts of such Deposit Requirements:

FIRST, The Trustee shall first fund the Deposit Requirements for the payment of the Principal Installments of and interest on each Series of Senior Lien Obligations and each Senior Lien Section 208 Obligation and the net payments payable to Swap Providers under Qualified Senior Lien Swap Agreements.

SECOND, The Trustee shall next fund the Deposit Requirements needed to restore the amount held (i) in the Common Debt Service Reserve Sub-Fund to the Reserve Requirement and (ii) the debt service reserve account of each Dedicated Sub-Fund to its requirement.

THIRD, The Trustee shall next fund the Deposit Requirements for "Other Required Deposits" under "Disbursements From Debt Service Fund".

The moneys in the Renewal and Replacement Fund shall be used only for paying the costs of major repairs, renewals, replacements or maintenance items with respect to the System of a type not recurring annually or at shorter intervals.

At the direction of the City expressed in a Certificate of the City filed with the Trustee, the moneys in the Junior Lien Obligation Debt Service Fund shall be transferred by the Trustee to the appropriate trustees or paying agents under the appropriate indentures,

agreements or ordinances authorizing the issuance of Junior Lien Obligations for the purpose of paying such amounts as may be required to be paid by such resolutions or ordinances.

The moneys in the System General Fund may be used for any lawful purpose of the System.

DISBURSEMENTS FROM DEBT SERVICE FUND

The moneys in the Debt Service Fund must be disbursed and applied by the Trustee as required to make the following deposits on the dates and in the amounts provided:

Subfund Deposits. On any date required with respect to the Common Debt Service Reserve Sub-Fund, or by the provisions of a Supplemental Indenture creating a Series of Senior Lien Obligations, or by an instrument creating Senior Lien Obligations, the Trustee must segregate within the Debt Service Fund and credit to (i) the Common Debt Service Reserve Sub-Fund, such amounts as may be required to be so credited and (ii) such Dedicated Sub-Funds, accounts and subaccounts as may have been created for the benefit of the Senior Lien Obligations such amounts as may be required to be so credited under the provisions of the Supplemental Indenture or instrument creating Senior Lien Obligations to pay the principal of and interest on the Senior Lien Obligations.

Other Required Deposits. On any date required for any other purpose by the provisions of a Supplemental Indenture or by an instrument creating Senior Lien Obligations, the Trustee must *segregate* within the Debt Service Fund and credit to such Dedicated Sub-Funds, accounts and subaccounts as are specified in the Supplemental Indenture or instrument creating Senior Lien Obligations the amounts required so to be withdrawn and deposited by the provisions of the Supplemental Indenture or the instrument.

City Certificate. With respect to each Series and with respect to any Senior Lien Section 208 Obligation and any Qualified Senior Lien Swap Agreement, the City shall file with the Trustee (and revise from time to time as required) a Certificate detailing the timing and amount of the "*Other Required Deposits*" in order to determine the Deposit *Requirements* of the Debt Service Fund and the proper disbursement of the moneys held therein.

COMMON DEBT SERVICE RESERVE SUB-FUND

(a) The City shall maintain the Common Debt Service Reserve Sub-Fund in an amount equal to the Reserve Requirement, which requirement may be satisfied with (i) one or more Qualified Credit Instruments, (ii) Qualified Investments, or (iii) a combination thereof. Each Qualified Credit Instrument shall be valued at the full par amount that may then be drawn by the Trustee, provided, however, that during any Low Rating Period with respect to such Qualified Credit Instrument, such valuation shall be zero. Any Qualified Investments held to the credit of the Common Debt Service Reserve Sub-Fund shall not have maturities extending beyond ten years (except for any investment agreement, repurchase agreement or forward purchase agreement approved by each Bond Insurer

insuring payment of any Common Reserve Bonds). If on any valuation date, the amount on deposit in the Common Debt Service Reserve Sub-Fund is more than the Reserve Requirement, unless otherwise directed by the City pursuant to paragraph (f) the amount of such excess shall be transferred by the Trustee to the Revenue Fund.

(b) If at any time the Common Debt Service Reserve Sub-Fund holds both a Qualified Credit Instrument and Qualified Investments, the Qualified Investments shall be liquidated and the proceeds applied for the purposes for which Common Debt Service Reserve Sub-Fund moneys may be applied under this Section prior to any draw being made on the Qualified Credit Instrument. If the Common Debt Service Reserve Sub-Fund holds Qualified Credit Instruments issued by more than one issuer, draws shall be made under such Qualified Credit Instruments on a pro rata basis to the extent of available funds. Amounts deposited in the Common Debt Service Reserve Sub-Fund for the purpose of restoring amounts withdrawn therefrom shall be applied first to reimburse the Qualified Credit Provider and thereby reinstate the Qualified Credit Instrument.

(c) The moneys in the Common Debt Service Reserve Sub-Fund are held for the benefit of all Common Reserve Bonds and are pledged and assigned for that purpose. On the date of initial issuance of any Series of Senior Lien Obligations intended to be Common Reserve Bonds, the City shall provide the Trustee a Certificate to that effect and setting forth the amount of the deposit to be made from proceeds of such Series to fund the Reserve Requirement.

(d) On the business day of the Trustee immediately preceding each January 1 and July 1, there shall be withdrawn from the Debt Service Fund for deposit into the Common Debt Service Reserve Sub-Fund, the amount, if any, required as of the close of business on such date to restore the amount held in the Common Debt Service Reserve Sub-Fund to the Reserve Requirement; provided, however, that during a Low Rating Period, the Deposit Requirement as of each such deposit date shall be the lesser of (i) the Low Rating Restoration Deposit Requirement and (ii) the amount, if any, required as of the close of business on such date to restore the amount held in the Common Debt Service Reserve Sub-Fund to the Reserve Requirement. Any amount so required shall constitute a Deposit Requirement to be funded from the Debt Service Fund. The Trustee shall have no duty or obligation to monitor the rating of the senior unsecured debt obligations of any Qualified Credit Provider or ascertain whether a Low Rating Period has occurred or is continuing, and the Trustee shall not be deemed to have any knowledge of any Low Rating Period unless it has received written notice thereof by the City, the Qualified Credit Provider, the WIFIA Lender or the Owners of at least 10% in principal amount of the Senior Lien Obligations then Outstanding.

(e) If on any Payment Date for the payment of the Principal Installment of and interest on any Series of Common Reserve Bonds the amount held in the Dedicated Sub-Fund for that Series for the payment of such Principal Installment or interest due and payable on such Payment Date shall be less than the Principal Installment and interest then due and payable, then the Trustee shall withdraw from the Common Debt Service Reserve Sub-Fund and deposit into the Dedicated Sub-Fund for that Series the amount necessary to cure such deficiency. In the case of multiple deficiencies among Series, such withdrawal

shall be made ratably among the various Series having a deficiency, without preference or priority of any kind.

(f) At the direction of the City expressed in a Certificate filed with the Trustee, moneys in the Common Debt Service Reserve Sub-Fund may be withdrawn and deposited in trust to pay or provide for the payment of Senior Lien Obligations pursuant to "Defeasance" ; provided, however, that immediately after such withdrawal the amount of deposit in the Common Debt Service Reserve Sub-Fund equals or exceeds the Reserve Requirement.

2025 BONDS DEDICATED SUB-FUND

On January 1 and July 1 of each year, commencing July 1, 2026 (each such date referred to herein as the "*Deposit Date*") there shall be deposited into the 2025 Bonds Dedicated Sub-Fund from amounts on deposit in the Debt Service Fund an amount equal to the aggregate of the following amounts, which amounts shall have been calculated by the Trustee on the next preceding December 20 or June 20 (in the case of each January 1 or July 1, respectively) (such aggregate amount with respect to any Deposit Date being referred to herein as the "*2025 Bonds Deposit Requirement*"):

(a) for deposit into the Principal and Interest Account, an amount equal to the aggregate of: (i) one half of the Principal Installment coming due on the Bonds on the January 1 next succeeding such date of calculation and (ii) the amount of interest due on the Bonds on the current Deposit Date (reduced in the case of each January 1 Deposit Date, by investment earnings credited as of the immediately prior calculation date to the Principal and Interest Account); and

(b) for deposit into the Administrative Account, the amount estimated by the City to be required as of the close of business on such Deposit Date to pay all fees and expenses with respect to the Bonds during the semiannual period commencing on such Deposit Date.

In addition to the 2025 Bonds Deposit Requirement, there shall be deposited into the 2025 Bonds Dedicated Sub-Fund any other moneys received by the Trustee under and pursuant to the Indenture or the Second Supplemental Indenture, when accompanied by directions from the person depositing such moneys that such moneys are to be paid into the 2025 Bonds Dedicated Sub-Fund.

Moneys in the Principal and Interest Account shall be used for payment of the Principal Installment and interest due on each Payment Date with respect to the Bonds and not otherwise provided for, ratably, without preference or priority of any kind.

Moneys in the Administrative Account shall be used for the payment of fees and expenses with respect to the Bonds as set forth in a Certificate filed with the Trustee.

EQUALITY OF SECURITY

All Senior Lien Obligations, regardless of Series, date of issuance or incurrence and date of sale, are secured by the pledge of the Trust Estate. The security so pledged must not be used for any other purpose except as expressly permitted by the terms of this Indenture, so long as any Senior Lien Obligations remain Outstanding and unpaid.

EQUALITY OF SENIOR LIEN OBLIGATIONS

Except as otherwise specifically provided under "Creation of Funds and Accounts", all Senior Lien Obligations authorized or incurred are on a parity and rank equally without preference, priority or distinction over any other of them, as to security, regardless of the time or times of their issue, and the provisions, covenants and agreements set forth in this Indenture to be performed by and on behalf of the City are for the equal benefit, protection and security of the Owners of any and all Senior Lien Obligations. The City covenants that it will not issue any obligations, payable from the Revenues or, except as otherwise provided under "Covenant Against Pledge of Revenues", any other moneys pledged in the Indenture, nor voluntarily create or cause or permit to be created any debt, lien, pledge or assignment, having priority over, or being on a parity with, the Senior Lien Obligations.

RATE AND COVERAGE COVENANT

(a) The City covenants that it will fix and establish, and revise from time to time whenever necessary, the Service Charges for the use and operation of the System and for services rendered by the City in the operation of the System in order that Revenues in each Fiscal Year, together with Other Available Moneys deposited with the Trustee with respect to that Fiscal Year will be at least sufficient:

(i) to provide for the payment of Operating Expenses for the Fiscal Year; and

(ii) to provide for the greater of (A) the sum of (1) the amounts needed to make the deposits (exclusive of deposits to the System General Fund) required to be made pursuant to this Indenture and all other ordinances, indentures and agreements pursuant to which all Outstanding Senior Lien Obligations or other outstanding System Obligations are issued and secured, and (2) any additional amounts needed to provide for any deficits resulting from failure to receive any Service Charges and to pay and discharge all charges or liens payable out of Revenues when due and enforceable, and (B) for the 2023 Fiscal Year and each subsequent Fiscal Year, one and fifteen-hundredths times Aggregate Debt Service for the Applicable Bond Year, such Aggregate Debt Service to be reduced by any proceeds of System Obligations held by the Trustee for disbursement during that Bond Year to pay principal of and interest on Senior Lien Obligations.

(b) If during any Fiscal Year, Revenues and Other Available Moneys to be deposited with the Trustee are estimated to produce less than the amount required under subsection (a), the City shall revise its schedule of Service Charges or alter its methods of

operation or take other action in such manner as is necessary to produce the amount so required in such Fiscal Year.

(c) Within 120 days after the end of each Fiscal Year, the City shall furnish to the Trustee calculations of the coverage required under subsection (a).

(d) If the calculation specified in subsection (c) for any Fiscal Year indicates that the City has not satisfied its obligations under subsection (a), then as soon as practicable, but in any event no later than 45 days after the receipt by the Trustee of such calculation, the City shall employ an Independent System Consultant to review and analyze the financial status and the administration and operation of the System and to submit to the City, within 45 days after employment of the Independent System Consultant, a written report on the same, including the action which the Independent System Consultant recommends should be taken by the City with respect to the revision of its schedule of Service Charges, alteration of its methods of operation or the taking of other action that is projected to result in producing the amount so required in the then current Fiscal Year or, if less, the maximum amount deemed feasible by the Independent System Consultant. Within 60 days following its receipt of the recommendations the City shall, after giving due consideration to the recommendations, revise its schedule of Service Charges or alter its methods of operation, which revisions or alterations need not comply with the Independent System Consultant's recommendations so long as any revisions or alterations are projected by the City to result in compliance with subsection (a). The City shall transmit copies of the Independent System Consultant's recommendations to the Trustee.

(e) If at any time and as long as the City is in full compliance with the provisions of subsections (b), (c) and (d), there shall be no Event of Default under this Indenture as a consequence of the City's failure to satisfy the covenants contained in subsection (a) during such period.

(f) If all or any portion of an Outstanding Series of Senior Lien Obligations constitute Balloon Maturities, then for purposes of determining Annual Debt Service and Senior Lien Debt Service each maturity that constitutes a Balloon Maturity shall, unless otherwise provided in the Supplemental Indenture pursuant to which such Senior Lien Obligations are authorized or unless subsection (g) then applies to such maturity, be treated as if it were amortized over a term of not more than 30 years and with substantially level annual debt service funding payments commencing not later than the year following the year in which the indebtedness that includes such Balloon Maturity was originally issued and extending not later than 30 years from the date the indebtedness that includes such Balloon Maturity was originally issued; the interest rate used for such computation shall be that rate quoted in the Bond Buyer 25 Revenue Bond Index for the last week of the month preceding the date of calculation as published by the *Bond Buyer*, or if that index is no longer published, another similar index designated by an Authorized Officer, taking into consideration whether such Senior Lien Obligations bear interest which is or is not excluded from gross income for federal income tax purposes.

(g) Any maturity of Senior Lien Obligations that constitutes a Balloon Maturity as described in subsection (f), and for which the stated maturity date occurs within 12

months from the date such calculation of Annual Debt Service or Senior Lien Debt Service made, shall be assumed to become due and payable on the stated maturity date, and subsection (f) shall not apply thereto, unless there is delivered to the entity making the calculation of Annual Debt Service or Senior Lien Debt Service a Certificate of the City stating (i) that the City intends to refinance such maturity, (ii) the probable terms of such refinancing and (iii) that the debt capacity of the System is sufficient to successfully complete such refinancing; upon the receipt of such Certificate, such Balloon Maturity shall be assumed to be refinanced in accordance with the probable terms set out in such Certificate and such terms shall be used for purposes of calculating Annual Debt Service and Senior Lien Debt Service; provided that such assumption shall not result in an interest rate lower than that which would be assumed under subsection (f) and shall be amortized over a term of not more than 30 years from the expected date of refinancing.

COVENANT AGAINST PLEDGE OF REVENUES

The City covenants not to issue any bonds, notes or other evidences of indebtedness secured by the pledge of the Trust Estate, other than Senior Lien Obligations, and covenants not to create or cause to be created any lien or charge on Revenues, or on any amounts pledged for the benefit of Owners of Senior Lien Obligations, other than the pledge of the Trust Estate; provided, however, that nothing prevents the City (a) from issuing bonds, notes or other evidences of indebtedness payable out of, or secured by a pledge of, Revenues to be derived on and after the date of the pledge of the Trust Estate is discharged and satisfied as provided under "Defeasance", or (b) from issuing bonds, notes or other evidences of indebtedness (including bonds, notes or other evidences of indebtedness evidencing loans made by the City to the System) which are (1) payable out of or secured by, the pledge of amounts which may be withdrawn from the Junior Lien Obligation Debt Service Fund so long as the pledge is expressly junior and subordinate to the pledge of the Trust Estate or (2) payable out of any moneys withdrawn from the System General Fund free from any lien or security interest created by the Indenture.

ENFORCEMENT OF SERVICE CHARGES

The City shall so plan, schedule and prosecute all construction on or about the System, and shall so operate and maintain the System, as to entitle it at all times to charge and collect Service Charges and to collect Revenues with respect to the System, and shall take all reasonable measures permitted by law to enforce prompt payment to it of all Service Charges and Revenues.

INSURANCE COVERAGE AND CONDEMNATION AWARDS

The City shall at all times maintain with responsible insurers all such insurance as is customarily maintained with respect to waterworks and sewerage systems of like character against loss of or damage to the System and against loss of Revenues and against public and other liability to the extent reasonably necessary to protect the interest of the City and the Owners of Senior Lien Obligations. If any useful part of the System shall be damaged or destroyed, the City shall, as expeditiously as may be possible, commence and diligently prosecute the repair or replacement of the damaged property so as to restore the same to use. The proceeds of any such insurance shall be payable to the City and (except for proceeds of use and occupancy insurance) shall be deposited into a special account and applied to the necessary costs involved in such repair and replacement

and, to the extent not so applied, shall (together with proceeds of any such use and occupancy insurance) be deposited by the City as Revenues. In the event that the costs of such repair and replacement of the damaged property exceed the proceeds of such insurance available for payment of the same, funds available in the System General Fund shall be used to the extent necessary for such purposes, and if funds available in the System General Fund are insufficient therefor, funds available in the Renewal and Replacement Fund shall be used to the extent necessary for such purposes.

In the event of the condemnation of any property constituting part of the System, any condemnation award (and any payment in lieu of any such condemnation award) that is paid to the City for the benefit of the System shall be deposited into a special account and applied by the City for any one or more of the following purposes: (i) to increase the amount in the Renewal and Replacement Fund to the System Reserve Requirement; (ii) to fund all or a portion of the cost of any System Project; (iii) to pay any amount of the Principal Installments of, or interest on, any Senior Lien Obligations; (iv) to pay the Redemption Price of any Senior Lien Obligations; and (v) to provide for the defeasance of any Senior Lien Obligations.

SALE OR ENCUMBRANCE

(a) Except as provided in subsections (b) and (c) , no part of the System shall be sold, leased, mortgaged, pledged, encumbered or otherwise disposed of.

(b) The City may sell, exchange, lease or dispose of at any time and from time to time any property or facilities constituting part of the System and not useful or necessary in the construction, reconstruction or operation thereof, but any proceeds of any such sale, exchange, lease, or disposition if payable in installments over a period of two or more years, shall be deposited in the Revenue Fund as Revenues; and any such proceeds not so payable shall be deposited in the System General Fund.

(c) The sale, conveyance on other disposition of all or a substantial portion of the waterworks facilities of the System, including any material aspect of control, management or oversight of such waterworks facilities (a “transfer”) may be accomplished by the City at any time, but shall not occur unless and until all of the following conditions shall have been met:

(1) Such transfer is made to a Regional Authority pursuant to a transfer agreement approved by an ordinance of the City and the City shall have filed with the Trustee (A) an executed counterpart of such transfer agreement and (B) a certified copy of such ordinance;

(2) Such transfer agreement shall provide that the Regional Authority accepts and shall be obligated to perform all of the duties and obligations of the City contained in the Indenture with respect to the transferred waterworks facilities and shall provide for the assumption by the Regional Authority of such portion (if any) of the Senior Lien Debt Service as provided for in such transfer agreement and as set forth in a Certificate of the Independent System Consultant filed with the Trustee;

(3) The City shall have filed with the Trustee a Certificate of the Independent System Consultant, certifying that, with respect to each of the five Fiscal Years next following the date of the transfer, the sum of the projected Net Revenues of the System remaining under the management and control of the City, as adjusted pursuant to paragraph (5) and the projected Other Available Moneys, as adjusted pursuant to paragraph (6), will not be less than one hundred twenty percent (120%) of the Annual Debt Service for each Applicable Bond Year allocated to the portion of the System retained by the City;

(4) The City shall have filed with the Trustee a Certificate of the Independent System Consultant certifying that, with respect to each of the five Fiscal Years next following the date of the transfer, the sum of the projected Net Revenues to be derived from the portion of the System transferred to the Regional Authority, as adjusted pursuant to paragraph (5) and the projected Other Available Moneys, as adjusted pursuant to paragraph (6), will not be less than one hundred twenty percent (120%) of the Annual Debt Service for each Applicable Bond Year allocated to the Regional Authority;

(5) Each Certificate of the Independent System Consultant filed with the Trustee pursuant to paragraphs (3) and (4) shall adjust projected Net Revenues to reflect (A) each schedule of Service Charges approved by the City Council and each schedule of fees and changes of the governing body of the Regional Authority and (B) any payments made (or to be made) by the Regional Authority to the City and by the City to the Regional Authority under the terms of the transfer agreement; and

(6) With respect to each Certificate of the Independent System Consultant filed with the Trustee pursuant to paragraphs (3) and (4), the amount of Other Available Moneys shall be adjusted to exclude any particular source of Other Available Moneys if the pledge thereof as security for the payment of Senior Lien Obligations will expire prior to the last day of the fifth Fiscal Year next following the date of the transfer.

ANNUAL AUDIT

The City covenants that it will, within 210 days after the close of each Fiscal Year, furnish the Trustee with a copy of an annual audit report, prepared in accordance with generally accepted accounting principles and certified by an Independent Accountant, covering the operation of the System for the Fiscal Year. The audit must contain a calculation based on actual data enabling the Independent Accountant to certify that the Rate and Coverage Covenant have been satisfied with respect to that Fiscal Year.

TAX COVENANTS

The City shall not take, or omit to take, any action within its power to take, which action or omission would cause interest on any Senior Lien Obligation to become subject to Federal income taxes in addition to the Federal income taxes to which interest on such Senior Lien

Obligation is subject on the date of original issuance thereof. Any Supplemental Indenture creating a Series may contain additional covenants of the City with respect to the exemption from Federal income taxation of the interest on Senior Lien Obligation of that Series.

LIMITATION ON ACCELERATION RIGHTS

(a) The City shall not issue any Senior Lien Obligation or enter into any agreement authorizing or constituting a Senior Lien Obligation, in any case that grants to the Owner or beneficiary thereof the right to accelerate all or any portion of the principal of such Senior Lien Obligation.

(b) Except as provided in subsection (c), the City shall not issue any Junior Lien Obligation or enter into any agreement authorizing or constituting a Junior Lien Obligation, in any case that grants to the owner or beneficiary thereof the right to accelerate all or any portion of the principal of such Junior Lien Obligation.

(c) The provisions of subsection (b) shall not apply to any Junior Lien Obligation or any other indebtedness of the City to the Illinois Environmental Protection Agency (or any successor entity, assignee or delegee) incurred or to be incurred pursuant to either the Public Water Supply Loan Program of the State of Illinois or the Water Pollution Control Program of the State of Illinois, in each case, that is payable from amounts that may be withdrawn from the Junior Lien Obligation Debt Service Fund or the System General Fund.

OWNERSHIP OF SYSTEM

The City shall make no contract requiring payment for labor or to contractors, builders or materialmen on account of the construction or reconstruction of any part of the System (excluding improvements to the water system of the City of Chicago), unless such part is located on lands to which title or over which a perpetual easement, in either case sufficient for the purpose of the City, is owned or can be acquired by the City, or unless such part is lawfully located in a public street, highway, alley, or other right of way or public ground or is a part of the System located on land in which a right or interest or permit, license or other consent less than a fee simple or perpetual easement has been acquired from the United States of America, the State of Illinois or a political subdivision thereof or a public utility and such lesser right or interest has been approved by a Counsel's Opinion as sufficient for the purposes of the City.

OPERATION AND MAINTENANCE OF SYSTEM

The City covenants that it will use its best efforts to see that the System is at all times operated and maintained in an efficient operating condition; and such repairs are made to the System as are necessary or appropriate in the prudent management of the System to ensure its economic and efficient operation at all times. The City covenants to cause all Service Charges and other charges for the use and operation of the System and for certain services rendered by the City in the operation of the System to be collected when and as due and covenants to prescribe and enforce rules and regulations for their payment and for the consequences of their nonpayment. The City covenants, out of Revenues, from time to time, duly to pay and discharge, or cause to be paid and discharged, any taxes, assessments or other governmental charges lawfully imposed upon

the System or upon any part of it, or upon the Trust Estate or the Revenues, when they become due, as well as any lawful claim for labor, materials, or supplies which, if unpaid, might by law become a lien or charge upon the System, or which might impair the security of the Senior Lien Obligations; provided, however, that nothing contained shall require the City to pay or cause to be discharged, or make provision for, any such lien or charge, so long as the validity thereof shall be contested in good faith and by appropriate legal proceedings.

ANNUAL BUDGET OF OPERATING EXPENSES

Before the beginning of any Fiscal Year, the City shall prepare a preliminary budget of Operating Expenses for the ensuing Fiscal Year. Such preliminary budget and any Annual Budget may set forth such additional material as the City may determine. On or before the 90th day of each Fiscal Year, the City shall finally adopt the Annual Budget for such Fiscal Year. If for any reason the City shall not have adopted the Annual Budget before the first day of any Fiscal Year, the preliminary budget for such year, or the budget for the preceding Fiscal Year, shall be deemed to have been adopted for such Fiscal Year until the Annual Budget for such Fiscal Year shall be adopted. The City may at any time adopt an amended Annual Budget for the then current Fiscal Year.

LIMITATIONS ON OPERATING EXPENSES

The City shall not incur Operating Expenses in any year in excess of the reasonable and necessary amount thereof, and shall not expend any amount for maintenance, repair and operation in excess of the amounts provided for Operating Expenses in the Annual Budget then in effect.

DEFEASANCE

(a) If the City pays or causes to be paid to the Owners of all Senior Lien Obligations the principal and interest and redemption premium, if any, to become due thereon, at the times and in the manner stipulated in them, in the Indenture and the Supplemental Indenture and instruments creating Senior Lien Obligations, then the pledge of the Trust Estate and all other rights granted by the Indenture are discharged and satisfied. In that event, the Trustee must, upon the request of the City, execute and deliver to the City all such instruments as may be desirable to evidence the discharge and satisfaction and the Fiduciaries must pay over or deliver to the City all Accounts, Funds and other moneys or securities held by them pursuant to this Indenture and the Supplemental Indentures which are not required for payment or redemption of Senior Lien Obligations not theretofore surrendered for payment or redemption.

(b) Senior Lien Obligations or interest installments for the payment or redemption of which funds have been set aside and held in trust by Fiduciaries (through deposit by the City of moneys for the payment or redemption or otherwise) are, at the maturity or upon the date upon which the Senior Lien Obligations have been duly called for their redemption, deemed to have been paid within the meaning and with the effect expressed in subsection (a). Senior Lien Obligations are, before their maturity or redemption date, deemed to have been paid within the meaning and with the effect expressed in subsection (a) if (i) in case any of the Senior Lien Obligations are to be

redeemed on any date before their maturity, the City has taken all action necessary to call the Senior Lien Obligations for redemption and notice of the redemption has been duly given or provision satisfactory to the Trustee has been made for the giving of such notice, (ii) there have been deposited with the Trustee for that purpose either moneys in an amount which is sufficient, or Federal Obligations the principal of and the interest on which when due (without reinvestment) will provide moneys which, together with the moneys, if any, deposited with the Trustee at the same time, are sufficient, to pay when due the principal or Redemption Price, as applicable, and interest due and to become due on the Senior Lien Obligations on and before their redemption date or maturity date, as the case may be, and (iii) if the Senior Lien Obligations are not by their terms subject to redemption within the next succeeding 60 days, the City has given the Trustee irrevocable instructions to mail as soon as practicable, a notice to the Owners of the Senior Lien Obligations that the deposit required by clause (ii) above has been made with the Trustee and that the Senior Lien Obligations are deemed to have been paid in accordance with this Section, and stating the maturity or redemption date upon which moneys are to be available for the payment of the principal or Redemption Price, of, and accrued interest on, the Senior Lien Obligations. Neither the Federal Obligations or moneys deposited with the Trustee nor principal or interest payments on any such Federal Obligations may be withdrawn or used for any purpose other than, and must be held in trust for, the payment of the principal or Redemption Price, of and interest on the Senior Lien Obligations; but any cash received from the principal or interest payments on the Federal Obligations deposited with the Trustee, if not then needed for the purpose, must, to the extent practicable, be reinvested in Federal Obligations maturing at times and in amounts sufficient to pay when due the principal or Redemption Price, of, and interest due and to become due on, the Senior Lien Obligations on and before their redemption date or maturity date, as the case may be, and interest earned from those reinvestments must be paid over to the City, as received by the Trustee, free and clear of any trust, assignment, lien or pledge.

(c) No defeasance of a Senior Lien Obligation that is to be paid more than 60 days after the date of the deposit referred to in clause (ii) of subsection (b) shall be effective until the Trustee shall have received a verification report signed by an Independent Accountant that the Federal Obligations and moneys to be deposited for such purpose are sufficient to pay the principal or Redemption Price of, and interest on, all Senior Lien Obligations with respect to which provision for payment is to be made by virtue of the deposit of such Federal Obligations and moneys.

SUPPLEMENTAL INDENTURES EFFECTIVE UPON EXECUTION BY THE TRUSTEE

For any one or more of the following purposes and at any time or from time to time, a Supplemental Indenture may be authorized by the City, which, upon execution and delivery of the Supplemental Indenture by the City and the Trustee, is fully effective in accordance with its terms:

(a) to close the Indenture against, or provide limitations and restrictions in addition to the limitations and restrictions contained in the Indenture on, the issuance or incurrence of Senior Lien Obligations or other evidences of indebtedness;

(b) to add to the covenants and agreements of the City in the Indenture other covenants and agreements to be observed by the City which are not contrary to or inconsistent with this Indenture as theretofore in effect;

(c) to add to the limitations and restrictions in the Indenture other limitations and restrictions to be observed by the City which are not contrary to or inconsistent with this Indenture as theretofore in effect;

(d) to surrender any right, power or privilege reserved to or conferred upon the City by the terms of the Indenture, but only if the surrender of the right, power or privilege is not contrary to or inconsistent with the covenants and agreements of the City contained in the Indenture;

(e) to create a Series of Senior Lien Obligations and, in connection therewith, to specify and determine the matters and things which are not contrary to or inconsistent with the Indenture as theretofore in effect;

(f) to confirm, as further assurance, the pledge, and the subjection of additional revenues, properties and collateral to any lien, claim or pledge created or to be created by the Indenture; and

(g) to modify any of the provisions of the Indenture in any respect whatever, but only if (i) the modification is, and is expressed to be, effective only after all Senior Lien Obligations Outstanding at the date of the execution and delivery of the Supplemental Indenture cease to be Outstanding, and (ii) the Supplemental Indenture is specifically referred to in the text of all Senior Lien Obligations issued after the date of the execution and delivery of the Supplemental Indenture and of Senior Lien Obligations issued in exchange therefor or in place of it.

SUPPLEMENTAL INDENTURES EFFECTIVE UPON CONSENT OF TRUSTEE

For any one or more of the following purposes and at any time or from time to time, a Supplemental Indenture may be authorized by the City which, upon (i) the filing with the Trustee and the City of an instrument in writing made by the Trustee consenting thereto and (ii) the execution and delivery of the Supplemental Indenture by the City and the Trustee, is fully effective in accordance with its terms: (A) to cure any ambiguity, supply any omission, or cure or correct any defect or inconsistent provision in the Indenture; (B) to insert such provisions clarifying matters or questions arising under this Indenture as are necessary or desirable and are not contrary to or inconsistent with the Indenture as theretofore in effect; or (C) to provide additional duties of the Trustee under the Indenture.

SUPPLEMENTAL INDENTURES EFFECTIVE WITH CONSENT OF OWNERS

At any time or from time to time, a Supplemental Indenture may be authorized by the City, subject to consent by the Owners of Senior Lien Obligations in accordance with and subject to the provisions under “Powers of Amendment”, which Supplemental Indenture, upon compliance with such provisions, and upon execution and delivery of the Supplemental Indenture by the City and the Trustee, becomes fully effective in accordance with its terms.

POWERS OF AMENDMENT

(a) Subject to the provisions of subsection (b), any modification or amendment of the Indenture or of any Supplemental Indenture, or of the rights and obligations of the City and of the Owners of the Senior Lien Obligations, in particular, may be made by a Supplemental Indenture, with the written consent given:

(i) of the Owners of at least a majority in principal amount of the Senior Lien Obligations Outstanding at the time the consent is given;

(ii) in case less than all of the several Series of then Outstanding Series of Senior Lien Obligations are affected by the modification or amendment, of the Owners of at least a majority in principal amount of the then Outstanding Senior Lien Obligations of each Series so affected; and

(iii) in case the modification or amendment changes the terms of any Sinking Fund Payment, of the holders of at least a majority in principal amount of the then Outstanding Senior Lien Obligations of the particular Series and maturity entitled to the Sinking Fund Payment, but only if permitted under subsection (b).

(b) If the modification or amendment will, by its terms, not take effect so long as any Senior Lien Obligations of any specified like Series and maturity remain Outstanding, the consent of the Owners of those Senior Lien Obligations are not required and those Senior Lien Obligations are not deemed to be Outstanding for the purpose of any calculation of Outstanding Senior Lien Obligations. No such modification or amendment may permit a change in the terms of redemption or maturity of the principal of any Outstanding Senior Lien Obligation (including any redemption as a result of Sinking Fund Payments) or of any installment of interest on it or a reduction in the principal amount or its Redemption Price or in the rate of interest on it without the consent of the Owner of the Senior Lien Obligation, or may reduce the percentages or otherwise affect the classes of Senior Lien Obligations the consent of the Owners of which is required to effect any such modification or amendment, or may change or modify any of the rights or obligations of any Fiduciary without its written assent to the change or modification. A Series is deemed to be affected by a modification or amendment of this Indenture if it adversely affects or diminishes the rights of the Owners of Senior Lien Obligations of the Series. The Trustee may in its discretion (which may be based upon an opinion of counsel, which may be a Counsel's Opinion) determine whether or not in accordance with the foregoing powers of amendment Senior Lien Obligations of any particular Series or maturity would be affected by any modification or amendment of this Indenture, and any such determination is binding and conclusive on the City and all Owners of Senior Lien Obligations.

(c) Any consent to the modification or amendment of the Indenture is binding upon the Owner of the Senior Lien Obligation giving the consent and upon any subsequent Owner of that Senior Lien Obligation and of any Senior Lien Obligation issued in exchange for it (whether or not the subsequent Owner of it has notice of the consent) unless the consent is revoked in writing by the Owner of the Senior Lien Obligation giving the consent or a subsequent Owner of it by filing the revocation with the Trustee, before the time when

the written statement of the Trustee provided for later in this Section is filed. The fact that a consent has not been revoked may likewise be proved by a certificate of the Trustee filed with the Trustee to the effect that no revocation of the consent is on file with the Trustee.

EVENTS OF DEFAULT

Each of the following events of default is hereby declared an "*Event of Default*":

(a) payment of the principal or Redemption Price of any Senior Lien Obligation is not made when and as it becomes due, whether at maturity or upon call for redemption or otherwise;

(b) payment of any installment of interest on any Senior Lien Obligation is not made when it becomes due;

(c) the City fails or refuses to comply with the provisions of the Indenture, or defaults in the performance or observance of any the covenants, agreements or conditions on its part contained in the Indenture or the Senior Lien Obligations, which materially affects the rights of the Owners of the Senior Lien Obligations and the failure, refusal or default continues for a period of 30 days after written notice of it by the Trustee or the Owners of not less than 25% in principal amount of the Outstanding Senior Lien Obligations; provided, however, that in the case of any such default which can be cured by due diligence but which cannot be cured within the 30-day period, the time to cure is extended for such period (not exceeding 180 days after the date of such written notice) as may be necessary to remedy the default with all due diligence;

(d) the City files a petition seeking a composition of indebtedness or any other general protection from creditors under the United States Bankruptcy Code (codified as Title 11 of the United States Code) as from time to time in effect, or under any insolvency, receivership, debt payment moratorium or similar law of the State of Illinois applicable to the City and from time to time in effect; or

(e) an event of default occurs and is continuing under the provisions of any Supplemental Indenture.

REMEDIES

(a) Upon the happening and continuance of any Event of Default, (1) the City, upon demand of the Trustee, shall pay over or cause to be paid over to the Trustee (i) forthwith, all moneys, securities and funds then held by the City in any Fund, Account or sub-fund or account pursuant to the terms of the Indenture, and (ii) all Revenues and Other Available Moneys as promptly as practicable after receipt thereof, and (2) the Trustee must proceed, or upon the happening and continuance of any Event of Default specified in subsection (c) or (d) under "Events of Default", the Trustee may proceed, and upon the written request of the Owners of not less than 25% in principal amount of the Outstanding Senior Lien Obligations, must proceed, in its own name, subject to the provisions of this Section, to protect and enforce its rights and the rights of the Owners of the Senior Lien Obligations by such of the following remedies or any additional remedies specified in one

or more Supplemental Indentures with respect to a particular Series as the Trustee, being advised by counsel, deems most effectual to protect and enforce such rights:

(i) by mandamus or other suit, action or proceeding at law or in equity, to enforce all rights of the Owners of the Senior Lien Obligations, including the right to require the City to receive and collect Revenues and Other Available Moneys adequate to carry out the covenants and agreements as to those Revenues and Other Available Moneys and the pledge of the Trust Estate, and to require the City to carry out any other covenant or agreement with the Owners of the Senior Lien Obligations and to perform its duties under the Indenture;

(ii) by bringing suit upon the Senior Lien Obligations;

(iii) by action or suit in equity, require the City to account as if it were the trustee of any express trust for the Owners of the Senior Lien Obligations; or

(iv) by action or suit in equity, enjoin any acts or things which may be unlawful or in violation of the rights of the Owners of the Senior Lien Obligations.

(b) In the enforcement of any rights and remedies under the Indenture, the Trustee is entitled to sue for, enforce payment on and receive any and all amounts then or during any default becoming, and at any time remaining, due from the City, but only out of moneys pledged as security for the Senior Lien Obligations for principal, Redemption Price, interest or otherwise, under any provision of this Indenture or any Supplemental Indenture or of the Senior Lien Obligations, and unpaid, with interest on overdue payments at the rate or rates of interest specified in the Senior Lien Obligations, together with any and all costs and expenses of collection and of all proceedings under the Indenture and under the Senior Lien Obligations without prejudice to any other right or remedy of the Trustee or of the Owners of the Senior Lien Obligations, and to recover and enforce a judgment or decree against the City for any portion of the amounts remaining unpaid, with interest, costs and expenses, and to collect from any moneys available under the Indenture for such purpose, in any manner provided by law, the moneys adjudged or decreed to be payable. No action, suit or proceeding by the Trustee or any Owner shall seek to accelerate the date for payment of any Principal Installment of or any interest on, any Senior Lien Obligation.

PRIORITY OF PAYMENTS AFTER DEFAULT

If upon the happening and continuance of any Event of Default, the moneys held by any Fiduciary is insufficient for the payment of principal or Redemption Price, if any, and interest then due on the Senior Lien Obligations, those moneys (other than moneys held for the payment or redemption of particular Senior Lien Obligations which have theretofore become due at maturity or by call for redemption) and any other moneys received or collected by the Trustee, after making provision for the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Owners of the Senior Lien Obligations and for the payment of the charges and expenses and liabilities incurred and advances made by any Fiduciary in the performance of its duties under the Indenture, must, except as otherwise provided with respect to moneys held for the

exclusive benefit of specific Senior Lien Obligations under the provisions of a Supplemental Indenture or other instrument, be applied as follows:

FIRST, to the payment or the persons entitled thereto of all installments of interest then due in the order of the maturity of those installments, and, if the amount available is not sufficient to pay in full any installment, then to the payment of it ratably, according to the amounts due on the installment, to the persons entitled thereto, without any discrimination or preference; and

SECOND, to the payment to the persons entitled thereto of the unpaid principal or Redemption Price of any Senior Lien Obligations which have become due, whether at maturity or by call for redemption, in the order of their due dates with interest on those Senior Lien Obligations from the respective dates upon which the principal or Redemption Price became due at the rate borne by the Senior Lien Obligations and, if the amounts available are insufficient to pay in full all the Senior Lien Obligations due on any date, then to the payment of them ratably, according to the amounts of principal or Redemption Price, due on that date, to the persons entitled thereto, without any discrimination or preference.

TERMINATION OF PROCEEDINGS

In case any proceedings taken by the Trustee on account of any Event of Default shall have been discontinued or abandoned for any reason, then in every such case the City, the Trustee and the Owners of the Senior Lien Obligations will be restored to their former positions and rights under the Indenture, respectively, and all rights, remedies, powers and duties of the Trustee continue as though no such proceeding had been taken.

DIRECTION OF PROCEEDINGS BY OWNERS

The Owners of the majority in principal amount of the Senior Lien Obligations then Outstanding have the right, by an instrument or concurrent instruments in writing executed and delivered to the Trustee, to direct the method of conducting all remedial proceedings to be taken by the Trustee under the Indenture, but the direction must not be otherwise than in accordance with law or the provisions of the Indenture, and the Trustee has the right to decline to follow any such direction which in the opinion of the Trustee would be unjustly prejudicial to Owners of the Senior Lien Obligations not parties to the direction.

LIMITATION ON RIGHTS OF OWNERS

No Owner of any Senior Lien Obligation has any right to institute any suit, action, mandamus or other proceeding in equity or at law under the Indenture, or for the protection or enforcement of any right or remedy under the Indenture or any right under law unless the Owner has given to the Trustee written notice of the Event of Default or breach of duty on account of which the suit, action or proceeding is to be taken, and unless the Owners of not less than 25% in principal amount of the Senior Lien Obligations then Outstanding have made written request of the Trustee after the right to exercise such powers or right of action, as the case may be, has accrued, and have afforded the Trustee a reasonable opportunity either to proceed to exercise the powers granted in this Indenture or granted under law or to institute the action, suit or proceeding in its name and unless, also, there must have been offered to the Trustee reasonable security and

indemnity against the costs, expenses and liabilities to be incurred therein or thereby, and the Trustee must have refused or neglected to comply with the request within a reasonable time; and the notification, request and offer of indemnity are hereby declared in every such case, at the option of the Trustee, to be conditions precedent to the execution of the powers under this Indenture or for any other remedy under this Indenture or under law; provided, that any indemnification that would otherwise be provided by the WIFIA Lender shall instead by provided by the City and the Trustee shall not take or fail to take any action as a result of such indemnification being provided by the City in lieu of the WIFIA Lender. It is understood and intended that no one or more Owners of the Senior Lien Obligations hereby secured has any right in any manner whatever by the Owner's or Owners' action to affect, disturb or prejudice the security of the Indenture, or to enforce any right under the Indenture or under law with respect to the Senior Lien Obligations or the Indenture, except in the manner provided in this Indenture, and that all proceedings at law or in equity must be instituted, had and maintained in the manner provided in this Indenture and for the benefit of all Owners of the Outstanding Senior Lien Obligations. Nothing above contained affects or impairs the right of the Owner of any Senior Lien Obligation to enforce the payment of the principal or Redemption Price, if any, of and interest on the Owner's Senior Lien Obligation or the obligation of the City to pay the principal or Redemption Price, if any, of and interest on each Senior Lien Obligation issued under this Indenture to its Owner at the time and place in the Senior Lien Obligation, if any, expressed.

NOTICE TO OWNERS

The Trustee must give the Owners of the Senior Lien Obligations notice of each Event of Default under this Indenture known to the Trustee within 60 days after knowledge of its occurrence, unless the Event of Default has been remedied or cured or necessary moneys provided before the giving of the notice; but, except in the case of default in the payment of the principal or Redemption Price, if any, of or interest on any of the Senior Lien Obligations, the Trustee is protected in withholding the notice if and so long as the board of directors, the executive committee, or a trust committee of directors or responsible officers of the Trustee in good faith determines that the withholding of the notice is in the interests of the Owners of the Senior Lien Obligations.

RESPONSIBILITY OF FIDUCIARIES

The recitals of fact in the Indenture and in any Senior Lien Obligations contained must be taken as the statements of the City and no Fiduciary assumes any responsibility for their correctness. No Fiduciary makes any representation as to the validity or sufficiency of the Indenture or any Supplemental Indenture, or of any Senior Lien Obligations, or in respect of the security afforded by the Indenture or any Supplemental Indenture, and no Fiduciary incurs any responsibility in respect of them. The Trustee is, however, responsible for its representation contained in its certificate on the Senior Lien Obligations. No Fiduciary is under any responsibility or duty with respect to the application of any moneys paid to the City or to any other Fiduciary. No Fiduciary is under any obligation or duty to perform any act which would involve it in expense or liability or to institute or defend any suit in respect of this Indenture, or to advance any of its own moneys, unless properly indemnified. No Fiduciary is liable in connection with the performance of its duties under this Indenture except for its own negligence or default.

Prior to the occurrence of an Event of Default, or after the timely cure of an Event of Default, the Trustee shall perform only such duties as are specifically set forth in the Indenture or any Supplemental Indenture and no implied obligations should be read into this Indenture or Supplemental Indenture against the Trustee. After the occurrence, or during the continuance, of an Event of Default, the Trustee shall exercise such of the rights and powers vested in it, and use the same degree of care and skill in such exercise, as a prudent person would exercise under the circumstances in the conduct of his or her own affairs. The Trustee shall not be required to take notice, or be deemed to have notice, of any default or Event of Default under the Indenture, other than an Event of Default under clause (a) or (b) of "Events of Default", unless an officer, agent or employee responsible for matters relating to the Senior Lien Obligations shall have actual knowledge of such default or Event of Default, or the Trustee shall have been specifically notified in writing of such default or Event of Default by the Owners of at least 25% in aggregate principal amount of the Senior Lien Obligations then Outstanding.

RESIGNATION OR REMOVAL OF TRUSTEE

The Trustee may at any time resign and be discharged of the duties and obligations created by the Indenture by giving not less than 60 days' written notice to the City and mailing notice of the resignation, specifying the date when the resignation takes effect, to the Owners of the Senior Lien Obligations. The resignation may take effect only upon the appointment of a successor Trustee.

The Trustee must be removed by the City if at any time so requested by an instrument or concurrent instruments in writing, filed with the Trustee and the City, and signed by the Owners of a majority in principal amount of the then Outstanding Senior Lien Obligations or their attorneys-in-fact duly authorized, excluding any Senior Lien Obligations held by or for the account of the City. The City may remove the Trustee at any time, except during the existence of an Event of Default, with or without cause in the sole discretion of the City.

APPOINTMENT OF SUCCESSOR TRUSTEE

In case at any time the Trustee resigns or is removed or becomes incapable of acting, or is adjudged a bankrupt or insolvent, or if a receiver, liquidator or conservator of the Trustee, or of its property, is appointed, or if any public officer takes charge or control of the Trustee or of its property or affairs, the City covenants and agrees that it will thereupon appoint a successor Trustee. The City covenants, within 20 days after the appointment, to cause to be mailed notice of the appointment to the Owners of the Senior Lien Obligations. If in a proper case no appointment of a successor Trustee is made within 45 days after the Trustee has given to the City written notice, or after a vacancy in the office of the Trustee has occurred by reason of its removal or inability to act, the Trustee or the Owner of any Senior Lien Obligation may apply to any court of competent jurisdiction to appoint a successor Trustee. The court may thereupon, after the notice, if any, as the court may deem proper and prescribe, appoint a successor Trustee.

NO RECOURSE UNDER INDENTURE OR ON SENIOR LIEN OBLIGATIONS

All covenants, stipulations, promises, agreements and obligations of the City are deemed to be the covenants, stipulations, promises, agreements and obligations of the City and not of any

officer or employee of the City in his individual capacity, and no recourse is available for the payment of the principal or Redemption Price of or interest on the Senior Lien Obligations or for any claim based thereon or on the Indenture or any Supplemental Indenture against any officer or employee of the City or any natural person executing the Senior Lien Obligations.

Senior Lien Obligations shall be limited obligations payable exclusively from the Revenues and certain other moneys and securities held by the Trustee as provided in this Indenture. The general fund of the City is not liable, and the credit or taxing power of the City is not pledged, for the payment of the Senior Lien Obligations or interest thereon. The Owners of the Senior Lien Obligations shall not have the right to compel the exercise of the taxing power of the City or the forfeiture of any property of the City.

RIGHTS OF BOND INSURER

Pursuant to the Supplemental Indenture authorizing a Series of Senior Lien Obligations, the Bond Insurer with respect to any such Senior Lien Obligation may be deemed to be the sole Owner of such Senior Lien Obligations for purposes of approving amendments to the Indenture (other than certain amendments that require the consent of each affected Owner or the consent of the Trustee), exercising remedies upon the occurrence of a default under the Indenture, providing specific approvals, consents or waivers or instruments of similar purpose, and to the extent any Bond Insurer is deemed to be the sole Owner for such purposes, the rights of the Owners of the Senior Lien Obligations shall be abrogated, except that each Owner shall retain the right to seek enforcement of the covenants set forth under "Tax Covenants" and in any Supplemental Indenture with respect to the exemption from Federal income taxation of the interest on any Series of Senior Lien Obligations and the right to enforce payment of the principal or Redemption Price of and interest on the Owner's Senior Lien Obligations.

All rights of any Bond Insurer under the Indenture and any Supplemental Indenture shall cease and terminate if: (i) such Bond Insurer has failed to make any payment under its Bond Insurance Policy; (ii) such Bond Insurance Policy shall cease to be valid and binding on such Bond Insurer or shall be declared to be null and void, or the validity or enforceability of any provision thereof is being contested by such Bond Insurer, or such Bond Insurer is denying further liability or obligation under such Bond Insurance Policy; (iii) a petition has been filed and is pending against such Bond Insurer under any bankruptcy, reorganization, arrangement, insolvency, readjustment of debt, dissolution, liquidation or rehabilitation law of any jurisdiction, and has not been dismissed within 60 days after such filing; (iv) such Bond Insurer has filed a petition, which is still pending, in voluntary bankruptcy or is seeking relief under any provision of any bankruptcy, reorganization, arrangement, insolvency, readjustment of debt, dissolution, liquidation or rehabilitation law of any jurisdiction, or has consented to the filing of any petition against it under any such law; or (v) a receiver has been appointed for such Bond Insurer under the insurance laws of any jurisdiction.

SEVERABILITY OF INVALID PROVISIONS

If any one or more of the covenants or agreements provided in this Indenture on the part of the City or any Fiduciary to be performed should be contrary to law, then that covenant or agreement or those covenants or agreements are deemed separable from the remaining covenants

and agreements of the Indenture and in no way affect the validity of the other provisions of the Indenture or of the Senior Lien Obligations.

SUCCESSORS AND ASSIGNS

Whenever in the Indenture the City is named or referred to, the City includes its successors and assigns whether so expressed or not. All of the covenants, stipulations, obligations and agreements by or on behalf of, and other provisions for the benefit of, the City contained in the Indenture bind and inure to the benefit of the successors and assigns, and bind and inure to the benefit of any Regional Authority, officer, board, commission, authority, agency, unit of local government or instrumentality to whom or to which there is transferred by or in accordance with law any right, power or duty of the City, or of its successors or assigns, the possession of which is necessary or appropriate in order to comply with any covenants, stipulations, obligations, agreements or other provisions of the Indenture.

APPENDIX F

COVERAGE REPORT OF RATE CONSULTANT

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November 12, 2025

Allison Swisher, P.E.
Department of Public Utilities
City of Joliet
150 W. Jefferson Street
Joliet, IL 60432

Re: City of Joliet, Illinois
Final Waterworks and Sewerage Revenue Senior Lien Obligations - the 2025 Revenue Bond Coverage Report

Ladies and Gentlemen:

This Memo has been prepared in connection with the Waterworks and Sewerage Revenue Senior Lien Obligations - the 2025 Revenue Bond issued in the amount of $109,835,000 ("2025 Bonds"). The purpose of this Letter Report is to present our findings concerning debt service coverage requirements for the issuance of additional bonds as described in the Master Indenture of Trust.

Certain capitalized terms found herein will be defined in the City's Master Indenture of Trust.

ADDITIONAL BOND COVERAGE REQUIREMENT

The City may issue additional parity lien bonds to finance extensions, enlargements and improvements only if and when the debt service coverage calculation as described in the Master Indenture (see excerpt below) equals or exceeds 115 percent:

(f)(i) either

(A) a Certificate of an Independent Accountant or a Certificate of the City, in either case stating that the sum of Net Revenues and Other Available Moneys (but with respect to Other Available Moneys only to the extent of the amount thereof deposited into the Revenue Fund or the Debt Service Fund during the applicable Fiscal Year) in the most recent completed Fiscal Year ending within the last 24 months for which audited financial statements have been prepared was not less than one hundred fifteen percent (115%) of Maximum Annual Debt Service as of the time immediately after the issuance of the Series of Senior Lien Obligations proposed to be issued (disregarding any Senior Lien Obligations that have been paid or discharged or will be paid or discharged immediately after the issuance of the Series of Senior Lien Obligations proposed to be issued) or

(B) a Certificate of the Independent System Consultant (1) projecting the sum of Net Revenues and Other Available Moneys for each of the five Fiscal Years next following the date of issuance of the Series of Senior Lien Obligations proposed to be issued; (2) setting forth the Maximum Annual Debt Service as of the time immediately following the issuance of such Series and (3) determining that the sum of such Net Revenues and Other Available Moneys for each of such five Fiscal Years will not be less than one hundred fifteen percent (115%) of such Maximum Annual Debt Service (disregarding any Senior Lien Obligations that have been paid or discharged or will be paid or discharged immediately after the issuance of the Series of Senior Lien Obligations proposed to be issued);

(ii) for the purposes of computing Revenues and Other Available Moneys under subsection (f)(i), there must be taken into account any change in the schedule of Service Charges and any change in the calculation of Other Available Moneys, in each case, with respect to any change that first took effect during the period commencing on the first day of such completed Fiscal Year and ending the date of issuance of the Series of Senior Lien Obligations proposed to be issued;

(iii) for the purpose of computing Maximum Annual Debt Service under subsection (f)(i), any Balloon Maturity shall be adjusted as provided in Section 404 and Senior Lien Debt Service on any Series issued in connection with a Multiple Advance Loan Arrangement shall be adjusted to include the estimated Senior Lien Debt Service on such Series taking into account the anticipated additional advances under the Multiple Advance Loan Arrangement as set forth in a Certificate of the City filed with the Trustee; and

(iv) under subsection (f)(i), the amount of Other Available Moneys shall be adjusted to exclude any particular source of Other Available Moneys if the pledge thereof as security for the payment of Senior Lien Obligations will expire prior to the last day of the fifth Fiscal Year next following the most recent completed Fiscal Year.

(g) In the case of the Initial Series, either (i) any Certificate set forth in subsection (f)(i) or (ii) a Certificate of the WIFIA Lender consenting to the issuance of the Initial Series.

(h) such further documents and moneys as are required by the provisions of Article VII, any Supplemental Indenture or any Multiple Advance Loan Arrangement.

COVERAGE

Burns & McDonnell, acting as an independent consultant, has completed an analysis of the debt service coverage using the most recently completed audited financial statements adjusted for subsequent rate increases adopted by the Utility. Based on our analysis, Burns & McDonnell believes the coverage covenant described above is fully met for the 2025 Bonds. The calculated coverage including the 2025 Bonds has been developed pursuant to the Master Indenture and is provided in summary in Table 1 of this Report.

The amounts shown for revenue and expenses are based on the actual 2024 amounts for the water and sewer utility systems, taken from the 2024 Annual Comprehensive Financial Report (ACFR). Revenues have been adjusted to reflect rate increases adopted in subsequent periods. The Utility implemented an increase of 17.25 percent to water charges in 2025 and an increase of 6.0 percent to sewer charges in 2025. The Utility has also approved rate increases of 17.25 percent to water charges in 2026 and 2027 and annual increases of 6.0 percent to sewer charges in 2026 and 2027.

Table 2 reflects the impact of these revenue increases implemented in 2025 and approved for 2026 and 2027. The adjusted revenues were used to calculate debt coverage for the additional bonds coverage requirements.

Table 3 shows annual debt service for the existing WIFIA Draws and the 2025 Bonds. The maximum annual debt service is $18,087,405. The estimated principal and interest payments were provided by Speer Financial.

Based on the analysis included herein, the Utility can meet its existing debt service obligations including the obligations of the 2025 Bonds.

BURNS & McDONNELL QUALIFICATIONS

Founded in 1898, Burns & McDonnell provides engineering, operations, and financial consulting services to water, wastewater, electric, and gas utilities. With over 10,000 employee-owners, consisting of specialists from all engineering disciplines and business functions, Burns & McDonnell offers a comprehensive package of experience and skills for performing rate and financial analyses, feasibility studies, and negotiation services. In addition, the firm is experienced in assisting utilities with the issuance of debt and with management and financial aspects of their operations.

STATEMENT OF LIMITATIONS

In preparation of this letter report, Burns & McDonnell relied upon information provided by the City and other parties. The information included various analyses, computer-generated information and reports, audited financial reports, and other financial and statistical information. While Burns & McDonnell has no reason to believe that the information provided, and upon which Burns & McDonnell has relied, is inaccurate or incomplete in any material respect, Burns & McDonnell has not independently verified such information and cannot guarantee its accuracy or completeness.

Estimates and projections prepared by Burns & McDonnell relating to financial forecasting and costs are based on Burns & McDonnell's experience, qualifications, and judgment as a professional consultant. Since Burns & McDonnell has no control over weather, cost and availability of labor, material and equipment, labor productivity, contractors' procedures and methods, unavoidable delays, economic conditions, government regulations and laws (including interpretation thereof), competitive bidding, and market conditions or other factors affecting such estimates or projections, Burns & McDonnell does not guarantee the accuracy of its estimates or predictions.

Sincerely,

BURNS & McDONNELL

David F. Naumann
Project Manager

Sara K. Stafford
Senior Analyst

DFN/SKS

Table 1

ADDITIONAL BONDS
Year Ended December 31
City of City of Joliet, IL

Description		Total 2024 (1)	
Operating Revenue			
Charges for Services - Water (2)	$	61,244,842	
Charges for Services - Sewer (2)		42,998,189	
Charges for Services - Other		212,789	
Tap on / Turn on Fees		2,204,915	
Fines and Other		2,164,190	
Total Operating Revenue	$	108,824,925	
Operation and Maintenance Expenses			
Personnel Services	$	13,150,321	
Personnel Benefits		6,328,292	
Other Employee Costs		327,587	
Professional Services		2,560,013	
Property Services		6,357,703	
Other Services		465,616	
Supplies		9,285,134	
Other Expenses		280,795	
Total Operation and Maintenance Expenses	$	38,755,461	
Net Revenue Available for Coverage	$	70,069,464	
Maximum Annual Revenue Bond Debt Service	$	18,087,405	(3)
Calculated Coverage for the Additional Bonds Test. . .		387%	
Coverage Needed to Meet Additional Bonds Test		115%	

(1) Source: 2024 Annual Comprehensive Financial Report.
(2) Revenues are adjusted to reflect appropriate rate and customer charge adjustments, see Table 2.
(3) Determination of Maximum Annual Debt Service presented in Table 3.

Table 2

REVENUE ADJUSTMENT DETERMINATION
Year Ended December 31
City of City of Joliet, IL

Description		2024
Charges for Service - Water (1)	$	37,995,395
Adjustments		
2025 Approved Rate Increased (17.25%)		6,554,206
2026 Approved Rate Increased (17.25%)		7,684,806
2027 Approved Rate Increased (17.25%)		9,010,435
Total Adjusted Charges for Service - Water	**$**	**61,244,842**
Charges for Service - Sewer (1)	$	36,102,109
Adjustments		
2025 Approved Rate Increased (6.0%)		2,166,127
2026 Approved Rate Increased (6.0%)		2,296,094
2027 Approved Rate Increased (6.0%)		2,433,860
Total Adjusted Charges for Service - Sewer	**$**	**42,998,189**
Total Combined Adjusted Charges for Service	**$**	**104,243,031**

(1) Source: 2024 Comprehensive Annual Financial Report.

Table 3

MAXIMUM ANNUAL DEBT SERVICE
City of City of Joliet, IL

	WIFIA 1 Loan (1)	WIFIA 2 Loan (1)	2025 Bonds (1)	Total Payments
2025	$ -	$ 1,209,110	$ -	$ 1,209,110
2026	-	1,388,507	6,017,339	7,405,846
2027	-	1,388,507	5,597,525	6,986,032
2028	-	1,388,507	5,597,525	6,986,032
2029	-	1,388,507	5,597,525	6,986,032
2030	1,917,523	1,388,507	5,597,525	8,903,555
2031	1,917,523	1,388,507	5,597,525	8,903,555
2032	1,917,523	1,388,507	5,597,525	8,903,555
2033	1,917,523	1,388,507	9,837,525	13,143,555
2034	1,917,523	1,388,507	9,840,525	13,146,555
2035	1,917,523	1,388,507	9,837,775	13,143,805
2036	1,917,523	1,388,507	9,844,025	13,150,055
2037	1,917,523	1,388,507	9,843,275	13,149,305
2038	1,917,523	1,388,507	9,835,275	13,141,305
2039	1,917,523	1,388,507	9,839,775	13,145,805
2040	1,917,523	1,388,507	9,840,525	13,146,555
2041	1,917,523	1,388,507	9,837,025	13,143,055
2042	1,917,523	1,388,507	9,838,775	13,144,805
2043	1,917,523	3,188,507	9,839,775	14,945,805
2044	1,917,523	4,734,507	9,844,275	16,496,305
2045	1,917,523	5,532,507	9,836,275	17,286,305
2046	1,917,523	5,603,507	9,841,488	17,362,518
2047	1,917,523	5,668,507	9,840,438	17,426,468
2048	1,917,523	5,777,507	9,842,338	17,537,368
2049	1,917,523	6,329,007	9,840,875	18,087,405
2050	1,917,523	6,509,507	-	8,427,030
2051	6,517,523	6,529,507	-	13,047,030
2052	7,067,795	4,927,061	-	11,994,857
2053	7,571,275	-	-	7,571,275
2054	5,196,232	-	-	5,196,232
2055	5,196,232	-	-	5,196,232
2056	5,196,232	-	-	5,196,232
2057	5,196,232	-	-	5,196,232
2058	5,196,232	-	-	5,196,232
2059	5,196,232	-	-	5,196,232
2060	5,196,232	-	-	5,196,232
2061	5,196,232	-	-	5,196,232
2062	5,196,232	-	-	5,196,232
2063	5,196,232	-	-	5,196,232
2064	5,196,232	-	-	5,196,232
Maximum Annual Debt Service				$ 18,087,405

(1) Debt service information provided by Speer Financial.

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APPENDIX G

SPECIMEN MUNICIPAL BOND INSURANCE POLICY

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MUNICIPAL BOND INSURANCE POLICY

ISSUER: [NAME OF ISSUER]

Policy No: _____

MEMBER: [NAME OF MEMBER]

BONDS: $_____ in aggregate principal amount of [NAME OF TRANSACTION] [and maturing on]

Effective Date: _____

Risk Premium: $_____
Member Surplus Contribution: $ _____
Total Insurance Payment: $_____

BUILD AMERICA MUTUAL ASSURANCE COMPANY ("BAM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") for the Bonds named above (as set forth in the documentation providing for the issuance and securing of the Bonds), for the benefit of the Owners or, at the election of BAM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the first Business Day following the Business Day on which BAM shall have received Notice of Nonpayment, BAM will disburse (but without duplication in the case of duplicate claims for the same Nonpayment) to or for the benefit of each Owner of the Bonds, the face amount of principal of and interest on the Bonds that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by BAM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of such principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in BAM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by BAM is incomplete, it shall be deemed not to have been received by BAM for purposes of the preceding sentence, and BAM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, any of whom may submit an amended Notice of Nonpayment. Upon disbursement under this Policy in respect of a Bond and to the extent of such payment, BAM shall become the owner of such Bond, any appurtenant coupon to such Bond and right to receipt of payment of principal of or interest on such Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under such Bond. Payment by BAM either to the Trustee or Paying Agent for the benefit of the Owners, or directly to the Owners, on account of any Nonpayment shall discharge the obligation of BAM under this Policy with respect to said Nonpayment.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent (as defined herein) are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity (unless BAM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration) and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment made to an Owner by or on behalf of the Issuer of principal or interest that is Due for Payment, which payment has been recovered from such Owner pursuant to the United States Bankruptcy Code in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means delivery to BAM of a notice of claim and certificate, by certified mail, email or telecopy as set forth on the attached Schedule or other acceptable electronic delivery, in a form satisfactory to BAM, from and signed by an Owner, the Trustee or the Paying Agent, which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount, (d) payment instructions and (e) the date such claimed amount becomes or became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer, the Member or any other person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

SPECIMEN

BAM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee, the Paying Agent, the Member and the Issuer specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee, the Paying Agent, the Member or the Issuer (a) copies of all notices required to be delivered to BAM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to BAM and shall not be deemed received until received by both and (b) all payments required to be made by BAM under this Policy may be made directly by BAM or by the Insurer's Fiscal Agent on behalf of BAM. The Insurer's Fiscal Agent is the agent of BAM only, and the Insurer's Fiscal Agent shall in no event be liable to the Trustee, Paying Agent or any Owner for any act of the Insurer's Fiscal Agent or any failure of BAM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, BAM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to BAM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy. This Policy may not be canceled or revoked.

This Policy sets forth in full the undertaking of BAM and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW. THIS POLICY IS ISSUED WITHOUT CONTINGENT MUTUAL LIABILITY FOR ASSESSMENT.

In witness whereof, BUILD AMERICA MUTUAL ASSURANCE COMPANY has caused this Policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By: _____
Authorized Officer

SPECIMEN

Notices (Unless Otherwise Specified by BAM)

Email:
claims@buildamerica.com
Address:
200 Liberty Street, 27th floor
New York, New York 10281
Telecopy:
212-962-1524 (attention: Claims)

SPECIMEN

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CITY OF JOLIET, ILLINOIS • WATERWORKS AND SEWERAGE SENIOR LIEN REVENUE BONDS, SERIES 2025

Mixed Sources
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